Gland Pharma (GLAND)

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Symbol: GLAND (ISIN: INE068V01023)

Dear Sir/Madam,

Sub: Earnings call Transcript - Q1FY23

Please find enclosed the transcript of the Earnings call for Q 1FY23 of the Company held on Wednesday , July 20, 2022 at 18.30 Hrs IST. This will also be available on the Company's website and the web link to access the same is https://glandpharma.com/investors

This is for your information and records.

Yours truly,

Company Secretary and Compliance Officer

“Gland Pharma Limited's Q1FY'2 3Earnings Conference
Call”
July 20, 2022
MANAGEMENT :MR.SRINIVAS SADU –MANAGING DIRECTOR &CHIEF
EXECUTIVE OFFICER
MR.RAVISHEKHAR MITRA –CHIEF FINANCIAL OFFICER
MR.SUMANTA BAJPAYEE –VICEPRESIDENT ,CORPORATE
FINANCE &INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY'23 Earnings Conference Call of Gland Pharma Limited . As a reminder, all participant lines will be in listen -only mode, an d there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*'then'0'on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. S umanta Baj payee –Vice President, Corporate Finance, andInvestor Relations . Thank you and over to you, sir .

Sumanta Bajpayee : Good evening, andawarm welcome to Gland Pharma's Earnings Conference Call forFirst Quarter of Financial Year '23 .I have with me Mr. S rinivas Sadu --Managing Director and Chief Executive Officer; Mr. Ravi Shekhar Mitra --Chief Financial Officer to discuss the business performance and to answer queries during the call.

We will begin the call with the business highlights an doverview by Mr. Sad ufollowed by financial overview by Mr. Mitra. After the opening remarks from the management ,operator will open the bridge for Q&Asession .Before we proceed with the call ,please note, some of the statement made in today's discussion may be forward -looking and based on management estimates. And this must be viewed in conjunction with market risks ,uncertainties involved in our business. The Safe Har bor language contained in the press release also pertains to this conference call. This call is being recorded and the playback shall be made available on our website shortly after the call. The transcript of this call will be submitted to the stock exchan ges

and made available on our website as well.
I will now hand the call over to Mr. Sad ufor his opening remarks. Thank you ,all. Over to you, Mr. Sad u.
Srinivas Sadu: Thank you, S umanta. Good evening, everyone. Thank you for joining our earnings call for the first quarter of fiscal 2023. My best wishes to all our sh areholders, analysts, and their families.
I must say it is a tough start to FY'23with few supply chain issues, which were ongoing for the last couple of quarters ,hit us hard on aquarterly dispatches . We face ddelay in receipt of APIs and primary packing materials which cause ddelay in production. We are making all efforts possible to minimize the impact of these disruptions by qualifying new suppliers as well as optimizing our production p lanning. We lost productivity during the quarter on account of delays in material supply. At our D undigal facility, we lost nearly 7%to 8% of our available production capacity of lyoandliquid vials during the quarter o wing to supply chain disruption , but we should be able to go back to normal utilization levels from next quarter.
In spite of the ongoing supply side disruption, we ensure dthe new product launches were not impacted during the quarter, which are key to our business growth. We also initiated cost optimization and productivity initiatives as part of which two lines at our D undigalfacility w ere shut down during the quarter to make the modifications and mitigation of production bottleneck ,

thereby improving production output. Both lines became operational from July and the l ossof production will be covered in the next three quarters on account of improved productivity.
We closed this quarter Q1FY'23 with revenue of Rs.8,569 million as against Rs.11,539 million inQ1FY'22and our PAT stood at Rs.2,292 million for the quarter against Rs.3,507million in Q1FY'22.We have generated Rs.3,328 million of cash flow from operations in Q1FY'23.
We continue to make progress on our key focus areas to build a differentiated portfolio along with expanding geographic penetration. We continue to make investments in R&Dand were able to complete six ANDA filings during Q1FY'23 in line with our plan. The progress on the comp

lex portfolio also is in line with expectation. We have also finalized next s et of products of filings in the China market upon detailed assessment of our parent Fosun Pharma . And with this we're confident of building a robust portfolio for the China market. The addressable market size forthe next set of products in the China mark et is US D1billion.
We ensure dtimelynew product launches and manage dto launch 14 product SKUs during this quarter. To highlight a few ,we commercialize dproducts including Bortezomib ,Pemetrexed , Pantoprazole and Cyanocobalamin in the US market. We were granted 180-daysCGT exclusivity forZinc Sulfate injection in the US market from its first commercial marketing date of 27 ,June 2022. We also launched other products including Bortezomib inAustralia and Oxaliplatin in the Canad ian market .
During Q1FY'23, upon excluding capital R&D expenditure, the R&Dexpenditure stands at 4.1% of revenue for the period in line with ourhistorical trend. As on 30 ,June 2022, we along with our partners have 316 A NDA filings in the US and 1 ,567 p roduct registrations globally.
We are recruiting talent to further strengthen our capabilities in biosimilar manufacturing and complex development. We are experiencing increased attrition and hence are ensuring we build enough resources keeping in mind ant icipated growth initiatives of the company.
Let me summarize our performance across various geographies : Our rest of the world markets accounted for 12% of our Q 1FY'23 revenue for the quarter as against 19% in Q1FY'22. The delay in material supplies has hit our ability to take up rest of the world orders with lowdelivery times. The good aspect is that the demand stays strong. We are working on ensuring we can build inventory to meet the demand for ourrest of the world portfolio. We anticipate another quarter for us to go back to normalize levels of inventory for this market.
Our key markets continue to remain MENA, LATAM and APAC. We registered our products Ethacrynate S odium ,Ganciclovir ,Foscarnet Sodium and Labetalol Hydrochloride in new geographies during the quarter.

Our core markets, namely US Canada, Europe and Australia remain strong during the year despite market challenges. Our core markets accounted for 82% of ourrevenue during Q1FY'23 as again st65% during Q1FY'22.
We cont inue to maintain our new launch momentum in our core markets. There is visible price pressure in the US which is impacting profitability for certain products. But as our new launches scale up, the impact will normalize.
The quarter was impacted with shorta ge of API and primary packing materials, which should relax over the next couple of quarters. We remain confident of a launch pipeline that will ensure sustainable growth in the market. The key products in the core markets contributing to the sales

were Enoxaparin Sodium Ketorolac Tromethamine andErtapenem .
India market accounted for 6% of Q1FY'23 revenue. The Indian market sales were impacted by shut down of our dedicated Insulin lineduring the quarter to accommodate line modifications. The demand for Insulin remains strong and will cover the loss in production by improved productivity during the rest of the year.
I would like to touch upon little about our growth initiatives .On thegeographic growth ,as has been seen from ourperformance; we have expanded our penetration in the rest of the world markets. China remains a key geographic focus and we expect to start receiving approval sin the current year.
On the portfolio front ,we are progressing well on ourcomplex injectable portfolio and have completed installation of manufacturing lines. We are also in the process of evaluating manufacturing lines for technologies invol ving m icrospheres and combi -vials. On this front, we have made significant progress in building internal capabilities, and are also exploring opportunities for external partnerships. And another key focus ar

ea remains biosimilar CDMO
business ,on which again, we're seeing a lot of interest from our partners.
With this, I wish everyone good health. I'd like to now hand over the call to our CFO ,Mr. Ravi Mitra, who will share details about ourfinancial performance for the quarter. Thank you.
Ravi Mitra : Thank you ,Mr. Sad u. Good evening, ladies, and gentlemen. Th ank you very much for attending our first quarter earnings call. Our earnings presentation has been uploaded on the website.
Let me begin bysharing the financial performance of first quarter of financial year 202 2-23.
Revenue from operations for the Q1FY'23stood at Rs. 8,569 million ,declined by 26% due to various reasons as explained by Mr .Saduin his opening remarks . But some of these are transient in nature. And we would like to reinstate that our differentiated business model remains robust with the focus on supplying quality products to our customers. In spite of the continued

challenges in non -availability and delay ed supply of critical materials, our efforts were to ensure that sufficient level of inventory remains available at our customers end in our core markets.
Other income for the first quarter of financial year 2023 was Rs.744 million which includes foreign e xchange gains onoperations of Rs.342 million and interest on fixed deposit of Rs.376 million .Gross margin for Q1FY'23 was 56% ,an improvement of 284 basis points as compared toQ1FY'22.Higher percentage of sales from regulated markets and favorable bu siness model mix, along with focus and optimizing cost levers have positively impacted the gross profit margin. We have reported an EBITDA of Rs.3,443 million in Q1FY'23, anEBITDA margin of 37%. During the quarter ,we have managed to maintain EBITDA marg in inhigher band of our earlier communicated target range.
InQ1 FY '23, we have witnessed increase in power and fuel cost by 53% year -on-year basis, and 36% from last sequential quarter due to increased power tariff and oil and gas prices. During this quarter, we faced shortages of power resulting in increased purchas e ofpower at higher tariffs. The situation has normalized now, and we expect the cost of power to come down.
Manpower related cost has increased by 22% on year -on-year basis due to recruitmen t for the additional lines coming in and yearly salary increment impact. If you compare the staff costs on a sequential basis, it increased marginally due to increase in headcount .
Ournet profit for first quarter was Rs.2,292 million and PAT m arginof25%. Effective tax rate was at 25.7% for the quarter.
The total R&Dexpenses for first quarter were Rs.410 million compared to Rs.438 million of the same period previous financial year, which is adecrease of 6% and stands at 4.8% of the revenue.
Cashflow from operations for the first three months of current financial year was Rs.3,329 million .Cash conversion cycle stood at 241 -days for the quarter, same as first quarter of last year. In anticipation of business recovery for the rest of the financial year, we are building up our inventory and that is the reason for higher inventory and result anthigher payable days. Due to supply -related issues ,most of the sales during the quarter were back end edand hence you see increase in receivable days, which w e expect to regularize with normalization of business.
Total CAPEX incurred during the quarter was Rs.414 million .
OurROC Eonex-cash basis stood at 21% forQ1FY'23. The reduction is primarily due to substantial decrease of post -taxEBIT during the quarter .As on June 30 ,2022, we had total Rs.37,892 million of cash and equivalents.
We had evaluated a number of M&Atargets in the recent past ,current market dynamics, making the valuation of target assets more reasonable ,has provided impetus to ourgoal of acquiring right strategic fit for a growth plan.

With this, I would request the moderator to open th

e lines for questions. Thank you.
Moderator: Wewill now begin the question -and-answer session. The first question is from theline of T arang Agrawal from O ldBridge Capital . Please go ahead.
Tarang Agrawal : Three questions from my end. First, if Ilook at each of your markets, business l ossseems to be material .Will be safe to presume that a significant proportion of business loss was o wing to supply bottlenecks rather than changing front end market environment ?Because in your presentation and in your opening remarks, you've also alluded to price erosion in some markets, impact ofa high base in the other markets. So just wanted to get some sense as to whether it's really on the demand side or it's really the supply chain bottlenecks for each of your markets.
Srinivas Sadu: Primarily it's asupply chain issue, right .Inthe US if you look at quarter -on-quarter, we still grew by about 4% andyear-on-year degrown by 4%,but then there's a timing issue of certain products, but I would say still a lot of products in the US actually has grown substantially, right. And because of the syringe shortages, we have allocated most of our supplies, what wegotto the US market to cater to the contract what we got, like I mentioned last time .So we didn't have enough syringes to supply to domestic and rest of the world market. So that has impacted sales in other markets. And from domestic perspective ifyousee, two major issues ;one, of course, thesyringes what Ijust told, and the other is taking a shutdown of a couple of lines to increase the productivity ,so that has contributed about 30 ,40 crores of loss of domestic sales. While there is a large base l ast year on the domestic ,if you look at first quarter of last year is almost Rs.180 crores ,out of which about Rs.70-80crores was related to products ,like,Remdesivir and Enoxa, which w ereCOVID products. So, if we remove that still we're still probably off by about Rs.7, 8 crores. But major impact I would say in domestic is because of the shortage of syringes and the R oW business also because of this.
Tarang Agrawal : Justasecond follow up . In the US, despite the kind of launches that you had in this quarter, growth has been nice, but one would have presumed that the sheer size of those products would translate into maybe better business. So is there a lot of heightened competition out there in the US even in the supposed big products?
Srinivas Sa du: The competition is there. But if you look at the percentage wise new product, the growth has contributed about 4% ,thegrowth came from new products. But also, you need to see when the product s got launch ed. M any product s got launched either in May or June. So it's kind of not 100% recognized. That's one aspect .And also, wh ilelarge products have some competition , there are also smaller products ;20,30 million products where the competition is not there where we just mentioned, zinc has ,the smaller p roduct about 28 million, but still we have exclusively for that. But you'll see more of that coming in the next few quarters. So that way, I think it's a combination of competition in some large molecules not been able to recognize for the entire quarter b ecause most of the launches happened mid of the quarter or end of this quarter.

Moderator: The next question is from the line of D heereshPathak from White Oak Capital . Please go ahead.
Dheeresh Pathak : The profit share number for the quarter ifyou can share please ?
Ravi Mitra : It is about 10% of the revenue.
Dheeresh Pathak: TheCAPEX number looks low, so what is the guidance for the full year and where are you spending the capex money this year?
Ravi Mitra : CAPEX fullyear guidance remains sam e;Rs.300 crores what we said last time. So we are building up this microsphere combi line as Mr. S aduwas talking about a little while ago for our complex products and that ordering and spending, which should start soon. And first quarter was mo

re of a ti ming thing. So we will end up at Rs.300crores.Other than that complex injectables line in Pash amylaram we are also adding more API capacity and also bagline we need to add because of the increased demand we have seen. So ofthese are the large items whe reCAPEX would go.
Dheeresh Pathak: And last question in terms of the biologic CDMO ,ifyou can share any further progress you've made from the last communication wehave ?
Srinivas Sadu: So there were four actually customers which has happened during the quarter, and we are discussing about the commercial terms , it's just like, that's where the status is .
Dheeresh Pathak: But when should we expect to see the first revenue with the P&L?
Ravi Mitra : I think this is too early to comment at this point of t ime. Justnow we were discussing that we have seen a lot of traction and ongoing discussion with ourparent also. But at this point of time, we would refrain from commenting which particular month or quarter this revenue will start coming in. But capabilit y wise, team wise, we are already and that's why customers are coming and visiting.
Moderator: The next question is from the line of AmeyChalke from Haitong S ecurities . Please go ahead.
Amey Chalke : I have a few questions. First, Mr.Sadu, is it possible for you to quantify how much of the impact on the supply shortages in the plant shutdown is there during this quarter? And how much of the sales l ossis recoverable in the coming quarters?
Srinivas Sadu: So if you look at market wise, I would say ,USbecause of syringes ,we lost Rs.25 crores ,RoW

about Rs.100crores we lost ,and domestic, we lost about 40 crores I would say.
Amey Chalke: So even if we add these numbers, the total is still lower ,right,from what the growth trajectory we were hopin g to be on. So is there also anyimpact on the demand side of the business?

Srinivas Sadu: I would say not the demand side .Ifyou look at the timing, right last year, if you see Micafungin is a big product, if you look at last year first quarter, almost Rs.126 crores came from that product ,whereas this quarter, we didn't supply anything on that. It's more of inventory issue where the customer is liquidating it and we don't want to supply mo re now. But if you look at the en dmarket, the sales what ourpartner is selling is consistent. So that will come back in a quarter or so .That's more of the timing issue , because last year, the rewere anomaly o fpartners havingthose three to six months i nventory. Because our model is a little different. So that's what is happening. So it looked a little bulky last year, but that will come back in a quarter or so .
Amey Chalke : The second question is related to our PFS suppliers. What I understand is that e ven these PFS supplier sare struggling to cope upwith the demand to provide .So even in coming next to one year also ,what I understand they will be operating at full capacity utilization. So what could be the way out for us ,if you have any thoughts on t he same?
Srinivas Sadu: For the rest of the world, we are already qualifying other suppliers because US still I think we have enough supplies commitments from BD. But we are qualifying a Chinese supplier as well as Italian supplier for rest of the world market. So we're going to use those for this. So I think that can be mitigated w ell.
Amey Chalke: Doyou think that whatever growth expectation we have from our business that w ould be fulfilled by the suppliers as well in the coming years and there won't be any supply disruptions ?
Srinivas Sadu: We'repretty confident ,yes.
Amey Chalke: Justalast question on the staff cost side .Inthe last quarter when Iasked same question ,I was told that there was some one -time item in the staff cost and it was expected to normalize from this quarter onwards. However, rather it has gone up during this quarter. So ,if you can provide some guidance on the staff cost?
Ravi Mitra : What we earlier ref

erred was for one -time bonuses given off. But if you compare now wit hQ4, I think it's the incremental staff cost which has come is on account of additional headcount ,a normal yearly increment. But that impact is not that additional one -time bonus which we talked about earlier, that is not in this quarter.
Amey Chalke: Soshould we assume thisRs.98crores to be a normalized base for the staff co st?
Ravi Mitra : Yes, that's correct.
Moderator: Next question is from the line of An ubhav Agarwal from Credit Suisse. Please go ahead.
Anubhav Agarwal : One clarity on this India r evenue. So, this quarter we done about Rs.51crores. If I look at the March quarter, or the December quarter, we were doing very close to Rs.200 crores. Y ou talked

about 40 croresimpact onthe supply disruption from that in sulin facility. So, still trying to understand the decline from 20 0 crores to 50 crores.
Srinivas Sadu: So, if you see the last quarter, there was export restriction on Enoxaparin product .So, we were supplying a lot domestic supplies to third parties. So, most of the revenue almos tRs.100crores revenue came from supplying to third parties, but with low margins and we could supply with the different syringes. But, if youlook at the logistic costs, the i mport costs and also the dollar, it's not making any sense to operate at the pr ice level which are under price control in India. So, we didn't continue to supply to those because of the restriction ,inlast quarter, we did that. But at least we had some margin atthat point of time, but this quarter, because of the increased costs, and also the dollar not helping us ,because we had to pay duty for the import of materials. So we actually stayed away from th osesupplies.
Anubhav Agarwal: So, you're saying that business largely not taking up that business is getting booked in some other segment ,that business itself you're not taking upnow?
Srinivas Sadu: Correct.
Anubhav Agarwal: So when things recover now, let's say 2Q or 3Q, s o, India business will be about 100 c rores base a quarter level ?
Srinivas Sadu: Onfront endB2Cis around Rs.60 crores and then around 25 ,30 crores of insulin, 90 and another 10croresof miscellaneous, yes, around 100 crores, correct.
Anubhav Agarwal: Second question is just aclarity on the R&Dspend. Annually ,ifI look at the revenue expenditu re of the company, we aredoing about 160 crores to 180 crore sR&Dspend a year right now and we are filing almost close to 25 ANDAs in the US market. That's almost like very simply a million dollar spen dperproduct. So, now you ’re changing business model more towards your own patentfilings not doing partner filings , do you think that in two, three years, this 180 c rores can become a 400 c roresR&Dnumber for you, I'm not talking about a percentage growth, I am

talking as you fil e more complex product, etc. ,do you see a step jump inthisR&Dbecoming
2xin two years or three years ?
Srinivas Sadu: So we've been filing our own products in the last three years, not just now. So if you look at our
initial percentages, with the lower base, the percentage was same, but the absolute number was
lower than what we're doing for last two, three years. We don't think that will increase that much.
Even for the complex products ,we always collaborate with our partners .They do pitch in some
ofthestudies. So we don't anticipate that to go that high. So we still keep that as a percentage of
revenue of around 4%.
Moderator: The next question is from the line of Sudarshan Padmanabhan from JM Financial. Please go
ahead.

S Padmanabhan : My question is to understand the extent of shortage. I mean, we've been hearing the shortage
from the third quarter to the fourth quarter, and we're seeing a significant part in the first quarter.
Now that we are into the second quarter, I mean, in terms o f intensity, how do we see things
easing up say f

rom the second quarter and when we are talking about the second halfto kind of
normalize ,what gives us kind of a confidence in that kind of comment ary?
Srinivas Sadu: So,while the syringes is a major impa ct, which has happened ,there were also issues around four
or five products where we have filed alternative tubing or filters with FDA . We also lost some
productivity on that ,about 16 to 18 productivity days across sites and across lines. So that kind
ofsorted out .Syringes, we have seen some quantities coming at the end of the quarter. So that's
why we're able to cater to the US market without impact, still it would cause the impact ofabout
20,25crores . And we have delivery schedules from BD for this quarter as well. So looking at
that, I think we are more comfortable on the s yringe side. The heparin product was impacted
with stoppers from West .We have not got the resolution yet .That has impact ed of about 40,50
crores. So we are working around alter native stopper for that. That's only therisk about 40 ,50
crores of heparin, which couldn't supply. We don't have a solution for that yet, which we are
working with West for alternate supplies. But otherwise, we are good with other comp onents .
SPadmanabhan: SoIthink b arring this Rs.50 crores a year ,you're saying most of the issues are sorted and that
should come in the second half ?
Srinivas Sadu: It'snotRs.50 crores ayear, I'msaying the quarter Rs.50 crores was lost .So that's what we're
now trying to see an alternative stopper . The s chedule we got from west is in November, but we
wanted that actually inthe last quarter and at least push to this quarter .So that will help but the
schedule we got is in November.
S Padmanabhan: Mysecond que stion is on the demand side specifically .I know you don't share the order book
and towards that . But when Ilook at say the USbusiness or the RoW business specifically with
respect to number one ,the newer customers and existing customers increasing the wallet in terms
of volumes and whatever that we have missed because if you look at the RoWwe've lost about
100,120-oddcrores.Isthis sales kind of recoupable say in the next nine months ,so wou ld this
120 crores be added say in the second quarter or third quarter in addition to the typical 2 20,230
crores kind of run rate thatyou do ?
Srinivas Sadu: As farasthe capacity isconcern ed,Idon't know whether we can recover everything what we
lostin this quarter ,but at least the growth what wetold in our normal business that 's going to be
maintained ,but what we lost about 250 crores or 300 -oddcrores this quarter could be difficult
to recover 100 %ofthat.
S Padmanabhan: In terms of demand as far as volumes, are we seeing increase in the volumes on a year -on-year
basis as far as the demand is concerned across RoWandthe developed markets ?

Srinivas Sadu: The demand is there .Ifwereally go by molecule wise ,Enoxa ,from qu arter-on-quarter basis
almost like three times we sold in the first quarter ,last quarter was about Rs.47 crores in the US,
we did almost Rs.160crores this quarter ,demand was there . Then likeKetorolac is almost like
90%growth .Six or seven molecules which have grown almost 90%, 100%, 200% like that. S o
that way we don't see demand dropping off .Butthere are some products which we we re doing
prior to COVID total market has not come back .Vanco was one of the top five products .if you
look at the total market ,30%,35%market has never come back . And what we hear from the
market is more people moving to RTU s because of the compounding business ,issues with the
labor force and all that .So there are some issues with the older products but there arealot of
other products which didactually extremely well compared to others .
S Padmanabhan: Earlier, we have been talking about the 18 %to 20 %kind of a growth .would this year be kind
of,given that the first quarter is pretty bad, and we are seeing a recovery in the second ha

If, so
what is something that you are looking at, would this year be significantly lower and probably
FY'24 and FY'25 should be relatively better, any color on that?
Srinivas Sadu: If you can just forget one qu arter then probably the growth will be stronger, but if you include
this quarter because it's difficult to recover what is lost in this quarter to 100% . So it could be a
lower growth year but moving forward the demand what we're seeing and the growth what we
have even shown for a lot of the other products other than where we face shortages, we're still
confident that we could maintain the growth what we told before in the next two years.
Moderator: The next question is from the line of Neha Manpuria from Ba nk of America. Please go ahead.
Neha Manpuria : Just on the China business, I think in the presentation you mentioned that ourfacility inspection
has been waived off . So when do we expect to start seeing revenues from China come to and
what's the filing th at we expect from China over the next year?
Srinivas Sadu: So for two products, they are in a clearance phase. They confirmed that there is no need of
inspection. So the something should come in the third or the fourth quarter, that's what we are
anticipat ing. Five products getting filed in FY'23 and then another six to seven products in
FY'24.
Neha Manpuria: In terms of margins for the full year, now that you have given your commentary that supply
chain issues could partly get resolved in the second half, the mix should improve. How should
we look at the margin in light of the higher cost and this is margins ex -other income, would it
be similar to what we have done in the current quarter?
Srinivas Sadu: It should be around that range, yes, I would say so.

Neha Manpuria: Going forward what would drive this margin higher given the uncertainty in the cost
environment how much of that would be dependent on the new launches coming through versus
existing products seeing growth?
Srinivas Sadu: Once we start gettin g some complex product approvals, those are higher margin products, so we
should be able to get the increase in margins. And also once you start leveraging more lines in
this facility, we just added three or four new lines which we need to start manufactur ing. Like I
said the fixed costs are there already. So this will start adding to the additional margins for the
coming years.
Neha Manpuria: What would be the guidance for the next two years in terms of margin?
Srinivas Sadu: I would say from 33%to 35% ma ybe.
Moderator: The next question is from line of Kunal Dhamesha from Macquarie Capital. Please go ahead.
Kunal Dhamesha : So first question on the biologics business .We have shared that; we have gotfour visits. But
typically what 'stheprocess, let's say from site visit to actual contracting, what are the steps?
And the visits that we are getting from clients ,are those new clients for us ,or some of the
existing clients, but they're abiosimilar division or biologics division visiting us ,so how should
we think about that?
Srinivas Sadu: So, three arenew customers, and one is the known customer with a different division. I think it
varies from all the four clients .Few are looking at transferring technology and looking at making
clinical batches , the other is looking at doing more analytical development for what they've done ,
one client is looking at taking a line for two months, and setting up some of their people for the
technology transfer. So it depends on who the customer is, but it's a tvarious kinds of discussions
happen ing.
Kunal Dhamesha: Secondly, just aclarity on the earlier participant 's question on the margin, you said FY'23 beyond
we are targeting 33 %to 35% range .So would you say is this including other income, or is the
like-to-likewithout other income, just coreoperating profit that you are targeting?
Srinivas Sadu: So, hopefully, the other income, if you really look at today, part o

f it is on interest and other is
operational income. And if you can utilize this to get a go od asset, this will go down ifwecan
acquire a good, profitable asset .So an overall basis, other than the other income, we're looking
at33%, 35% .
Kunal Dhamesha: Onacquiring the assets, what's the priority now? I think at some point, the priority was c omplex
products followed by some backward integration, is it the same or anything changed from that
front ?

Srinivas Sadu: Ultimately , we don't go one -by-one-by-one.Three or four options we're looking at whichever
asset we find, we have to go after it ,because all these are important for either for profitability or
for growth of the business. So it's not a sequential thing. So we look everything at the same time
and whenever we get an opportunity, we try to look at it.
Moderator: The next question is fr om the line ofMayur Patel from IIFL AMC. Please go ahead.
Mayur Patel : On t he margin sside 31.5% core EBITDA margins, which you manage din this tough
environment to maintain at least QoQ .Should we see that the worst is behind from the margins

perspective , or th ere is API related pressure and th e syringe related disruption can lead to some
more downside in the short term before it starts moving uptoyour desired 33% -plus levels ?
Srinivas Sadu: I would say, it is one of the toughest quarter sin terms of ev erything ,right, I mean, the costs of
utilities are high ,power shortages in our states are very high ,so we have to use utility for that.
And then, we have toairlift lot of goods because of the shortages of materials. So that has been
absorbed. So I woul d say, the worst things have already happened. And I think, hopefully, some
of these comes back to normal, the margins should only improve.
Mayur Patel: You very nicely explained about all the problems across markets, mostly supply chain driven .
So earlier ,RoW market was growing at a significantly higher rate than the other markets, which
was also helping us to report very 18 %,20% kind of growth or even more in some of the quarters.
So ahead, except for the supply chain issues on the demand side ,so whene ver the syringe supply
normalizes , RoW can come back to that same high growth rate in your view ?
Srinivas Sadu: Yes, so we have clear visibility on RoW because most of the tenders are won for a couple of
years. So we know how the order books look like .It'smostly the supply constraints what we are
not able to supply . So that way, we're not too concerned about the growth on the R oW. It's more
to do with how much wecan supply.
Mayur Patel: You were expecting around September orso the syringe supply woul d normalize. What is the
expectation currently?
Srinivas Sadu: I think i t's the same thing, right ,I mean, while we are also qualifying other syringes for other
markets, but even with BD in this quarter we should be good enough to normalize th esupplies.
At least, if you look at from April perspective, today, we are better off in one way ,we're able to
cater to most of the US needs ,except maybe a couple of million syringes. But this quarter, we
should be able to cater to the demand.
Moderator: The next que stion is from the line of Ashish Thavkar from IIFL. Please go ahead.
Ashish Thavkar : So, we have guided for launching seven products in the US sayover the next few quarters, which
has an addressable market of around $1.3 billion. So what's our take there are we still on it?

Srinivas Sadu: Yes, we have approval for three products which are planned to be launched and the rest we have
a goal dates of I think next month. So we should be able to launch most of it , yes.
Ashish Thavkar: Other participant had this question on biosimilar. So while we understand that three to four
clients you're in active discussions with ,but some timelines as to when can we see th at first
dollar revenue coming in broadly, roughly, in your expecta

tions versus where you're engaged
with your client currently, some flavor on that path would really be helpful ?
Srinivas Sadu: We are actually not meaningfully adding to near term numbers f or this, but at least the first dollar
hopefully, we're trying to get in the last quarter of this year if this discussion, everything goes
well.
Ashish Thavkar: Anything to say about the tenure of the contract, the duration ,where you'd like to begin with ?
Srinivas Sadu: What happens with this is initially, people want to test waters, right ,I mean, these are all new
businesses we're entering ,new technology we're entering .So they would like to give us smaller
contracts for a year or so or it could be a pr oject -based thing. And some of these gets converted
to commercial scale after they do the clinicals and they come back to us for phase -IIIclinical
batches and stuff like that. So once they start taking batches here, of course, they have to continue
till the product reaches a conclusion. So that's how all these contracts are.
Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services.
Please go ahead.
Tushar Manudhane : Sir,just on this biologics again ,so how much would be the operational costs already into the
P&L ?
Ravi Mitra : So Rs.15 crores, Tushar, for this quarter.
Tushar Manudhane : Broadly Rs.15 crores per quarter will be the run rate for next one to two years and fully reflected?
Ravi Mitra : Sorry , your voice i s not clear .Can you repeat?
Tushar Manudhane: So Rs.15 crores is a normal quarterly run rate to consider for biologic at least for next one to two
years ?
Ravi Mitra : Yes, the team is fullthere ,so this will be there .
Tushar Manudhane: Because of this constraints on a ccount of syringes, would there be any penalty on account of
delay or failure to supply or that istaken care of despite shortage of ancillary materials?

Srinivas Sadu: No, no, the priority was given to USand normally penalties exist ,therewe're not losing anything.
But other markets we are not catering because of the shortage issue. So domestic and other
markets there is no penalty.
Tushar Manudhane: Typically, this syringes o r stoppers may be having a long-term contract because irrespective of
the product these materials will be any which way required. So what is it that went wrong or this

is more like a phenomenon which has been faced by the other companies as well ,and how d o
we take care that this doesn't repeat going forward ?
Srinivas Sadu: We do have contracts for syringes. But because there's a single supplier, especially for the US, itisalso linked to the safety device. So there has to be adiscussion with the supplier how to manage it. But it's not like one stop perfits all, right, hundreds of different stoppers depending on which product, which stopper is compatible with which product. So the R &Ddecides which stopper to use. So it's not that all stoppers are under sh ortage. And if you're supplying 150 products, there are only like five or six stoppers which are getting into this issue. So it's not like it's a problem with all the stoppers. But syringes, unfortunately, there are avery few players, and especially in th e US avery few approved suppliers. And also because we need to put a safety device for this, and it's a combination product. So we can't change the syringe without the device being changed and there's only one device ,that's a restriction we have .
Tushar Manudhane: One last question on this aspect. So given that there are limited number of suppl iers for such kind of materials, they would also have their order book kind of things already from the other global players. S o even if we get into cont ract today, w hat could be the lead time to get the material in place ?
Srinivas Sadu: We already have a contract with them for almost 50 mi llion syringes per year . But still, they're not able to supply it. So it's more to do w

ith h ow much is the demand and how much they have.
And they have also added new capacities which they are saying they're going to get online by September or so. So the overall demand across the globe has gone up in the last couple of years. And that's why the c onstraint is.So I would say they are giving us as a ratio of how much orders versus how much they can supply. That's been the case. But I think that 's getting resolved now . Now that there's a gap of almost six to seven months where they didn't supply much .
Moderator: The next question is from the line of S aion Mukherjee from Nomura. Please go ahead.
Saion Mukherjee : Sir,on the partnership typically for the products that you have launched in the recent past let's say over the last two years or so, in the U S,typically how many partners sold the product in the US market and are these like exclusive contracts or more of them are non -exclusive in nature ?
Srinivas Sadu: Some products are exclusive and some are semi -exclusive, I would say. So, especially the big products or wherever there is a patent litigation or some BE study need to be done .There it will be exclusive because they also pitch in with the upfront costs. But otherwise, normally we either

will give s emi-exclusive or even if we give exclusive ,then we'll have a clause if they don't hit a percentage of market share ,then it becomes s emi-exclusive.
Saion Mukherjee: So for the less complex products you would have multiple players ,right ,would that be like two , three players or typically like how many players you generally have a contract with
Srinivas Sadu: Normally, we do with two peo ple. But if they're not performing ,then we go and give for the third person also. Because not only our product, we also sometimes get the same product for tech transfer wise and other model. So, ultimately, the product which we are manufactur ing might be for three or four players .
Saion Mukherjee: In the past I think you had long term contracts for a large number of ANDA s for Athenex, with Fosun,etc.,So, have you signed any such large contracts which you can disclose in the recent past either for the US or maybe for the non -US markets?
Srinivas Sadu: You mean a set of products?
Saion Mukherjee: Yes.
Srinivas Sadu: Notina set of products, but two ,three products, like a bunch of th ree products at a time, that's how we signed ,but not like 15 products ,17 products ,like that .Normally we do that when a new company starts their own business when they're looking at a portfolio where they also look at some old products also ,where we have option to give them ,but the companies are already there, they normally look at two products ,three products depending on the portfolio what we have .So we sign up like three products at a time or two products at a time or one product at a time ,but as a portfolio like A thnex also,when they started the company, that's when we signed up , likewise Xiromed w hen they started the company, we have signed up a portfolio of products , same like Al vogen. These are all like newly formed entities where we have helped them with a portfolio .
Saion Mukherjee: Yes,so that's what I was referring to. So like these bulk contract s, you didn't have any in the recent past?
Srinivas Sadu: No.
Saion Mukherjee: Just one bookkeeping .I know you've given the inventory days ,receivable and payable . Isit possible to sort of mention that in r upees million at least the inventory andreceivable numbers as of end of June ?
Ravi Mitra : I don't have it right now with me , but I can give you offline .You can also back calculate it based on the sale. So the method of formula is give n in the presentation, but we give it to you offline.
Moderator: The next question is from the line of Prakash Agarwal from Axis C apital . Please go ahead.

Prakash Agarwal : Because of addition of employees , cost h as been higher. What a

bout other expenses? I missed
that part. So, the other expense is substantially higher despite lower revenues. So, are these
operating costsand here to stay and how do we think about it or is it due to escalation of freight,
etc., which is coming down now ?
Ravi Mitra : Other expenses for this quarter is Rs.808 million ,March was Rs.899million . So this quarter it
has come down actually. And last year June was Rs.783million . So, it's about 3% up actually,
not so much . Only power and fuel has gone up substantially.
Sriniv as Sadu: So the reference was percentage to sales.
Ravi Mitra : Most ofthe cost is fixed in injectable facilities. So it's not so much v aries, especially the other
expenses in relation to .That's why we have a leverage effect whenever our sales go up or do wn.
Prakash Agarwal: Interms of timing for qualifying from other injectable, syringes players ,so I heard saying that
USis largely in place with BD, and you're trying to qualify others with respect to Ro W m arket.
So how long does this qualification take because you mentioned some normalization from next
quarter ,soreference was the upcoming quarter orthe current quarter ?
Srinivas Sadu: The current quarter for domestic and some of the rest of the world markets, because it's a glass
syringe, so you don't take much time, you can quickly replace it. But some markets like Brazil
or Saudi where more regulated ,there we need to submit the data and that might take three to
four months.
Moderator: We move to the next question from the line of Sameer Baisiwala from Morgan Stanley .Please
go ahead.
Sameer Baisiwala : Sir,can you talk a bit about the pricing pressure in the US that you mentioned espec ially in the
context that I thought that your partnerships in a business model is fair bit sort of insulated from
the end market competition?
Srinivas Sadu: So the impact of price for us, I think, is about 1%, so it's not much. And that's been the case over
the years, either there's no impact or 1% or something. So, there's not much impact for us on that
front.
Sameer Baisiwala: How does it percolate down to your P&L? Is it through profit share or how does it work?
Srinivas Sadu: Yes, it's through profit sh are.
Sameer Baisiwala: I'm just wondering if the end market product pricing falls 10 %or 15% ,would the impact not be
much bigger for you?
Srinivas Sadu: Because overall revenue wise, it's only about 10% for us .So even that fall, won't impact much.

Sameer Baisiwala: Ifyou are having 1% impact, what does it mean for the end market pricing ,so that would be
about 10% ,right,1:10, that's what you are saying?
Srinivas Sadu: Yes, correct.
Moderator: The next question is from theline of Rakesh Naidu fro m M otilal Oswal. Please go ahead.
Rakesh Naidu : My question is to Sa dusir. Sir, until about few weeks back, we were guiding about a high teen
kind of growth trajectory overall. What exactly has changed in afew weeks that we're looking
at these kinds of n umbers ?That is number one. And second question is, you talked about
disruption led sales loss ofaround Rs.250 crores , of which the COVID impact seems to be
around Rs.150-oddcrores. So when we build numbers ,take additional Rs.400crores off the
estimates for FY '23, i s it a fair way to look at it?
Sumanta Bajpayee : Rakesh, c an you just repeat the question again? Both the question s can you just split and come
back again?
Rakesh Naidu: My question is until about a few weeks back, we're guid inga high teen kind of growth trajectory
overall .I mean, what essentially has happened, that we are seeing such a stark contraction in the
numbers overall across all the segments, what exactly is that we have missed out?
Srinivas Sadu: See, one is what w e anticipated to get delivered, got delivered late in the quarter, we were
anticipating to get the syringes delivered inthe beginning of June ,end of May, and it got shifted
to third week of June. So, that is a big impact .Th

at's when about 6 to 7 million syringes couldn't
get delivered. So, that got shifted .Butfrom line shutdown perspective, it was there even prior
to this quarter. So, that was a planned one . But we were probably discussing over the entire year ,
not for the particular quarter, but that impact was there just because of the delay of supplies.
Rakesh Naidu: To understand it very clearly, the syringes issue ,is it for the US market, I mean, in the last call
you had allu ded to the shortage being for the US market, and now you're telling that the same
shortage issue is there in the Indian market as well and then obviously, the cost dynamics has
changed .How should we actually look at this, I mean, should we expect the resolution of this in
the current quarter or in the immediate foreseeable fut ureor there is something which will take

some more time ?
Srinivas Sadu: So, the syrin ges are used not just inUS market, th esyringes are used for US,some of the key regulated markets andother markets also other than domestic where we can't replace the syringes overnight. So, we have actually supplied most of our US demand with what we got .The impact forthe US was lesser, probably 20 ,25crores was impact for the US, but the impact was large in other markets where we can 'tsupply because the shortage ,so it is no different thing. So that way, there's no separate set of syringes what we get for the Indian market or for the US market. Now ,Indian market, we can use other syringes, but we a lso need to see, because we have a

contract for 50 million ,we have better pricing. And if you go and buy from others ,there is a little higher cost and with the added logistic cost ,increase dollar fluctuating ,the margin profile was not helping us to sel l in Indian market. That's why we stayed away from selling in Indian market with other syringes.
Rakesh Naidu: Sir, what component of th is Rs.250 crores loss sales in this quarter is COVID -related ?
Srinivas Sadu: You're asking whether compare with last yea r, first quarter, that's what it is ?
Rakesh Naidu: Yes, sir.
Srinivas Sadu: So last year first quarter, like I said, Indian sales last year was Rs.180 crores , out of which Rs. 80 crores was COVID -related, where we made Remdesivir and additional Enoxa . So, that's Rs.80 crores from Indian market.
Rakesh Naidu: So that segment would continue to see a similar kind of trajectory over the rest of the current fiscal , right?
Srinivas Sadu: That's gone ,correct ,that's like aone-time surge .
Rakesh Naidu: Help me understand on your earlier guidance .Even if we exclude this quarter as a one -off, how are we confident that we'll be able to do a high teen kind of growth for FY'23? I amalso looking from the context of what Hepalink and Nanjing King is talking in terms of how they're going to you see ramp up their production in Heparin and other products. So how should we actually be looking at your guidance for FY '23 now ?
Srinivas Sadu: If you look at our last year sales to this year , our Enoxa sales itself in the US additional revenue we're getting around Rs. 300crores, right ,I mean, last entire year for the US we did about Rs.250 crores ,now this year, the run rate is around Rs.160 crores per quarter. So it's almost like 600 , 620 crores .So there itself, we have a big surge in the numbers for that product.
Rakesh Naidu: And you are confident of maintaining the market share in the second half as well ,right , because , I mean ,the dynamics would change in the second half?
Srinivas Sadu: These are all contracted ,right .This contract was there for couple of years and till we got enough syringes we didn't move to that contract, and that's why we have to start supplying in this quarter compromising o nthe local supplies.
Rakesh Naidu: There won't be any penalty hits for not being able to deliver earlier supplies?
Srinivas Sadu: If you know the history, the partner already had this contract for a few years an

d was taking from
the innovator and we had an agreement to move that contract to us because we licensed our product when we didn't have approval. So when he took that from the innovator, then we gave

him that right to license that product till we get our product approval, so he got that contract. So there was a time limitation on that. It's just more to do with us giving him the right to take the product from the innovator as an AG
Moderator: The next question is from the line of Alankar Garude from Kotak Securities. Please go ahead.
Alankar Garude : My first question is can you help us understand what percentage of your IP -led and tech transfer contracts have a profit share built into the agreement, and does this differ across markets?
Srinivas Sadu: So this profit share model is only for the US market, not for other markets. And our own IP-led products, the profit share might range from 40% to 50% whereas the tech transfer models is more on royalty where we have about 5% royalty on net sales, that kind of a model.
Alankar Garude: So basically no profit share as far as the tech transfer m odels are concerned?
Srinivas Sadu: Yes, correct.
Alankar Garude: Secondly, sir, we have seen some selling by key personnel including you Mr. Sadu in the last couple of months. Can you please help us understand the reasons for now completely selling off your stake in the company?
Srinivas Sadu: These are all stock options which the employees got three years ago and did some tranches. And as you know, the taxation won't help you to keep long ,right. You have to pay a perquisite tax and you have to pay exerci se price. So there's a substantial amount sof money where we have to pay upfront. So if you don't pay that, then you have to pay the interest on it. So that's one of the reasons why employees have sold off.
Alankar Garude: I thought actually the tax obliga tion would be a small proportion of the overall ownership, but

that was not the case.
Srinivas Sadu: Not really because you have to see at what price people have exercised it and you have to pay an exercise price plus the price at which it is exercised min us the price at which it got awarded, and on that you have to pay a perquisite tax which for many people it could be 35%, 40%. So you'll end up almost 50% to 60% of the price. So that's substantial amount. And if you wait for long, then there's no meaning in actually people getting any money because then they have to pay interest on the loans they take to get this, right. And also internally, we also have an understanding that people should not trade stocks and all that. Actually, employees cannot buy and sell. So we also have that policy just as a good corporate governance, we don't want that issue.
Alankar Garude: If I look at Fosun specifically, $40 billion of debt and there have been some concerns of late on cash flows. So is t here any change at all as to how Fosun is strategically looking at Gland as an investment?

Ravi Mitra : So not that we are aware of anything and forFosun itis a strategic investment for them and Gland is like a ninjectable platform globally for Fosun. So it remains same. And FosunPharma is also listed as a separate company and our parent is Fosun Pharma direct holding and the board members are Fosun Pharma nominated . And there is no also any impact as a Gland as an independent company to perform business wise or financially wise because the re is no inter-dependence on the business side or there's no financial dependence onFosun or any inter-company any deposit .SoGland will continue to operate like it was doing earlier . But that's what we are .
Moderator: Ladies and gentlemen ,due to time constraint we take that as the last question . Iwould now like tohand the conference o ver toMr.Sumanta Bajpaye efor closing comments .
Sumanta Bajpayee : Thank you , Steven and thank you all the participants for joining

us today for our first quarter earnings call . If any questions still remain unanswered ,please feel free to reach out to us .Thanks and looking forward to interact with you again in our second quarter earning call. Good night .
Moderator: Ladies andgentlemen ,on behalf of Gland Pharma Limited, that concludes this conference .We thank you all for joining us and you may now disconnect your lines .

Call: Nov 2022

November 02, 202 2

BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
25th floor, Dalal Street
Mumbai - 400 001
Scrip Code: 543245 National Stock Exchange of India Limited
Listing Department
Exchange Plaza, 5th floor
Plot no. C -1, Block G, Bandra Kurla Complex Bandra
(East), Mumbai - 400 051
Symbol: GLAND (ISIN: INE068V01023)

Dear Sir/Madam,

Sub: Earnings call Transcript - Q2FY23

Please find enclosed the transcript of the Earnings call for Q 2FY23 of the Company held on
Wed nesday , October 26 , 2022 at 18.30 Hrs IST. This will also be available on the Company's website and the web link to access the same is https://glandpharma.com/investors/financials

This is for your information and records.

Yours truly,
For Gland Pharma Limited

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"Gland Pharma Limited Q2 FY'23 Earnings Conference Call"

October 2 6, 2022

MANAGEMENT : MR. SRINIVAS SADU – MANAGING DIRECTOR & CHIEF
EXECUTIVE OFFICER
MR. RAVI SHEKHAR MITRA – CHIEF FINANCIAL
OFFICER
MR. SUMANTA BAJPAYEE – VICE PRESIDENT ,
CORPORATE FINANCE & INVESTOR RELATIONS

GLAND
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Moderator: Ladies and gentlemen, good day and welcome to the Gland Pharma Limited Q2 F Y'23 Earnings Conference Call . As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call , please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. S uman ta Bajpayee from Gland Pharma Limited . Thank you. And over to you , sir.

Sumanta Bajpayee: Thank you , Faizan. Good evening, and warm welcome to Gland Pharma's Earning Conference Call for Second Quarter of Financial Year ' 23.

I have with me Mr. Srinivas Sadu – M.D. and CEO ; Mr. Ravi Shekhar Mitra -- CFO to discuss business performance and to answer queries during the call. We will begin the call with business highlights and overview by Mr. Sadu , followed by financial overview by Mr. Mitra. After opening remarks from the management , operator w ill open the bridge for Q&A session.

Before we proceed with the call , please note, some of the statement s made in today's discussion may be forward -looking and based on management estimates. And this must be viewed in conjunction with the risk s and uncertainties involved in our business. The Safe Harbor language contain in our pres s release also pertains to this conference call. This call is being recorded and the playback of the call shall be made available in our website shortly after the call. The transcript of the call will be submitted to the stock exchanges and will be uploade d in our website.

I will now hand over the call to Mr. Sadu for his opening remarks. Thank you , all. Over to you , Mr. Sadu .

Srinivas Sadu: Thank you, S umanta. Good evening, everyone. Thank you for joining our Earnings Call for the second quarter of Fiscal 2023.

My festive wishes to all our shareholders , analysts and their families.

Last quarter saw heightened economic uncertainty globally . After a t

ough start to the year , while we continue to see some supply chain disruptions, and long lead times for several processing and primary materials , we saw improvement in supplies in the second half of this quarter, and have much better visibility on our key material supplies. Our efforts on easing the supply chain by qualifying additional vendors and addition al lines for manufacturing are also starting to show results. Commercial production of Insulin restarted during the second half of the quarter.

I'm pleased to announce that our new offices at USA and Singapore are now operational. This expansion is aimed at strengthening existing customer relationships, forming new partnerships in target markets to drive growth , while aligning our internal product pipeline strategy with our customers feedback and also help us in mitigating some of the supply chain disrupti ons in the future. This initiative will also allow us to explore partnerships to accelerate our entry into the biologic biosimilar CDMO space.

We had our first physical USFDA pre -approv al inspection audit since COVID outbreak between 22nd August to 25th August at our Dundigal facility. We received one observation from the audit and our teams have already responded to the observation . I'm satisfied with the preparedness of our teams across all our sites for any regulatory audit.

We closed this Q2 FY'23 with a revenue of Rs.10,444 million as against Rs.10,805 million in Q2 FY'22 and our PAT stood at Rs.2, 412 million for the quarter against Rs.3,021 millio n in Q2 FY'22. We have generated Rs.627 million of cash flow from operations in Q2 FY'23.

The delay in material supplies impacted volumes for certain products, and we observed impact from price erosion in some of our recent launches.

Our robust business mo del gives us the flexibility to onboard multiple customers for single

molecule, which is helping us maintain strong market share s in key molecules. Our strength of handling manufacturing of high-volume injectable products and compliance track record has enabled us to stand out from competition.
We managed to launch six product SKUs during the quarter, which included Bumetani de in the US market and Bortezomib in the European market. We also launched other products including Oxaliplatin in the Canadian market.
We continue to make investments in R&D and we're able to complete six ANDA filings during Q2 FY'23 in line with our plan. The filings will further accele rate in the second half of the fiscal year. We are receiving encourag ing feedback from China . It should help us increase our pace of China filings as well over the next year.
During Q2 FY'23, upon excluding capital R&D expenditure, the R&D expenditure stan ds at 3.8% of our revenue for the period in line with our historical trend .
As on 30th September 2022, we along with our partners have 322 ANDA filings in the US and 1,586 product registrations globally.
We have onboarded some senior executives during the quarter to strengthen our plant operations and human resources function. We are further looking for talent to strengthen our biotech manufacturing capabilities.
Let me summarize our performance across various geographies : Our Rest Of the World markets accounted for 21% of our Q2 FY'23 revenue similar to the contribution in Q2 FY'22. The material s upply timelines have improved and we have better visibility now. We are building inventory to support the demand. We registered our produc ts; Esomeprazol e, Melphalan and Labetalol i n new geographies during the quarter . Our key markets continue to remain , MENA , LATAM and AP AC.

Our core markets namely US, Canada, Europe and Australia accounted for 72% of our revenue during Q2 FY'23 as against 67% during Q2 FY'22.
We continue to focus on building a niche

portfolio in our core markets . Although we have seen
increased competition in our new products, we remain confident of a launch pipeline that will ensure sustainable growth in the market. India market accounts for 7% of Q2 FY'23 revenue, We have restarted Insulin dispatches during the second half of the quarter. The sales for Q2 FY'23 were lower when compared to Q2 FY'22 on account of absence of COVID -related product sales.
Increas ed freight cost in addition to supply chain disruptions have not only impacted our ability to compete in the RoW and India business, but also contributed negatively on our margins. Smoothening of the suppl ies should help us negate some of th is impact in the coming quarters.
Sustainable growth has been our focus . The monetary tightening has impacted valuations globally and we continue to use this to our advantage to aggressively scout for inorganic opportunities .
On the geographic growth , China remains a key geographic focus and we expect to start receiving approvals during the current year.
On the portfolio front , we expect another two complex filings during the current fiscal and have completed installation of manufacturing lines for suspension s and hormones.
On the biosimilar CDMO business , we have completed several customer visits during H1 FY'23, and few of those have moved to the stage of commercial negotiations.
We signed up for fill finished clinical batch project and are discussing on the DS project commercials as well. Positive momentum is seen in the biologics /biosimilar CDMO space.
With this , I wish everyone good health . I would like to now hand over the call to our CFO , Mr. Ravi Mitra , who will share details about Financial Performance for the Quarter. Thank you. Over to you, Mr. Mitra.
Ravi Shekhar Mitra: Thank you Mr. Sadu . Good evening, everyone. Thank you very much for attending our second quarter earnings call.
Our earnings presentation has been su bmitted to the stock exchanges and is also available on our website.

Let me begin with sharing the financial performance of second quarter and first half of financial year '22-23. Revenue from operations for the second quarter FY '23 stood at Rs.10,444 million , reduction of 3% on year -on-year basis.
We have seen revenues from core markets and R oW market s has come back to normalcy and is in line with second quarter of previous year. We have witnessed 22% increase in revenue as

compared to previous quarter .
Revenue from operations for the first six months of fiscal '23 stood at Rs.19,013 million , a year -on-year decrease of 15% due to various reasons impacting first quarter of current fiscal year.
Other income for the second quarter was Rs.656 million, which includes interest and fixed deposit of Rs.468 million and foreign exchange gains on operations of Rs.181 million .
For the H1 FY'23, the other income was Rs.1,400 million , of which interest on fixed deposit of Rs.844 million and foreign exchange gains on operation of Rs.523 million.
Gross margin of the company remains stable in both Q2 and H1 as compared to same period of previous financial year, but reduced quarter -on-quarter sequentially, largely due to change in geography mix and product mix.
We have reported an EBITDA of Rs.3,625 million in Q2 FY'23 compared to Rs.4,278 million which is a decrease of 15% compared to same period last financial year. EBITDA margin for Q2 FY'23 stood at 33% as compared to 38% of the same period of previous financial year.
Increased operating expenses such as higher logistic cost due to use of a ir shipments and certain one-time expenses impacted EBITDA margin of the company during the quarter. With normalization of inventory of certain critical items, we expect freight to come down with more sea shipments going forward.
During the first half of the year, we managed to maintain similar gross m

argin but EBITDA
margin reduced due to higher power cost , employee cost on account of increased headcount for biologics and biosimilar CDMO facility, new commercial lines in Pash amylaram and for Vizag facility and other operating expenses.
EBITDA for the six months ended September 2022 was Rs.7,068 million compared to Rs.9,259 million for the same period last year. We have reported EBITDA margin for H1 at 35%.
Our net profit for second quarter decreased by 20% and stood at Rs.2,412 million c ompared to Q2 FY'22. During the quarter, we have recorded PAT margin of 22%. During the six months period of the current financial year, our PAT was Rs.4,704 million at 23% margin.

The total revenue R&D expenses for the second quarter was Rs.394 million an d stands at 3.8% of the revenue as against Rs.362 million , a 3.3% of revenue and year -on-year growth of 9%. The total revenue R&D expenses for the six months period was Rs.743 million, it is 3.9% of our revenue. Our effective tax rate remains at about 26% in second quarter, and for the first half of the current financial year.
Cash flow from operation during six months period was Rs.3,956 million . Working capital increased and stood at Rs.21,436 million as on 30th September 2022 as compared to Rs.20,217 million as on 31st March 2022 due to increase in inventory levels.
Average cash conversion cycle stood at 231 -days for the six months ending September 2022 as compared to 198 -days of same period last financial year. Increased receivable and inventory days has pushed up the overall cash conversion cycle.
Total CAPEX incurred during six months was Rs.825 million , used for increasing capacity at our Pashamylaram and Vizag API facility and for routine maintenance CAPEX .
Our ROC E on ex-cash basis was at 21% on an annualized basis for the six months period of this fiscal year.
Our fixed assets turnover stood at 2.4 x for H1 FY'23, decreased from 3.4 x for the same period last year.
As on September 2022, we had total of Rs. 38,200 million of cash and bank balances, w hich we intend to utilize for the CAPEX plan and to fund our inorganic growth strategies.
With this, I would request the moderator to open the lines for questions. Thank you.
Moderator: We will now begin the question -and-answer session. First question is from the line of Neha Manpuria from Bank of America . Please go ahead.
Neha Manpuria : My first question is on the US numbers that we have reported in this quarter. It seem s that overall the sales were pretty much flat. You mentioned in you r opening remarks that we have seen competition in some of the recent launches. So , could you give us some color on what's the pricing pressure that we are s eeing there and how should we look at growth in this business as we go forward?
Srinivas Sadu: Good evening , Neha . If you compare to last year, I think it remains flat , I mean, we also need to consider in last year there were sales which are COVID -related , that's kind of gone down. From the pricing pressure perspective, if we look at our gross margin le vel still the y are intact. So, I think the EBITDA margin impact is most on the cost side, which has impacted the bottom line.
So, from a growth perspective, we have launched seven product SKUs last quarter . There is a plan to launch 11 product SKUs next quarter as well . I think it's depending on the size of the

molecules, which quarter gets launched, that's where the growth comes from. So, we're not committed to giving any numbers right now , but the robust pipeline what we have in terms of filings and approvals, it's there , and we think it will help grow in the business as well.
Neha Manpuria: I was looking at the numbers on a quarter -on-quarter basis given that we launched products in the US, we haven't seen a

s much growth in the US market. And your comment, if there was not too much price erosion, shouldn't we have seen more growth in the US given we have launched a couple of good products in the last two or three quarters ? So, I'm not looking at so much on year-on-your basis, but on a quarter -on-quarter basis.
Srinivas Sadu: So, some of the products for sure, because of competition, we couldn't get to those volumes what we estimated, especially the oncology products, like Pemetrexed and Bortezomib , these didn't contribute because of too many players and I think that's why we c ouldn't show growth in that. But the other products what we launched still has given some volumes, but these are not larger products. So , I would say, I t hink the number of products launches happen also considerably lower when you look at annual basis. If you look at last year, we have launched 32 products on an annual basis. So , next quarters, we have few more product launches coming up.
Neha Manpuria: So, you should grow on the existing base that we have in the $45 million base that we have in the US, would that assumption be correct?
Srinivas Sadu: That's correct , yes.
Neha Manpuria: And my second question is on the RoW m arket . We seem to have gone back to the levels that we were doing last year . So, is it fair to assume that this is a sustainable number, and there is no one-offs in this and as we get additional vendors for syringes, etc. , again, there should be growth on the RoW business from this b ase in the second half ?
Srinivas Sadu: So, the issue what we're facing with RoW and India business is because of the disruptions. Most of it, we have airlifted last few quarters, and that is putting pressure on our margins and also the ability to compete. So, unless that stabilizes, and we evaluate the market, difficult to comment . But at least once the cost settles down, I think we' ll have a better opportunity to g row in that business.
Neha Manpuria: But there is no one -off in the current bi t, is that assumption right ?
Srinivas Sadu: There's no one -off.
Moderator: The next question is from the line of Dheeresh from White Oak C apital. Please go ahead.
Dheeresh : What is the profit share number for the quarter?
Ravi Shekhar Mitra: 7%.

Dheeresh: For the quarter , revenue from new launches ?
Ravi Shekhar Mitra: About 3%.
Dheeresh: On India sales , I think last quarter … I don't remember correctly, but I was under the impression that you had guided for a Rs.100 crores run rate . It is slightly lower . Any particular reason ?
Srinivas Sadu: On India business, I think a few factors like I said, the i mport costs have not helped us , so the margins are pretty low , so we're not able to compete in the domestic market , it's a combination of the dollar going up , adding up to the cost for us, and also the importing costs have gone up. That's one reason . The other is the insulin line which contributes large r chunk for domestic business , that got started off in the middle of this quarter. Normal run rate is around Rs.25-30 crores a quarter , but I think we have billed 11 crores it's in the second half of this quarter .
Dheeresh: The US sales also like given the exclusivity we have on zinc sulfate and then there w as the resumption of supply both for stoppers as well as for syringes, I was expecting a slightly better number sequentially based on the commentary from last quarter. So, the current US sales is as per expectation or you're tracking below your original expectation for this quarter?
Srinivas Sadu: So, the supply disruption is not fixed 100% . Syringes, we are good. But still the stoppers supply is not great, we are getting in tranches. So, that's impacted us. Even bag manufacturing has happened only 50% of the time because of shortage issues. So, still I think there's an impact of the supplie

s just contributed to this.
Dheeresh: Would you be able to quantify like how much sales you would have done if there was no disruption in US?
Srinivas Sadu: We don't want to quantify that, but I would say the bag line was running for like half of the quarter.
Dheeresh: On g ross margin also, there is some deterioration it seems although the mix is not very different . In India, you're saying you did not do the lower margin business. So, if you see year -over-year and compare it to the revenue buckets, the US business, the rest of the world business, there

seems to be some compression in gross margin. So, is that relate d to competitive pressure?
Srinivas Sadu: From gross margin level, I think in US we are pretty much stable compared to last year. So, first quarter was little exception I would say.
Dheeresh: I am comparing September '21 with September '22 quarter and I'm seeing the revenue mix in various geographies as well as the gross margin that we reported, I am seeing some compression in gross margin by about 120 bps. Is that because of US pricing pressure because if you see absolute revenue in terms of what we did li ke Rs.750 crores in regulated markets, Rs.230 crores in rest of the world which is similar year -over-year, but there is still some compression, is it

because of lower profit share you've had this quarter or is it to do with some markets having more competi tive pricing pressure?
Srinivas Sadu: Actually, if we look at Q2 FY'22 to Q2 FY'23, the US market contribution margin actually has gone up from 57% to 58%. From Q1 FY'23, to Q2 FY'23, it has gone down by 1%. So, basically it's almost like similar kind for the US market. I think where we lost margin a bit is in Canada where it has gone down from almost 88%, we were having a larger margin for Bo rtezomib what we sell in Canada, that has gone down to 65%.
Dheeresh: What percentage is the revenue from Canada ?
Srinivas Sadu: For the quarter i t's about Rs.17 crores, 2%.
Dheeresh: So, that is not that big ? Okay. Any other region you want to call out in terms of contribution margin?
Srinivas Sadu: In fact, in rest of the core markets, it's better or flat. But Rest of the World market has gone down in terms of margin, if you look at from last year to this year, it has gone down from 35% to 2 5%. And that's mostly because of the import costs and most of it is we are importing, we are airlifting because of supply disruption, and we're not able to pass on this .
Dheeresh: Why are we not able to pass it on because others also be facing similar ? Is t he industry in aggregate absorbing this in rest of the world and Indian market ?
Srinivas Sadu: Most of it is like a transfer price mo del what we have in the Rest of the World unlike US where it's a profit share. Actually , one side is the contribution margin also, the freight cost comes below the contribution margin for RoW market , so it comes under the EBITDA. So, that also has impacted our margins as a company.
Ravi Shekhar Mitra: Just to add to what Mr. Sadu was talking about is that gross contribution is largely 50 %, 52% similarly in earlier quarters , Q1 was an aberration. But this time also based on the discussion we were having with the several customers on our Drug Substance proj ect, we have taken a one -time inventory write -off of about Rs.7- 8 crores in our biologic CDM O facility basis of the feedback we got and what would be required going for the different contracts we're working on. So, this I think is about 0.7%, 0. 8% and it's a one -off in nature. This would impact your gross margin . Below that in EBITDA margin , the one -time what we were explaining is of course the M&A cost is about Rs.4 crores this quarter , and we have built up the employees also for the bio similar business for both Pash and Shamirpet , these employees we have added about 500 headcount

s. So, this is also impacting the margin. But once the revenue start coming , biosimilar Shamirpet facility, that would negate .
Moderator: We'll take the next question from the line of Sam eer Baisiwala from Morgan Stanley. Please go ahead.

Sameer Baisiwala: Just a couple of points I wanted to check from our discussion in the previous Q1 concall. If my memory is right, if my notes are right, then you had mentioned that for the balance nine month s, that you would grow 18 % to 20% on a top line. This quarter, you're more or less flat , up 3%. Second, I think you'd guided on the margins as well, that you would maintain Q1 operating margin, which was 31.5 % and you have come this quarter at 28.5 %, so down 300 basis point s. So, if you can just clarify on these two fronts?
Srinivas Sadu: One is on the estimated revenues what we thought for the large oncology didn't happen because of the competition . Second, as I mentioned to the previous question, some disruption of a couple of our manufacturing lines because of the supply issues. So, that didn't help grow the business. From a margin perspective, like Mr. Ravi said, they're like one -off items, which has impacted the mar gin about close to 1% on write-off of one -time materials and also the M&A cost, that's totally about 1.5 % to 1.8% . If you add that it will be like close to 30% or 30.5%.
Sameer Baisiwala: I mean the numbers still don't total up, because on a sales base of Rs.1,000 crores , to miss 20% growth is like missing Rs.200 crores , that's a big m iss. So, I'm just wondering what happened within three months? And what's the outlook for the second half both on the sales as well as on

the mar gin?
Srinivas Sadu: So, we don't give a guidanc e because still the market is volatile. And from a number perspective , I would say , one side, the insulin didn't start at the beginning of the quarter , started late part of the quarter, and disruption in bag manufacturing as well as some delay in Lyo installations, didn't help us in terms of capacities. And of course, the oncology big products , we estimated a large chunk coming from those two products , billion dollar products , but that didn't happen. These are the factors which have impacted the numbers .
Sameer Baisiwala: I don't want numbers, but how do we model second half going into fiscal '24 if you can just help with that just qualitatively how do you see business panning ou t?
Srinivas Sadu: So, one other aspect what you forgot is the heparin stoppers we said in the later part of the last quarter . So, that also has impacted . So, heparin supplies didn't start yet and that's almost Rs.40, 50 crores a quarter sales for us. So, we're expecting stoppers to come in November . So, that's one other area where to bill the revenue . But moving forward, while we're focusing on growth and fi ling products and launching products , being the market is so volatile and the supplies are not yet 100% in line with our plan, it's very difficult to estimate the near term growth and difficult to comment on future growth or business guidance for short tenure. But we're assessing the situation and once we have better visibility of growth, I think we'll update you soon. But we are doing everything in terms of growing the current existing business and also working on the growth levers. While working on the current portfolio, we're also discussing on increasing the CDMO side of the business. Now that we have added new capacities in the line, I think there's also an increase in costs in the manpower because we have added 400, 500 people to get the lines on track last quarter. So, we are aggressively pursuing the CDM O business on those lines. So, this should add up to some revenues coming in next few quarters. I think once we have some

visibility, we'll give you a growth estimate , but as of now, because of the volatil ity of the business and not clear indication of how supply is going to happen , we don't want to give indication for the near term growth.
Moderator: The next question is from the line of Ritesh Ratho d from Nippon India. Please go ahead.
Ritesh Rathod: Can you give your outlook on the margin? I think last quarter, you spoke about some 31%, 3 2% margin excluding other income. So, is that intact, even you explain partly this quarter , margin has been impacted due to one -offs, or even that that needs to be downgraded?
Srinivas Sadu: If you remove the other income , it's around 28.5% EBITDA . And if you add the one -time expenses of w hether the w rite-off of materials, it should come down to 30.5 %, close to 31%. So, like we have guided should be around in that range, at least on a quarter -on-quarter basis. But if there's any change , we let you know.
Ritesh Rathod: And on the supply disruptions particularly for stoppers , has your visibility improved, I mean, you're confident of things coming by November, December end or that has dete riorated further or any uncertain ty still there?
Srinivas Sadu: The two things we are doing , right, not just stoppers , but other aspects, that also has contributed to the c osts. While we have added additional suppliers both from stoppers , tubing, filters , several products we have worked on in the last few quarters , that also has added costs to the company . In terms of h eparin , which is a key product where we're not able to supply , we have finalized alternate suppliers. So, we're going to file that in this quarter . We're expecting an approval in three months. In the meanwhile, we are getting not 100% to meet the demand , but we are getting in tranches , so, some stoppers we will get in November, pr obably in the first quarter of next year, it should normalize in a combination of what we have approved in stoppers today and also the new stopper s what we have qualified.
Ritesh Rathod: Last one on this 500 employee s addition, can you give some color on what you're planning to do, is there are some visibility in terms of backlog order book, which is why you have done this thing or it's more of a medium term investment ?
Srinivas Sadu: So, if you look at the capacity utilization for us, the liquid vials actually we are running almost like 85 %, 90% of capacity. And we're not able to take up new orders. And because of the delay of installations, it kind of pushed out. So, we have one line which got installed in last quarter where we're also planning to produce the h ormon e suspension products. Currently, we're taking a lot of R&D batches on that because we have complex products filings as well to do in next four months. So, once those filing batches are done, then we'll use for commercial production. So, that will bring the revenue from the commercial angle. So , we added manpower for that line and also we have added three Lyophili zers, again we are running at 80% capacity for Lyo. There are contracts where we are not able to cater to which a re larger ones , especially on the CMO side. So , we can get access to those kinds of contracts. So, these three lyos will come on track

in next quarter. So, this is more a near-term commercial opportunity we have . And we are also investing on CAPEX on bag manufacturing because current bags again we are not able to meet the demand what we have from the US. So, the additional CAPEX has also been planned for that as well. From Vizag oncology, we have added one more line. So, that's coming on track. So, we can leverage that to get more CDMO business side as well. So, these are more growth drivers for us in the near future.

Moderator: The next question is from the line of Prakash Agarwal from Axis Capital . Please go ahead.

Prakash Agarwal: The first question is largely relating to more of a clarification . In your presentation, you have talked about things are getting normalized specially for RoW and qualification of alternate suppl iers are in the process . So, it is going to take one , two more quarters to normalize or we are done with it and from next quarter we will start seeing the growth on RoW?

Srinivas Sadu: RoW now has come back to normalcy in terms of at least prefilled syringe products. Now , it's more to do with the costs we have been incurring on that and our ability to compete in the market , so it should come back now . In terms of supplies, we don't have an issue, we also have alternate suppliers for that and we have already started supplying with alternates.

Prakash Agarwal: So, these are qualified alternate suppliers, which is other than BD, is what should we understand like that or because in the last call it will take a couple of quarters to get qualifications, so are we done that qualification yet?

Srinivas Sadu: Yes, it's already done and we have already initiated supplies with one of the suppliers.

Prakash Agarwal: In the past ,you said that because RoW having same qualification, you are using RoW supplies to cater to US. So, now with RoW resolving , at US you don't think there is any shortage as such, it's more related to pricing competition as well as portfolio less number of products launch , nothing related to shortage apart from the stopper s issue , is that the correct understanding?

Srinivas Sadu: Yes, stopper issue for Heparin, and we have three or four other products where we have tubing and filter issues where we have filed alternative so urces for those products. The re is also issue with ba gs where we have a problem with the Twist off port, which got resolved in the recent past… so in the last one month, we don't have that issue. So, I think moving forward, most of the issues will be covered except the stopper s for the heparin .

Prakash Agarwal: That commentar y is that earlier was in November, but you're still saying it is coming in ba tches. So, maybe by Q1 of next calendar year, it should get normalized , is that understanding correct?

Srinivas Sadu: Yes, so even now the first tranche is coming in November, but it's only a partial quantity . They are qualifying the second stopper s and fi ling this quarter , and that might take two or three months for approval . So, if that approval comes earlier , then probably next quarter that can resolve 100% , otherwise one more quarter we have to suffer with the partial supply.

Prakash Aga rwal: Last time, I think there was a product -related inspection and for the two large facilities we are due for inspection . Is there a commentary or we have a tag date, or a date where we would have the inspections ?

Srinivas Sadu: So, we already had one inspection like I read in my commentary, so we had completed for one site for the product P AI, and we got one observation for which we have responded. The other sites we don't have any information on when they are going to visit. So, mostly it's unannounced inspection , so we don't know when they are going to come .

Prakash Agarwal: But that produc t-related means that we are done with the facility inspection also or is that check boxed or it's related to product only and then the facility inspection is still due for the first one ?

Srinivas Sadu: Normally , for a PA I, it's a combination of both GMP an d all that . They don't come back again , but depends on the inspector as well. But normally, whether it's a PA I or a normal inspection, they go through the site in entirety.

Moderator: The next question is from the line of Kartik Mehta from Klay Capital . Please go ahead .

Kartik Mehta: I have a book -keeping question. Can you guys tell us what is the expense attributed to the CDMO business on the OPEX side, it would include the staff , R&D batch, etc., very specifically if you could just tell us for this quarter only for the non -revenue generating CDMO business ?

Ravi Shekhar Mitra: At EBITDA level , it's Rs.15 crores for the quarter without including the depreciation .

Kartik Mehta: If you would add the depreciation also, Ravi, is it possible to quantify that?

Ravi Shekhar Mitra: Depreciation is another Rs.6 - 7 crores for the quarter.

Kartik Mehta: You've spoken somewhere in the call and shared in the presentation also that you're closer to commercial negotiation. So, I am assuming everything has been charged to P&L as of now including the write -offs which you earlier spoke about. I'm not asking for a date or for the contract tenure, etc., Is it fair to assume that in calendar year '23, your revenue stream may start, assuming that these expenses obviously will continue or even in fact increase as you go near to the contractual agreements?

Srinivas Sad u: Yes, the business will start for sure. I don't know how much it will cover the total costs. It's not 100% it should cover.

Kartik Mehta: I'm not asking for revenue number. So, is it fair to assume about Rs.60 crores a year at this run rate will be the c ost which you will incur, or are there any more investments, particularly above the EBITDA level, which do you expect in Q3, Q4, or even in the next three, four quarters, just operationally in terms of expense, EBITDA, etc., if that is something that you c an just talk about?

Ravi Shekhar Mitra: On the overhead side, I think we are all done in terms of people or utility or consumables . So, it will not go up when the revenue starts . Of course, the direct material linked to that will be in line with the revenu es.

Moderator: The next question is from the line of Rakesh Naidu from M otilal Oswal Asset Management . Please go ahead.

Rakesh Naidu: I just wanted to have your comments on yesterday's Moody's downgrade. How should we think about this entire scenario given the lineup of assets which , of course, we didn't intend to offload , how does that impact the vertical generally and are there any thoughts on India business as well?

Ravi Shekhar Mitra : To start with the issues which you mentioned is at Fosun International level , our promoter is Fosun Pharma , which is again a listed company . There is no balance sheet linkage or any dependency with them today . We have business relationship with Fosun Pharma like, for example, we sell to their subsidiary in US in other area. Last year, we did about Rs.170 - 180 crores, this half year we did about Rs. 100 crores . And purchase is also from some of the subsidiaries in China, which is about again last year of Rs.100 crores. So, I think other than that there is no impact in business per -se. And of course, the con cern which you raise and came out is at shareholder level . So, difficult to com ment from our standpoint.

Rakesh Naidu: In Q 1 commentary , one of the reasons that you' d highlighted for lower US performance is shortages, and then inventory in transit is what you'd alluded to . If I just look into see how the numbers stack up , there was a pre -existing inventory and now again, there is a decent period of opinion between the system. So , how should I actually look on the ground dynamic, I mean, what exactly is playing out , I mean, is it the competitive intensity or lower optic of products or demand , what exactly is happening in the US market ?

Srinivas Sadu: Yes, for sure, the competition is higher compared to earlier, but if you look at our older products are still intact in terms of margins. And if you look at the growth, it's coming from price also and also new products. But it's a degrowth of about 7 %-8% by volumes . These volumes is a mix of what we're not able to supply and also the demand situation for some of the products , has not gone back , some

of our key products have still not gone back to the earlier level. It should start from this quarter or the next quarter. Like I said, we were having more contracts last year and the pipeline buildup was there, that's getting used up, we should start seeing from the future. So , in that sense, I think it's volume d egrowth which has impacted a bit which should come back in the next few quarters.

Rakesh Naidu: In last call, you seem ed more optimistic related to incremental contracts from an existing buyer, and also seasonality, but then now you seem to be refraining from giving guidance for the secon d half. My understanding was that you guys had alluded to more flattish kind of FY '23. Is it fair to expect that will be delivered or it will be tough to take a call at this point in time?

Srinivas Sadu: It's tough to tell right now, because we don't want to comment on it. Like I said, while we are estimating th e supplies to come on track , there were certain delays happening because of the volatility and as well most of the shipments were now making it by sea to reduce our costs. So, that will compromi se a bit on our RoW sales and India sales at least to keep our margins intact and profitability higher. So, we'll keep you posted in the next few months once we get a clearer visibility and this volati lity moves away.

Rakesh Naidu: You had guided for Rs.30 0, 350 crores of CAPEX per annum . We seem to be going a bit slow on that part. Is there any reason or what exactly is happening with regards to onboarding of new facilities?

Ravi Shekhar Mitra: It's a timing , I think it is all in track, because this 300 crores indicated earlier is all project wise , already approved budget , work is going on. It is only a timing of spend , but year-end we will end up that number . For the next year , we are looking at some more additional capacity which Mr. Sadu was explaining in terms of certain delivery format. So, in the next analyst quarter call I think we will update that for FY '24 CAPEX guidance. But for FY' 23 we are on track.

Moderator: The next question is from the line of Saion Mukherjee from Nomura. Please go ahead.
Saion Mukherjee : You mentioned profit share of 7%. What is the number for the first half and also for FY '22?
Srinivas Sadu : For six months FY'22 is 8% and even FY'23 it's a same range , 8%.
Saion Mukherjee: The service income has been very high last FY '22. Has that come off in the first half compared to what it was in the previous year ?
Srinivas Sadu : Milestone revenue i s almost same , 7% last year, in fact, th is year is 8%.
Saion Mukherjee: Next question I have is on China . How many products you have filed? You mentioned I think you will be stepping up your filings. If you can give a sense of how large these products are , any unique opportunities in terms of being driven in the first place, etc ., any color , and how should we think about ramping up of th is revenue in China over the next two, three years?
Srinivas Sadu : So, eight products we have filed, two are expected approval , that's what the team says , by the end of this year one I think this quarter and one next quarter , and six probably next year. This is the filing plan of six products again in FY '24.
Saion Mukherjee: So, in terms of size, opportunity , competition, how should we think about once you get these approvals , how the China revenues will ramp up ?
Srinivas Sadu : We will take that offline ; Sumanta will give you that information.

Saion Mukherjee: One question is on RoW . We have seen a very good ramp up over the last two years. In terms of product registration, it hasn't gone up that much , but the revenues went up a lot . It was a bit volatile and you mentioned some of the reasons. Now I understand on ce thing stabi lize, it w ill probably ta

ke some time . How should we think about growth in RoW excluding China let's say over the next two, three years ? The run rate has been exceptionally high for us.
Srinivas Sadu : So, one is the percentage gives a wrong indicat ion because the base was very low a few years ago, so the per centage looks high, now the base is high. And from the registrations perspective, historically, we've been compromising on …we didn't leverage registration what we have because of capacity constraints what we're doing today . And also, the GCC market, w e never explored earlier . Most of the focus was on LATAM and APAC regions. So, that region opened up because of the margin profile there is better than other markets is a lot more comp etition and with our quality systems we're not able to compete in some of these markets . But GCC has a better margin profile. So , that's contributing now almost 26 %, 27% of the RoW revenue . So, with capaciti es coming on track , now with additional lines coming onboard , we continue to focus in that region. While we can't comment on the growth, but a lot of focus is happening in terms of registrations also including Mexico, we're entering South Africa as well which are not there earlier , some of the even CIS countries we are entering now. So, these are the new territories where we are trying to enter and increase the market share .
Moderator: The next question is from the line of Tarun Shetty from Haitong Securities . Please go ahead.
Tarun Shetty: Just a few clarifications from my side. Could you explain with the number of launches for this year or next year in the US market?
Srinivas Sadu : In the first six months, we have launched about 20 SKU in the US and next two quarters we have about 25 SKU launches planned .
Tarun Shetty: For FY'24 and FY'25, any visibility?
Srinivas Sadu : So, this quarter, we have about nine SKU launches happening and next quarter is about 16 SKU launches.
Tarun Shetty: I was looking for FY '24 guidance.
Srinivas Sadu : For FY'24, I don't have it on hand, but normally it's between 25 and 30 launches.
Tarun Shetty: The next one is on the inventory level quite high. So, do you see them remaining at current levels or should we build a more normalize o r it might go o n a downward trend in the coming quarters ?
Ravi Shekhar Mitra: If you see from March level should be around this level going forward. This high inventory we explained earlier also , because of the volatile situation , we would like to have the inventory in hand .

Tarun Shetty: Last clarification was on the R oW. You menti oned the R oW margin s were 25% for this quarter which was around 35% earlier or was it different?
Srinivas Sadu : 35% gross margin in the previous quarter compared to 25% of the recent quarter , yes.
Moderator: The next question is from the line of Anand Venugopal from BMSPL . Please go ahead.
Anand Venugopal: If you could describe the state of the US injectable industry at the moment . Is there a risk of prolonged price erosion due to pricing competition just like we have been seeing in generic or Oral solid dosage over the past few years?
Srinivas Sadu: The competition is intense for sure. So, all the new launches, we kind of cutting down on the

forecast, especially with last few quarters. But otherwise, if you see our from our pipeline perspective, our margins are intact, I mean, I've been saying, our gross margins are still at around 52%, historically, that's been the case. But whate ver new launches were happening, earlier, it used to be higher in the first year, it was like 65%, 70% and even some products, it used to be like 75%, 80%, and then it used to settle down around 40%, 50% after three years. So, that scenario, we're not seei ng from last few quarters, it is going down on the first year itself, because of the competition. But we got to see with FDA com

ing back and auditing a lot of sites. And now we have to see whether the competition will stay intact, and how long can they sus tain with this pricing what they're offering in the market. Because this is a cycle, we are in that space where we have seen that few years ago, where a lot of companies launched till the capacities get filled up and then they start exiting the market. So, we have to give that time till that happens.

Moderator: The next question is from the line of Prashant Nair from Ambit Capital . Please go ahead.

Prashant Nair: I just had one follow up question on growth going forward . Beside the near-term volatility , could you give us some sense of whether this is still structurally 20% -plus growth business that we have seen in the past or do you think given where we are in terms of base, it will be slightly lower than that , some sense on that would be hel pful?

Srinivas Sadu: Yes, from growth levels perspective, there are a lot of opportunities out still there, right . I mean, whether if you look at long-acting injectable space, the ophthalmic suspension space , pen auto injector space where we have invested recently, we a re investing into bags now in a big way. And also from Geography perspective, just entering some of these markets , we never grown earlier. So, the opportunities are there, it's just that I would say the consolidation phase we are going throug h, we also need to streamline the supply , thinking from long term perspective having several alternative sources for several aspects of products … at least for the key products. In last one year, we invested almost 20 , 25 products, working around adding alt ernate suppliers in various areas, that also has added up to the cost. But these are all like investments we're making for the future growth and more stability for the business. So, once in five, six years where we ha ve to consolidate the business , I think we're using that now. But from opportunity perspective, th ere are several areas we can grow, we have seen a lot of positive feedback on the

biosimilar CDMO space, a lot of customers are approaching us . The relationships what we have with customers are intact, the large customers of the portfolio is still growing , they are the biggest customers . In spite of smaller players coming and creating some noise in terms of offering products at a cheaper price, but still we have our own place in terms of the growth. So , we are pretty confident on the growth in the future because the opportunities are there. It 's just that you know we have to overcome the current tide in terms of supplies and operational issues. Because while we're ta lking about supply disruption directly linked to the components and all that , we have to see in expanding the lines are coming on track as the plan because people can’t travel, the technicians can 't travel. So, several things happen when you're running a m anufacturing setup. So, with that said, once you settle, I think we have a good growth story t o move fo rward.

Moderator: Ladies and gentlem en, that was the last question for today. I would now like to hand the conference over to Mr. S umanta Bajpayee for closing comments.

Sumanta Bajpayee: Thank you, everyone for joining us today. We appreciate your participation during the call. If any questions still remain unanswered, please reach out to me or our in vestor relations team. Thanks , again . We would like to reconnect again in our next earnings call. Good night.

Moderator: Ladies and gentlemen, on behalf of Gland Pharma Limited, that concludes this conference call. Thank you for joining us and you may now disconnect your lines .

Call: Jan 2023

January 31, 202 3

BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
25th floor, Dalal Street
Mumbai - 400 001
Scrip Code: 543245 National Stock Exchange of India Limited
Listing Department
Exchange Plaza, 5th floor
Plot no. C -1, Block G, Bandra Kurla Complex Bandra
(East), Mumbai - 400 051
Symbol: GLAND (ISIN: INE068V01023)

Dear Sir/Madam,

Sub: Earnings call Transcript - Q3FY23

Please find enclosed the transcript of the Earnings call for Q3FY23 of the Company held on Monday, January 23, 2023, at 18.30 Hrs IST. This will also be available on the Company's website and the web link to access the same is https://glandpharma.com/investors/financials

This is for your information and records.

Yours truly,
For Gland Pharma Limited

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"Gland Pharma Limited
Q3 FY '23 Earnings Conference Call"
January 23, 202 3

MANAGEMENT : MR. SRINIVAS SADU – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. RAVI SHEKHAR MITRA – CHIEF FINANCIAL
OFFICER
MR. SUMANTA BAJPAYEE – VICE PRESIDENT , FINANCE
AND INVESTOR RELATIONS

Moderator: Ladies and gentlemen, good day, and welcome to Gland Pharma Limited Q3 FY '23 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mo de, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this confe rence is being recorded.
I now hand the conference over to Mr. Sumanta Bajpayee, Vice President, Finance and Investor Relations. Thank you, and over to you, sir.
Sumanta Bajpayee: Thank you, Faizan. Warm welcome to Gland Pharma's Earnings Conference Call for third quarter financial year '23. I have with me Mr. Srinivas Sadu, MD and CEO; Mr. Ravi Shekhar Mitra, our CFO, to discuss business performance and to answer queries during the call. We will begin the call with the business highlights and overview by Mr. Sadu, followed by financial overview by Mr. Mitra. After the opening remarks from the management, operator will open the bridge for Q&A session.
Our earnings presentation has b een submitted to the stock exchanges and is available on our website. Before we proceed with the call, please note some of the statements made in today's discussion may be forward -looking and are based on management estimates. This must be viewed in conjun ction with the risks and uncertainties involved in our business.
The safe harbor language contained in our press release also pertains to this conference call. This call is being recorded, and

the playback shall be made available on our website shortly after the call. The transcript of the call will be submitted to the stock exchanges and made available on our website. I will now hand over the call to Mr. Sadu for his opening remarks. Thank you all. Over to you, Mr. Sadu.
Srinivas Sadu: Thank you, Sumant a. Good evening, everyone. Thank you for joining our earnings call for the third quarter of fiscal 2023. I wish a happy new year to all our shareholders, analysts and the families.
We entered into a Put Option agreement in the last quarter and subsequently signed a Share Purchase Agreement this month for the acquisition of Cenexi. This is our first acquisition overseas, and it is in line with Gland 's long -term growth objectives. It will enable Gland to increase its presence and to expand its product and service offering capability in Europe, where it is currently not a significant player in the CDMO market. It also provides access to know -how and development capabilities in sterile and other innovative t echnologies like ophthalmic gels and needle less injectors. We are well prepared to focus on integrating the business going forward.

We have already received EIR from USFDA post the audit conducted at our Dundigal facility. We have been at the forefront of maintaining highest standards of quality at our sites and we continue to invest in constant improvements. Our teams across all our sites remain prepared for

any regulatory audit. As FDA has started physical audits, we are also keeping a close watch on the progress of regulatory audits in the industry, to ensure we are prepared to leverage any additional supply opportunities that may come up.
We closed this quarter Q3 FY23, with a revenue of INR 9,383 Mn as against INR 10,633 Mn in Q3 FY22 and our PAT stood at INR 2,319 Mn for the quarter, against INR 2,730 Mn in Q3 FY22. We have generated INR 398 Mn of cash flow from operations in Q3 FY23. The performance continues to be subdued on account of ongoing supply disrup tions, certain production -related delays and softer offtake of a f ew of our key products in the U S. Post line improvements were in the process to ramp up production on our insulin line. We also had a 2 -week shutdown through a couple of lines at our Pashamy laram plant for line upgradation. We are focused on ensuring the supply continuity across our portfolio of products.
We completed 8 ANDA filings during Q3 FY '23, in line with our filing plan. As mentioned during the last call, we have seen the pickup in filings during the quarter. We are in advanced stages of regulatory review for a couple of products filed in China and expect approvals very soon. During Q3 FY '23, upon excluding capital R&D expenditure, the R&D expenditure stands at INR 500 million, whi ch is 5.3% of the revenue for the period as against INR 394 million during the previous quarter. As on 31st December 2022, we, along with our partners, have 325 ANDA filings in the US and 1 ,581 product registrations globally.
We have begun the process of strengthening our U S subsidiary with the right talent to further focus on business development initiatives and building new partnerships. We are also strengthening the plant operations teams with new capacities coming online.
Let me summarize our perform ance across various geographies. Our rest -of-the-world markets accounted for 21% of our Q3 FY '23 revenue against 19% during Q3 FY '22. We maintain inventory of raw materials and packed materials to be able to cater to the demand. We continue to register o ur products in new geographies. Our key markets continue to remain MENA, LATAM and APAC. Our core markets, namely US, Canada, Europe, Australia and New Zealand accounted for 70% of our revenue, similar to the contribution in Q3 FY '22. Part of our new launch product portfolio, we have s

hipped out five product SKUs during the quarter, which
included Regadenoson and Lacosamide among others. The supply chain issues continue to impact the dispatches for these markets. We are constantly working on improving material availability and resolving any production delays.
India market accounts for 9% of our Q3 FY '23 revenue. The steep price drop announced for key products like Heparin, the newly published NLEM list has impacted sales and margins of our India business. The insulin line is still in the process of ramping up post -line improvements. GLAND

We hope to close the acquisition of Cenexi by March, April 2033 time frame, plus which our focus shall be on le veraging synergies between these businesses to generate stakeholder value. China remains a key geographic focus, and we expect to start receiving approval soon. On the portfolio front, we filed two more complex injectable products during the last quarter and continue to invest in the long -term growth of the business.
With this, I wish everyone good health. I would like to now hand over the call to our CFO, Mr. Ravi Mitra, who will share details about the financial performance for the quarter. Thank you.
Ravi Shekhar Mitra: Thank you, Mr. Sadu. Good evening, everyone. Thank you very much for attending our third quarter earnings call. Let me begin with sharing the financial performance of third quarter and 9 months ended December 31, 2022. Revenue from oper ations for the Q3 FY '23 stood at INR 9,383 million, a reduction of 12% on a year -on-year basis. Revenue from operations for the 9 months period of fiscal '23 stood at INR 28,396 million, a year -on-year decrease of 14%. Primary reasons for reduced revenue are due to certain supply side challenges and lower offtake of some of the older products. Revenue contribution from new products launched during the period were lesser than previous year.
Other income for the third quarter was INR 615 million, which inc ludes interest on fixed deposits and foreign exchange gains on operations. For the 9 months FY '23, the other income was INR 2,015 million, of which interest on fixed deposit was INR 1,314 million and foreign exchange gains and operation was INR 665 millio n. Gross margin for Q3 FY '23 has improved due to change in geography and product mix. Gross margin in 9 months period of current financial year remains stable as compared to same per iod of previous financial year.
We have reported an EBITDA of INR 3,511 million in Q3 FY '23 compared to INR 3,946 million, which is a decrease of 11% compared to same period last financial year. Energy costs increased as compared to same period previous year, but has reduced compared to Q2 FY '23. Higher employee costs durin g the quarter as compared to previous period was largely due to additional people added to support the new production lines in Pashamylaram plant and for the

Bio-CDMO facility.
EBITDA margin, excluding other income for Q3 was 31% and was 30% for the 9 mon ths period.
Our net profit for third quarter decreased by 15% and stood at INR 2,319 million compared to
Q3 FY '22 due to a decrease in EBITDA and higher depreciation expense on newly capitalized
assets. During the quarter, we have recorded PAT margin of 23%. During the 9 months period
of the current financial year, our PAT was INR 7,024 million at 23% margin. The total R&D
expenses for third quarter was INR 512 million and stands at 5.5% of the revenue as against INR
699 million, 6.6% of revenue in the same period of previous year.
The total R&D expense for the 9 -month period was INR 1,336 million. It is 4.7% of our revenue.
Our effective tax rate remains at about 25% in third quarter and 26% for 9 months of the current GLAND

financial year. Cash flow from operation during 9 months perio

d was INR 4,354 million.
Working capital increased and stood at INR 23,322 million as on 31st December as compared
to INR 20,217 million as on 31st March '22 due to increase in inventory and receivable levels.
Average cash conversion cycle stood at 246 days for the 9 months ending December '22 as
compared to 190 days of same period last financial year. Increased receivable and inventory
days has pushed the overall cash conversion cycle, which we expect to normalize. Tot al capex
incurred during 9 months of fiscal '23 was INR 1,253 million. Microsphere powder filling line
and the additional bank line project is on track. Our ROCE on ex -cash basis was at 20% on an
annualized basis for the 9 -month period for this fiscal year .
Our fixed assets turnover stood at 2.4x for 9 months FY '23, decreased from 3.2x for the same
period last year. As on December '22, we had total INR 38,297 million of cash and bank
balances, which we intend to utilize for the capex plan and to fund Cenexi acquisition. With this,
I would request the moderator to open the lines for questions.
Moderator: The first question is from the line of Sudarshan Padmanabhan from JM Financial.
Sudarshan Padmanabhan: My question is on the comments about the supply chain i ssue still persisting because I remember
the previous quarter, we did mention that we are approving a lot more newer -- a couple of new
players for the supply chain. So the broad belief was the supply chain was easing. So has there
been a difference in the commentary post the last communication?
Srinivas Sadu: No, we did resolve most of the supply chain issues. I think still few issues still persist. We did
apply specifically for Heparin for a second source. We've not received approval yet, waiting for
that approval. But other 1 or 2 smaller products also have these issues. But generally, like
syringes and some of these have been addressed.
Sudarshan Padmanabhan: Yes. And I mean, if that is the case, if I'm looking at it from a Q -on-Q basis, I mean both -- I'm
talking about the US side as well as the ROW markets developed and the ROW market, we have
seen a decline. I mean, I would assume that the decline would also be on the volume side. So I
mean, has there been a change in the demand ? Or have we lost market share in some of the key
products? If you can give some color on why we are seeing a Q -on-Q decline?
Srinivas Sadu: I wouldn't say at the end market, there's a decline in the market share, but I think it's all the
timing. If you look at our Enoxaparin on an annual basis, still our revenue is around $50 million.
If you look at last quarter, it's about $5 million. I think it's a timing issue for the particular
product. And also, what we have seen is maybe because of the high fed rate, people are
rationalizing the inventories. People were holding seven to eight months inventory earlier. Now
I think they are cutting down on the inventory levels. We have seen a substantial shift in that.
So the offtake has been softer to be fa ir. And the replacement of those what we lost on a couple
of big products, that couldn't get replaced by some of the big launches what we mentioned in the
last quarter also. But so offtake has been softer. But at the end market level s till, at least our key GLAND

products, the market share remains intact. I think it's the question of timing and also the way the
partners are looking at the inventories right now.
Sudarshan Padmanabhan: On the inventory adjustment, given that the last couple of quarters, we are seeing that inventory
adjustment continuously happening. I mean, has that kind of settled to a reasonable level? I
mean, I'm just assuming that going forward, would there be an improvement in the US and the
ROW market, if business issues -- no issues resolve?
Srinivas Sadu: So we have to see like I said, there is a tremendous competiti

on at the marketplace. And also
there are also some exits happening at the front end. Being a B2B player, we have to see who are the guys who are exiti ng certain products and certain businesses. It's a dynamic situation right now, we are monitoring it. But otherwise, from an endpoint perspective, the products what we've been selling over the years, those volumes remain intact, at least the key products. But barring the new product launches, that's not done pretty well because of the competition in the market.

Sudarshan Padmanabhan: One final question before I join back is we have seen some of the competitors getting import alert or warning letter. I mean I don't want to name them specifically. Does that open an opportunity for you in terms of tapping incremental volumes?

Srinivas Sadu: Yes, there's active thing s happening in that space also. A couple of -- I would say, to be specific, two companies, we are interacting with to transfer some of the products to our sites. It might take 1 or 2 quarters. But yes, there's a substantial movement in that sense. Several products are under discussions to getting the transfers and some on the agreement stage, yes.

Moderator: The next question is from the line of Saion Mukherjee from Nomura.

Saion Mukherjee: Sir, can you share the profit share number for this quarter? And ha s that sort of increased, decreased versus the previous quarter?

Ravi Shekhar Mitra: Yes, Saion, profit share for this quarter is at 9%. And the previous quarter, it was 7%. Last year, it was 10%.

Saion Mukherjee: Now yo u talked about the competitive pressure. So we have seen this increase. So I'm just wondering what's the sustainable number? Is the 9% on the higher side, do you think?

Srinivas Sadu: No, I think it should be sustainable at this level. See, one way is do w e want to compromise on your margin and then go aggressively on the top line and which we are reluctant to do because then it's a permanent damage you're going to cause for the market. So it's like an ongoing discussion with our partners and we will do tha t. So currently, the focus is on how to keep the margin intact, even if the revenue numbers are not that great because we are seeing several companies exiting because of the price pressures and the cost involved. And we have seen historically, that's what has happened and then but we don't want to damage the whole market GLAND

by reducing our price. So we want to keep that margin there. I think currently, the focus is how to keep the margins intact and improve the margins internally.

Saion Mukherjee: Sir, my second question is on growth. Now of course, this year, we have seen a lot of disruptions. Even the previous years, there was COVID and demand associated with that. If I look at from a 3-year perspective, we are seeing 13% CAGR, maybe it's 9%, 10% in dolla r terms. How should we think about growth in this changed environment where you're talking about price pressure, you're talking about, I mean, the kind of opportunities you had in the past is currently not visible . So how should we think about growth from FY '24 onwards?

Srinivas Sadu: While we can't really comment on the growth percentage, we just now mentioned about companies getting import alerts and all that, which was existent even prior to COVID, and that was always another opportunity we encashed on. And that's been our strength in terms of quality and manufacturing and that we are seeing coming back. That's one area, but there are also large products where we did very well in '21, '2 0. To replace those losses, it's taking a lot more capacities, which we are incrementally increasing the capacity. So while there are positives in terms of transfers happening from other sides and increased capacit ies, there's also pressure of price pressure and competition pressure. Now we are seeing some exits hap

pening at the
marketplace. We just need to see how this pans out in the next six months to come out from a clear vision on how the margins and how the sa les will pan out.

Saion Mukherjee: Sir, you mentioned in your opening remarks about supply of Regadenoson to the US. I mean, can you comment how large this opportunity is for Gland?

Srinivas Sadu: We can't really comment because a few players in it. So we' ll be one among the first few launche rs. So -- but from number -wise, we can't really comment yet.

Moderator: The next question is from the line of Shyam Srinivasan from Goldman Sachs.

Shyam Srinivasan: Just the first one on the gross margin. If you saw a Q-o-Q improvement, I think the opening remarks mentioned about product mix and geography, if you could please elaborate? And is this sustainable?

Srinivas Sadu: Yes. The focus is on to improve these margins, both internally and also, like I said, from a material perspective, we have qualified some alternate sources, which are cheaper. And I think next few quarter, the focus is on improving the margins in that perspective. And also, there are some products where it's a low -margin business, which we are tryin g to stay away from because the risk involved with very low margin and also, if you see, we did mention about India business, the products which get into NLEM, which are in the borderline cases earlier. So we don't want to go aggressively and sell those kind of products . So it's a combination of our own strategy how to minimize the low -margin products and utilize that space or the capacity for high -margin products. GLAND

Shyam Srinivasan: And my second question is just elaborating on Enoxaparin again. I think you said it's a $50 million product, but we are doing $5 million in the Q3. So can you -- is there a possibility that we go back to the $50 million run rate at some point of time? Or what are some of the stumbling blocks here? I think the syringes you said is now ba ck? So I just want to understand, is it like you said, timing issues of March or June quarter, we will go to -- we'll try and do $12.5 million? I'm just trying to get some kind of a pathway on your like top product?
Srinivas Sadu: So wi thout getting into a lot of technical things. See, basically, our run rate for the year is about $50 million. That's been the run rate. A few quarters, we're doing more on the run rates and a few quarters less. If you look at the previous quarter, I think it was about $20 million. We had been in the $19 million previous to that around $20 million, something like that. So it's more a timing issue when you're billing this, number one.
Number two, also the inventory wise, how much which SKU the partner is holding because there are several SKUs in these products, some are high value and some are low -value SKUs. So it depends on which SKU gets dispatched which quarter. So but on an annual basis, still the run rate is intact.
Shyam Srinivasan: Sir, just last question, just following up. I thought we had a step -up to go to $70 million or $80 million with additional contracts on Enoxaparin. So that may not happen, right?
Srinivas Sadu: The current run rate is about $50 million. That's what we have seen. But the transition is happening. That's why I said it is difficult to get into technical because the two NDCs the partner is having. So they have to move a few hospitals one after another from one NDC to another. So that's what is takin g time. But I think future, I think it will move to those numbers. But currently, the run rate is that much.
Moderator: The next question is from the line of Shubham Goyal from Motilal Oswal.
Shubham Goyal: Sir, actually my question is that like I know a few of your peers from the pharma industry are also entering the European market. So what is your strategy considering that you also have s

ome
supply chain issues, as you mentioned?
Srinivas Sadu: So Europe for us, we are purely CDMO there. So we're not launching products yet. So the first area is to continue business what they're doing, they're purely CDMO, where they manufacture products for the branded generics, and that will continue and then leverage our contracts with the players who have a presence in Europe, but getting product done at somewhere else. So that can be leveraged and get some of those businesses come to our si te. So we can't really compare with the peers who are launching their own products in Europe because we are purely a CDMO playe r from Cenexi perspective .
Moderator: The next question is from the line of Kartik Mehta from Klay Securities. GLAND

Kartik Mehta: If you could just talk about the acquisition and -- which is now going to be integrated. With this acquisition, broadly, if you have to take a 2 - to 3-year view, what it does to our existing business? I mean, I don't want the numbers, but 3 years down the line with the combined entity approaching a European customer vis -à-vis other Indian players who do business in the US, what would Gland in a way look like? I'm not asking for any numbers. I just want to know about the overall offering that an entity will have after the acquisition?
Srinivas Sadu: Yes. So if you look at currently where we started as a Gland and where we are today, our business moved from a pure CMO, CDMO to a more generic product -driven company, and the mix has moved towards more on a product company. And now with Cenexi acquisition where the entire 100% of the revenue comes from the CDMOs, our mix actually improves because the competition what we're seeing in the generic space will get diluted a bit because we are more stronger CDMO players in that sense.
That's one. Second, our strategy getting into biologic CDMO place, that will strengthen because Europe is a place to be in for a lot of these opportunities to get in, and this will add to that capability as well. So overall, I'd say, from a business perspective, we are giving a more balanced business for the company in the longer run to avoid the fluctuation what we're having this generic competition. At the same time, getting access to newer technologies, which we don't have today and getting into the branded side of the business, which we don't have today. I would say it's a broader offerings in the same space.

Kartik Mehta: And from the perspective that this was asked by one of the participants in terms of large player in India who is receiving some very severe observations, who is our competitor in the injectable space? In terms of timelines that you spoke about 2 or 3 quarters, but then in terms of capacity, if you have to move those volumes or more volumes, are we equipped? Do we have that? Or can that be done in the 2, 3 quarters' time? Can you throw some light on the opportun ity? I mean in terms of the capacity and the opportunity?
Srinivas Sadu: Yes. So what -- the capacities what we have had recently in terms of liquids and Lyos , that will help this. And also, in the last year, when we have converted one of these biologics line to cater to that because of the recent increase in demand of these opportunities, we've gone back and changed one of these lines to the regular product portfolio. So that is getting added this quarter. So we are actually increasing our capac ities to cater to these additional needs, what we're hearing from the market. That's one.
Second, the discussions are also around how -- where the products are common. We can actually license our own products instead of transferring and taking more time to transfer those products and we get more expensive. So we are replacing that with our own products. So it's a combination of transfers as well as our own product licensing to these players.
Moderator:

The next question is from the line of Prakash Agarwal from Axis Capital.

Prakash Agarwal: Just understanding US bet ter versus the last call, we had talked about three things. One was pricing pressure, which you started seeing in Q2. Then there was a stopper issue, which was expected, the heparin for and e xpected to revive in November '22. And thirdly, you mentioned the inventory, so there is still inventory, some clarification that you mentioned about fed rate , etcetera, just clarification, if it is a demand, which is also slowing down post -COVID ? That is all from my side.
Srinivas Sadu: Yes. I think all three are right, the competition, the price pressure is there. And it's all related , right? Once you see the price pressure, new players entering to sell these products will also come down. So we don't have an alternative. In terms of the stoppers, I think temporarily we got one supply last quarter, but then there was no subsequent supplies. But we did qualify the second supplier we applied for an approval, so that we should get next month or two. We've submitted a CBE30 this month. But from the inventory perspective, we have seen a larger impact of that. We realized it's only one product, but we are seeing across most of the products. People are cutting down on inv entories, how much they're holding. And earlier, the inventories are longer period they were holding and being a B2B that's impacting us larger than probably other players are getting impacted.
Prakash Agarwal: So wanted some clarification, a demand issue or just keeping inventory down? I mean, have you seen that in terms of number of days for them coming down? Or do you think the offtake itself is softer?
Srinivas Sadu: I think mostly its inventory days coming down for some of the key produ cts, but there are also products where it's a softer offtake because there are other players who have come in with those products. And that's mostly with the newer products, what we launched in the recent time.
Prakash Agarwal: And Heparin, November '22, h ave you -- you said you got some supplies, for instance, not full supply?
Srinivas Sadu: Correct. So we did dispatch whatever we got. And now the next supply is not in the near term. So we have qualified the second one. Once that gets approved, that will g et started .
Prakash Agarwal: Moving into Q4 and fiscal '24 of the three, which is lesser pain point for us and which is the improving outlook of the three?
Srinivas Sadu: I think the near -term pain point is still the inventories we a re seeing because the near -term forecast is still reflecting the softer pickup because of the inventory dilution. But at the end market, we are seeing the same numbers where it is our key products. So that's a good sign. But also there are a lot of transf ers, which are happening that could be a positive point from the first quarter of next fiscal.
Prakash Agarwal: And I mean, so summarizing that, we do expect growth coming back from fiscal '24?
Srinivas Sadu: Yes. So that's an estimate, and that's what we are looking at this opportunity, yes.

Prakash Agarwal: And secondly, on China, so you mentioned there are two products expected in fiscal '23. How are we placed there? I mean is it still this fiscal? Or it might be a calendar year thing for us?
Srinivas Sadu: Yes. In fact, we were expecting December to see the clearance phase, at least one product. It's

the Chinese that product is almost $100 million product. That's what we understood. But that's expected anytime. We thought of December, it didn' t happen. So it's a holiday now. So it could be Jan, Feb or maybe next quarter.
Prakash Agarwal: So $100 million is the market opportunity you would be participating in that?

Srinivas Sadu: Yes, Correct.
Praka

sh Agarwal: And it would be at least a 5 -player market already?
Srinivas Sadu: There is a local player, but being a specific product and which is going through the first approval based on the FDA approval. So we have to see how it will be placed, but we are a little posit ive about this product, yes.
Moderator: The next question is from the line of Sameer Baisiwala from Morgan Stanley.
Sameer Baisiwala: So just talking about the stopper supply resumption for Heparin. Assuming it gets normalized in the next couple of months , would you get the entire business back? Or do you think part of it is already gone by -- taken up by competitors? If I'm not wrong, it was INR 160 crores odd on a full year basis?
Srinivas Sadu: Off head, I don't remember the numbers, but the one strength what we have, we're still holding the contract, the 30 mL, which is in discussion. At least we are not seeing the product going away.
Sameer Baisiwala: Which means that you will get part o f it back, not fully?
Srinivas Sadu: I can't comment on, that's what I'm saying. So the contract still is in place and the orders and the forecast is there. So we got to see by the time we enter, we just supplied the product. So it's moving well. So we have to wait and watch how much we can get or can we get the entire market.
Sameer Baisiwala: And for Enoxaparin it looks like you have done 44 million in the nine months. So does it mean that Q4 will also be soft considering 50 million run rate that you have?
Srinivas Sadu: So it all depends on which quarter how much offtake it will have. But on an annual basis, that's the estimate you have for 50 million, yes. GLAND

Sameer Baisiwala: And sir, if you can just help us with the expansion going on at Pashamylaram site. How many lines do you have right now? And how many you plan to add in fiscal '24 and '25?
Srinivas Sadu: Currently, we have eight lines out of which three lines are not still active. It's just under validation. The first one, we are taking the exhibit batches. That will be commercialized this quarter. And the other line s, what we just mentioned about, two more coming on track, that will be commercialized next quarter. So by the time, we qualify everything, we'll be having 11 lines, four to be qualified and commissioned.
Sameer Baisiwala: So if I'm not wrong, sir, five are operational right now, and you're adding six more? And so 11 would be operational in the next 12 months or so. Is that the right number?
Sriniva s Sadu: Yes. Correct.
Sameer Baisiwala: Sir, with your permission, one final question. And that is on China and Biosimilar CDMO. In two years' time, how big can these be opportunity for you? Any ballpark, any signpost you can give us?
Srinivas Sadu: Yes. So bio, it's too early to comment on the numbers. It's just -- we're at a very nascent stage. But China, and again, it's a large market where we're targeting 14 products until this year and then a few more coming next year. So we are looking at a few billi on-dollar products we are targeting. So we have to see how much market share will get. So from a number perspective, it's too early to comment on before we launch because it's a new market for us. We have to see how it goes.
Moderator: The next question i s from the line of Tushar Manudhane from Motilal Oswal Financial Services.
Tushar Manudhane: So just again on this Biosimilar, how much capex, new capex you are using up for Biosimilar CDMO facility?
Ravi Shekhar Mitra: The Biosimilar CDMO facility, we hav e more or less spent about INR 300 crores. And now we are in evaluation stage with the customer how much more we need. It could not be a very significant ne ar term. But overall capex plan is about going to be INR 200 crores to INR 250 crores for this year and next year to be around INR 300 crores. This is overall.
Tushar Manudhane:

Already spent INR 3 billion, INR 250 crores for FY '23 and another INR 200 crore s, INR 250 crores for FY '24, that's all right?
Ravi Shekhar Mitra: No. So first Biosimilar, we have already spent INR 300 crores. And now on an overall basis, company as a whole, we will be spending INR 200 crores to INR 250 crores for other projects like Pashamylaram, we are spending and Vizag API we are spending. So that number is INR

250 crores for this year and INR 300 crores for next year. GLAND

Tushar Manudhane: And sir, any other product other than Enoxaparin where you have significant headwinds and the business visibility is relatively getting reduced, maybe on account of pricing pressure or the new player coming in or, on account of inventory restructuring so to say?
Srinivas Sadu: No, I would say, the damage is already done. So the numbers we are seeing based on the impacts of what we had in one of the large products, Micafungin . That was a big product in 2021. It's almost contributing about, I don't know, a large number, INR 300 crores, INR 400 crores, I'm not even sure. But that's got settled now. So in terms of market share, we still hold 50% market share. Although first year, we are holding 80% market share. That's intact. So I don't think there's any impact in terms of more going down on this. But newer products, we were a little concerned. It's not contributing as much to recover the loss we got from these large products.
Tushar Manudhane: And just again, on gross margin, at least on a quarter -on-quarter basis, where the core market sales has been lesser and on the ROW market. So what's driving the -- and at the same time, we have pricing pressure as well. So what's driving the gross margin?
Srinivas Sadu: Yes, I think, some of the areas where we have qualified alternative sources, that has increased our contribution margin for some products and that we continue to do. Some products, we have increased the batch sizes to get better efficiencies. That has contributed. And of course, the mix, some of the products which have a lower margin we sold less compared to the high -margin products. I think the com bination of everything.
Tushar Manudhane: So this gross margin can sustain, right, even -- so given Enoxaparin is already less in the overall scheme of things, the other products are sort of stabilizing. These level of gross margin can be expected going fo rward?
Srinivas Sadu: The idea is to maintain that. We are not able to judge how the market behaves, but the idea is to maintain this kind of margin.
Moderator: The next question is from the line of Neha Manpuria from Bank of America.
Neha Manpuria: Sir, just wanted to get some color on the complex filing that we've been making. We've mentioned this a few in the last year, and you also mentioned two more this year. Any color on what areas these are? And when should we start seeing contribution from th is in the new launches?
Srinivas Sadu: These four products, market value perspective, it's, I think, about INR 2 billion. And these are in two peptides and one we're going to file, I think, next quarter on a suspension product. So it's a combinat ion of hormonal peptides and suspensions. And at least we should see some coming one or two products getting approvals in FY '24 and the rest post that.
Neha Manpuria: Yes. Just a follow -up, the filings that we made in FY '22, we've seen a fair bit of pickup then. Those should also start seeing approval during the next few quarters, right, sir? GLAND

Srinivas Sadu: Yes, that's correct. Yes.
Neha Manpuria: And out of that, how many would be complex in your view?
Srinivas Sadu: Total, we have done complex products four, till now.
Neha Manpuria: So two last year and two in this quarter?
Srinivas Sadu: Right. Correct.

Neha Manpuria: Out of which you said one or two approvals in FY '24 and the rest thereafter?
Srinivas Sadu: Correct.
Moderator: The next question is from the line of Tarun Shetty from Haitong.
Tarun Shetty: Just one clarification first. You mentioned $50 million of Enoxaparin sales that is for the US market, if I'm right?
Srinivas Sadu: That's correct.
Tarun Shetty: And you're looki ng to launch around 14 -odd products in the Chinese market that is for CY '23 or this goes still over to the next year also?
Srinivas Sadu: No, those are the filings I mentioned about, not launches. The launches could be post that, yes.
Tarun Shetty: So in total, we're looking at one near -term launch in FY '24 and any more launches in the China side in a very...
Srinivas Sadu: Yes, maybe a couple of more launches might happen in FY '24 when the rest post that.
Tarun Shetty: So lastly, on the R&D spend, so do you see this increasing as you move into more complex product filings in the near...
Srinivas Sadu: I think from an absolute number perspective, we already moved to highest end compared to

before. We're spending around 5%, 5.5%, may be 5% around with th e larger base. So it's already baked in.
Moderator: The next question is from the line of Kunal Dhamesha from Macquarie Group.
Kunal Dhamesha: So first one, basically now that most low -cost Indian players entering the Injectable market, are we seeing more shift from the likes of Hospira, Hikma to us, for their older product, maybe where they might not be as competitive as Indian share because still the generic injectable market is still dominated by Hospira, Hikma and Fresenius Kabi. So has there been any acceleration in the shift from their own manufacturing to people like us big companies like Gland or any other company?

Srinivas Sadu: So we have seen few Indian players actually getting into this space as well in the manufacturing side. So I would say, the virtual companies in the US are going down, which also contributed significantly for launching newer products. That's going down a bit. But yes, true, from Pfizer perspective or those companies' perspective, we are hearing some product tr ansfers happening to Indian manufacturers. And if the pressure continues, I think that will only increase, hopefully.
Kunal Dhamesha: So you are suggesting that there are similar Indian companies as well offering similar services to the like Pfizer and tho se are not the direct B2C guys?
Srinivas Sadu: No, there are companies who are doing a pure CMO, not like us where we develop products and license, but there are also some few contract manufacturers who are offering services, but in a smaller scale. K
unal Dhamesha: And now that we have seen what B2C has to offer and what B2B has to offer when the competition intensifies, would it still make sense for us to do all the legwork in terms of developing ANDA, etc., and then giving out that to someone and give out 50% profit share maybe?
Srinivas Sadu: Well, that's a debate we always do and it comes from perspective of manufacturing efficiencies and cost in the model, what we we've been doing it for so many years. The throughput what we give, it's not possible if we just go and do our own on a B2C basis, but the number of the volumes will come down. And are we going to be competitive enough to offer this number one.
Second is do you want to become a low -margin front -end company because it's also an expense related to your sales force because we looked at B2C companies spending $25 million, $30 - million -odd dollar on your sales force. So from that angle, our strengths are manufacturing and quality. If you can work on your strength, I think there's still market there. It's temporary situation where there's a disruption there. But I think if you can stay put on your strategy and keep worki

ng on your strengths in terms of quality and manufacturing, I think there's still a market out there.
Kunal Dhamesha: And just a follow -up, guys, you said that this is a temporary situation where the competition is increasing, then it kind of balances out. In your view, previous ly, have you seen such cycle and if you had seen, when does it kind of balance out?
Srinivas Sadu: Yes. I think we did see, I think, 20 15, '16 that time when we ourselves had a flat year. So we did see that players coming in and exiting. So we are see ing that, as we speak, some players exiting the space. It is that the temporary blip where we are also supplying products to these companies, but when they exit, there will be a revenue pressure. But then it's also in long term, it's good because the co mpetition is getting reduced. And fair enough, we see a lot of products going into the short age situation, but still it's not catching up. I think the prices will catch up once some of the products are getting to 40%, 50% of short age situation right no w.

Kunal Dhamesha: And the last one, if I may. So on the client side, the inventory days are reducing and on our side the inventory days are kind of increasing. So what's the disconnect there? Are we expecting demand to be in a very strong manner in the ne ar term? Or what's the thinking behind having more inventory right now?
Srinivas Sadu: So one is, we don't want to get in the situation what we've faced last nine months because of the long lead times we are having. So that's one. Second, it's also reverse because the offtake is lower, but the end market is still intact. So based on that, we are trying to keep those inventories and also be ready with we did touch up on a point where the FDA audits are happening, and we are seeing a lot of issues happ ening in different sites. They want to be ready with those kind of opportunities, which we couldn't encash in last few quarters, I would say.
Moderator: The next question is from the line of Pramod Dangi from Unifi Investment Management.

Pramod Dangi: My question on the working capital side. One side, we are saying that we had the supply side issue for a few of our products. On the other side, our inventory base has gone up significantly.
So would you say that product where we don't have any supply chain i ssue, the inventory actually have drastically beyond 217 days which we have reported? That's the one.
And the second is, again, when our customers are cutting down on the inventory, obviously, their cash flow would have been improved. But at the sa me time, our debtor's day also went up.
So is it that we are pushing inventory to the customers? Is it that more credit is being given to the customers throughout the industry? Or is -- these two things, if you can throw some light on these two parts?
Srinivas Sadu: So Ravi will address the second part. The one on the inventory. Just take an example of Heparin.
We are sitting on the API. We are sitting on other components and we just don't have stopper.
So still the rest of the inventory we're sitting on a high value. They are not able to sell the prod uct, but st ill have to hold the inventory waiting for the one component to come. So likewise, there will be products where one is missing, but I have the rest of the materials. So I have to sit on tha t inventory. So that's one reason why we have this situation.
Ravi Shekhar Mitra: Yes. So receivable, to your question. This is a factor of that most of the sale is towards the quarter end, and the receivables are not due mostly. So it is appearing like this. This is similar to also what we had faced i n the last two quarters. But if you're comparing with last year, yes, that time we had uniform sales of this , got due and we collected, but here it is towards the back end of the quarter, which has led to this spike.
Srini

vas Sadu: But also, I think the R OW business
Ravi Shekhar Mitra: Yes. ROW has, yes.

Pramod Dangi: And is there any discounting which had happened on the pricing because the inventory at our level and the people cutting -- the customer cutting down on the inventory. So have you offer ed any discount to the customers? Any special discount?
Srinivas Sadu: No, we don't do that. So ultimately, it's not impacting the end sale. See, what we have discussed is if it's impacting the end sale, and we don't want to do that because why do you want to give a discount just to push inventory from India to the US, we don't do that.
Moderator: The next question is from the line of Bino Pathiparampil from InCred Capital.
Bino Pathiparampil: Just a follow -up question on the Biosimilar CDMO. In an answer to one question, you said you have already spent about INR 300 crores of capex on that. And in another situation, you said we are still pretty far away from any visibility of revenues. So is there a mismatch there? Will you do the capex in anticipation of something earlier? Can we have some clarity on that?
Srinivas Sadu: In fact, not just Biosimilar, side. Even when you start a plant, it will take a couple of years to start generating revenue. So it's just that now we are in the -- when adding lines to the same facility, you'll feel that. When we had started the Pashamylaram plant, for first two years, it's no t even commercialized by the time we invested INR 400 crores. So that's the nature of the business we are in. So by the time you insta ll, validate, apply for an approval, it takes so much time and also we have to generate business.
So in a normal injectable business, if you go back to 20 years back, we take some time to that.
But once you are into that space and you're supplying products , then you have that opportunity to plan your expansion and all that. Now we are getting into a new space. And now we've started doing a business development. And this is like a situation where, without a facility, companies don't come to you to give business. And so we have to build that and then approach the customers to do the business development. That's how it works.
Bino Pathiparampil: And your first target would be what? These Biosimilar companies who already have products that are selli ng in the semi -related markets? Or are they completely new products? Or are they companies who have products already in the regulated markets? Who would be your first target?
Srinivas Sadu: I think mostly these are development companies who have developed the cell lines or the clones who are looking at taking clinical batches and getting the scale of batches. That's one because it's easier to attract. And the larger Biosimilar companies have already got their products approved in a particular sites and tran sferring from those sites to this site will take time, number one.
Number two, unless you have experience in delivering certain projects, no one wants to take a risk of transferring a product to you. So you need to establish that credibility before you rea lly get to move biologics or Biosimilar products, which are active in some markets. So it's more a development companies which you have to do and then build up the business based on that.

Bino Pathiparampil: One final question on capex. So for the nine mon ths, you have done only INR 125 crores. And for the full year, you said, INR 200 crores to INR 250 crores. So are you going to do the entire capex that we did in nine months in the next three months or in this quarter? R
avi Shekhar Mitra: So it depends on the timing of the PO and what state the project equipment installation, etc., is there. So it does not be like a pro-rata basis in every quarter.
Moderator: The next question is from the li

ne of Mayur Shah from Marine Technologies.
Mayur Shah: I have a simple question in that you'll have such good products and looking at certain, so that's your supply gets hampers. So why can't you all put up a plan where, I mean you all feel where it is routing to the in -house plant where you all can manufacturer in-house, like stoppers, syringes, whatever raw material, which is very much crucial for your sales. Would that help you all to get over the supply constraint?
Srinivas Sadu: But we do work on key APIs. For example, for most of our key APIs, we do manufac ture. Through the asset technology or R&D, we can do. But for stoppers and the others, that's not the area where we have expertise. They are completely different technologies. So we can't really enter those markets now.
Mayur Shah: But then still the sales have been affected because of the small things. And this is not such a big product where you don't have the expertise to manufacture, I assume because for stoppers, syringes...
Srinivas Sadu: Stopper manufacturing and glass manufacturing is not our area of expertise, so we can't really manufacture those. And at the scale at which these are manufactured overall, this is like a situation once in a lifetime. COVID is like once in a lifetime, there are difficulties, and they are expanding capacities. And you'll never be able to compete even if you start a small stopper manufacturing unit
Mayur Shah: So you mean to say that these supply glitches will not happen further. It is once in a lifetime kind of a situation?
Srinivas Sadu: Yes. I mean we are in this space for like more than 20 years. So we are facing this first time, and that's because so many stoppers and these have diverted to vaccine production, which is like once in a lifetime. Billions of units have to be produced and all this manufacturing got diverted to that requirement.
Mayur Shah: And sir, one last question in that, sir, any focus on an Indian pharmaceutical sector. I mean India -- is Indian market quite good for you? I mean, are you planning to increase your market share in India since it's just 9% of your revenue base?
Srinivas Sadu: So India, our focus is more on how we can get into more CMO side of the business because most of the critical care products, whatever in India, most of it falls under the price c ontrol, and that's GLAND

not really lucrative for us with the facilities what we have. And that's why we are selective in choosing products to Indian market. So unlike solid orals where it's more branded and still you can get some businesses or margins where you have branded, but this is more a critical care hospital product where it gets into tenders and it's under price control with the government.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. On behalf of Gland Pharma Limite d, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines. GLAND

Call: May 2023

May 25, 202 3

BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
25th floor, Dalal Street
Mumbai - 400 001
Scrip Code: 543245 National Stock Exchange of India Limited
Listing Department
Exchange Plaza, 5th floor
Plot no. C -1, Block G, Bandra Kurla Complex Bandra
(East), Mumbai - 400 051
Symbol: GLAND (ISIN: INE068V01023)

Dear Sir/Madam,

Sub: Earnings call Transcript - Q4FY23

Please find enclosed the transcript of the Earnings call for Q 4FY23 of the Company held on Thur sday, May 18 , 202 3, at 18.30 Hrs IST. This will also be available on the Company's website and the web link to access the same is https://glandpharma.com/investors/financials

This is for your information and records.

Yours truly,
For Gland Pharma Limited

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"Gland Pharma Limited
Q4 FY '23 Earnings Conference Call "
May 18, 202 3

MANAGEMENT : MR. SRINIVAS SADU – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. RAVI SHEKHAR MITRA – CHIEF FINANCIAL
OFFICER

Moderator: Ladies and gentlemen, good day and welcome to Gland Pharma Limited Q4 FY '23 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation con cludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Sumanta Bajpayee, Vice President, Finance, and Investor Relations. Thank you, and over to you, sir.

Sumanta Bajpayee : Thank you. A warm welcome to Gland Pharma's Earnings Call for Fourth Quarter and Financial Year '23. I have with me Mr. Srinivas Sadu , Managing Director, and CEO; Mr. Ravi Shekhar Mitra , CFO to discuss business performance and to answer queries during the call.

We will begin the call with business highlights and overview from Mr. Sadu, followed by financ ial overview by Mr. Mitra. After the opening remarks from management, operator will open the bridge for Q&A session.

Our earnings presentation has been submitted to the stock exchanges and is also available on our website. Before we proceed with the call, please note some of the statements made in today's discussion may be forward -looking and are based on management estimates, and these must be viewed in conjunction with risks and uncertainties involved in our business. The Safe Harbor language contained in our press release also relate to this conference call. This call is recorded, and the playback shall be made available on our website shortly after the call. The transcript of the call will be submitted to the stock exchanges and made available on our web site.

I now hand over the call to Mr. Sadu for his opening commentary. Thank you. Over to you, sir.

Srinivas Sadu: Thank you, Sumanta. Good evening, everyone. Thank you for joining our earnings call for the fourth quarter and full -year fiscal 2023. My best wishes to all our shareholders, analysts, and their families. We have formally closed the ac

quisition of Cenexi a nd welcome it to be a part of the Gland -Fosun family. This is our first overseas acquisition and our move into the next phase of growth and expansion. This acquisition is aimed at expanding our CDMO offerings in the European market.

It is in line with our strategic roadmap of building a European manufacturing business with sterile injectables. It provides access to leading know -how and development capabilities in sterile forms, including vials, pre -filled syringes, and other innovative technologies such as ophthalmic gels and needleless injectors fill finish. It will help us establish our presence into the branded CDMO space and biologics. Our priority is to focus on a seamless integration of businesses.

We made progress on our path to building a biotech CDM O and signed our first contract with Plasma Protein at our Shamirpet facility. We are also in advanced stages of other discussions in biosimilar opportunities. I must say this is a testimony to our team’s strength and the robust infrastructure installed at our facility in Shamirpet.

We closed this quarter Q4 FY '23 with a revenue of INR7,850 million, as against INR11,030 million in Q4 FY '22 and our PAT stood at INR787 million for the quarter against INR2,859 million in Q4 FY '22. Our full year FY '23 revenue stood at INR36,246 million, a de -growth of 18% over FY '22. Our full year FY '23 PAT stood at INR7,810 million against INR12,117 million in FY '22. We have gene rated INR3,640 million of cash flow from operations in FY '23.

The performance has been subdued because of lower sales from some of the key products during the current year as compared to previous year. Penems facility shutdown was take n for capacity expansion. Strategi c shift at some of our customers has impacted revenue s. We have initiated an action plan by transferring some of the products to other customers. We are focusing on ensuring the supply continuity across our portfolio of products and have stocked up inventory for key products to av oid any material shortages.

We completed 9 ANDA filings in Q4 FY '23, in line with our fil ing plan. We made further investments in our R&D this year, and we re able to make 29 ANDA filings during FY '23. As

an important milestone, we received our first China approval and have also initiated launch of our product Dexrazoxane . We should receive another 3 to 4 product approvals in China during the year.
Our progress on the complex portfolio is also going strong and this year we filed a total of 3 complex product during the year. During Q4 FY '23, upon excluding capital R&D expenditure, the R&D expenditure stands at INR603 million, which is 7.68% of the revenue for the period as against INR443 million during the previous quarter.
For the full year, our R&D expense stands at INR1,845 million, which is 5.09% of the revenue for the period. As on 31st, March 2023 we along with our partners have 334 ANDA filings in the U.S. and 1,601 product registrations globally.
We continue to hire t he right talent at our U.S. subsidiary, strengthen the business development initiatives and building new partnerships. We are also strengthening the plant operations teams with new capacity coming online.
This year we again saw physical audits start after the halt due to COVID. We have successfully completed USFDA audit with no observations at our API facility in Vizag. We continue to invest in constant improvements and our teams across all our sites remain prepared for any regulatory audit.
Let me summariz e our performance across various geographies. Our Rest of World market s accounted for 22% of our Q4 FY '23 revenue against 17% during Q4 FY '22. Our full year FY '23 revenue s for this market s stood at INR6,894 million , as against INR8,481 million in FY '22. We maintain ed inventory of raw materials and

packed materials to be a ble to cater to the demand.
We continue to register the products in new geographies. Our key markets continue to remain MENA, LatAm and APAC.
Our core markets, namely U.S., Canada, Europe, Australia, and New Zealand accounted for 70% of the revenue, as against 64% in Q4 FY '22. Our full year FY '22 revenue for our key markets GLAND

stood at INR26,851 million as against INR29,248 million in FY '22. Part of our new launch product portfolio, we have shipp ed ou t 10 product SKUs during the quarter. We are constantly working on improving material availability and resolving any production delays.
India market accounts for 8% of our Q4 FY '23 revenue. Our full year FY '23 revenue for Indian market stood at INR2,501 million as against INR6,278 million in FY '22. We saw impact from normalizing of COVID -related sales in the Indian market.
We are focusing on integrating the business at Cenexi with Gland, and understand the importance of seamless integration. Our focus is on leveraging synergies between the businesses to generate stakeholder value. This acquisition has the potential to drive value creation of over the years to come.
With this I wish everyone good health. I would like to now hand over the call to our CFO, Mr. Ravi Mitra, who will share details about our financial performance for the quarter and full year 2023. Thank you.
Ravi Shekhar Mitra: Thank you, Mr. Sadu. Good evening, ladies, and gentlemen. Thank you very much for attending our fourth quarter and financial year ending 2023 earnings call. Our earnings presentation has been uploaded on the website.
Let me begin by sharing the financial p erformance of the quarter and financial year of 2022 -23. For the fourth quarter, we have reported revenue of INR7,850 million, a reduction of 29% on year-on-year basis. Revenue from operations for fiscal '23 stood at INR36,246 million, a year - on-year decrease of 18%. Key reasons for reduced revenue during the year are inventory rationalization across customers in the U.S. market, high price pressure with increased competition impacting revenue, and higher base of last year due to COVID -related prod uct sale .
In terms of bifurcation of revenue during FY '23 a s per markets. Core markets comprising of the U.S., Europe, Canada, Australia, and New Zealand has contributed 74%, followed by ROW market adding 19% of the revenue. India contributed balance 7% of the revenue from operations.
Our core market has seen a decline of 23% during the fourth quarter of FY '23 as compared to same period of last financial year. It has registered an 8% degrowth during the financial ye ar.
ROW market markets have witnessed a reduction of revenue of 10% for Q4 FY '23 and 19% degrowth on a full -year basis. India market declined by 68% for Q4 FY '23 and 60% for FY '23.
Other income for the fourth quarter was INR389 million, which includes interest on fixed deposits and foreign exchange losses and operation. For FY '23, the other income was INR2,405 million of which interest on fixed deposit was INR1,794 million and foreign exchange gains and operation was INR571 million.
Gross margin of t he company improved during the quarter as compared to same quarter previous year. Gross profit margin has improved for the year as compared to the previous financial year,

largely due to favourable geograph y mix. GLAND

We have reported an EBITDA of INR1,684 mi llion in Q4 FY '23 compared to INR3,484 million in Q4 FY '22, which is a decrease of 52%. EBITDA margin for Q4 FY '23 stood at 21% as compared to 32% for the same period of the previous financial year.
EBITDA for the full year ended March 2023 was INR10,248 million compared to INR15,102 million for the previous financial year, a decline of 32%. We have reported EBITDA margin for FY '23 at 28% as compa

red to 34% of previous financial year.
Power and fuel costs has gone up 17% in Q4 FY '23 and 3 1% in full year FY '23 with increase in power tariffs and oil and gas prices. Employee costs have increased by 9% in Q4 FY '23 and 19% in full year FY '23, largely due to additional headcount to support the new production lines in Pashamylaram plant and the Bio-CDMO facility in Shamirpet as well as the annual increment impact. Othe r expenses increased by 11% during FY '23 as compared to the previous year, majorly due to the increase in professional fees paid for the M&A.
The total R&D expenses for the financial year 2023 was INR2,014 million compared to INR2,273 million for the prev ious financial year, which is a decrease of 11% . It stands at 5.6% of the revenue.
R&D expense for the fourth quarter was INR678 million, which is 8.6% of revenue compared to INR559 million in the previous financial year. The increase in R&D reven ue expense is due to the higher number of ANDAs and DMF filings during the fourth quarter. The higher percentage of revenue is due to the lower revenue base in Q4 FY '23.
Our net profit for the fourth quarter was INR787 million, a significant reduction of 72% compared to Q4 FY '22. During the financial year '23, our PAT was INR7,810 million, which is a decrease of 36% as compared to last year. We have reported PAT margin of 10% for Q4 FY '23 and 22% for full year FY '23. Subsequent to year -end, one of our customers filed for Chapter 11 bankruptcy in U.S., and hence we have provi ded the outstanding balance of INR565 million and has disclosed as an exceptional item. Our effective tax rate was at about 29% in the fourth quarter and 26% for the fiscal year '23.
Though the gross profit margin improved over the previous year, but du e to meaningful reduction of revenue over the same period had negatively impacted EBITDA and PAT margins. Some of the measures related to cost reduction, efficiency improvements are being undertaken and will have favourable effect on margins.
Cash conversi on cycles stood at 256 days for the financial year 2023 as compared to 180 days as of last financial year -end. The increase in working capital was due to higher inventory and receivable levels. Increased receivable and inventory days ha ve pushed overall cash conversion cycle. We are actively monitoring both our receivable and inventory position for improving our working capital and operating cash flow.
Total capex incurred during the financial year ended March 31, 2023, was INR2,230 millio n, used for increasing API and formulation capacities. We are adding new capabilities for Combi - line for Microsphere, additional Bag line and lyos for the Penem block in Pashamylaram facility in Hyderabad. Our ROCE on ex -cash basis as on 31 March 2023 stoo d at 17% and fixed assets GLAND

turnover at 2.6x for FY '23. As on March '23, we had INR37,707 million of cash, part of which we have utilized subsequently for Cenexi position.
As we have completed the acquisition of Cenexi, we are now moving forward from pre -closing activities to post -acquisition integration stage. We are gearing up for the dedicated efforts for seamless integration of both companies and realization of synergistic benefits. On this direction apart from forming a dedicated team for PMI from both Gland Pharma and Fosun Pharma, we have also engaged with the global management consulting firm.
With this, I would request the moderator to open the lines for questions. Thank you.
Moderator: First question is from the line of Rushabh Shah from O3 PMS. Please go ahead.
Rushabh Shah: So I have couple of questions. My first question is, since there are many companies entering into the CDMO business. And due to that our company have been carrying a lot of problems. So how are you going to tackle such an intens e competition entering into the CDMO

business?

Srinivas Sadu: Yes. So today we see pure development from B2B business landscape. Still I think not many players are there. We could see some C MO players coming in and manufacturing products for compan ies. But our own model where we develop products and license out, still I think there is not that much competition like before.
In terms of companies who are developing their products and plan to outsource like contract manufacturing, there is a competition with a price pressure. And it should from our perspective, from regulatory side, from quality side, we're maintaining clean record. And that should sustain us in the long run compared to a new player where we are able to see the current regulatory inspection now going on and whether they could sustain with low margins in the longer run, especially injectable business where capex is very high, and maintenance are very high.
With low margin competitive landscape, surviv al in the long run will be difficult. So I think the time will come when companies have to raise the margin profile, so that they can invest into future growth or allocating investments into future growth as well as maintaining of their facility standards.
Rushabh Shah: And since as our business is so much focused on CDMO and CMO business, if you could help me out with the percentage of repeat orders which you are receiving from the customers?
Srinivas Sadu: So if you look at on from volume quantity perspective, our FY '22 and '23 volumes were almost similar. The degrowth has happened from some specific key products and as well as the COVID - related products. If you see our domestic sales last year compared to this year, we lost almost INR380 crores, mostly pertaining to the COVID sales which happened last year. And also one of our largest pr oducts, Micafungin , which we had the initial exclusivity, it went down from almost INR440 crores to INR65 crores. GLAND

That has actually, what you call, beaten the numbers a bit because we lost INR370 crores there. So these 2 main factors have contributed to th e de-growth of INR700 crores, INR750 crores. But then, there are also products where we have grown, products that went up and doubled our revenue. There's also a de -growth is happening. Again, that was a COVID -related product. So in terms of the de -growth has happened specifically for 3 of our major products which got hit. I think it's a combination of COVID as well as the exclusivity removal of the product. But from the majority of the products, still we are able to maintain that units. While there is a pr essure on prices, still the units have gone up.
If you really see the breakup of revenue bridge what we see, normally our new product launches help us to grow about 10%, but this year, it only contributed 3%. Such is a bit of competition in the market when we launch our products. -So that is not contrib uted substantially. It's a combination of what products we sold, also the competition at which people are launching at patent expiry.
Rushabh Shah: Okay. And sir, since the majority of your business is in USA, what do you think about the growth in India? Are there any plans to grow in India?
Srinivas Sadu: There has been a plan, but if you see now, we're focusing injectables and most of injectables in India are tender -driven business, also a lot of products comes under price cont rol. And with the business what we run, it's very competitive itself to compete in this space. While we're looking at some opportunities specifically on margin -driven products, but because most of the portfolio falls under the price control, so that's been difficult for us.
Rushabh Shah: If I could squeeze just one more in.
Moderator: Sorry to interrupt here. I would request you to please come back in the queue. The next question is from the line of Kartik Mehta from Klay Capital. Plea

se go ahead.
Kartik Mehta: I just want to understand in terms of base business, while there will always be competition and it's not something which we don't see in the industry, what is your assumption for reaching stable rate of revenues for the quarter even if it is on a half yearly or on an annualized basis?
The problems which you mentioned in terms of competition, new products not competing more, we need to get some colour from you from the perspective of are there new products wh ich will compensate for this while your gross margin continues to remain where it is? What is it at the expense side, or is there any large products that you expect? And also, in terms of the broad revenue guidance, in terms of the fact that we will also b e acquiring you will also be integrating an asset.
Srinivas Sadu : So from the business perspective like I said, the major product conflict to cover that loss, it takes a lot of other products to get launched which are smaller. So if you look like I said, from the yield’s perspective, we still maintained at a company l evel. So the volumes have grown in some of the products, very specific product where we lost business too. Now there are several large molecules which will be launched, but looking at the last year experience, you can see even a GLAND

$500 million, $600 million product after the launch, it costs the prices have gone down almost 80% to 90%, there was a crash when the product launched.
Whether it's sustainable in the long run, we can't say, but that's still the case. So we can't really vouch for the products, th e big products will do well under this competitive scenario. But we have almost 28 products which got approvals this year. And that approval the filings are on track and all the facilities are on track in terms of supplying the products.
And in terms of margins, you can see we have invested heavily. And some of these lines are not on commercial scale yet, whether it be biologics plant, whether it is some of the Microsphere lines we have established recently. And the 2 other lines that's still under appro val process. So that's actually adding up to the cost. But then, we have filed several products and transfers from other lines. If it gets commercialized again, so that should increase the revenue. And with Cenexi acquisition, there are a lot of opportunit ies opening up in terms of the same customers who were working in the U.S. where they're sourcing products from European other CMO s for the European market. We are working with them how to ship those kinds of volumes to either Cenexi site in Europe or do it in India and the n move there.
So in the longer run, we see the business is strong with the kind of portfolio we have and with account of distribution and contract s we have across the globe. But there are headwinds in the short term like we said, but it's getting stabilized when we do such large molecule and get a hit of INR4 00 crores because it does take few other products if they get lower and that's what we're work ing on.
Kartik Mehta: Would you want to give some colour on the broad revenue guidance combined entity? If not for if possible, throw some colour on the China approval in the opportunity, if any, that comes that one can see the revenue upside in FY '24?
Sumant a Bajpayee : So Kartik, so we have taken a kind of a position, given the volatility into the market, as well as our past experience on the product. We refrain from giving any kind of direction either on the top line or on the margin profile side of it. That is point one. Also, I would like to highlight here that in the previous question, Mr. Sadu has indicated INR380 crores one-off. This is an assessment, this is an assumption because of some of our products being used for COVID and are used in non-COVID as well. So it is not like a verified number, just for clarity

of everyone.
It is a management assessment, could be kind of an impact on the domestic side of it.
Kartik Mehta: Yes, okay. So without talking about the guidance, any colour on the b usiness? And I'm not talking here in terms of the numbers, product approval likely for launches in this year and next year?
Srinivas Sadu: So next quarter, we have almost 11 to 12 products getting launched like the Mr. Ravi said, we have a customer who's g oing through bankruptcy process, where we are trying to move this product as well to the customers. There is other several opportunities where because large customers are transferring the products to our side, which could see some good business in terms of units and numbers in the second half of this year.
Kartik Mehta: China in particular, would you want to just probably highlight? GLAND

Srinivas Sadu: It's too early to comment on any numbers.
Kartik Mehta: Not the numbers. In terms of the number of launches. We have an idea about how the market
Srinivas Sadu: We're launching one product this quarter we have just shipped out . And then, we have 3 to 4 products are expected in the next 9 months.
Moderator: The next question is from the line of Prakash Agarwal from Axis Capital. Please go ahead.
Prakash Agarwal : Yes. Just on the current status, you mentioned Q4 has been impacted by closure of some lines, the Penems. So what is the current status of all the lines during this quarter? And next 3 mo nths, do we expect more closures and the earlier ones have been resolved, if you could clarify that?
Srinivas Sadu: So the past quarter, we have as a part of the capacity expansion, we closed a Ertapenem line, which is because we're not able to cater to the demand. So we had a one more lyos line to do that. On May 15th, we have opened that back. So the commercial production started again on that line. That's only line which got shutdown. That's when we had to 1 more lyo s because if you contemplate that sort of line and you're not able to meet the demand, so we took that call.
Prakash Agarwal : So one more line has been added apart from the one line which is started from restarted from May 15. Is that righ t, or...?
Srinivas Sadu: We had 2 lyos before. We added 1 more lyophilizer to that line. So that's why you have the shutdown.

Prakash Agarwal : Okay. So now 3 lines are operational is what I understood?
Srinivas Sadu: Three lyos, yes, correct.
Prakash Agarw al: Okay, lovely. And in terms of you mentioned about last quarter, you will not mention about guidance. But I'm trying to understand that gross margins are there. Inventory rationalization is largely done by the customers, or you think there is more inventory in the system?
Srinivas Sadu: I think few products one more quarter it is there, also the customers have rationalized. And that's the reason wh ile the end -market volumes have not come down for most of the customers. If you look at even our larg est product, we sold 60% of actually the end -market number of units. So that should get back in a few quarters. So other than that, I think most should get rationalized, yes.
Prakash Agarwal : So inventory is volume only? So I'm little confused here.
Srinivas Sadu: Yes. Inventory at the front -end customer level. They're maintaining the higher inventory levels earlier because of the high interest cost, now everybody is rationalizing their inventories. That is leading to a lower level. Some customers use to maintain 9 months to 12 months inventory because if you have a GPO contract, they have to maintain minimum 6 months inventory.

But now, with the high interest cost, they are trying to reduce their inventories at the level. So our transfer s one off our facilities should then have reduced. That's impacted our business a bit. But then end -

market wise still robust in many of the products .
Prakash Agarwal : Okay, understood. So demand is there. But in general, there is a destocking or reduced inventory level that is being kept?
Srinivas Sadu: Correct. And that's the reason actually because they are pushed out because it's carry rational inventory. They pushed out some orders and that's why we are ending up with higher inventories at high levels.
Prakash Agarwal : Okay. And you mentioned about this one large product, Micafungin, but how about Heparin and Enoxaparin, so you earlier used to mention about a little bit on the size. So would that have contracted significantly, and demand st ill prevails for those kinds of products ?
Srinivas Sadu: So Heparin is mostly price driven . And we consciously took a call that we will not grow for very low margin because it doesn't make sense utilizing a capacity for low margin. So that's what happened. Not just we have grown a number of units have grown, but in some market, the pricing is lower. So the revenue has gone down by about 10% for Enoxa as a company, but the volumes have gone up by about 7%.
Prakash Agarwal : Okay. Heparin, sir?
Srinivas Sadu: Heparin, actually, we have gone down in terms of units. That's a combination of sales of price and also last year we have a lot of sales the last quarter because of COVID. So I think it's a combination of both.
Moderator: The next question is from the line of Neha Manpuria from Bank of America. Please go ahead,
Neha Manpuria : Could you explain to us what is the sort of the one -off impact, if at all there is any in the quarter? And what should be the base that we should be working for when we look a t the normalized business, gi ven there was Penem shutdown et cetera that we saw in the quarter?
Moderator: Members of the management, we are unable to hear you.
Ravi Shekar Mitra : So on the revenue side, I think one we called out is that Penem line shutdown . So that should be around INR30 -40 crores has impacted. And I think on the others, it's also ROW side and all what you have mentioned, seasonality. So o n the expense side, we have spent a bit on the M&A closure.
Neha Manpuria : Understood. Sir, even if I were adjust the INR30 crores, INR40 crores, when you say seasonality, does it mean that some of the sales have probably slipped into the first quarter as against last quarter?
Srinivas Sadu: Yes. It could be last quarter or the next quarter. For example, one of our the ROW tender which is supplying substantially. So those quantities, some go in the next quarter, and the new tender coming up, which we participated now. So because of that, there is a shift in which quarter it got sold.

Neha Manpuria : Okay. So there could be some bit of it which comes back in first quarter or second quarter?
Srinivas Sadu: Yes, correct.
Neha Manpuria : Okay. But overall, we haven't lost any tenders in our ROW market versus last year, right or let's say versus last quarter?

Srinivas Sadu: No, we have not lost the tenders. But we, like I said, in Heparin, we intentionally reduced our sales because the m argins are pretty low for that. And compare to the cost of holding those inventories and committing to the volumes larger for a longer period of time, it is lot more riskier because the margin profile is low fo r these supplies. So we stayed away from that. But otherwise, from a tender perspective, we're not lost any.
Neha Manpuria : Understood. And I think in the opening comments, you mentioned about strategic shift at some customers. Could you quantify are there certain customers that have stopped taking supply from Gland, and therefore we are looking for alternate supplying these to alternate customers? Is there some amount of lost sales that we have seen because of these strategic shifts that you'r e looking out?
Srinivas Sadu: One custome

r has shifted almost 14, 15 products, exited this market. But that's not immediate .
So they did give us some time. So we are actually already shifted some of these products to another company and a few not shifted, but they're continuing to have those 3 or 4 larger products, still continue to sell those. The other company which we mentioned was going through to file a bankruptcy its in the e public domain.
So that - those products are still they are going for liquidation. If somebody buys, then that business will continue. Otherwise, whoever buys it, that business should move to them. So that we are not yet clear how that business goes, but that's the only, I think, business where we don't have clarity yet.
Neha Manpuria : And would you be able to quantify in the first year the 14 to 15 products what is the size of that in terms of number for us to understand how this will move?
Srinivas Sadu: The customers which gone to the bankruptcy?
Neha Manpuria : No, the 14 to 15 products that you mentioned the customer shifted to another player or shifted out from Gland?
Srinivas Sadu: That's already been shifted. Most of the products are already been shifted and getting relaunched the next quarter. So we can't really qua ntify yet on how that goes, but we are pretty confident of that business doing okay.
Neha Manpuria : Okay, sir. That will come back in the subsequent quarters for us as we shifted to other customers?
Srinivas Sadu: Correct.
Moderator: The next question is f rom the line of Shyam Srinivasan from Goldman Sachs.

Shyam Srinivasan : Yes. So my question was on the core markets and the divergence between what our U.S. versus Europe and the rest of the market, right. So full year, I think U.S. has declined 7%. These o ther markets have declined higher. And I think for the quarter, maybe there is a lot more convergence. So just wanted to understand the differences between these 2 markets. And is there something that is specific that is driving on a full year basis like t he weakness in non -U.S. core markets?
Srinivas Sadu: Not really. I think it's a question of timing and what kind of products. And like I said, Heparin is largest product for us. And then, if you see as a company, we lost about INR150 crores f or that. And that so I think ROW , that's one of our major products as well. So because of the pricing, we didn't participate, we didn't want to supply for many offers what we got. But I think it's more to do with which quarter we sell. And also, you should include last year if you're comparing with last year, there we re also sales for getting through COVID like we said.
Shyam Srinivasan : So do you so Sadu, do you see any divergence in the pricing pressure between these 2 core markets? Or do you think this is a function of which product is when and if there is a COVI D element? And it's so difficult to get an underlying trend saying, okay, U.S. is say whatever pricing pressure and the rest non -core is rest core is higher, lower?
Srinivas Sadu: I think the pricewise to see as a company, broad market, like the 1% incr ease, if you look at the pricing for this product. So although the growth income come from the new products like we said, but the price reduction when you see the revenue bridge, the margins averaged 1% lost orders because of the pricing. But it's mo stly because of the revenue de -growth, we are not able to absorb that the fixed cost what they have on the sites, that has impacted the margins. And that's the reason why the contribution margin was still we're at 54%. So from pricing and material price , still it's okay.
Shyam Srinivasan : Got it. Helpful. Second question is just on the supply of your raw materials and stoppers for individuals. So can you just comment on where are we in that journey, pre -filled syringes, stoppers? Do you face any constrai nts today? And

if you were to look at fiscal '24, you've also talked about inventory for both finished and I think from materials being higher. So are we good on that and we shouldn't see a supply shock like what we saw last year?
Srinivas Sadu: Yes. From I think supply side, mostly I would say 90% stabilized. Few products, few filters, and

syringes on and off, but not a major I don't think there's any major issue on that side.
Shyam Srinivasan : Got it. So I just I know you're not giving a quantitativ e number for top line . So it's just a question of getting the demand now either say let's say, ROW through the tenders, if you were to kind since supply is not a constraint, you can now start looking at being, if I use the word aggressive to try and get demand because supply is not an issue, would that be a fair statement to make? And as you look forward, also you did Cenexi, what EUR 25 million per quarter coming through. Roughly, I'm just quarterizing an annual number. So is that how we should b roadly think of fiscal '24? I know you're not giving a number. But help us construct the revenue bridge for '24, that will be useful.
Srinivas Sadu: Yes. So absolutely, I mean, one is working with the partners closely on the front -end pricing how it's goin g to work. Because the market landscape is different from that earlier. The GLAND

assumptions what you made earlier when the product gets emphasized, and what price you go and bid, that's completely different now. So there are also large opportunities lost, beca use they were exiting at price for that long. Although we had leeway in terms of cost and transfer price what we could have made a bid for a contract. But because our assumptions went wrong, our partners couldn't get those bids. Now we are working closely with them compared to other bi ds, what price they are at and what price we can offer and what are the internally how much we can go down in terms of transfer price, if there is a need.
So we're working very closely with them and aggres sively looking at each product where we have lost market share. So we have actually mapped which are the products which we lost substantial market share and the reasons behind that, and we are working towards that. So that's one big action that we're takin g.
And of course, Cenexi is a big focus for us, because that market, we've never penetrated. And there is an opportunity for us to several business opportunities we are looking at and is already there these discussions happening with companies how to move product there. And also, other angle there we're able to taking products from Gland to Europe through this acquisition. And like I said, of course, if there is a consolidation that is going to happen, with the regular revenues what they're generating today.
Moderator: The next question is from the line of Saion Mukherjee from Nomura Securiti es. Please go ahead.
Saion Mukherjee : Sir, can you share the impact that can potentially come from your partner who has filed for bankruptcy assuming that those supplies get impacted?
Srinivas Sadu: So hopefully, because they have gone for a liquidation and people are looking at aggressively how to get our contracts. In fact, there are also customers who are reaching out to us without knowing the bankruptcy process whether they can buy the contracts because there are 3 or 4 products where we have a GPO contract attached which has a good value. So it could be a temporary impact where supplies of stock because we also need to recover the money.
But I think in long run, these can be productive because it is under this process, where if somebody acquires it, they have acquired the contract where they have to pay the cure money and also, they get rights for the GPO contracts where they get transfers. So hopefully, short term it might be an impact getting the process end. And wait for end

of June, by the time the sale
process should complete. So we should ge t a clear idea who is going to get these products. And if the business is somebody's going to buy the business in total, or somebody is going to buy products of the contracts.
Saion Mukherjee : So I'm just wondering in case I mean in the interim, you are not supplying, right? So somebody else is probably meeting the demand at this point. And if that is the situation, then why would someone buy those assets because the value would keep eroding as time passes?
Srinivas Sadu: So the business has not stopped. While they have removed lot of people, they still kept the quality regulatory and commercial staff and there's also inventory lying in the channel. So that's been supplied. So they have the inventory for 4 month or 5 months. So that's not a problem. There is GLAND

no stoppage in business. Business is running as usual. It's just that a few of us are going into accounts. So that's not an issue.
Saion Mukherjee : And sir, I mean you are not sharing the number, but I mean is it a meaningful number in the sense is this one of the large partners that you have? I mean I just in the case of an eventuality, there is a disruption, it could have a meaningful impact, or do you think it would be a smaller impact?

Srinivas Sadu: The business what we do with the customer is around INR200 crores per year. Yes. And then, we're pretty much confident that if not 100%, at least 70%, 80% should come back at least for the produc ts where they have GPO contracts in place.

Saion Mukherjee : Okay, understood. Sir, on the Cenexi acquisition, the numbers that you disclosed imply that the EBITDA has come down materially for the second half. So I know when you did the acquisition, you di d mention that first half was inflated. So if you can give us some indication as to what's the right level of EBITDA for Cenexi that we should work with?

Ravi Shekhar Mitra : Yes. Saion, like last time when we spoke about on the Cenexi, we told that it's half year, it’s not indicative of the full year. However, the second half of the calendar year '22 has also been impacted because of the high energy cost, which we are expectin g to improve now because that is kind of behind them.

So in terms of revenue, they have definitely grown, and EBITDA margin is currently the full year what we have achieved and should be better I think that's what the projection is. I cannot give a number right now. But because of the cost factors, it is going to improve and the product profile which they are currently working on is in a better margin profile than the previous year. So numbers we'll talk about later on when we have a full clarity on the pla n.

Saion Mukherjee : Okay. And finally, if I can on sir, you mentioned about competition in Heparin and Enoxaparin, particularly in Heparin, right, where it has come to a level which is not very lucrative for us. I mean, so how important of these 2 produ cts now I remember like initially it was very important, like how big contributor are these 2 products to your overall revenues? And if you can give some colour on what is really driving? Are these Chinese players who are beating down the price? Do they ha ve some cost advantage which is leading to this sort of erosion?

Srinivas Sadu: Yes, absolutely. So if you see, Heparin has directly now, these 2 Chinese players have directly launched in the U.S. So that's one major roadblock I would say, if you look at o n a number perspective, Heparin for the company is around INR250 crores from FY '23. That's for the company. But we're working on a strategy where we have 9 SKUs.

A lot of other companies do not have 9 SKUs. Let's see how we can increase that volume going around. And looking at basket instead of the SKU level, so we are working on that as well and we are also working with our own parent comp

any subsidiaries and qualifying their crew to get a better pricing. So once we get that approval, I think we wil l be in a better position than now.

Saion Mukherjee : And the same situation in Enoxaparin as well?

Srinivas Sadu: Enoxaparin, U.S. what happens, of course there again direct supplies from China. There is a competition in that. The compliance of the GP O, it's not there yet. Although our platform has a regional contract, the compliance is around 55%, 60% as against normal 85%, 90%. So the offset is not as per our estimate, which kind of impacted our pickup of this stock this year because they have larger inventory last year. And they're rationalizing that inventory that has impacted. But should I think if not this quarter, next quarter not June quarter, but probably September quarter, it should start picking up the product from us. .

Saion Mukherjee : Okay. Can you share the total contribution for Heparin and Enoxaparin for FY '23 for the company?

Ravi Shekhar Mitra: The company, for the Enoxa and Heparin together is around INR970 crores.

Saion Mukherjee : INR970 crores. Okay, sir.

Moderator: The next question is from the line of Anandha Padmanabhan from PGIM India. Please go ahead.

Anandha Padmanabhan : Sir just to understand, in Q1 we will continue to see the impact of production shut down, so that would again be a factor that play in the next quarter as well, if I have to understand that right?

Srinivas Sadu: It started now. From May 15, the line is back on track in commercialization. So probably half quarter impact, but it's back on track. As against the earlier 2 lyos, now we are producing 3 lyos. So that should make up for the quarter number.

Anandha Padmanabhan : Okay. And with respect to Cenexi acquisition, by when do you expect the acquisition to get closed or completed?

Srinivas Sadu: It's already closed last month.

Anandha Pad manabhan : By when should we expect? Q1 itself we should see the consolidation happening?

Srinivas Sadu: Yes, it will be consolidated this year, the next quarter for 2 months because we closed on April 27. So the consolidation happens the next quarter for 2 months, May and June.

Anandha Padmanabhan : And sir, Heparin and Enoxaparin for FY '22, how big were their contribution of Heparin and Enoxaparin for FY '23

Srinivas Sadu: INR1,200 crores. FY '22, it was INR1,200 crores. And FY '23, it's about INR980 crores INR970 crores to INR980 crores.

Anandha Padmanabhan : Okay. And in U.S., do you see in terms of the pricing pressure or in terms of there are some news f lows of some key players' facility is getting impacted because of increased because of regulatory action. Are you seeing any impact of the same in terms of customer inquiries on your contracts or in terms of demand?

Srinivas Sadu: So the volumes have several products have gone up because of this. The pricing has not gone up that much. But we had some of the products, the volumes have gone up. And I think more and more we are getting queries on certain products.
Moderator: The next question is from the line of Bino Pathiparampil from Elara Capital. Please go ahead.
Bino Pathiparampil : Just a clarification on your inventory levels. It seems to have gone up significantly Y -o-Y.
Srinivas Sadu: Yes, like I said because of the cutdown of inventor ies at our partner level, so it got pushed -up a few months and that got added up at our end. And because of the situation of last year, we're trying to keep up a bit more inventory than usual. And as you said, Heparin offers a lot of inventory with us. One is anticipating a pickup from next quarter onwards. The other is we don't want to sell at a low price. The ones I just talked about how do we want to manage the U.S. situation once that gets finalized and you start utili

zing that. Bu t yes, we are focusing on that and seeing that how to reduce that inventory for sure.
Bino Pathiparampil : Okay. And this customer who has filed for bankruptcy, did their take-offs from you decreased significantly in Q4 compared to Q3?
Srinivas Sadu: Not bi g way, but I would say probably 25%, 30% because we actually reduced getting supplies looking at the receivables to reduce the receivables. So we kind of reduced supply.
Bino Pathiparampil : Understood. And the other customer who exited the business, when did exactly they stop taking products from you, which quarter was that?
Srinivas Sadu: It's this quarter, the previous quarter and but we have already transferred those products and getting launched in the coming quarter. So some of that are getting launched in June and some are getting launched in July.
Bino Pathiparampil : Sorry, but when did they stop taking products from you? Was it 4Q or 3Q or 2Q?
Srinivas Sadu: 4Q, last quarter.
Moderator: The next question is from the line of Sameer Baisiwala from Morgan Stanley. Please go ahead.
Sameer Baisiwala : First of all, what was the profit share for the quarter and for the full year?
Ravi Shekhar Mitra: Do you want the full year?
Sameer Baisiwala : Yes, Q4 and full year. I remember it used to b e around 10%, 11%. Has this materially changed?
Ravi Shekhar Mitra: Yes. So full year is 8% and Q4 is 7%.
Sameer Baisiwala : So that's a straight 300 basis points to 400 basis point hit to your margins?
Ravi Shekhar Mitra: Yes.
Sameer Baisiwala : And this is all the impact of the end -market price erosion, which is now getting filtered down to you as a supplier?

Ravi Shekhar Mitra: Yes. It's both actually because along with that, there is also the impact of the high margin inventory lowering at the customer end which we were talking in the beginning.
Sameer Baisiwala : Which means the revenue mix, so the higher margin stuff is kind of not moving?
Ravi Shekhar Mitra: Yes. So the product mix also, like products like mica has high profit sh are.
Sameer Baisiwala : So where do you go from the 7% now, if you look out in the future? Is this a new level, or you think you are not going to get back to your previous levels?
Srinivas Sadu : So on profit share perspective?
Sameer Baisi wala : Yes.
Srinivas Sadu: Currently, there are so many shortages happening, so probably the pressure on some of the startups are not that much. And the Mica has now it's gone away. So like I said, it's from INR440 crores now it is at INR65 crores. So the v olume should increase a bit because it's also getting consum ed the high inventory, they held last year. So they are using that inventory that should go off. So I still feel that it should settle around 10%.
Sameer Baisiwala : Okay, that's very good to hear, sir. Sir, the second question you were talking about the end -market pricing press ure, so your customers are sort of losing market share. So you want to sit down and plan the price volume metrics. I wasn't too sure that I understood your comment fully. So what percentage of your business does that planning apply to? And does that mean t hat we should brace for sort of portfolio -wide or something price erosion in fiscal '24 as your plans get finalized with the customers?
Srinivas Sadu: So I think we can't really generalize on same plans for all products, right? So we see that different

players, different transfer. That's why we're getting to each product level. Some products actually there is a lot of margins there, the customers can't take, but they don't want to do with regards to the customer and what's the logic behind them going after higher market share, when there is a high margin between the selling price and costs. There are also products where probably our transfer prices will be higher where we have worked on reduction of costs over

the last 12, 18
months. Part of I would say now 30%, 40% of our R&D cost goes into lifecycle management where we reduce cost. So there we can actually go out their high market shares. So there are different factors for different products. That's what we're trying to do which product we have lost market share or where you have a lower market share and where there is a possibility to increase those volumes. So there is no one solution for our product, each actually are different.
Sameer Baisiwala : Fair enough, sir. But what's the average pictur e what's the what should we expect in fiscal '24 just roughly about. Is it about lower pricing, higher volumes for the base business? And what percentage of your business is getting impacted? Is it like 20%? Is it 50%?
Srinivas Sadu: We can't really give a number. That's what I'm saying. We also had some high -margin products where the volumes currently are not that much. And we are trying to see how we can increase those kinds of volumes also. So some partners, they really don't want to go after what we call a competitive bid. They don't want to participate. So we have to sit with them and say how to get GLAND

into this kind of bids and stuff like that. So it's a combination of both. One probably where we still have margins where they can go aggressively for market share or where probably the volumes have been to absorb our fixed costs, even if the margin is lower, but if it's going to -- at the EBITDA level, it's still going to help the company. So it's a combination of both.
Sameer Baisiwala : Okay, got it s ir. So one final question. Not too far back, maybe 6 quarters back, your operating margins used to be 35%. And this quarter, it's 21%. It's a very, very big move. So how should we think about it? I'm not looking at next 2 quarters, but like in a year or 2, how is the business going to evolve and what's the right range? Any guidance, any qualitative points on this would be very helpful.
Srinivas Sadu: I think it's a combination of the lower base also. Because of cost, they're almost like I said, they only added costs in recent times where it's not commercialized. So these lines will get on track in next few quarters. Now there the revenue base is lower, but the costs are similar, a little higher than last year. So that's why it has gone down. Once your rev enue base becomes normalized, then this automatically goes up.
Ravi Shekhar Mitra : Yes. So it's like the leverage impact which has affected us. Injectable cost most of it is being fixed and inflation and power costs have gone up. While the gross margin percentage remaining similar, EBITDA in fact has been direct cost. We are dividing lower base of revenue now, while the cost has gone up.
Srinivas Sadu: So if you see the R&D cost, because the base is lower, the expense like last quarter is almost 7%, 7.5% because of the complexity of products what we're dealing today. Our original plan was to stick around 4% to 5% with the normal growth what you have as a company. But because our base is lower now, that's showing that 7% and it's showing that lower EBITDA number because the absolute number is still as per the plan. And as for the year normally, I think highest this year is around 5%, 5.6% or something. Historically, it's been around 3% -- 3.5% to 4%.
Moderator: The next q uestion is from the line of Alankar Garude from Kotak. Please go ahead.
Alankar Garude : Sir in the past, we used to be quite confident of the growth trajectory in ROW. Would you still maintain that ROW will grow at a significantly faster pace for us say co mpared to U.S.?
Srinivas Sadu: So the base has gone up. If you see last year, a substantial increase in the base. And that's why you see -- and then the U.S. business is very large. And that's why the percentag egrowth looks smaller. But the efforts are th ere t

o how to increase the growth in, especially the Asia, MENA
markets where we see substantial opportunities opening up there even compared to LATAM.
Alankar Garude : Understood. And sir, has there been any meaningful change in the gross margin profile across geographies in the past 1 year? Because I remember couple of quarters back, you had talked about ROW margins being significantly lower than U.S. as well as the other regulated markets.
Srinivas Sadu: I think it's in the similar range it used to be. In fact, the price pressure in the U.S. was larger, whereas other markets it's still, except 1 or 2 products, but mostly, it's been stable. GLAND

Alankar Garude : Understood. And sir, final question, quite similar to the previous question. If we go back a year, we were guiding for about 20%, 25% top line growth with a 35% EBITDA margin for FY '23. Now versus that, you have delivered about 18% drop in sales with abou t 28% EBITDA margins for the full year. So while we are not giving a numerical guidance, would it be fair to say that structurally this is the new normal now or we are very close to the new normal now?

Srinivas Sadu: I can't really say that because like I said, it's been very dynamic situation out there. With the high interest rate, people are looking at how much inventory they have to do it and now the inflation starts happening, how we have to see how that's going to play out. You have seen 3 or 4 big players having issues in the U.S. So is it going to come back to maybe 4 years back where the companies had these kinds of issues , or it's going to settle? It's very difficult to tell. We have to see how strong from the company perspective, from regulatory perspective, from quality perspective, from development pipeline perspective. We are doing the best what we can and we're filing more than actually what we were doing before. We're always guiding around 23, 24 ANDAs, we filed 29 ANDAs.

So we are not stopp ing in that. We are moving on the complex that we filed, 3 complex injectables. So in that sense, as a company structurally as a company, we're strong. And I would say that better than a lot of other companies are going through this process. From market dynamics, we have to wait and watch because of the competition, and some are exiting the market, so naturally it could be a shorter impact for us. But the same people maybe, they're importing products from others and selling in the market. So there the co mpetition has reduced. So either one way, it might be disturbing for us to see that some business is lost.

Positively, we're thinking, let's see positively, they're also exiting several other products that are more competitive, but on products where pro bably there is an opportunity for us there. So it's a give and take. There could be a temporary issue with us, but in the long run, if the competition is going down, raising the market, so probably we should think that maybe it's going back to 3, 4 years a go where there were lesser competitors with these guys exiting the market.

Moderator: The next question is from the line of Parth Shah from Bernstein. Please go ahead.

Nithya Balasubramanian : This is Nithya. One question on the line shutdown. So we saw an insulin line shutdown earlier in the year, and then a Penem line shutdown. Are these planned line shutdowns and anticipated ones? Why given the substantial nature of these shutdowns, is this something that can be communicated to the market in advance ? And what can we expect next year? Are there any planned shutdowns?

Srinivas Sadu: So from the Penems perspective, this line, we've been contemplating, but it is holding up because of the supply situation. We didn't want to disrupt the market for a while. While we have put up the lyo, but we never connected to the line. But if you see our own the Ertapenem product, we have doubled our reven

ue last year. And there is an opportunity to grow there. So we thought we'd take one time hit, but then there is an opportunity there to take it and that's the reason why we took that call and did the shutdown . So the timing was not very clear when we wanted to do it, but we did that. So I think so that was the reason for it. But in the near future, we don't have plans to take a shutdown at least, planned shutdowns. Unplanned, of course, we don't know . GLAND

Nithya Balasubramanian : Got it. The next one on Heparin, I didn't quite comprehend your comment. So last quarter you had mentioned that at least from a U.S. perspe ctive, the demand was still intact. And your ability to supply was what was constrained because of the coated stopper non -availability. If the U.S. demand is still intact and if have you solved for the coated stopper issue and will we see Heparin in the U.S. the revenues from Heparin in the U.S., will it be back in FY '24 or how should we think about it?

Srinivas Sadu: Heparin in U.S., the impact was like I said in coat 30 ml is the largest coat what we sell. And that continued to sell. So that s topper issue has gone away. So we have enough supply now, so that's happening. But we are not selling too much of the other coats, that's where now we are focusing on how to get back into the other 7 or 8 co ats to increase that business. The revenue impact for Heparin has come more from India and ROW in this year.

Nithya Balasubramanian : Got it. And one quick one on Enoxaparin. So Enoxaparin, again, last quarter, you had mentioned Sadu that your run rate is approximately $50 million. And as the rest of the GP the rest of the hospitals that will convert to your product, that can potentia lly go up to $70 million. Do you still anticipate that to happen in FY '24?

Srinivas Sadu: So That's what I told, the compliance what we thought of getting to 85%, 90%, the compliance maybe going around 55%. So the estimated volumes arou nd 20 million, 23 million that is standing around 15 million, 16 million. So the efforts are made how to increase our compliance. So the partner is discussing with GPO because that's not fair that we only have 55%, 60%. So that's work in progr ess, but as of now, we – forecast is around 1 5 million to 16 million as against

'23.
Nithya Balasubramanian : Understood. If I may just squeeze one very short one. Do you anticipate any substantial increase to the cost items in terms of any investments plant -related investment you anticipate making in
FY '24 or are most of the costs in the P&L already?
Ravi Shekhar Mitra : So P&L costs are all taken in. There is no incremental cost which will come up because of any plant coming into commercialization.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Sumanta Bajpayee for closing comments.
Sumanta Bajpayee : Thank you, everyone, for joining us today. We appreciate your participation during the call. And we request if you require any clarity, please reach out t o me. Thank you again. Goodnight.
Moderator: Thank you. On behalf of Gland Pharma Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. GLAND

Call: Aug 2023

August 11, 202 3

BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
25th floor, Dalal Street
Mumbai - 400 001
Scrip Code: 543245 National Stock Exchange of India Limited
Listing Department
Exchange Plaza, 5th floor
Plot no. C -1, Block G, Bandra Kurla Complex Bandra
(East), Mumbai - 400 051
Symbol: GLAND (ISIN: INE068V01023)

Dear Sir/Madam,

Sub: Earnings call Transcript - Q1FY24

Please find enclosed the transcript of the Earnings call for Q 1FY24 of the Company held on Monday, August 07, 2023, at 19.30 Hrs IST. This will also be available on the Company's website and the web link to access the same is https://glandpharma.com/investors/financials

This is for your information and records.

Yours truly,
For Gland Pharma Limited

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"Gland Pharma Limited
Q1FY'24 Earnings Conference Call "
August 07, 202 3

MANAGEMENT : MR. SRINIVAS SADU – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. RAVI SHEKHAR MITRA –CHIEF FINANCIAL
OFFICER
MR. SUMANTA BAJPAYEE – VICE PRESIDENT ,
CORPORATE FINANCE AND INVESTOR RELATIONS

Gland Pharma Limited
August 07 , 2023

Moderator: Ladies and gentlemen, good day, and welcome to the Gland Pharma Limited Q1 FY'24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please sig nal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Sumanta Bajpayee. Thank you and over to you, sir.
Sumanta Bajpayee : Thank you. Good evening, every one. Warm welcome to Gland Pharma's earnings conference call for first quarter of financial year 2024. I have with me Mr. Srinivas Sadu, MD and CEO; Mr. Ravi Shekhar Mitra, our CFO, to discuss business performance and to answer the queries during the call. We will begin the call with the business highlights and overview by Mr. Sadu, followed by financial overview by Mr. Mitra. After opening remarks from management, operator will open the bridge for Q&A session. Our earnings presentation has been submitted t o the stock exchanges and is also available on our website.
Before we proceed with the call, please note, some of the statements made in today's discussion may be forward -looking in nature and are based on management estimates and this must be viewed in co njunction with the risks and uncertainties involved in our business. The safe harbour language contained in our press release also pertains to this conference call. This call is being recorded and the playback of this call will be made available shortly on our website. The transcript of the call will be submitted to the stock exchanges and also will be available on the website.
I will now hand over call to Mr. Sadu for his opening remarks.
Srinivas Sadu : Good evening, everyone. Welcome to our earnings call for the first quarter of fiscal year '24. I want to start the call by wishing you and your family good health.
We have started the financial year on a positive note and the first quarter has demonstrated the same. We have achieved a total revenue of INR 12,087 million for the first quarter of the current financial year. On a Group level, we have also recorded EBITDA of INR 2,982 million with a net profit of INR 1,941 million. As we completed the Cenexi acquisition during the first quarter, a straightforward yearly or quarterly comparison is not relevant. And hence, I will explain the business performance separately for better clarity.
On our base business, during the first quarter of the financial year 2024, revenue from operations grew by 4% as compared to the corresponding quarter of the previous year. The company has improved gross margin, both year -on-year and quarter -on-quarter sequentially due to favourable geography and product mix. On base business, the company maintained a healthy EBITDA margin of 30% and a PAT margin of 21% during the quarter.
Three of our sterile plants were recently inspected by U.S. FDA. And the outcomes of the inspections demonstrate our relentless commitment to being a quality -focused and regulatory - compliant company. Maintaining an unwavering focus on quality and regulatory compliance establishes trust with customers, partners and regulatory authorities and can open doors to new opportunities and collaborations.

The total R&D expense for Q1 FY'24 was INR 457 million, which is 5% of revenue from operations. During the quarter, we filed 5 ANDAs and received approval for 9 ANDAs. As of June 30, 2023, we and our partners have put together 337 ANDA filings in the United States, of which 270 were approved and 67 were pending. The company has a total of 1,620 product registrations globally.
On our Cenexi business, on April 27, 2023, we acquired 10 0% o

f Cenexi and accordingly, two
months financials have been considered in the c onsolidated financials of Q1 FY'24. For the two months, Cenexi clocked revenue of INR3,214 million with gross profit margin of 76% and EBITDA of INR 347 million. During the second quarter of every year, Cenexi sites will be having up to 4 weeks of annual summer shutdown.
As we transition from pre -closing efforts to post -acquisition integration, a dedicated cross - functional team has been formed to drive Cenexi integration. A precise function -by-function integrat ion plan is developed to solve existing operational issues and maximize synergistic benefits. The team's primary focus will be on expediting existing business transformation programs and driving required functional tasks. Efforts are also being made to dev elop a shared long-term business goal for Cenexi and Gland businesses as well as to identify new opportunities that can be targeted using the combined capabilities of both entities and to align collaboration and governance mechanisms for the successful del ivery of integration initiatives.
With this, let me take you through the business highlights across various geographies. On a Group basis, the increased revenue from Europe and Rest of the World is a result of Cenexi's

consolidation. Our base business, aft er excluding Cenexi's financials, has shown positive business traction. Our core markets of the U.S., Europe, Canada, Australia, and New Zealand accounted for 75% of r evenue during Q1 FY'24 as compared to 82% in Q1 FY'23. Total sales for U.S. market grew b y 23% on a quarter -on-quarter basis and declined by 8% on a year -on-year basis.
During the quarter, we launched 23 molecules in the U.S. market, including Regadenoson, Ganirelix, Neostigmine & Glycopyrrolate Injection. We have also seen a higher volume inc rease on some of our old products, such as Esmolol, Caspofungin Acetate, Rocuronium, Heparin and Acetylcysteine. Last year, we witnessed a business loss due to exit of our 2 key customers. I'm happy to inform you that most of the products from that portfol io have now found a new home and are in various stages of launches.
Along with the U.S. market, we are also seeing an increase in sales in European markets. Our Rest of the World markets accounted for 18% of our Q1 FY'24 reven ue compared to 12% during Q1FY'23. We have seen 62% year -on-year growth in revenues for the quarter, primarily driven by the GCC market. We maintained the inventory of raw materials and packing materials to be able to cater to the demand. Our key markets continue to remain MENA, LATAM and APAC and we put effort into driving new partnerships and increased geographical penetration.
The India market ac counts of 7% of our Q1 FY'24 revenue and has seen growth of 2 7% as compared to the same quarter last year.

I now hand over the call to our CFO, Mr. Ravi Mitra, who will share some more insights about our financial performance for the quarter. Thank you very much. Over to you, Mr. Mitra.
Ravi Shekhar Mitra : Thank you, Mr. Sadu. Good evening, ladies, and gentlemen. Thank you very much for a ttending our first quarter earnings call. Our earnings presentation has been uploaded to the website.
Let me begin by sharing the financial performance of the first quarter of the financial year '23 - '24. We completed the Cenexi acquisition during the first quarter and two months Cenexi's results has been consolidated in this quarter. During the first quarter of the financial year 2024, revenue from operations at INR 12,087 million grew by 41% as compared to the corresponding quarter of the previous year, of which 37% was contributed from inclusion of Cenexi revenue and 4% from the growth of base business.
Other income for the first quarter of the financial year 2024 wa s INR 375 million, which includes largely in terest on fixed deposit

s of INR 351 million. There were no foreign exchange gains for the quarter. Instead, we had a foreign exchange loss of INR 42 million, which gets included in the other expense line item in the results. Foreign exchange gain during the same peri od in the previous year was INR 342 milli on.
Gross margin for Q1 FY'24 was 63%, a significant improvement as compared to 56% in Q1 FY '23 due to the high gross margin of Cenexi. Being a CDM O company, Cenexi enjoys a high gross margin. And during the period of May '23 and June '23, they reported a gross margin of 76%. On the positive side, our base business has also witnessed an improvement in gross margin on both a yearly and sequential basis due to improved margins from the U.S. portfolio.
On a consolidated basis, we have reported an EBITDA of INR2,982 million in Q1 FY'24 and an EBITDA margin of 25%. On ex -Cenexi basis, the base business maintained a healthy EBITDA margin of 30%.
In Q1FY'24, we witnessed an increase in power and fuel cost by 46% year -on-year basis due to high power and fuel cost at Cenexi. On our base business operation, we witnessed a 14% reduction in power and fuel cost during this quarter as compared to the same period of the previous year.
In Q1 FY'24, manpower cost increased by 160% year -on-year basis due to the acquisi tion of Cenexi. On our base business operation, we witnessed a 6% increase in manpower cost during this quarter as compared to the same period of the previous year, which is in line with internal estimates.
Our net profi t for the first quarter was INR 1,941 million as compared to INR 2,292 million during the corresponding period of the previous year, a decrease of 15%. Whereas the EBITDA grew by 10%, increase in depreciation at Cenexi and foreign exchange loss for this quarter compared to the FX gain in the p revious year have led to a decrease in PAT . The PAT margin for the quarter was 16% and the effective tax rate was 25.7% for the quarter.

The total R&D expense s for the first quarter were INR457 million compared to INR 410 million for the same period of the previous financial year and stood at 5% of the revenue from operations on an ex -Cenexi basis.
Cash flow from operations for the first 3 months of the cu rrent financial year was to INR 629 million. Cashflow from operation s during the quarter was impacted d ue to the normalization of the working capital cycle at Cenexi following our acquisition. Cash conversion cycle stood at 233 days for the quarter, an improvement from the March '23 level. We had a high inventory and receivable level at the beginning of the year, which has improved considerably during the quarter. We continue to monitor the working capital level to improve the cash flow from operations.
Total capex incurred during the quarter was INR 687 million, largely spent on our suit e 9 Combi -line. We ar e adding new capabilities of Microsphere Combi -line, additional Bag line in Pashamylaram facility in Hyderabad.
Our ROCE on an ex -cash basis stood at 13% and fixed asset turnover at 1.9x for Q1FY'24. As of June 30, 2023, on a Gro up level, we had a total of INR 20,418 million in cash and equivalents. Due to loan on Ce nexi's books to the tune of INR 4 billion, our net cash position was INR16,356 million on 30th June , 2023 .
On Cenexi, we advanced to the post -acquisition integration stage in order to meet the strategic goals defined during the pre -closing stage. Cenexi integration is being pursued by a dedicated cross -functional team and a detailed function -by-function integra tion strategy is being developed to optimize existing operations and realize synergistic benefits. The management team remain ed dedicated to the success of this acquisition. In this regard, we have begun to assess Cenexi's future cash requ irements for c apex, which will drive operational improvements and the creat

ion
of assets to accomplish future growth.
With this, I would request the moderator to open the lines for questions. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Tanmay from Mirae Asset. Please go ahead.
Tanmay: A couple of questions from my side. So first on the synergies that you spoke about. Could you give some more granular details as to what kind of synergies are we expecting maybe on the cost side or in terms of product portfolio? And secondly, in terms of overall cost for this, would there be any one -time costs that would be coming?
Srinivas Sadu : So, on the first question, on the synergies, there are severa l, I would say. They have a few technologies which we don't have. So we are now coming out of the portfolio which we can make in that side, especially they have an oncology pre -filled syringe technology which we don't have and there are some CDMOs which ar e using that having good profitable products. We also manufacture colour ed products. Again, the competition is very less in those products. And then also some sterile gels, they have technology in that as well. That's from the technology perspective.

We're also in touch with several strong partners whom they have who are looking at taking our products to rest of their own markets and some to U.S. as well. We have shared some products with them and they are in discussions. So there also, it's a chance o f our products going into other markets through this network.
Some of these partners have getting manufactured at this site for Japan and some of the markets where European costs are still workable, but they're taking these products from some of other manu facturers because of the cost benefit they get from ROW. So those are the products we're also discussing if they can move to India. So there are several areas where we are looking at some synergies perspective. Also, the cost benefits we're looking at, cur rently, they source a lot of materials from European suppliers. So we identified the areas where we can coordinate and also make a common purchase so that the re will be improvement in costs o n the second question?
Ravi Shekhar Mitra : Yes. On the opex cost, there is no which is anticipated at this point of time.
Tanmay : So, no one -off costs would be coming, right, in terms of consultancy or any other targets?
Ravi Shekhar Mitra : No, all the M&A -related costs has been spent. But the one we are working on are integration, that would be there. Other than that, there is no anticipation for any other costs.
Tanmay : Okay. And what could that be in terms of quantum, if you could just roughly, if you could just share?
Ravi Shekhar Mitra : No, we cannot. It's not a sig nificant amount at all.
Srinivas Sadu : That's more on a consultancy fee or charge for the to do the post -merger integration. So that's not substantial.
Moderator: Thank you. The next question is from the line of Neha Manpuria from Bank of America. Please go ahead.

Neha Manpuria : My first question is on the U.S. base business. We've seen a very strong pick -up quarter -on-quarter. And I think, sir, you mentioned in the opening remarks that the 2 customers where we've been able to shift the volume to n ewer customers. Has that been reflected in this quarter or should I assume that flowing through on the 72 million that we have reported in the quarter?
Srinivas Sadu : So, what I would say is out of 23 molecules which we launched, 7 molecules are new molecu les. These are new launches, 15 are the relaunches. So combination for the 2 companies who have got out this business, but there are another 12 to 13 products, which will get launched next quarter. But I would say this is like a relaunch. So the business w ill only grow from now because these are just large quantities,

which went as supply.
Neha Manpuria : Okay. So it's fair to assume that we should build that on the 72 million that we have reported in this quarter?
Srinivas Sadu : Yes. So more launches will be coming. So yes.

Neha Manpuria : Understood. And sir, what w as the profit share in this 72 million or the profit share number, the percentage of total sales that you mention usually?
Ravi Shekhar Mitra : Yes. So it is 11% on the standalone ba sis. If you consider revenue of standalone, it is 11%.
Srinivas Sadu : 11% on a standalone basis, yes.
Neha Manpuria : Okay. Got it. My second question is on the ROW business. If I look at that number quarter -on-quarter for the ex -Cenexi business, that's act ually come off. We haven't seen any improvement. So I'm just trying to understand, are the supply issues that we saw last year, have they not fully been dissolved? Are there any tenders that we are not being able to capture? How should we look at that ROW business with?
Srinivas Sadu : So it's a concentration. Some of the products where it's very low margin, especially the Enox a and Heparin. Because it's a low -margin business, it's time to focus on the high margin. Now that the revenue we have high revenue c oming from Cenexi business also, I think it's time for us to increase profitability. That's the idea, at the same time, making it more efficient in terms of operations. That's the only reason.
Neha Manpuria : So, then is there more such, let's say, the exit of the low margin that we see on ROW business or most of it is done and dusted and now we should get back to grade?
Srinivas Sadu : I think most of it is done because a specific focus on these 2 molecules where we're only going after the markets where we're still able to get some garner some profit on these molecules. But otherwise, we have kind of slowed down on that, but I think it's kind of settled.
Neha Manpuria : Understood. And therefore, how should we look at growth for the ROW businesses? I mean, should it be what we were doing historically, the double -digit growth or is it be a more gradual build because we still need to develop the Cenexi portfolio and then growth?
Srinivas Sadu : I would say, it should consider to the gradual business growth because I think we have -- from a priority perspective, Cenexi business has a lot more to gain. So a lot of efforts are going into that in terms of how to grow profitability on that business because the opportunities a re plenty there.
Neha Manpuria : Understood. And my last question on Cenexi. The 4 -week annual shutdown that you mentioned, since this is a planned shutdown, is it fair to assume that this won't impact our top -line in a very meaningful way because you would have built inventory to meet the requirements for the quarter? Would that be a fair assessment on how we should pencil in this shutdown?
Srinivas Sadu : Yes. on an annual basis, it's a common thing every year that's why we made that announcement. So, on a quarterly basis, if you look at the current quarter from May and June, we have considered 2 months' consolidation. So for the next quarter also, probably it will be in that similar range.
Moderator: Thank you. The next question is from the line of Shyam Srinivasan from Goldman Sachs. Please go ahead.

Shyam Srinivasan : Just my first question, again, just on the U.S. business. So, it declined 8% Y -o-Y, maybe constant currency maybe a little lesser than that perhaps. So I just want to understand, how s hould we look at the path forward? And if you could also help us understand what is the kind of pricing erosion, esp ecially on injectable products?
Is that something that we're hearing commentary about the oral solids actually improving or price stability is a common used word by multiple management. So what are you seeing?

I know
it directly doesn't impact you, but just from your experience of what your customers are
experiencing on injectables? That's the first question.
Srinivas Sadu : So, kind of price e rosion kind of it's neutral. If you look at our growth coming from quarter -on-quarter, the growth came from new launches, about 10%, 11% and volume growth about 4%, 5%. But from prices, it's almost stable. I think 1% negative or something. So it's almost s table. So I would say, there's not much price erosion happening at least for the base portfolio what we have launched.
Shyam Srinivasan : The 15% is the constant currency growth? Is that what you're calling out Q -o-Q?
Srinivas Sadu : from the INR perspective rate.
Shyam Srinivasan : Your Q -o-Q growth is 23%, so I'm whatever you've given in rupee million. So I'm just looking at your press release.
Srinivas Sadu : So I'm only talking about products. We also have a milestone and profit share coming up separately. But from the product perspective, 11% coming from new launches and about 4% coming from volume growth of the products what we launched earlier.
Shyam Srinivasan : And what's this milestone, sir, or is it there in historical quarters or sorry, if you could explain?
Srinivas Sadu : Yes, it's always there, it's part of our business because when you make new contracts all is licensed products. So that income is always there.
Ravi Shekhar Mitra : Yes. So this quarter it was 11% on a standalone basis of the r evenue.
Shyam Srinivasan : Got it. That's helpful. So my second part of that question was how should we look at growth for your main region, which is U.S., right? So just want to understand how should we look at the remainder of the year? Anything in terms of whether sequential momentum or Y -o-Y we're still on ongoing Y -o-Y. So just want to get some directional sense on the remainder of the year, even if you were sharing something on the full revenue, core business is what I'm asking?
Srinivas Sadu : So quarter -on-quarter, sequentially, it will be a steady growth, for sure. I think we I don't think there will be a decrease in the numbers. And if you look at Y -o-Y last year, I think we had that quarter where we had a substantial Enoxaparin sale in the U.S . and in my last call, I said it is a rationalization of inventory. So this year, there's a substantial decrease in Enoxa sales in the U.S., but that's going to pick up from next quarter. That's the major difference. But good thing is other products have s tarted to grow in terms of volumes. So it will be a sequential growth, steady growth, yes.

Shyam Srinivasan : Helpful. Sir, my second question, for the 2 months of Cenexi, so I think May and June, what is the growth rate that you're seeing there?
Srinivas S adu: Around 10%.
Shyam Srinivasan : Okay. That's about 10% growth, is it?
Ravi Shekhar Mitra : Yes, but you need to look at annual basis. So 2 months may not be the right way to look at. So we'll see how full year basis it pans out.
Srinivas Sadu But because that's been the CDMO business, 1 month here and there will happen depending on the dispatches and projects completion. So on an annual basis, we have to see.
Shyam Srinivasan : Last question, the high gross margin and low EBITDA margin. Is ther e a construct at least on the EBITDA side, is there a construct that we can improve this? You talked about all the synergies, but are you putting down like a margin target or absolute cost that can be actually reduced over like whatever, 3, 5 years, whatev er you want to call it? Is there something that you would like to guide us, sir?
Srinivas Sadu : Yes. The opportunities to make it more efficient and reduction of costs are plenty. One is, of course, as you know, fixed costs are there. Any additional busine ss generation will add to the bottom line. That's one. Second, on the cost side as well. Of co

urse, that's been our strength.
How to make it more efficient. Currently, the OE at which they're running is low compared to what we do at our sites. So there's a substantial improvement which it can do. And of course, added to the supply, the sourcing and all that, those are additional benefits. Yes, there's a lot of opportunity which we can improve at if we can focus on operational efficiencies at that site.
Mode rator: Thank you. The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.
Tushar Manudhane : Sir, just again on this profit share. So what should be the sustainable number to look for from a gross margi n perspective? Because if I exclude the profit share element, both quarter -on-quarter, then gross margin is more or less at 46.5%.
Ravi Shekhar Mitra : The profit share would be a factor of the ultimate pricing at this level. So we think that this should be the range. If you see historically also, we moved around 8% to 10%, 11% is normally has been the range . So that we can estimate for going forward.
Tushar Manudhane : So considering the contracts in hand for the remaining of FY '24, can 11% be taken as a pro fit share anyway?

Ravi Shekhar Mitra : No. Annual wise if you see, it is it was 8% and moved around 8% to 10% basis.
Tushar Manudhane : Understood. And just in the presentation you have highlighted about this Liposomal product, Cenexi new contract, any color you would like to give in terms of how is this opportunity?

Srinivas Sadu : No, we can't comment on that. It just shows the technology what they have and that's also another synergy we're looking at. We don't have that capability at Gland . So we'll start l ooking at developing the portfolio to that as well. Too early to comment on that.
Tushar Manudhane : Okay. And just lastly on R&D spend, it has been on an absolute basis quarter -on-quarter lower. So what should be a sustainable win rate to look for both as a percentage of sales or on an absolute basis?
Ravi Shekhar Mitra : So last quarter January to March was a little lumpy because of more filing happened in that quarter. But our range is generally 5% of the standalone revenue basis.
Moderator: Thank you. T he next question is from the line of Bharat Celly from Equirus Securities. Please go ahead.
Bharat Celly : Sir, just wanted to get sense on milestone income. So what was it last quarter and how much is it during this quarter, if you could quantify it?
Ravi Shekhar Mitra : So, last quarter means Q4 of FY '23 it was 7%.
Bharat Celly : So, we are referring to a profit share number. I'm referring to the mileston e income, only milestone income?
Ravi Shekhar Mitra: Correct, understood. Milestones income in Q4 FY '23 was 7% and in Q1 it was 9%. and in this year this quarter, both milestone and profit share are 11%. These all numbers are on standalone basis I'm talking.
Bharat Celly: Right. And since we have actually collaborated with the newer partners for almost like 15 products, which were getting registered last quarter. So have we received any extra milestone payment related to those 15 products during this quarter?
Srinivas Sadu: No, not much because these are more generic products. So these are more profit share end of arrangements what we have. We have done several technology transfer projects as well, part of this. In the last few quarters, that's also been a focus where we're t rying to do a lot of technology transfer projects from big pharma to so that the margins are better and also getting into a high margin product portfolio.
Moderator: The next question is from Bino Pathiparampil from Elara Capital.
Bino Pathiparampil: Sir, if I heard rightly, you launched 23 products in the U.S. in 1Q, seem to be a bit of bunching up there. What would be your target for the full year? And on an ongoing basis f

or the next couple of years, how many products do you target to launch in the U.S. per year?
Srinivas Sadu: So normally it's around 24, 25 our own products and then tech transfer, we do about 10 to 12. So last year, I think we did 39 launches. And this year, because of the relaunches what we're doing, we have done more. But normally, it's around 40 molecules.
Bino Pathiparampil: So for this year will it be higher or around 40?

Srinivas Sadu: No, this will be higher because of course, if you consider the relaunches, relaunches will be around 23, 24 more than normal.
Bino Pathi parampil: Okay. So total we are talking about 60 plus?
Srinivas Sadu: Yes.
Bino Pathiparampil: Okay. And next year onwards on a regular basis we can expect around 40?
Srinivas Sadu: Correct.
Moderator: The next question is from the line of Alisha Mahawla f rom Envision Capital Services Private Limited.
Alisha Mahawla: Sir, just wanted some color from you in terms of how is the drug shortage scenario in the U.S. currently? And are there any spaces where there could be an opportunity for us in the near to medi um-term?
Srinivas Sadu: You're talking about drug shortages?
Alisha Mahawla: Yes.
Srinivas Sadu: Yes, I know you might have heard in the news as well. So a lot of oncology products are under drug shortage situation. So there could be some opportunities com ing that way, yes.
Alisha Mahawla: During COVID we used to highlight that the US FDA would obviously look at this and would contact players like Gla nd to ensure that there were sufficient supplies in the market. So just wanted to know if anything like that is already in motion?

Srinivas Sadu: Yes, that's happened. And we are also monitoring through our partners which are those products. Like I've been always saying, the reaction time is a little longer than earlier because a lot of oncology products, the pr ocurement time is longer from a material perspective. But the opportunities are there and we are working on those for sure, yes.
Alisha Mahawla: And my second question is on Cenexi's margins. By when do we expect so I did hear that there are steps in place that will start coming in from the next few quarters, but is there an aspiration by when they can come closer to the standalone margins that we used to do?
Srinivas Sadu: The standalone margin of Gland probably is it's a long shot. It will take some time, but at least the margin improvement you should see from I think the target internally is 2 quarters from now, 1 to 2 quarters because the base costs are higher compared to here. Probably a year, 2 years down the line, once we invest into some more additional capacities or more efficient lines and then I think you might see a larger benefit from it. But in the next 2 quarters, you'll see some improvement in the margins.
Alisha Mahawla: But can they go up to 20% or high teens ?
Srinivas Sadu: Not in th e near -term, but maybe in the future years.

Moderator: The next question is from the line of Ashish Thavkar from 361 Asset Management .
Ashish Thakkar: Sir, anything on biosimilars and obviously we also launched a product in China. So if you can give us any color as to what the number of launches that we are doing in China? And what could China become like 3 years out? What proportion of total revenues it can be? And plus also on the biosimilars part.
Srinivas Sadu: Yes. So the biosimilar part, like you said , we signed one, the plasma protein contract. That's not really a biosimilar, but similar. So but the rest, I think it's a slow move now because of the tight investments coming into that sector. But we are interacting with a lot of customers on that, I would say. China, one product is launched last quarter. Still we are monitoring the market from which how the revenues will

look like. One more product will be launched soon. The second product is closed to approval. So that will be launched in the subsequent quarter.
Ashish Thakkar: And you would expect the China economics to be more or less similar to the U.S. or to the ROW markets?
Srinivas Sadu: Current pricing looks better than that has been in the U.S. The 4 products is expected to get launched in the ne xt 9 to 12 months.
Ashish Thakkar: And this will be through the partnership model, right? The front end actually will be through a partnership model.
Srinivas Sadu: Correct.
Ashish Thakkar: Okay. Fair enough. And sir, lastly, on these Pfizer's disruption a t their injectable facility, anything which is coming our way? Any discussions with our distributors or our potential partners?
Srinivas Sadu: If you really look at the products what got disrupted, many are not in our portfolio. There are a few actually wh ich already got moved to Gland's facilities earlier part of this year, the 2 products which are already moved. So the opportunity is there for 1 or 2 products, but not substantial.
Ashish Thakkar: Okay. Fair enough. And sir, you said normalization in sales from 2 of the customers where we have seen disruption in the recent past. So when you say normalization, do you mean that the sales decline has got arrested?
Srinivas Sadu: Yes. So because they were completely exited now we have to r ebuild that business. There are a few products where the buyer has already taken over the contracts. The 4 or 5 products which are under the GPO contract, that got transferred to the buyer . So that's getting continued. So once they started selling of the i nventory what they got from the previous company, then they started placing orders. So those will be back.
The rest of the products, we are launching through other customers. So they will be rebuilding their business. So of course, most of these are not ex clusive products, they had already been sold to other customers also, but these new launches will also help add more volumes.

Ashish Thakkar: Fair enough. Sir, last question on, since we are also planning to launch onco injectables, but there are lot of ma ny companies, including the likes of Torrent, Alembic and possibly Caplin as well. So how do you see that competition panning out in your onco injectables? It seems everyone wants to take a deep eye, which is readily available. So how would you like at least from the next 1 to 2 quarters, do you feel that there would be a bunching up of launches and

possibly there could be some as far as the price discipline is concerned, what would be your view?
Srinivas Sadu: No, we're always there in onco, it's not ne w launches for us. Most of these products are already approved and there. We've been selling a lot of oncology products historically. It just does because shortage situation, some products might sell more like Cisplatin and Carboplatin. And some of these p roducts, the demand is high because of the shortage. But otherwise, it's not a new entry for us.
Ashish Thakkar: Okay. And in your sir, just lastly, sorry. In your past experiences in your assessment, how long would the shortages last? Typically, what is t he cycle?
Srinivas Sadu: It depends. Some are longer, but depending on demand, because especially oncology, the players who entered had market share of 50%, 55% for most of the products and to replace that from a single facility will be difficult. So it co uld last a bit longer than anticipated. But I mean, we can't really guess how long the shortages will happen. Sometimes it go away in 3 months, sometimes it could be for a year.
Moderator: The next question is from the line of Harsh Bhatia from Bandhan Mut ual Fund.
Harsh Bhatia: Sadu sir, just 2, 3 quick clarifications. In terms of these large products that we are currently catering to primarily for th

e U.S. market in terms of, let's say, Vancomycin or Heparin,
Daptomycin, over the last 2, 3 years, we have seen a couple of Chinese players enter the market. Some might be doing front end and some might be doing the contract manufacturing receiving more part of it for the injectables, purely for the U.S. market. Just to get a little bit more flavour in terms of their behaviour and why have they or rather at how their behaviour is panning out in the last 2, 3 years? Like anything incremental that you can help us understand?
Srinivas Sadu: There is an aggressive pricing, which happened, I would say, still recent p ast. We see now a bit reasonable in terms of the launches what we have made in the recently. So I think people are realizing long -term it doesn't work with that kind of an aggressive pricing, especially with the FDA inspections happening and going after ag gressively the facilities. So maintaining GMP standards for a longer time and continuous investing into R&D and infrastructure unless, you have enough margins, it's very difficult to sustain. So I think now that inspections have started again, we should se e some sanity in terms of the pricing.
Harsh Bhatia: Sure. And in terms of 1 particular product, Ketorolac. If you may we have seen our partners consistently gain market share, at least that's what the secondary data shows. So is there anything particular that's happening at that front? Is there any player exits that are happening or some incremental opportunity that we are seeing because this is something that's panning out over the last few quarters? So this is primarily for Fosun and Alvogen .

Srinivas Sa du: So we have a big share of that market. All these partners source product from us. Technically, it's a difficult product and a high -volume product. So companies have approvals, but not able to consistently supply. It's an alcohol -based product and also some SKU is more difficult to manufacture. So it's I would say, it's a technically difficult product to make at the same volumes as like other products. That's been one of the reasons people are not able to supply. So for many quarters, we have the we held a substantial market share for this product. And in spite of having a lot of approvals, you don't see them selling a lot of quantities of this product.
Harsh Bhatia: Sure. That's helpful. And lastly, just as a broader thought process. So you're talking ab out these relaunches over the FY '24 period, the high number of relaunches primarily. Just to get the thought process right, the way to think about it is that we are basically it's basically a reconfiguration of our client because of any particular reasons and the only way to win or grow the top -line through these launches is us to get back into the market and gain the market share. That's the broader thought process, right? I'm just trying to understand how are we looking at these incremental opportunities or rather the base opportunity in terms of availability to relaunch and then gone back to market share that we've already lost?
Srinivas Sadu: So there are a few things. I mean, the companies who exited this business, got out of injectables. So we had sev eral products with them. And when they exited, they held some GPO contracts, which are tied up to our products. So when I think, Sagent acquired this business, they acquired these contracts as well. So they'll start taking products from us. So these products are the relaunch, but basically, the GPO contracts will continue. So what we lost for a quarter or 2 quarter, we'll restart again and that's what happened this quarter.
The other set of products, because of competition, there was a pricing issue. So people couldn't sell or partners could not sell. These are relaunches happening based on our own internal life cycle management, what we have done with products, reduction

of cost, change of API sourcing,
increase of batches so we could have come out wi th a competitive pricing. So we relaunched it
so that we can have a better edge in terms of competing with the others. So these are two ways
to look at it.
Moderator: The next question is from the line of Nithya Balasubramanian from Bernstein.
Nithya Balas ubramanian: Sadu, can you give us an update on the complex injectable filings as well as your pipeline?
Srinivas Sadu: Yes. So we have filed 7 complex products. And then we have another 12. So we're going to file
4 more this year. So that will be 11. Then we have another 8, I think total is 19. Another 8 in the
next 12 to 14 months. So that's the pipeline we have. With Cenexi coming onboard with the
liposomal technology, we're going to add more products now with the portfolio, yes.
Nithya Balasubramanian: Ex-Cenexi, are these most can you just talk a little bit about the technology? Are these all
suspensions, microspheres, if you can just give us a little bit of color? And also, when are you
expecting some of the approvals the first set of approvals to come?
Srinivas Sadu: So there are 4 complex peptides, 1 emulsion, the 7 hormonal suspension products. Then there
are 2 microspheres, 1 nanosuspension and 4 normal suspension. So the 19 split. One complex

peptide we just launched last quarter. It's not a huge pr oduct, but limited competition. But the
rest, we are waiting for approval.
Nithya Balasubramanian: Any large opportunity that you're expecting in FY '24?
Srinivas Sadu: '24, either it's the last quarter of FY '24 or the first quarter of '25 based on the go al date what we
got.
Nithya Balasubramanian: Got it. The second one second question I had was on Enoxaparin. You had mentioned at some
point that we would expect the run rate to go up because Kabi is transferring all the volumes to
Gland. Is that still the expectation in FY '24? Will we see that in this year?
Srinivas Sadu: Yes. So we have our agreement is active. It's just that they are rationalizing the inventory. The
earlier run rate what they thought was 24 million, now it's around 15 million. And the inventories
what they built -up is getting reduced. That's the reason why we couldn't sell ship this quarter,
but you see that moving from next quarter. Yes, I think their expectations are of 15 million
syringes a year.
Nithya Balasubramanian: Under stood. And if I may squeeze in another one. On Cenexi, I think the gross margins obviously
look very attractive. If you can just help give us some color as to why that is the case? Because
I look at any other European CDMO, I'm tracking nobody is even in t he range, Lonza or
Siegfried the Recipharm are even close to the gross margins of the next big. So what explains
these high gross margins? And do you think they're sustainable?
Srinivas Sadu: I think most several products what they have are unique in natur e, it is only the brand selling
this or the company which bought the brand. One product actually USis exclusive. And there's
I also talked about a pre -filled syringe, oncology product. Again, it's a single product. So they
have several of that nature where not many CDMOs are doing it. And that's the reason we said
we actually identified several products where we dropped it. Now that they have these
technologies, they want to enter. I think I would say that's one of the reasons why they have the
high margins here.
Moderator: The next question is from the line of Anubhav Sahu from Macro Research.
Anubhav Sahu: A couple of questions. One on this new product, Heparin and Enox a. If you could talk a little
more on the near to medium -term stack on these 2 product l ines. So is it looks like a case that
we are gradually exiting from this space. So if you have would you have any internal target
you're getting maybe in terms of sales volume or percentage of s

ales to poll? If you could
elaborate more on this strategy par t?
Srinivas Sadu: No, these as a company, it's these 2 are important products for us. We're never going to exit that.
We just are limiting certain markets where the margins are too low and trying to focus on
operational efficiencies for see ultimately, the return on investment is there. We can't invest our
lines on products where there is not margin, but it's not that this is going to stay forever. For
example, Heparin, based on the work that we have done in approving several crude suppliers
and additional Heparin suppliers through our network in China, we could reduce some costs and

now you will see some volumes moving in the U.S. also, they're trying to become more
competitive.
So it's a question of how much backward integration you can go in these molecul es. And so it's
just like slowing down in some markets till you get those market shares. Still, we feel we are far

better off in terms of competition other than 1 or 2 Chinese players who are 100% backward integrated. But then we have an edge in than many others as well. So it's not that we're exiting. It's just that we're trying to be more selective in selling now, while we work on the improving the costs. That's the whole idea.
Anubhav Sahu: Understood. And if I get it right, these 2 products, that you're expecting around 20%, 25% of sales? For the U.S. market, could you give any idea how much of this sales I mean, sales as for these 2 products are coming from U.S. market?
Srinivas Sadu: So wh ile last year, it was 25%, 27%, this year already it's reduced. So in fact, that's a good sign because the dependence on that has come down. We have launched several other products, which have taken load off these molecules, which are better, more profitab le. While we are working on improving the costs for products like Heparin, we're trying to see how we can do our pricing to get some contracts in the U.S. So that's the plan.
Anubhav Sahu: Okay. And like out of this INR1,000 crores now probably it has redu ced. So how much of the percentage of sales coming from these 2 products is from U.S.? If you got some kind of estimate because probably U.S. is one market where you probably are slowing down with 2 products.
Srinivas Sadu: We can come back to you with the exact number for the last quarter, what percentage are from these 2 products. So Sumanta can send message . Sumanta can address you offline.
Anubhav Sahu: Okay. That ’s great. And secondly, just a clarity on this Q -on-Q number for U.S. You mentioned out of 25% growth, we have seen 11% from the new launches, 4% from the volumes from the existing products, right? And so that takes it around 10% because of the milestone payment. Did I get it right?
Srinivas Sadu: So you see, overall it ’s 11%, but the U.S., the new launches and quantity is almost 20% growth .
Anubhav Sahu: Can you come again?
Srinivas Sadu: Overall, as a company, 11% came from new launches. But if you see just the U.S. between new launches and quantity, it's about 20%.
Anubhav Sahu: 20%. Okay. And the rest of it is milestone of around 4% to 5%?
Srinivas Sadu: Yes, correct.
Moderator: The next question is from the line of Tushar Manudhane from Motilal Oswal Services.
Tushar Manudhane: Sir, in the previous remarks, you highlighted that the pricing fo r in China is better than U.S. even after considering it being a tender nature of the business being tender, still you think the pricing is much better than U.S.?

Srinivas Sadu: So the portfolio what you have selected has this nature. We're not going after every product where it gets into that tender, but we are selecting products which are not part of that. That's where the margin are.
Tushar Manudhane: And this you're referring from a gross margin?

Srinivas Sadu: Correct.
Tushar Manudhane: And secondly, j ust the profitability for these new customers which we have added as we lost certain customers or certain customers going bankrupt, so if it to me whatever new customers you have added, the profitability is more or less similar or they are now at a lower m argins?
Srinivas Sadu: So although the contracts -- contractually, we have a higher profit share because the milestone income is availed for most of the products. But because of the pricing, probably it could end up at the same level.
Moderator: The next question is from the line of Sunil Khatri, who is an Individual Advisor.
Sunil Khatri : Yes. My question is a very small question, that revenue from India is very small portion of total turnover of our company. So if there is any special efforts are yo u going to put for the increase the revenue from India operations?
Srinivas Sadu: See, our portfolio, if you look, mostly it's hospital injectable products and mostly these are under NLEM in the price control. And that's the reason why we've been facing the issue of sales because highly GMP compliance today the costs are always high, which t is very difficult to compete in this tender market. But we are evaluating. We have too many things on hand now, but we are also looking at a branded business, if we can get into that kind of an area. But that's more on our strategic discussions what we are having, but not in the near -term, no.
Sunil Khatri : Okay. One more further small question. The Cenexi's revenue for 2 months is only there. It is around INR3,214 million. So you can assume that INR20,000 million will be there annually?
Srinivas Sadu: Yes. Last year, the revenues was around EUR 190 million was the sales last year. So you can assume it will be in that range this year.
Sunil Khatri : Okay, sir. Tha nk you, and congratulations for providing better results compared to Q -on-Q.
Moderator: Thank you very much. That was the last question. I would now like to hand the conference back to the management team for closing comments.
Sumanta Bajpayee : Thank you f or joining us today on our first quarter earnings call. We appreciate your

participation. If you have any further queries or clarifications, please feel free to get in touch with us. Thank you. Good night.

Moderator: Thank you very much. On behalf of Gland Pharma Limited, that concludes the conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Call: Nov 2023

November 11, 202 3

BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
25th floor, Dalal Street
Mumbai - 400 001
Scrip Code: 543245 National Stock Exchange of India Limited
Listing Department
Exchange Plaza, 5th floor
Plot no. C -1, Block G, Bandra Kurla Complex Bandra
(East), Mumbai - 400 051
Symbol: GLAND (ISIN: INE068V01023)

Dear Sir/Madam,

Sub: Earnings call Transcript - Q2FY24

Please find enclosed the transcript of the Earnings call for Q 2FY24 of the Company held on Monday, November 06, 2023, at 18.30 Hrs IST. This will also be available on the Company's website and the web link to access the same is https://glandpharma.com/investors/financials

This is for your information and records.

Yours truly,
For Gland Pharma Limited

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"Gland Pharma Limited Q2 FY2023 -24 Earnings
Conference Call "

November 0 6, 202 3

MANAGEMENT : MR. SRINIVAS SADU – MANAGING DIRECTOR & CEO
MR. RAVI SHEKHAR MITRA - CFO
MR. SUMANTA BAJPAYEE – VICE PRESIDENT ,
CORPORATE FINANCE AND INVESTOR RELATIONS
GLAND
GLANDL «

Moderator: Ladies and gentlemen , good day , and welcome to the Gland Pharma Limited Q2 FY2023 -24 Earnings Conference Call.
As a reminder, all particip ant lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please sig nal the operator by pressing '*' and then '0' on your touchtone phone.
Please note that this conference is being recorded.
I now hand the conference over to Mr. Sumanta Bajpayee. Thank you , and over to you, sir.
Sumanta Bajpayee : Thank you. A warm w elcome to Gland Pharma's Ea rnings Conference Call for the 2nd Quarter of Financial Year '24.
I have with me Mr. Srinivas Sadu - Managing Director and CEO , Mr. Ravi Sh ekhar Mitra - our CFO , to discuss the "Business Performance " and to answer queries during the call.
We will begin the call with business highlights a nd an overview by Mr. Srinivas Sad u, followed by a financial overview by M r. Ravi She khar Mitra. After opening remarks from the management, the operator will open the bridge for a Q&A session. Our "Earning Presentation " has been submitted to the stock exchanges and is also available on our website.
Before we proceed with the call, please note some of the statements made in today's discussion may be forward -looking and are based on management estimates , and this must be viewed in conjunction with the risks and uncertainties involved in our business. The safe harbor language contained in our press release also pertains to this conference call. This call is being recorded , and the playback shall be made available on our website shortly after the call. The transcript of this call will be submitted to the stock exchanges and made available on our website.
I will now hand over the call to Mr. Sadu for his opening remarks. Thank you all . Over to you, Mr. Sadu.
Srinivas Sadu : Thank you, S umanta. Good evening , everyone. Welcome to our 2nd Quarter fiscal year 2024 Earnings C all. I want to begin this call by wishing you and your family good health, happiness , and prosperity. A s

the end of 2023 gets closer and this will be our final call for the year , I will also take this opportunity to extend season and festive greetings on behalf of Gland.
Let u s discuss the Quarter's Financial Performance and Business Highlights :
Like the previous quarter, we have provided updates on the standalone Gland entity and the group performance , including the financial data from our recently acquired CDM O business operating under Cenexi . We are delighted to report a consistent performance in line with our expectations for the quarter. The revenue growth trajectory has been steady across key markets and products, mainly fueled by new launches and the consistent market share of our top products

across our B2B partners. We reported a revenue of INR 13,734 million in Q2 FY24 compared to INR 12,087 million in Q1 FY24 and INR 10,444 million in Q2 FY23, demonstrating quarter -on-quarter and year-on-year growth of 14% and 32% , respectively .
In Q2 FY 24, our core markets of the US, Europe, Canada, Australia , and New Zealand contributed 74% of revenue, up from 72% in Q2 FY 23. Total sales for the United States, the company's largest market , increased by 22% quarter -over-quarter and 9% year -over-year.
During the quarter, 15 molecules (14 in the US) were launched or reintroduced in these markets .
The new introductions to the market also included some niche products such as Calcitriol, Fluphenazine, and Desmopressin , for which our partners have begun to see traction and we remain optimistic about the future growth in volumes.
During the quarter, the pricing environment for most of our products remained stable , and we saw an increase in volume for some of our older products , including Ketorolac, Rocuronium, Fluorouracil , and Esmolo l. In addition to the US market, we also see increased sales in Europe and Australia. Maximizing the reach of our US-approved portfolio will be a key factor in our continued growth and market expansion. The rest of the world markets contributed 19% of our

revenue in Q2 FY 24 compared to 21% in Q2 FY23. These markets experienced a 9% decrease on a quarter -on-quarter basis , mainly due to the uneven procurement schedule of the rest of the world business and lower sales of the key partner in Cenexi . We expect the rest of the world's demand to remain stable as we align strengths to expand our market reach and establish new partnerships.

The India market accounts for 6% of our Q2 FY24 revenue and has seen growth of 21% as compared to the same quarter last year. We continue to operate within the realm of opportunities in which the portfolio holds the potentia l to improve the overall health of patients significant ly.

From a margin and profitability standpoint, we reported an EBITDA of Rs. 3,205 million with a net profit of INR 1 ,941 million in Q2 FY 24.

Moving on to operations :

The company emphasized efficiency in operations and productivity enhancements while delivering consistently high-quality products . We continue to put first regulatory compliance with the agencies and our partners. We also concluded a successful audit by EU authorities at the Pash amylaram site.

On the R&D front :

Total R&D expenses for Q2 FY24 were INR 351 million or 3% of our operating revenue. We filed 1 ANDA in the quarter and received approval for 5 ANDA s. We have also made progress with the complex portfolio , and in the next 5 -6 months, at least three products will be ready for submission.

As of 30th September 2023, G land and its partners filed 336 ANDAs in the US, 275 of which were approved and 61 unresolved. We have 1641 product registrations worldwide.

Now , coming to Cenexi business :

Due to the annual summer closure, our Cenexi business in France and Belgium only operated for two months, resul

ting in only partial revenue booking for the quarter while incurring fixed costs for the entire quarter, resulting in a negative EBITDA margin. C enexi's revenue for the two months was INR 3,588 million, with a gross contribution margin of 77%, an improvement over the last quarter, and EBITDA of negative INR 268 million. The revenues and performance were consistent with the historical trend after normalizing the shutdown impact.

The post -integration activities have commenced, and the One Gland family initiative is advancing. While we see great traction for new Business opportunities, the focus is to streamline deliveries and Operational efficiencies to cater to the current demand to improve OTIF and fasten the completion of the Technology transfer projects on hand. Some of the present low - margin businesses will be phased out to make way for newly secured businesses. The lag will primarily be due to technology transfer activity befo re the commercial batches are shipped out. Until then, we will have modest growth in revenues.

To improve capacity and operational efficiencies, we will invest approximately Euro 60 million in CAPEX and working capital over the next 12 to 18 months. In the medium term, we anticipate Cenexi to begin churning results consistent with the acquisition th esis. While the investments bear fruit and the near -term issues influencing Cenexi's profitability are resolved, we remain confident that the company will generate long -term value.

Overall, we have been satisfied with the quarter and remain optimistic about Gland's long -term prospects as we head into the second half of the financial year 2024.

I now pass over the call to our CFO, Mr. Ravi Mitra , to share more insights about our financial performance for the quarter.

Thank you very much. Over to you, Mr. Mitra.

Ravi Shekhar Mitra : Thank you, Mr. Sadu. Good evening , everyone. Thank you very much for attending our 2nd, Quarter Earnings Call.

Let me begin by sharing the “Financial Performance ” of the 2nd Quarter and first half of the Financial Year of ’23-24. Revenue from operations for Q2 FY24 stood at Rs. 13,734 million, an increase of 32% on a year-on-year basis . The growth was driven by the inclusion of revenue from Cenexi and the improvement of US markets in the base business . We have witnessed a 14% increase in revenue compared to the previous quarter. Revenue from operations for the first

six months of fiscal 24 stood at Rs. 25,821 million , a year-on-year increase of 36%, primarily due to Cenexi .

Other income for the Q2 FY24 was Rs. 532 million , which includes interest on fixed deposits of Rs. 325 million and foreign exchange gains and operations of Rs. 82 million . For H1 F Y24, the

other income was Rs. 907 million, of which interest on fixed deposit was Rs. 676 million , and foreign exchange gains on operations were Rs. 82 million . The gross margin for Q2 F Y24 was 62%, a significant improveme nt compared to 50% in Q2 FY 23 due to the high gross margin of Cenexi. On the positive side, our base business has also witnessed an improvement in the gross margin on a yearly basis due to improved margins in the US market.
We have reported an EBITDA of Rs. 3,205 million in Q2 F Y24 compared to Rs. 2,969 million , which is an increase of 8% compared to the same period last financial year. The EBITDA margin for Q2 FY24 stood at 23% as compared to 28% for the same period of the previous financial year. For the base business, Ex-Cenexi , we have reported the EBITDA margin for Q2 F Y24 at 34%, up from 28% in the same period of the previous financial year.
On our base business operation, we managed to reduce the power cost by 5% during this quarter as compared to the same period of the previous year and maintain ed manpower costs at the same level. The EBITDA for the six months ended September 23 was Rs. 6,187 million compa

red to
Rs. 5,668 million for the same previous year, an increase of 9%. We have reported the EBITDA margin for H1 F Y24 at 24% for the group and 32% for the base business.
Our net profit for the 2nd Quarter decreased by 20% and stood at Rs. 1,941 million compared to Q2 FY23 and remain ed similar to the previous quarter of the current financial year. During the quarter, we recorded a PAT margin of 14%. During the six months of the current financial year, our PAT was Rs. 3,882 million at a 15% margin .
The total R&D expense for the 2nd Quarter was Rs. 351 million compared to Rs. 414 million for the same period of the previous financial year and stood at 3.5% of the revenue from operations on an Ex-Cenexi basis. The total R&D expense for the six months was Rs. 808 million, 4.3% of our revenue.
On a standalone basis, our effective tax rate was 26% in the 2nd Quarter and a similar 26% for the first half of the current financial year. Total CAPEX incur red during the quarter was Rs. 971 million, spent mainly on Combi -line and an additional Bag line in the Pashamylaram in Hyderabad. At Cene xi, we have concluded our assessment of CAPEX and working capital needs . As part of a strategic plan , we are preparing to make investments of approximately EUR 60 million over the next 18 months. These investments will be instrumental in enhancing our capacity and operational efficiencies. We have already initiated investments in the PFS line and high-speed ampoule line , along with procuring essential inventory spares . As of September 30th, 2023, on a group level, we had a total of Rs. 22,627 million in cash and equivalents, an increase of Rs. 2,209 million over the previous quarter of June 30th , 2023 . Due to loans on Cenexi's book

to the tune of Rs. 3,127 million as of September 30th, our net cash position was Rs. 19,500 million.
Cash flow from operations during six months was Rs. 4,218 million , but working capital was reduced and stood at Rs. 22,904 million as of 30th September 2023 as compared to Rs. 24,010 million as of 31st March 2023 due to a decrease in inventory levels. Average cash conversion cycles stood at 196 days for the six months that ended September 23 , as compared to 226 days in the same period last financial year.
With this, I would request the moderator to open the lines for questions. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Sai on Mukherjee from Nomura Securities. Please go ahead.
Saion Mukherjee : Mr. Ravi, can you share the milestone income for this year , this quarter , in ter ms of percentage of revenues Ex -Cenexi?
Ravi Shekhar Mitra : Ex-Cenexi milestone revenue was 5% of the revenue for this quarter.
Saion Mukherjee : And it was 11% in the previous quarter . Am I correct on that ?
Ravi Shekhar Mitra : Yes, that is correct.
Saion Mukherjee : And what are your expectations like this is a normalized level going forward?
Srinivas Sadu : In terms of milestones or?
Saion Mukherjee : Yes, milestone
Srinivas Sadu : It could be up and down in the quarters, but it will be between what we have achieved this quarter and last quarter , between 5 % and 10%.
Saion Mukherjee : And another question on Cenexi , just to get some clarification , you mentioned a shutdown you take every year, so what is the impact on revenue ? So, you reported around Rs. 360 crores of revenue , so is it that once the plan t started, there is some shipment ? So, how should we think about the normalized revenue run rate for Cenexi and around Cenexi? Can you talk about how we should think about general margins going forward? I think on the last call, you mentioned about 15 %-16% margin o ver time , so can you guide me around the margins going forward , please ?
Ravi Shekhar Mitra : If you look at th

e annual basis, which is a steady business for Cenexi, it is around EUR 190 to
200 million , and if you look at last year , it is around 10% of EBITDA , and we are just looking
at the next few quarters, I think the trend is similar. So, on a quarterly basis, it should be around

EUR 50 -55 million if it is a full quarter revenue , and the EBITDA margins will be around the
same , around maybe 10 %-11%, but on an annual basis , it should be 10% , but we have to see we
are putting efforts to improve the efficiencies and deliveries to improve the EBITDA margins.
Saion Mukherjee : And just one more question, if I can , we have seen a recovery in the US market from the lo ws
that we had in the fourth quarter , so what are the trends that you see in terms of new launches
and price competition and what are your expectations for the next couple of quarters?
Srinivas Sadu : Price overall is stable , and if you look at from the previous quarter to the current , the relaunches,
what we have done , out of 14 products in the US that we launched , 4 are entirely new and about
10 are relaunches what we have explained last quarter and new launches have contributed about
10% of growth quarter -on-quarter and the quantity increase about 11% growth over the quarter.
So, they a re generating more volume . We are a little aggressive on pricing . With the new lines
coming on track, we can absorb more fixed costs . That way , we can be more competitive, I
would say , in some while maintaining the margins. So , some of the products , like Ketorolac and
Rocuronium, are more aggressive , which is why you see a n uptake in the volumes. Ye s, so
overall, I think the older products focus more on volume increase because of the new capacities
that got added post-FDA line approvals last quarter , and we can compete better, I would say ,
because of better cost.
Moderator : Thank you. The next question is from the line of Shyam Srinivasan from Goldman Sachs. Please
go ahead.
Shyam Srinivasan : Just one on the core business margins, we have come back to around 34 , close to the mid -30s
that we have guided in the recent past, right? So, how should we look at margins on a core
business going forward, and what are some of the levers that we have ? Is it just operating
leverage , or do you think there is a pricing environment ? If you could also comment on whether
there is a deceleration in the erosion , you talked about being a little aggressive on pricing , so I
just wan t to connect those two comments .
Srinivas Sadu : So, I would say , 34%, if you look at the products we sold, still Enoxa parin has not come back ;
it will start coming from next quarter a bit and the last quarter of this fiscal in more volumes .
Enoxa , normally , the margins are a little lower . What comes probably the EBITDA margins
might slide a little bit . So, I still consider 30 %-32% could be the targeted EBITDA margin
because Enoxa , compared to low-margin products , will start to gain from the next quarter and
subsequent quarters . In terms of price versions, ye s, I would say if you looked at the growth , I
was talking about volumes and new products ; price variance is almost nothing. So, it is almost
like a flat . There is no price erosion happening , and some of the new products are doing well. I
mentioned a few niche products including regadenoson we have done well. So, some products
are doing well , and some of the older products, like you said, because of better cost efficiency,
we were able to aggressively sell. So, we are able to sell more volumes. So , with 11% volumes
at the base, what we have is quite substantial, and we continue to see which other products we
can increase in volumes while maintaining a similar kind of EBITDA margin.

Shyam Srinivasan : What it is also

just trying to disaggregate , just the US Y-o-Y growth of 9%, right ? So, you are
saying volumes are 11 and -2 is price , and this 11 includes new products, right ? So how will we
look at volume growth for base products and what has been contributed by new , for example,
geography say the US?
Srinivas Sadu : So, for the US, our base business , our new launches compared to the previous quarter, the growth
is about new launches contributed 15% , and quantity has actually contri buted 15%. So, both are
high, and the price variance is around, I think, about 1% lower. So it is almost flat, and if you
keep the milestone, it was higher last quarter because we are licensed more products. It all
depends on how many approvals you get and how many licenses you get. It is a factor of approval
timing , so if more products are approved then that will increase again. So that is normally
between 5 % and 10%, like I said.
Shyam Srinivasan : Sir, second question on are we reinstating or bringing back some kind of a revenue guidanc e, so
you seem to have given a 30 % to 32% on EBITDA, but anything on the revenue guidance either
second -half or for the medium term?
Srinivas Sadu : We a re still staying away from giving the guidance, but the idea is to give steady growth quarter -
on-quarter . That is how we are seeing the next few quarters.
Shyam Srinivasan : Sir, I am referring to your point number 2 in the qualitative comments you mentioned in the

presentation which talks about improved prospects for growth , so what does that mean?
Srinivas Sadu : So basically , we are saying we will give growth. We don't want to give a number to it, but it will be a steady growth.
Shyam Srinivasan : And then last question, just quickly, EUR 60 million in CAPEX for Cenexi , is this previously envisaged or something that once you have looked at the facility you have put in place , and what is it predominantly for?
Ravi Shekhar Mitra : The 60 million is not only CAPEX but also to build the working capital, inventory level, etc. , because you are putting capacity there. So out of 60, 30 to 35 would be the CAPEX , and that would be what we anticipated during our evaluation because we needed to change the lines to high-speed lines that we have here and also put high-end PFS lines there , so it was all earlier estimated , yes.
Srinivas Sadu : So if you look at the operational cost of Cenex i (manpower etc.), that is pretty high while the gross margins are pretty g ood and while during the evaluation of the diligence itself, we knew that if you can replace their existing lines with some better lines, we can improve the efficiencies and also cost structure that was as per the previous plan and if we look at so many tech transf er projects happening to that side, it is about 25 odd projects that are happening. So, we are envisaging these volumes coming end of next year or beginning of 25 so that needs additional

capacity also. So like Ravi said, the increased capacity was envisaged there, but there are also areas where we need to invest in short -term improvements.
Moderator : Thank you. The next question is from the line of Bino Pathi parampil from Elara Capital. Please go ahead.
Bino Pathiparambil : Just working out , given your Ex-Cenexi EBITDA margins at 34%, now it seems Cenexi has made an EBITDA loss in the quarter . Am I getting it right , or is there something wrong?
Ravi Shekhar Mitra : Yes, it is an EBITDA loss , and that is what is explained ; it is two months of revenue and three months of expenses . That is a n EBITDA when you have an asset with a 10%-11% EBITDA margin. So one month is substantial. So, it is in line with our estimates , and on an annual basis, it is going to come back to normal levels.
Bino Pathiparambil : So, next quarter , we can expect 50% higher revenue to cover up the EBITDA .
Ravi

Shekhar Mitra : Yes, like I said, between 50 and 55 million euro is the normal run rate in terms of revenue .
Bino Pathiparambil : And just book keeping , the tax rate for the quarter was higher ; any change in the full year expected tax rate?
Ravi Shekhar Mitra : Yes, so this is again because of Cenexi, because if you see standalone, we are the same tax rate level , but in Cenexi, there are different entities ; some have negative EBITDA , and some have positive. So, it is on that consolidated basis it is added up to that.
Bino Pathiparambil : Does it change anything as of now for the full year expected tax rate?
Ravi Shekhar Mitra : No, on a full year basis, it will be normalized.
Moderator : Thank you. The next question is from the line of Pramod Dangi from Unif i Investment Management. Please go ahead.
Pramod Dangi : So, the question in the working capital, we have seen the drastic increase in the inventory in the March period, essentially led by the secondary material . In half a year, we also saw an increase in the inventory, so is it because of the existence, or is the inventory spread going up? Is it led by again the secondary goods or something else ?
Srinivas Sadu : Are you referring to the consolidated inventory or Ex-Cenexi ?
Pramod Dangi : Both the numbers considered, so the latest went from Rs. 900 to almost Rs. 1,400 crore s in the first half ?
Ravi Shekhar Mitra : So, you have to consider that March was not Cenexi consolidated. So today , the consolidated inventory is about INR 20 billion, but if you look at standalone results, it is Rs. 17 billion, which

has come down from 19 billion . So that is the inventory reduction that has happened at base business , but since we acquired Cenexi , we need to also consolidate their inventory. So , the difference from 17 to 20 is inventory lying at Cenexi .
Pramod Dangi : So, I am saying that the debtors also went up almost by Rs. 500 crores, so is it the same case for the debtor s also?
Ravi Shekhar Mitra : Yes, debtors are also similar, but in standalone also , debtors have gone up by about 200 , and that is because your revenue has gone up as compared to the March quarter .
Pramod Dangi : On a standalone basis?
Srinivas Sadu : Yes, correct.
Moderator : Thank you. The next question is from the line of Neha Manpuria from Bank of America. Please

go ahead.
Neha Manpuria : Just one clarification : what would be the profit share ? You mentioned that the milestone was 5%. What would be the profit share in the quarter?
Ravi Shekhar Mitra : It is about 11%.
Neha Manpuria : So that i s similar to the last quarter?
Ravi Shekhar Mitra : Yes.
Neha Manpuria : And, sir, could you update us on our complex pipeline? I think I missed your comment in the opening remark ; how many products have we filed , when can we see approval of these products , and what sort of pipeline we have there ?
Srinivas Sadu : We are going to file another 3 in this fiscal year. We have already filed 7. So total pipeline, we have about 19, so seven filed, and another three are getting filed this year , but approvals will be in next year.
Neha Manpuria : When can w e expect the approval?
Srinivas Sadu : Approvals will be in next year, yes, I think in next year and post that.
Neha Manpuria : And would they be meaningful in te rms of revenue contribution , or do you think the larger products probably come later?
Srinivas Sadu : Some are meaningful about the billion -dollar products , and some probably smaller.
Moderator : Thank you. The next question is from the line of Nithya from Bernstein. Please go ahead.

Nithya : So, the employee shutdown and , therefore the impact on the revenues , is this something you could potentially plan for as a manufacture r, additional batches early on? So, can w

e expect some improvement next year , or is this something that we should expect year after year?
Srinivas Sadu : I think it is expected every year. That is how they work. So, on an annual basis, it is considered , so every year that one month they don't work so. Unfortunately , that is the reality.
Nithya : In terms of Europe and R OW, can you help us understand what explains the contraction in revenues on Y-o-Y basis ?
Srinivas Sadu : I think it has more to do with Europe, it is mostly routed to Europe to other countries and I think most of our ROW business is around Enoxa and Heparin and also caspofungin which is a high value product, I would say it is more of the timing which quarter it goes than anything else and of course the pricing of Enoxa .
Nithya : But I thought you had supply issues last year with Enoxa and Heparin and therefore they are not….
Srinivas Sadu : No, that was for the US market, but R OW still the volume has actually still reduced, the demand has gone down overall and also the competition is high in other markets and the pricing also we are seeing it really worth the very low margins to take that it is the combination of both, b ut the largest market is expected to come back a bit f rom next quarter onwards .
Moderator : Thank you. The next question is from the line of Chintan S heth from G irik Capital. Please go ahead .
Chintan Sheth : Couple of questions , first on the base part, you mentioned that outlook seems to be recovering and you are kind of not alluding to the numbers, but if one has to triangulate in terms of the new supplies to start from next quarter for the Kabi business and that will incrementally, one can expect the sequential revenue growth will be positive directionally , not asking on the specific number, but can we expect that sequential numbers will start to improve from the base of say Rs. 1,000 crores we reported this year will look like a steady state going upward trajectory going forward ?
Srinivas Sadu : Yes, that can be done . That i s the statement I made. We will grow steadily while we are not able to lock what that number will be. Yes, it will go steadily.
Chintan Sheth : And secon d on the margin front, I understand the lower margin part, lower value product you will be start supplying from next quarter , but as the revenue base will improve, there will be some significant leverage which you can derive from and your guidance of 30 % to 32 %, is it more conservative or do you see more pricing pressure in the coming quarter which gives you a caution outlook in terms of giving out the margin guidance at 30 %-32%?

Srinivas Sadu : I would say it is cautious approach also, while the price erosion has stopped and pretty stable and then volumes will be added depending on which part we are able to travel, we will see where we end up, but at least we are making sure will not go below that the number which we did contemplate , so we said probably 30 %-32% will be a good bet.
Chintan Sheth : And lastly , you mentioned about the CAPEX plans at Cenexi, any numbers you want to guide in terms of our base business, how much CAPEX we have been planning? And lastly on China ,

if you can give some outlook there? That w as one of the sorts aftermarkets earlier we were
looking , anything to call out for you expect from FY25 onwards?
Ravi Shekhar Mitra : So, on the CAPEX , for the base business for FY24, we will be doing Rs. 250 to Rs. 300 crores, largely in the same projects which I mentioned in my speech and for next year it should be around Rs. 300 crores.
Chintan Sheth : And on the China b it?
Srinivas Sadu : So, the product what we launch ed, it is still not into the VPB tender , so probably we are hoping that next year if that gets into that , then the volume extension , but currently it has been sold only in the private sector and

trying to be still waiting for the attendee to open.
Chintan Sheth : Are there any plans for additional products to be launched over there , or will we be right now?
Srinivas Sadu : One more product is expected to be launched next quarter.
Moderator : Thank you. The next question is from the line of Ritesh Rathod from Nippon India Mutual Fund. Please go ahead.
Ritesh Rathod : Can you share the inventory levels in Cenexi?
Ravi Shekhar Mitra : So, it should be around Rs. 300 crores .
Ritesh Rathod : So approximately somewhere around with the turnover of $200 million, that could be , so they have assets from Rs. 1,700 -Rs. 1,800 crores, right, more than 20%?
Ravi Shekhar Mitra : Yes.
Ritesh Rathod : Why I am asking is if you had this four week's shutdown, maybe next year or if it is a recurring thing, you would manage it better because of by doing better inventory management in terms so that the eventual impact on revenue could be lesser , is that a possible thing?
Ravi Shekhar Mitra : No, in fact, we are looking at it because we mentioned that we are putting in new lines, and there are many tech transfer projects going on, so we will probably build up the inventory there.

Ritesh Rathod : My point was the impact on financials and revenue wo uld be lesser if you have inched up your inventory at higher levels so that it doesn't impact your sales .
Ravi Shekhar Mitra : Yes, so shutdown was in the month of August, actually, but September was running operation, so the end of September kind of normalized .
Ritesh Rathod : I am not asking the last one; I am asking on a recurring basis going forward. Could you manage this impact, which happened this year, and there won't be any loss of sales because of that ?

Ravi Shekhar Mitra : So actually , the shutdown means there are no sales also, no dispatch also, but we need to plan that on a full -year basis.

Srinivas Sadu: Maybe it is too early to comment ; maybe evaluate the inventory and the sales that work is going on. What is the optimum inventory to be kept so that the dispatch es will not get hampered ?
Ritesh Rathod : Second, you mentioned in the press release €60 million kind of inv estment in Cenexi ; I presume this is CAPEX, OPEX altogether , so what could be asset turn from this investment , like anything you can guide us , what could be with the current capacity plus this capacity which turns out in next 18 months ? What kind of asset turn would be planned or what kind of peak revenue run rate w ould be possible in Cenexi ?
Ravi Shekhar Mitra : Ritesh, so today, the asset turn is about 2 because the revenue 200 and the fixed asset base is about EUR 100 million . Now, after we invest this in the next 18 months, which is about EUR 30-35 million, the peak revenue which can achieve on this CAPEX is about going up from 200 to 240.
Ritesh Rathod : So approximate 20% kind of and there would be existing capacity also on the current base that you can take it up right , the utilization could be at lower levels, so even that could be possible that we would not have t aken in your calculation ?
Ravi Shekhar Mitra : Sure.
Ritesh Rathod : My last question , on the margin side, in past you highlighted Cenexi can have a peak margin of 13% to 15% , so do you stay with that number or is there a possibility of that number be on the higher side given y ou would have looked at the asset in detail and you would have looked at the cost structure in detail, is that possible?
Srinivas Sadu : I think we can't comment , it is too early, maybe at the end of next year we will be better off , so currently we want to stick to that number . In the near term , if you can get to 13 %-15% that is a

good achievement , then once we have this new CAPEX implemented and then the revenue start s
gener

ating , then there could be an improvement on that?
Ritesh Rathod : But with the curr ent level of gross margins which Cenexi enjoys on a medium -term basis, there is a possibility of this operating margins moving up from the current range of 12 % to 14% to a higher range ?
Ravi Shekhar Mitra : No, we are currently analyzing that, Ritesh. S o as of now in the near term it is not, but we will see how the efficiency increases like , also we mentioned that OTIF improvement is one of the key area s we are focusing on.
Moderator : Thank you. We have the next question from the line of Dhiresh from White Oak. Please go ahead.
Dhiresh : Sir, just to understand , this one-month shutdown, this is necessitated by the complexity of the plant, or this is like a cultural one -month break because I don't see Indian companies talking about one month plant shutdowns ?
Srinivas Sadu : No, it is annual French holiday that month.
Dhiresh : So, it is only related to the three French pants on and or is it also even?
Srinivas Sadu : Even Belgium has that thing, so one month holiday thing, three wee ks in Belgium and four weeks in France.
Dhiresh : And this is like across industry thing in France or this is just this country?
Srinivas Sadu : Across industries .
Moderator : Thank you. The next question is from the line of Alankar Garud e from Kotak Institutional Equities. Please go ahead.
Alankar Garude : Sir, within R OW, you made that point on the timing issue and the lower Enoxaparin and Heparin sales in this quarter , but in general, can you please highlight which markets are doing well for us? Which are the focus markets, has Brazil recovered fully , something on that pleas e?
Srinivas Sadu : So, Asia, MENA and these markets are doing pretty okay . LATA M has not recovered 100% a nd Brazil, like I said start coming back from next quarter, it has not recovered 100%. Some products are moving , but not in a big way , but other markets are in line with our estimates .
Alankar Garude : So earlier, sir, we used to have this target and this was just maybe a year or so back , we used to have a target of 30% contribution from R OW, now with Cenex i coming on board currently, it is about 19% for us and there have been some changes in the way the business has moved in the

last one year or so as well , so keeping all these factors in mind, how should we look at the R OW contribution for us, maybe in the next 3-5 years?
Srinivas Sadu : So as a group, I know the dynamics change now as a group, we hav e to see when the partners in Cenexi business, they also have some sales in R OW. So, we have to see if they are willing to take our products to those markets. So, the dynamics will change I would say after the acquisition compared to before, so the discussions are o n how we can actually leverage those partnerships to grow our business in those markets because these businesses not only sell products within Europe and US, but within other markets also. So, if you can add our products to that pipeline that will again start growing.
Alankar Garude : But would it be fair to say that R OW will grow at a much faster pace compared to say, US and Europe for us?
Srinivas Sadu : The base is lower , so hopefully it should go faster than other markets here.
Alankar Garude : And one final question, can you throw some light on the B2B and B2C competitive intensity that we have faced in the past in the US particularly and how is the situation now?
Srinivas Sadu : I would say it is still there . It all depends on how products are positioned , so especially products , like I said, which are very aggressive in pricing, we can compete with our better cost now. So, focus on those products , but again , even if all the B 2C players won't have the entire portfolio , still continue to source products. So those products have been supplied

by us. So , I won't say the intensity is less , and the players are still there, and they are selling . It is just that is how you position your product s depending on the competitive intensity.
Moderator : Thank you. The next question is from t he line of Nitin Agarwal from DAM Capital. Please go ahead.
Nitin Agarwal : Sir, my question is regarding the new relaunch es that you talked about , so two questions ; one is, A, what prompted this largest number of relaunches in the quarter? And two, typically , how does the relaunch process work? Do you end up shipping in a reasonable amount of inventory along with the relaunch?
Srinivas Sadu : It is a mix of two. One is, as you know, the Athenex products that went to bankruptcy that those products have been acquired. So, the acquired company h as to liquidate the stocks that they got from the previous entity , and then they continue the business. So, when you say relaunch , some of the products went to this new entity that acquired this, s o the business continued. So there was a lag, I would say , between maybe two months where they have used inventory, and then we started shipping to continue the business, so that is the most part of the business, and there are few products where the companies were not doing well in terms of they have their own

margin requirements. So, we have taken back those products from these companies and then

offered them to others who are willing to sell this product. So, it is a combination of both, but mostly products that you got back from the bankruptcy incident.

Nitin Agarwal : Does a relaunch typically come with a reasonable amount of inventory as part of the launch process?

Srinivas Sadu : Not that much, because normally when I am taking the product and somebody is trying out to sell normally , they go with the lower inventory so that they will not add up with huge , so not too much channel inventory will be there . Actually , few products which we launch ed even the previous quarter , so those been , again we have supplied a few of those products as well. So now , these products also will continue. So, I think it is a combination of both.

Nitin Agarwal : And lastly, your outlook on the US generics market, have you seen any meaningful reduction in comparative intensity? Have you seen any meaningful reduction in the pricing pressure overall on a basket level?

Srinivas Sadu : I would say the drop has stopped ; earlier , every quarter , you used to see a fall in prices. At least that is not happening now. So, it is basically a little stable. So, I think that way we are able to project better than before .

Nitin Agarwal : And sir, have you seen incidents of people withdrawing from certain products? Has that increased over the last few quarters?

Srinivas Sadu : Yes, it did. It also depends on the regulatory issues the companies have faced and people are looking at ; it is not really wise to sell some products , and there are no margins. So , there is the withdrawal of certain products.

Moderato : Thank you. The next question is from the line of Karthik , an Individual In vestor. Please go ahead.

Karthik : I would like to find out , at present, the return on net worth is approximately 10%. Is there any consideration wherein a buyback is being thought of sir?

Ravi Shekhar Mitra : This is currently under evaluation, so we cannot comment right now.

Karthik : And the second point, one more follow -up question : during the last conference call, it was told that there few commercialization with the customer is in the process . Is there any update on new , like agreements with the customers for the new products , especially biosimilars ? On the Chinese market, during the last conference, it was said that the customers visited the plant, and some commercialization is going on , like commercial term finalization

. Is there any advancement of this?

Srinivas Sadu : Yes, the plasma project, what we have taken up that is happening , so those batches are currently under m anufacturing , so that moves forward, but nothing new on any other agreements .

Karthik : Sir, a nd one more thing, the technology transfer, whatever it takes on the Cenexi, how long is it expected to complete a total of EUR 50 million, whichever you are committed?

Srinivas Sadu : So, there are several projects. The timing varies from next year to mid to end of next year, and commercialization will probably start at the end of next year and in 25.

Karthik : Sir, and one more point in addition to this, this is my final question, like the previous part, due to the loss of sales due to the non -availability of syringes and whether any other sale is accounted for or is there still any l oss due to th is, sir?

Srinivas Sadu : No, there are no issues in terms of supplies anymore . From the supply side , it is all smooth now.

Moderator : Thank you. The next question is from the line of Harsh from Band han Asset Management. Please go ahead.

Harsh : Sir, just from this 20% sequential growth in the US market except Cenexi , I think this has already been answered , but if you could reiterate the breakup in terms of the 20% growth, I think you mentioned 15 % to 16% through new launches, including the relaunches and then the remaining is coming from price erosion and base business volumes , is that a fair assumption?

Srinivas Sadu : So new launches from the previo us quarter increased 15%, and also an increase in quantity by about 15%, and price variance was negative by about 1 %-1.5%, b ut otherwise milestone revenue went down , as I said, but it is made volumes and new launches.

Harsh : And if we are disclosing, could you help us understand the nature of the distribution partners or the commercialization partners in the US market primarily for these relaunches because last quarter , I think we had more than 15 products relaunched in this quarter as well the number is similar, so what is the nature of these cu stomers , are these large customers like Fresenius, Sagent or is it a mixed batch on an overall basis?

Srinivas Sadu : Yes, it is a mix of Pfizer, Fresenius, Sagent , and Fosun in the US, so the combination of

everything, but mostly from the large customers.
Moderator : Thank you. We have no further questions. I would now like to hand the conference over to Mr. Sumanta Bajpayee for closing comments. Over to you , sir.
Sumanta Bajpayee : Thank you , everyone , for joining us today. We appreciate your participation in the call. We request you to contact us if there is any question that remains unanswered during the call. Thank you. Goodnight.

Moderator : Thank you. On behalf of Gland Pharma Limited, that concludes this conference. Thank you all for joining us ; you may now disconnect your lines.

Call: Feb 2024

February 21, 202 4

BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
25th floor, Dalal Street
Mumbai - 400 001
Scrip Code: 543245 National Stock Exchange of India Limited
Listing Department
Exchange Plaza, 5th floor
Plot no. C -1, Block G, Bandra Kurla Complex Bandra
(East), Mumbai - 400 051
Symbol: GLAND (ISIN: INE068V01023)

Dear Sir/Madam,

Sub: Earnings call Transcript - Q3FY24

Please find enclosed the transcript of the Earnings call for Q 3FY24 of the Company held on Wednesday , February 14, 2024, at 18.30 Hrs. IST. This will also be available on the Company's website and the web link to access the same is https://glandpharma.com/investors/financials

This is for your information and records.

Yours truly,
For Gland Pharma Limited

Sampath Kumar Pallerlamudi
Company Secretary and Compliance Officer

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"Gland Pharma Limited
Q3 FY '24 Earnings C onference Call"
February 14, 202 4

MANAGEMENT : MR. SRINIVAS SADU – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – GLAND PHARMA
LIMITED
MR. RAVI MITRA – CHIEF FINANCIAL OFFICER –
GLAND PHARMA LIMITED
MR. ANKIT GUPTA – VICE PRESIDENT & HEAD OF
INVESTMENTS – GLAND PHARMA LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q3 FY '24 Earnings Conference Call of Gland Pharma Limited. As a reminder, all participant lines will be in listen -only mode , and you can ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star and then zero on your touch -tone phone. Please note that thi s conference is being recorded.

I am now handing the conference over to Mr. Ankit Gupta. Thank you, and over to you, sir.

Ankit Gupta : Thank you, Sagar. Good evening, everyone. We welcome you to Gland Pharma Earnings Conference Call for Q3 FY '24. My name is Ankit, and I drive the Investments , M&A , and Corporate Strategy for Gland. I have Mr. Srinivas Sadu, MD and CEO , and Mr. Ravi Mitra, CFO, to discuss the quarter's business performance and financial highlights . We will begin this call with the business highlights by Mr. Sadu, followed by a financial overview by Mr. Ravi.

Before we proceed, please note the safe harbor statement that we have on the press release. Some of our statements today will be forward -looking and based on management's current estimates . These statements must be viewed in conjunction with the risks involved in our business. The call is being recorded, and the playback will be available on our website shortly. We will also have the transcript in a week .

I will now hand over the call to

Mr. Sadu for his opening remarks. Thank you. Over to you, Mr. Sadu.

Srinivas Sadu : Thank you, Ankit. Good evening, everyone. Welcome to Gland's Q3 FY '24 Earnings Call. I extend my good wishes for your family's health, happiness, and prosperity. May all of you have a continued upturn in 2024, and we look forward to a prosperous year ahead.

As in previous quarters, we intend to provide a comprehensive update on the stand -alone performance of Gland and the group's overall performance, including financial data from Cenexi, the CDMO we acquired in Europe. We have maintained our momentum with rob ust revenue growth in the third quarter. We reported revenues of INR15,452 million for Q3 FY '24, an increase of 13% quarter -on-quarter and 65% year -on-year compared to INR13,734 million in Q2 FY '24 and INR9,383 million in Q3 FY '23. The quarter -over-quarter growth has been propelled by our consistent performance, increased volumes shipped at a stable price and environment, and the introduction of new products.

Furthermore, we recorded the complete quarter sales of Cenexi. The core market generated 77% of revenue, year -over-year, increasing from 71% in Q3 FY '22. The company's largest market, the United States, witnessed a 12% quarter -over-quarter and 41% year -over-year growth. The company introduced or reintroduced nine molecules in this market during the quarter. We saw robust volume momentum for key new products, including levothyroxine, ropivacaine, ketamine, octreotide , and zinc sulfate . The pricing for the products we shipped in the quarter remained relatively stable, and we saw increased demand for several of our previously launched products.

The performance in the ex-U.S. primary markets remains consistent. Despite the longer approval process, we continue to identify products from our U.S. basket that have the potential to enter these regions, specifically in Australia and Europe.
The Rest of the World markets contributed 18% of our revenue in Q3 FY '24 compared to 21% in Q3 FY '23. These markets reported a 7% quarter -on-quarter increase , mainly attributable to Cenexi volumes.
The Indian market contributed 5% of our revenue in Q3 FY '24 and experienced a 7% decrease compared to the corresponding period in the previous fiscal year. While building the other markets, we remain focused on strategically important products in India and will explore avenues for value creation.
Our manufacturing sites remain operational with efficiencies, and we're committed to delivering high-quality products at scale with competitive costs and all -time compliance. We're conducting a facility upgrade activity on one of the lyophilization lines a t our Dundigal flagship facility in Hyderabad. Consequently, this lyophilization line will remain non -operational for two weeks in March. This line will have temporary supply disruption ; however, all the facility's other lines will remain operational.
On the R&D front, total R&D expenses for Q3 FY '24 were INR 530 million, or 5% of operating revenue. We filed 8 -- sorry, 10 ANDAs during the quarter and received approval for 3 ANDAs. As of December 31, 2023, Gland and its partners filed 346 ANDAs in the United States, of which 279 were approved and 67 were pending approval. The company has 1659 product registrations worldwide.
Discussing consolidated profitability and EBITDA margin, we reported an absolute EBITDA of INR3,557 million and a net profit of INR1,919 million for Q3 FY '24. This quarter, EBITDA margins remained similar at 23%, primarily impacted by negative EBITDA margins at Cenexi.
For Q3 FY '24, Cenexi reported a revenue of INR4,439 million with a gross contribution of 75% and a negative EBITDA of INR170 million. However, the business achieved EBITDA break - even on an adjusted basis, excluding some one -time expenses.
An organiz

ational restructuring exercise and changes to the pension provisions resulted in an effect of around EUR2 million in the quarter ended December '23. In addition, lower productivity led to reduced overhead absorption and inventory , resulting in lower EBITDA during the quarter.
Our post -merger integration review is now mostly complete, and we identified areas where Cenexi would need investments, improvements , and leadership recruitment across critical functions. We have reasonable confidence in Cenexi's current clientele and the partner's commitment for the long term. As for expansion, we have a solid order book of new programs that have been signed and are currently in various stages of tech transfer and approval. With these programs, we anticipate a medium -term incremental incr ease of EUR30 million to EUR40 million on our existing annual revenue base. GLANDGLAND

Despite our investment and capabilities to support this expansion, we continue to face issues with operational performance and the timely execution of our existing orders. These operational issues are causing delays in supplies and augmenting a backlog of orders. These issues have mostly affected our quarterly performance, leading us to rebalance our capacity and shift certain products to different lines, which will take time due to regulatory processes.
In addition, we'll invest in building new high -speed lines to replace the existing ones, automating processes to make them more efficient , and ensuring compliance. We plan to realize the acquisition thesis over the next 12 to 15 months. We're confident that we'll end the fiscal year '24 positively and continue to be excited about the opportunities ahead of us.
I now hand over the call to our CFO, Mr. Ravi Mitra, who will share more insights about our financial performance for the quarter. Thank you very much. Over to you, Mr. Mitra.
Ravi Mitra: Thank you, Mr. Sadu. Good evening, everyone. Thank you very much for attending our third - quarter earnings call. Let me begin by sharing the financial performance of the third quarter and nine months of the financial year 2023, '24.
Revenue from operations increased by 65% year-over-year to INR15,452 million in Q3 FY '24. The consolidation of the Cenexi business acquired during the current financial year contributed significantly to the year -over-year expansion of revenue, increasing our footprint in Europe. Revenue from operations for the nine months of FY '24 stood at INR41,273 million, a year -on- year increase of 45%.
Our base business, ex -Cenexi, also grew 17% this quarter over the previous year and 9% over Q2 FY '24, driven by our increased performance in the U.S. market. Other income for the third quarter of FY '24 was INR374 million, which primarily includes interest on fixed deposits and

is lower than Q3 FY '23, which was INR615 million because of lower interest income and forex gain.
For nine months FY '24, the other income was INR1,281 million, of which interest on fixed deposit was INR1,063 million , and foreign exchange gains and operations were INR154 million.
The gross margin for Q3 FY '24 was 61%, an improvement from 54% in Q3 FY '23 due to Cenexi's high gross margin. On the positive side, our base business has also witnessed an improvement in the gross margin over the last year due to the product mix.
We have reported an EBITDA of INR3,557 million in Q3 FY '24 compared to INR2,896 million, an increase of 23% compared to last financial year. The EBITDA margin of Q3 FY '24 stood at 23% compared to 31% for the previous financial year.
For the base business, ex -Cenexi, we have reported the EBITDA margin for Q3 FY '24 at 34%, up from 31% in the same period of the previous year. We, however, reported a negative INR170 million of EBITDA at Cenexi, primarily due to certain one -time expenses.
On our base business operation,

we rationalized the power cost and human resources expenses during this quarter compared to the same period of the previous year. The EBITDA for the nine months ended December 2023 was INR9,744 million compared to INR8,563 million for the

same period last year, an increase of 14%. We have reported the EBITDA margin for nine months in FY '24 at 24% for the group and 33% for the base business.
During the quarter, we finalized the purchase price allocation exercise of the Cenexi acquisition. The additional impact on depreciation and amortization on account of fair valuation of net assets for purchase price allocation amounted to INR294 million and INR377 million for the quarter and nine months ended December 31, 2023, respectively.
On a go -forward basis, Cenexi would report a depreciation and amortization of approximately INR90 million to INR140 million per quarter on account of purchase price allocation.
Our net profit for the third quarter decreased by 17%, stood at INR1,919 million compared to Q3 FY '23, and decreased by 1% to the previous quarter of the current financial year for the reasons above .
During the quarter, we recorded a PAT margin of 12%. During the nine months of the current financial year, our PAT was INR5,800 million at a 14% margin.
The total R&D expenses for the third quarter were INR530 million compared to INR512 million for the same period of the previous financial year and stood at 5% of the revenue from operations on an ex -Cenexi basis. The total R&D expenses for the nine months were INR1,337 million, which was 4% of our revenue.
On a stand -alone basis, our effective tax rate was 25.5% in the third quarter and 25.8% for the nine months of the current financial year. As of December 31, 2023, on a group level, we had a total of INR24,795 million in cash and equivalents, an increase of INR2,168 million over the previous quarter of September 30, 2023.
Due to loans on Cenexi's books to INR4,058 million as of December 31, our net cash position was INR20,704 million. Cash flow from operations during the nine months was INR6,228 million. Working capital was reduced and stood at INR 22,805 million as of December 31, 2023, as compared to INR 24,010 million as of March 31, 2023, due to decreased inventory levels.
The average cash conversion cycle improved at 182 days for the nine months ending December 2023 compared to 240 days in the same period last financial year. Capex's spending during the quarter is INR810 million. At Cenexi, the plan for a new high -speed ampoule line and equipment for enhancing capacity and operational efficiencies is progressing well.
With this, I request the moderator to open the lines for questions. Thank you.
Moderator: Thank you very much. The first question is from the line of Shyam Srinivasan from Goldman Sachs. Please go ahead.
Shyam Srinivasan : The first one is on the U.S. market and the sustainability of the revenue run rate, right? So we have done about INR8.2 billion for the quarter. So, I just want to understand what's driving that .
Your commentary talks about a stable pricing environment. So , is it primarily driven by volumes? Are we in a position to sustain this quarterly run rate?

Srinivas Sadu : Yes, the market looks positive. The growth came from volumes by 8% , and another 3% came from the new launches, but Enoxaparin (Enoxa) also came back, and we're seeing an uptick in volumes.

We're looking at a forecast of USD 19 million per quarter . In the last call, we said about USD 16 million -17 million. I think we're seeing a higher demand from that market. As I said, we're a little aggressive on the pricing. Also, the material prices have gone down. So we have revised the pricing and to go after the business. Also , there are severa

l molecules where you might have seen oncology products launched, which are of higher value. So , the momentum looks positive in terms of the U.S. business.

Shyam Srinivasan : Sadu, are you any guidance on how we should look at Q4 now? Or do you think we can sustain this over 8 billion?

Srinivas Sadu : The steady growth will continue, at least in the near term . We're seeing steady growth .

Shyam Srinivasan : Understood. You broke down the 14% Q -o-Q growth for the quarter as 8 of volume and 3 of new products, right? So that still leaves another three percentage points, which would be the enoxaparin . Is that how you're breaking it down?

Srinivas Sadu : Milestone and profit shares.

Shyam Srinivasan : If you could quantify that, please, sorry, yes.

Srinivas Sadu : I think the rest 3% comes from those two components. I don't have a break up of these 2, but that comes from those.

Shyam Srinivasan : Okay. Understood. The second question is on Cenexi, and I'll pause after that. It is on. We have looked at this asset for nearly a year now. And we have done some restructuring; you're talking about additional investments. When we made this acquisition last year, it was a 10% EBITDA margin business. Even if I add back the EUR2 million this quarter , that's an EBITDA breakeven. So, what's the long -term outlook here? You made the changes to the purchase price as well. So , if you can, from a consideration perspective, obviously, but I just want to understand the long -term outlook for Cenexi. Do we have the ability to take it back up to historical margins, or has something changed there cyclically?

Srinivas Sadu : No, the thesis still holds good. It's just a timing. If you see, one is the one -off expenses we incurred in the quarter, which will make it break even . And we also have a lower productivity. That's where we're talking about how operational efficiencies would increase. Low productivity impacted the end-of-the-quarter inventory. It's a 75% margin asset. Any inventory - lowering of inventory impacts a big time. So , the downturn has impacted around EUR 3 million because of the lower inventory comp ared to the previous quarter's inventory.

Ravi Mitra: Yes. Sorry, what was your question about the purchase price?

Shyam Srinivasan : No, no. I said we have made an adjustment -- we have got the right numbers , and I believe we have made an estimate so far . This is the right number because the DNA has changed, right? So GLANDGLAND

I just want to understand from a long -term outlook, where are the margins likely to settle for Cenexi?

Srinivas Sadu : So one is, of course, the current business. At least, we're looking at 10% ; like I said last time, we're still at 10% in the midterm. Then we have projects that are getting tech transferred that will add revenue of EUR30 million and EUR 40 million. Most of it should trickle down to the EBITDA level because we see a breakeven point for this asset around EUR 190 million and EUR 200 million. Anything above that should positively impact the profitability.

Moderator: The next question is from the line of Neha Manpuria from Bank of America. Please go ahead.

Neha Manpuria : Sir, again, on the Cenexi piece, If I were to look at the revenue rate, it was doing much better than...

Moderator: Sorry to interrupt Ms. Manpuria ; your line was cracking in between. So , could you please repeat the question once again?

Neha Manpuria : Okay. Sorry about that. So I said, on Cenexi, if I were to look at the revenue run rate, obviously, it's doing much better than even part of the quarter that was there. Gross margins also aren't that different. I didn't quite understand the lower productiv ity comment because your revenue does not seem to be showing lower productivity or lower volumes.
So, even adjusted for one -offs, why did we just break even ? I would have assu

med we would have returned to the usual margins here. So what -- I didn't quite understand your comment.

Ravi Mitra: Okay. So the top line number, yes, you're right, it has improved in this quarter. But the production has not been to the tune of what we had expected. So , while there was inventory that was sold out, it was sufficient to our expectations . Production was lower, which has led to lower absorption of overheads in inventory. And there were certain one -offs related to employee and management restructuring, which impacted one time. So that is the reason why this is EBITDA, INR170 million , negative this quarter.

Neha Manpuria : And, Sadu sir, you also mentioned something about operational issues and executing orders

leading to delays in sort of realizing revenue. So does this mean the EUR 30 million to EUR 50 million incremental revenue that you talked about could come in much later ?
When should we start assuming this incremental revenue is flowing through? And what did you mean by operational issues? Is this the same thing that you're talking about , that there was lower production?
Srinivas Sadu : Yes. So you'll see EUR30 million and EUR40 million only in FY '26 next year. What I'm saying is operational efficiencies with the current -- one of the facilities are, I would say, capacity -wise, it's chock -a-block, and we're not able to deliver because of the poor -- the lines are old, and we want to change those lines. Unless we substitute with a fast line, it's very difficult to get to those numbers that we talked about. GLANDGLAND

And for that, we need to sometimes - maybe in the next few months they got called off - take a shutdown and then increment this because, in the long term, this is what we want to do. We said it's a near -term pain, but the business is strong. The order book and the transfer projects fo r the handling are very strong.
The timing and how to streamline their operations are challenges in the near term because any movement of products from one line to another requires some regulatory approvals. And that's what we're doing now. We're moving some products from one si te to another , one line to another. And getting approval to commercialize those will take some time. So , there is a near -term pain in that regard.
Neha Manpuria : Okay. Got it. And my second question is on the ROW business in the stand -alone piece. That seems to be coming off quarter after quarter. Is there some slowdown that we're seeing in a particular market? Or is it the inability to gain volumes? What's going on in the ROW? And when should we start seeing that market go back into growth mode?
Srinivas Sadu : There are some positives. We did win the tender in Saudi for 15 products. The estimated sales are around $50 million, or $55 million per annum. The previous year, Saudi was clocking around $25 million to $25-odd million in sales. So that is almost 15 products we w on the tender for. So that's a good uptick.
Then , in South Africa, we got approval for four products, of which we will be launching three . That will add about a few million dollars. So , there are some positives coming up. And also another thing is the big what we had for Saudi entered in the last quarter. So , the tapering of sales happened. There are also limited sales in Saudi Arabia in the current quarter, but for the next bid, which we have won, the supplies will start in March or April. So again, the business will go back in ROW once you start supplying and doing that. So it's mostly the timing perspective, I would say.
Neha Manpuria : Understood. And one last question. The lyophilization line shut down . What could -- what kind of revenue impact can we see from the 2 -week shutdown that you're talking about?
Srinivas Sadu : Quantified it will not be substantial because it's happening in March, and it's only tw

o weeks of
lyo. So , it shouldn't be substantial. But just as I know , because we have been asked last time that we should inform, so as a precautionary measure , we have informed that.
Moderator: The next question is from the line of Amey Chalke from JM Financial. Please go ahead.
Amey Chalke : So I have a couple of questions. First is we're a clients company. So we have been seeing that we will -- as a source of the products we typically supply to multiple clients. But I have not seen a client addition in some of our key products. So, if you can highlight the same, are there any major client additions on the top 10 products that would have already taken place over the last 1 or 1.5 years? And how will it pan out over the next one year?
Srinivas Sadu : There are certain limited clients who invest in these products, right? And we're supplying products to most of the top injectable front -end companies. This is a part of a business where GLANDGLAND

some of the clients don't meet the market share requirements. It gets transferred to another customer if they really need it because most of them might already have this product.
So it's an ongoing process. We did onboard a couple of new customers as well. But again, only so many front -end customers can invest in these products.
Amey Chalke : Sure. So there is another question related to this. There are a lot of shortages if you see the U.S. FDA shortage list. There are at least 2 or 3 products oncology products; we're already there in those products like cisplatin or a couple of platins, which are there.
Then there are two large products from our top 10 list , like heparin and Ketorolac. So are we --

have you already benefited from these products? Is it there in the numbers, U.S. numbers? Or do you expect that going ahead, there could be a volume ramp -up, which would happen in these products? Or is there any chance of client addition in this kind of product where there is a shortage , where we have the capacity, but the other competitor may not have it?
Srinivas Sadu : So Amey, to be product specific, like Ketorolac, it's always been under shortage. So we've been having a larger market share for these products for a long time. For cisplatin and carboplatin, we launched two quarters ago. And we have 55% of market share. And so we hav e a consistent supply for that.
So on an annual basis, I think the sales have, I would say, started from the last two quarters. So it will be increased on the -- if you look at it on an annual basis. But it's -- we already started supplying. And I think most of the shortage is going at least for these products once we started -- once we started supplying two quarters ago.
Amey Chalke : So, you see any benefits coming in because of shortages in the coming year? Or do you think it is already in the numbers?
Srinivas Sadu : Well, it's already like that, right? In the last 10 or 15 years, we have already seen some products that are always coming out -- on the shortage list because of regulatory issues. So that's part of the injectable business, where the quality of sites is important, and we pay so much attention to it.
Amey Chalke : Sure. Sir, last question on the Cenexi. We also acquired this asset due to the kind of technical capability it had. So , can we generate any synergy for the U.S. business from this unit?
Srinivas Sadu : Yes, they have several, especially the oncology . They're already working on some products. Our R&D is trying to collaborate with that asset, which we didn't have earlier.
So yes, we're working with them, but we have other issues to resolve before putting more burden on that asset. So that streamlining is happening in parallel, some development has also started working with the clients in terms of business. The customer -- the clientele of Cenexi are in discussion with us to take more pr

oducts from us for other markets as well.
Moderator: The next question is from Chintan Sheth from Girik Capital. Please go ahead.

Chintan Sheth : I hope I'm audible. Again, I have a couple of questions on Cenexi. If -- you elaborated that inventory -related issues resulted in losses over there apart from the one -off part. But if you look at the gross margin profile sequentially, it has contracted only 200 basis points from 77 to 75. Does that actually translate into such a large under -absorption of profits or under -absorption of cost?
Ravi Mitra: Yes. So what happens is that because it's a high -margin product and largely the overheads, which is our ex penses and salary and power, et cetera, is loaded. So that is coming in the individual line items below gross margin but not loaded on inventory. So that is what has happened.
And it would have been higher in line with what the sale has happened, which will -- in the next few quarters, it will come back. So then , with the higher production, you have more overhead expenses, which are transferred from the expense to inventory.
Chintan Sheth : Okay. But the production loss of this quarter will also have some impact or element of reduced revenue in the upcoming quarter in 4Q . Will that be the right assessment? The pain will continue for another quarter . Do you think so?
Srinivas Sadu : Yes. It all depends on how soon we can make it more efficient to produce more.
Chintan Sheth : But this won't happen in the quarter, right?
Srinivas Sadu : Correct. Correct. So the pain will continue, but how much we can reduce that's what we've to see. At least the one -off items will be gone. And maybe if you can increase certain inventory levels , then it will be an addition to the positive EBITDA thing.
Chintan Sheth : Okay. Got it. And in the Indian business , the revenue run rate or U.S. revenue is coming back decently. That is also helping us improve our margin profile. You mentioned in the comment that the growth will be sustained , given the current outlook or what we're seeing. Does it also have an element to improve our gross margin profile further , given that the scale is coming back ? And we will have some operating leverage, which -- the leverage we faced in the past year will start to recoup again once the scale -up happens quicker than the previous quar ter.
Srinivas Sadu : Correct. So once the volumes start increasing, that's what we're seeing from the last few quarters, so we started selling more units, and absorption is more. So your margin is improving. So the idea is to reduce costs and how to improve profitability by making more volumes. That's been the -- that's where we're putting more efforts on.
With Cenexi, the issue of revenue is not there. Now , the whole focus is on how to reduce costs , be more competitive, and also increase the margins.
Chintan Sheth : Lastly , the capex outlook for this year and next, especially for the Cenexi part, would be helpful.
Ravi Mitra: Okay. So , Cenexi, we're currently framing the capex plan for this year and next year. Overall ,

the allocation would be around EUR 30 million, both for changing the equipment and increasing the capacity level. And for Gland Pharma, the usual -- the programs, which we're running for GLANDGLAND

increasing capacity like Suite 9 and for Combi -line and at Pashamylaram are going to be Bag line. So all put together, we expect to spend about INR300 crores in the next financial year.
Moderator: The next question is from the line of Ankush from Axis Securities.
Ankush: Sir, my question is regarding key products like Ketorolac and Enoxaparin. We're seeing a continuous fall in the prices. And what impact can we see on the margin side due to the key products because , excluding Cenexi, the margins are q

uite good for the business in this quarter ?
Srinivas Sadu : So the -- both the products are not just surprising ; the material -- the cost -- the raw material costs have gone down substantially, translated into end market pricing. So , that pricing got adjusted. So , from a margin perspective, there won't be an impact. It's just that from the top line, it has come down in terms of that. So there's not -- there's no issue with that. Ketorolac has been a consistent product with similar pricing for a long time.
Ankush: Okay. Sir, the second one is related to the Cenexi. So in the first quarter, we have a 10% of the margins. Any outlook , sir, for the sustainable margin for the Cenexi?
Ravi Mitra: So, as we mentioned in the near term, there would be some challenges in terms of EBITDA margin, and we expect to break even in the next 12 to 15 months. After that, we will go back.
Ankush: Sir, this is related to -- the last one is related to the India business. India's business is sustained. I mean, it's a stable business now. So , what kind of growth can we look for in the Indian business?
Srinivas Sadu : So India, honestly, we're in the hospital sales , and most of the products we have are under DPCO. So it's not been a big focus market for us , unlike branded products, right? So we're selling, which are, I would say, less competitive, but most of the injectables in India are under DPCO. So , the focus is less , and the percentage of revenue compared to the total turnover is smaller for us .
Moderator: The next question is from the line of Nitin Agarwal from DAM Capital.
Nitin Agarwal : Sir, two questions. One is, in the past, you used to talk about our clients getting into biosimilar biologics manufacturing. Are there any updates on how you're thinking about the space now after the vaccine opportunity didn't take off ?
Srinivas Sadu : Still, we're actually pursuing that ; it's not that it's out of the window. We signed one plasma project, and it's active -- we've started booking some revenue. Due to this project, we're estimating about INR14 crores, INR15 crores per year. It's a 5-year contract. But there are also other biologics companies we're visiting. But as you know, the funding for a lot of small buyers has slowed down. So because of that, it kind of slowed down, but we're still pursuing that space as well.
Nitin Agarwal : Okay. And just secondly, when you look at your business ex of Cenexi, there is - obviously the U.S. has been - that it has come back pretty strongly over the last couple of quarters. Other segments seem to have their own sort of struggle for now. GLANDGLAND

When you sort of look at -- take a 3 -, 5-year view of your business, so what is the cost -- the steady rate at which the business can grow? Is it more like a mid -teens growth business, a late-teen growth business when things stabilize? Or what kind of growth characteristic would you sort of be comfortable looking at for a 3 - to 5-year view of our ex -Cenexi business?
Srinivas Sadu : The good thing is a lot of complex product filings are happening. And while we've already filed 7, we have few approvals ; we're going to file four more this year. So that -- those product launches will happen.
And we're also seeing an increase in the CDMO space, where a lot of companies are transferring products to us. So , as you can see, the CDMO revenue is also going up. So there's a shift in that. So, on the overall basis, you also have to consider the base at which you're operating now. So , of course, as a company, on a consolidated basis, we have to see, but on this ex -Cenexi basis, mid-teens could probably be a target internally. But we have to see where we're going slowly and how we're devaluating because of the several options we're looking at. But that's what we're looking at, at least in the next 2 to 3 years.
Nitin Agar

wal : And sir, over this period where you're talking mid -teens target for the business. This would be what , again, is driven by the U.S. or ROW, or is it going to be equally? Do you see any particular

geography as being a primary driver for this growth?
Srinivas Sadu : See, there's a lot of opportunity in ROW also, like you said, so that growth will come from there. And U.S. complex generics are there. We have entered contracts with cartridges and pen products. So that will add some revenues.
We're also looking at contract manufacturing for some of the big pharma companies . So it's a combination of these few things.
Moderator: The next question is from the line of Neha Manpuria from Bank of America.
Neha Manpuria : Just a clarification on the Cenexi margins. Did I hear correctly that Cenexi would continue to be loss-making for the next year and also for fiscal year 25 ? And is the margin guidance that we had only for FY '26?
Srinivas Sadu : Not at the EBITDA level. I think Ravi mentioned the PAT level because of the depreciation and amortization, but the EBITDA level will be positive.
Neha Manpuria : Okay. Okay. So , is the 10% guidance that you gave for EBITDA reasonable? I mean , is this margin reasonable to assume in FY '25?
Srinivas Sadu : Yes, I think FY '25 is reasonable .
Neha Manpuria : Got it. Okay. And Ravi, on the depreciation and amortization, in your opening remarks, you gave a number of INR90 million to INR140 million. It seems like a very wide range. So this is the number that you would see in Cenexi -- for Cenexi as an incremental D &A. What's the D &A base that I should look at for the consolidated business? GLANDGLAND

Ravi Mitra: Yes. So , if you see Q2, consolidated depreciation was about INR80 crores. Now , going forward, there would be around INR10 crores in addition to that, so INR90 crores. Instead of this quarter, it is higher because we have made a catch -up depreciation here because the PPA was finalized this quarter. But going forward , there would be around INR90 crores on a consolidated basis.
Neha Manpuria : Okay. So INR90 crores is the number I should look at. So the -- okay, got it. Understood. That's clear.
Moderator: The next question is from the line of Chintan Sheth from Girik Capital.
Chintan Sheth : The question got answered.
Moderator: As there are no further questions from the participants, I would now like to hand the conference over to Mr. Ankit Gupta for closing comments.
Ankit Gupta : Thank you, everyone, for joining us today. We appreciate your participation. If there are some questions with us still unanswered, you can reach out to us any time, and we'll be happy to address them . I am looking forward to connecting with you next quarter and also in case there are more questions. Thank you.
Moderator: Thank you. On behalf of Gland Pharma Limited, this conference concludes . Thank you for joining us. You may now disconnect your lines. GLANDGLAND

Call: May 2024

May 29, 202 4

BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
25th floor, Dalal Street
Mumbai - 400 001
Scrip Code: 543245 National Stock Exchange of India Limited
Listing Department
Exchange Plaza, 5th floor
Plot no. C -1, Block G, Bandra Kurla Complex Bandra
(East), Mumbai - 400 051
Symbol: GLAND (ISIN: INE068V01023)

Dear Sir/Madam,

Sub: Earnings call Transcript - Q4FY24

Please find enclosed the transcript of the Earnings call for Q 4FY24 of the Company held on Wednesday , May 22, 2024, at 18.00 Hrs. IST. This will also be available on the Company's website and the web link to access the same is https://glandpharma.com/investors/financials

This is for your information and records.

Yours truly,
For Gland Pharma Limited

Sampath Kumar Pallerlamudi
Company Secretary and Compliance Officer

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"Gland Pharma Limited
Q4 and FY'24 Earnings Conference Call "
May 22, 2024

MANAGEMENT : MR. SRINIVAS SADU – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER – GLAND PHARMA
LIMITED
MR. ALAIN KIRCHMEYER – CHIEF EXECUTIVE
OFFICER – CENEXI
MR. RAVI MITRA – CHIEF FINANCIAL OFFICER –
GLAND PHARMA LIMITED
MR. ANKIT GUPTA – HEAD INVESTMENTS , M&A AND
CORPORATE STRATEGY – GLAND PHARMA LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Gland Pharma Limited Q4 and FY '24 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Ankit. Thank you, and over to you, sir.
Ankit Gupta : Thank you, Nirav. Good evening, everyone, and we welcome you to Gland Pharma Earnings Conference Call for Q4 and FY'24. My name is Ankit and I Head Investments , M&A and Corporate Strategy at Gland. Joining me today are Mr. Srinivas Sadu, our MD and CEO; Mr. Ravi Mitra, our CFO; and we also have today, Mr. Alain Kirchmeyer, the CEO of Cenexi; our European CDMO business. Together today, we'll discuss our business performance and address any questions that you may have.
We'll begin with the business highlights on Gland and Cenexi from Mr. Sadu followed by an overview on Cenexi and the turnaround strategy from Mr. Alain and lastly, the group financial review by Mr. Ravi.
Before we proceed, I'd like to remind everyone that some of the statements made today may be forward -looking and based on the c

urrent estimates we have with management. These statements should be considered in light of the risk associated with our business. Please note that the call is being recorded, and the playback would be made available today, and the transcript would be available within this week.
With that, I hand over the call to Mr. Sadu for his opening remarks. Thank you. Over to you, Mr. Sadu.
Srinivas Sadu : Thank you Ankit. Good evening, everyone, and thank you for joining us for Gland Pharma's Fourth Quarter and Fiscal Year 2024 Earnings Call . This past year has been positive for Gland, marked by the significant rebound of our core business and the exciting new chapter we have begun with our first international acquisition of Cenexi in Europe .
Despite the evolving business environment, we have demonstrated resilience and delivered a performance that exceeds last year's results and sets the stage for continued growth and success in the years to come. Let's turn into our fourth quarter consolidated performance. Gland achieved revenues of INR15,375 million in Q4 FY '24, a remarkable 96% increase compared to Q4 FY '23. Not only did our recent acquisition of Cenexi contributed to this growth, but our base business also continued to grow. It highlights the ongoing strength of our core business, driven by a sustained market leadership of our key injectables and the successful introduction of new products.
Notably, our EBITDA for the quarter rose to INR3,587 million, a significant improvement over the INR1,684 million reported in Q4 FY '23. Our base business operations, excluding Cenexi, experienced substantial growth in Q4 FY '24. Revenues reached INR11,737 million, a significant 50% increase compared to the same period last year. Profitability also showed with EBITDA margins hitting 37%, a 16% point improvement year -over-year.

Shifting our attention to the full FY '24. Our consolidated revenues reached INR56,647 million, a substantial 56% increase compared to the previous year. While the integration of Cenexi played an important rol e in growth, we also experienced strong momentum throughout the year in our base business, growing by 15%, driven by new product launches, successful relaunches, and the continued market dominance of leading products.

Our consolidated EBITDA of FY '24 amounted to INR13,331 million, up from INR10,248 million in FY '23. Our consolidated EBITDA margins for the year were at 24% and were impacted by the inclusion of Cenexi, which is still in the process of reaching its optimal performance level. However, for the full FY '24, our base business EBITDA totalled INR14,14 2 million, a 38% increase from the previous year. Base EBITDA margins for the entire year also saw impressive growth, reaching 34%, a 6 percentage point increase compared to FY '23.

The Board of Gland Pharma is pleased to recommend its first ever dividend to shareholders post listing. The Board recommends a final dividend of 2,000%, equivalent to INR20 per equity share for the fiscal year ending March 31, 2024, subject to the approval of our shareholders.

In terms of our geographic performance, our core markets achieved 59% revenue growth in FY '24 and now represents 75% of our total revenues. We successfully introduced our 50 + new molecules to the market throughout the year, including Regadenoson , Ganirelix , Doxycycline , Octreotide Acetate , Carboprost and Ketamine . These launches included 30+ relaunched molecules that were temporarily unavailable due to challenges with some partners. Excluding Cenexi, the base business in core markets grew by 21%.

Our key products in Enoxaparin Sodium , Cisplatin , Lacosamide , Rocuronium Bromide , Zoledronic Acid and Vancomycin continue to demonstrate strong growth, and we haven't observed any major price -related fluctuations. Looking ahead, we remain optimistic about the potenti

al in these markets. We are confident in our ability to maintain our competitive edge through ongoing compliance, cost leadership, scale and our diverse portfolio of offerings.

Our core markets outside the US saw a significant boost from the Cenexi acquisition, achieving 3x growth in the fiscal year. We have been actively working to identify and capitalize on synergies with Cenexi while also expanding our base portfolio in these markets with products already approved in the US.

The rest of the world markets accounted for 20% of our revenue in FY '24, an increase of 63% from FY '23. This increase was primarily driven by Cenexi volumes. We have seen positive traction for some of our products in this market, and we anticipate signif icant growth in the businesses we have recently established over the next 2 to 3 years.

In contrast, the Indian market contributed 5% of our revenue in FY '24, and we are currently evaluating strategic options to develop a well -considered future plan for this market.

Turning our focus to research and development, our total R&D expenses for Q4 FY'24 were INR 436 million. We filed four ANDAs during the quarter and received approval for six ANDAs. For the full FY'24, R&D expenses amount to INR 1,773 million, representing 4.3% of our base business revenue. We filed 19 ANDAs throughout the year and received approval for GLANDGLAND

24 ANDAs. As of March 31, 2024, Gland and its partner had filed 349 ANDAs in the United States with 286 approved and 63 pending approvals. The company currently holds 1,667 product registrations worldwide.

While our progress in the Chinese market has reached lower than anticipated, we have filed nine products so far, of which three have been approved. We have commercialized one product, but its contribution has not yet been substantial. We are actively colla borating with Fosun to reassess our approach, identify strategies to achieve more significant success in China, a vast market with considerable potential.

Regarding complex injectables, we targeted to develop 19 molecules addressing a market size worth USD 9 billion as per IQVIA. To date, we have received six approvals, of which four products have been launched. We recently launched Eribulin as our first major complex product in this category. The next two years will be crucial for realizing meaningful resul ts from our complex product portfolio. We are also exploring potential acquisitions, co -development and in-licensing opportunities to accelerate our growt h and strengthen our position in this segment.

While biologics represents a long -term play, our immediate priority is to obtain regulatory approvals for our facilities through our existing business and potential near -term wins. Overall, biologics remain a key driver for our future growth.

This has been a good year for quality and operations with over 40 successful audits completed, including those who are regulators and partners. All of our sites are operating smoothly, are in a state of control with establishment inspection reports already received. We remain committed to maintaining compliance as a core pillar of our strategy, ensuring its deeply ingrained in our culture and every business decision. Before I wrap up, let's discuss Cenexi in more detail. Alain, Cenexi's CEO, will provide a roadmap for our turnaround strategy. Before handing it over to him, I would like to share key points.

In Q4 FY'24, Cenexi recorded revenue of INR3,637 million, with a gross contribution of 77% and a negative EBITDA of INR720 million. For the 11 months of FY'24, revenue totalled INR14,878 million with a gross margin of 76% and a negative EBITDA of INR812 million.

The quarter's revenue decline of 18% was primarily due to operational disruptions, which led to our backlog of orders. Additionally, there was a delay in executing the tech transfer for the new

business, which was intended to replace the phasing -out busine ss. We're actively investing in capacity expansion, capability enhancement and optimizing our filling and packaging lines to ensure consistent execution. Our long -term turnaround plan also addresses critical areas like hiring needs, operational excellence, supply chain efficiency and integrating value -adding technologies.

While achieving the full potential of the acquisition has been delayed by a few quarters, the thesis behind the acquisition is intact and we remain confident in Cenexi strong medium to long - term outlook. We are committed to maximizing this business strategic value with a healthy order book, a strong customer base, many tech transfer projects and promising growth opportunities. GLANDGLAND

With that, I'll turn the call over to Alain, the CEO of Cenexi, who would share insights into the company's progress and strategy. Thank you all for your attention. Over to you, Alain.

Alain Kirchmeyer: Thanks, Sadu. Good evening, everyone. My name is Alain Kirchmeyer. I took over as the Cenexi CEO and President in February this year. I'm happy to be in India and participate in this investor call for Gland Pharma Limited, our parent company.

At this pivotal juncture for Cenexi, I am confident that we can leverage our industry expertise and the strong support of Gland and Fosun to capitalize on significant opportunities and establish ourselves as a leading CDMO in the European market.

While the road ahead will demand focus, the groundwork is in place for us to achieve this ambitious goal and become the group's flagship CDMO company. As Sadu highlighted, Cenexi is navigating a transitional period, and our performance is affected by near -term operational challenges. While the business long -term potential is substantial, we must overcome these hurdles to achieve our goals sustainably.

With Gland's operational and financial support, we have initiated a comprehensive plan outlining detailed short -term, medium -term and long -term goals to address these challenges as detailed in the earnings presentation shared with you all. We are actively investing in asset upgrades, capacity rebalancing and developing future -ready capabilities that align with the evolving CDMO market demands and will drive Cenexi towards higher -margin business.

In the short -term, we are implementing a plan to maximize the site utilization through extra shifts, enabling us to normalize the order backlog. We have enlisted third -party support to optimize preventive maintenance and changeovers and minimize downtime. These measures will increase output from existing capacity and mitigate revenue decline.

In the medium -term, we will address line level utilization challenges by moving some high - volume products within sites, enhancing flexibility, reducing format changes and ensuring timely and efficient service. Additionally, we are accelerating technology t ransfer projects for faster new product launches, driving increased turnover.

We are adding one new high -speed ampoule line in our Fosun plant and evaluating further capacity increases for prefilled syringes. We are also transitioning towards a leaner centralized corporate structure to streamline decision -making, reduce redundancies , boost agility and foster a unified Cenexi culture.

From a business development perspective, we are actively engaging with partners on a high - margin, complex projects in biologics, complex generics, and NDAs while leveraging the combined strength of Gland and Cenexi for enhanced market positioning. We also identified cross -selling opportunities and increased wallet share with our partners by mapping our customer base.

Additionally, we are engaging in discussions with existing partners to optimize pricing and ensure profitability. In the long term, we envision Cenexi as one of the most adva

nced CDMOs,
capable of offering a wide range of sterile injectables and consistent ly delivering high margins GLANDGLAND

and profitability. Clearly, our immediate goal is to bring Cenexi back to profitability and in the medium to long term, deliver high -teen margins.

Thank you. I will now turn the call over to Ravi to discuss Gland and Cenexi's financial performance. Ravi, please proceed.

Ravi Mitra: Thank you, Alain. Good evening, everyone. I trust you have had the opportunity to review our financial results, investor presentation and the press release we shared through the stock exchanges.

Let me begin with an overview of our performance this quarter and the full year. Our business has demonstrated strength contributing to a 96% year -over-year surge in revenue from operations and amounting to INR15,375 million in Q4 FY'24. This robust performance, coupled with the successful integration of consolidated revenue from our recent acquisition of Cenexi, has propelled our total revenue for the fiscal year FY'24 to INR56,647 million, a significant 56% increase compared to the previous year. The revenue, excluding Cenexi, also grew by 50% in Q4 FY'24 on a year -on-year basis and 15% in FY'24.

Other income for Q4 FY'24 reached INR421 million, primarily consisting of interest and fixed deposits. This represents an increase compared to Q4 FY'23, which saw INR389 million in other income due to positive forex movement. For FY'24, total other income amounting to INR1,702 million, this figure is lower compared to FY'23 due to lower interest earned on fixed deposits and lower foreign exchange gains from operations.

Our gross margin for Q4 FY'24 reached 61%, a notable improvement from the 54% recorded in Q4 FY'23. Cenexi's high gross margin profile primarily drove this year -over-year enhancement in gross margin. Additionally, we are pleased to report that our base business also experienced an improvement in gross margin to 56% compared to the previous year.

In Q4 FY '24, we achieved an EBITDA of INR3,587 million, a 113% increase compared to the INR1,684 million reported in the same quarter of the previous financial year. Our EBITDA margin for Q4 FY '24 stood at 23%, up from 21% last year. For FY '24, our EBITDA reached INR13,331 million, a 30% increase compared to INR10,248 million in the previous financial year. However, the EBITDA margin for FY '24 was 24% lower than the 28% reported in the last year, due to the consolidation of Cenexi. We are actively implementing corrective measures to ensure Cenexi's business rebounds to its expected margin levels. In contrast, our base business, excluding Cenexi, achieved an improved EBITDA margin of 37% in Q4 FY '24, significantly higher than the 21% reported in the same period of the previous year. For FY '24, the EBITDA margin of our base business stood at 34% compared to 28% in FY '23.

Our net profit of PAT for Q4 FY '24 increased substantially by 145% year -over-year compared to Q4 FY '23, reaching INR1,924 million. For the full FY '24, our PAT amounted to INR7,725 million. Although this marks a slight 1% decline compared to the previous year. It's important to note that this was achieved despite losses at Cenexi, which were offset by significant growth in profitability from our base business. GLANDGLAND

Our PAT margin for Q4 FY '24 was 13% and 14% for FY '24. Notably, our base business, excluding Cenexi, achieved a significant improvement in PAT margin, reaching 25% for FY '24 compared to 22% in the previous year.

Total R&D expense for FY '24 amounted to INR1,773 million against INR2,014 million in FY '23. This represents 4% of our revenue from operations, excluding Cenexi.

On a stand -alone basis, our effective tax rate was 26% in the fourth quarter and for 12 mon

ths
of the current fiscal year. On a consolidated basis, the ETR went up to 35% in Q4 FY '24 due to the absence of a deferred tax asset at Cenexi for the PBT losses during the year.

As of March 31, 2024, our total cash and equivalents on a group level stood at INR24,953 million. However, considering the outstanding loans on Cenexi's books, our net cash position was lower at INR21,756 million. During the 12 months ended March 31, 2024, we generated INR9,968 million in cash flow from operations. As of March 31, '24, net working capital was at INR24,074 million FY '24, compared to INR24,010 million FY '23. The net working capital remained flat despite increased revenue due to a decreased inventory level.

Our average cash conversion cycle improved, reaching 169 days for FY '24 compared to 256 days in FY '23. We invested INR3,975 million in capital expenditures during the current fiscal year. Of this amount, INR2,368 million was spent on upgrading and settin g up production lines

and routine maintenance at our facilities in India. Balance of capex spend at Cenexi will
positively impact performance to reduce downtime and lower maintenance cost.
With that, I will turn the call over to the moderator to open the floor for questions and answers.
Moderator: The first question is from the line of Saion Mukherjee from Nomura. Please go ahead.
Saion Mukherjee: Thanks for taking my question. Just wanted to check on Cenexi. So from the current level to breakeven to high teens, what's the timeline and please give some more granular details on the key milestones that you should look out for as far as EBITDA margin improvement is concerned with the timelines please?
Alain Kirchmeyer: So, our goal to reach high -teen margins is a mid to long -term goal. And there are a number of actions that we have to take. The first one, as you've seen in the presentation is to fix our operational issues and improve our operational results. The second one is to speed up our tech transfers to our HSE site in France. And of course, continue on all the business development actions that have already been initiated to gain new customers. And for that, we need, of course, to invest in new capex to increase our ca pacity.
Saion Mukherjee: How should we think about Cenexi EBITDA for next fiscal and the year after that and I just want to understand what ’s the mid - to long -term timeline means here. if you can guide for FY '25 and '26 on the margins ?
Alain Kirchmeyer: we're looking here at mid to long term goal, meaning typically 1 to 2 years.

Saion Mukherjee: Question on the base business , We have seen a very strong recovery here in the U.S. and other markets growing EBITDA margin getting to 37%, how should we think about this number going forward. We're seeing good traction. Maybe you will have more products on the partnerships coming in? How should we think about EBITDA margin, gross margins as the business kind of stabilizes and goes from here?
Srinivas Sadu: Yes. I think the pricing wise it's kind of stabilized. If you see year -on-year, its price is almost same, I would say, 1% negative, but it's almost same. But with the relaunches what we have done, what we have lost last year, everything got re -launched, so that kind of brought back the volumes. So, the combination of our new product launches and relaunches which is 17% that has got back the numbers what we have.
In addition to that, if you look at our top 10 products, almost 8 products have grown substantially, including Enoxaparin we got the contracts back what we have lost earlier. We're aggressively pricing and w e did several things to work on the cost , So, it could get a few major contracts back. So the growth on those are almost like 2x to 3x. And we were, of course, the Enoxaparin business, we are always saying it was a temporary, they were not taking up.

So, to see what we have done in the last 2 quarters and the first 2 quarters is completely different. And so, we're headed back to what we've been guiding the market in terms of volumes in 1 9 or 20 million syringes and we're also looking at a bit higher opportunities as well. So, a lot of products are took actually what the market share what we had earlier and become strong.
So, kind of confident on those because we kind of got back the GPO contracts. And the margins are also kind of stabilized the regulatory landscape, what's in the market? So that also helped us in some of oncology products. We've got a good market share, produ cts like platins so that way, the base business is improving. Yes, I would say it's more stabilized now.
Saion Mukherjee: So, sir, now the run rate that you have in the base business in the U.S. So, is that stable? How much can it grow? And on top of that you will have new launches, if we can just talk about the headroom that's available with all the disruptions and your recovery from what we have seen in this quarter?
Srinivas Sadu: So, we kind of guided last time also. I think we still want to stick to that about 14 to 15% growth rate on an annual basis, combination of the base and the new launches for them and because now it's a larger base. So, we want to stick to that.
Saion Mukherjee: Okay. So just I can ask one last question. What is the milestone and profit share numbers that you can share for fourth quarter and for full year?
Srinivas Sadu: It's in the similar range, 2%, 3% this way that way. What you have to understand, we're also doing now some complex products. So, milestones will be a little higher than earlier. So probably a couple of percentage. But otherwise, on an annual basis, still it's in similar range.
Moderator: Thank you. Next question is from the line of Amey Chalke from JM Financial Services. Please go ahead.

Amey Chalke: Congratulations to the management for good set of numbers. So, the first question I have is

related to FY '25 outlook. Like this year, we are seeing a good amount of contribution coming in from the new product launches, are we expected to replenish the similar kind of sales from the new products next year? Because I expect there would be some price erosion happening, which could be substantial for the new products which have been launched last year.
And the second question I have related to this is, generally, when we have CRAMS players supplying the products, we see the flu ctuate of volatility in the contracts. So, if we have seen a good amount of ramp -up this year, do you expect that similar kind of contracts to get repeated next year? Or you think the inventory adjustment could happen, that could brag the growth a bit in next year?
Srinivas Sadu: Yes. So, when you're saying new launches, I did mention that a lot of these are relaunches with over 30 plus molecules relaunched what we lost last year because of the Athenex and Alvogen exit in the market. So that got relaunched. So kind of got back the product volumes what we lost. So, it's not like these are new products where the pricing erosion will happen because it's already like very generic products where it's already kind of settled.
So new products that we launched in terms of the entire business what we have grown, does not impact that much in the scheme of things in terms of new launches, how much it has contributed to the growth.
The other question about the contracts, a lot of contracts what we signed recently; it is the second part of the year also. So, if you actually annualize it, the volumes have increased because we signed some in last quarter, some in the previous quarter also. So, it's actually not the annualized numbers. That should have stabilized as you said, initially, there will be a higher offtake because they also fill the pipeline. But we need

to consider that if you see the numbers, it's going up from third quarter to fourth quarter. So, most of the these contracts are signed and getting launched those quarters as well.
So even now some are still not yet launched. So that way, once you annualize it, I think it should balance the whatever you're talking about the initial uptake.
Amey Chalke: Sure. The other question I have is on the biologics. It's been while since we had acquired this unit, what steps we have taken to ramp up our position in this space and how we can improve the utilization of this unit?
Srinivas Sadu: Yes, the efforts are there, small projects we are doing, but biologics normally takes a longer time compared to others. And in last one year, so many headwinds on different aspects. The focus was how to get the base business back and lot of efforts went in to that in terms of how we need to reduce our costs and be more competitive. And also, the exact situation in the US a lot of funding has stopped. And whenever you have a new asset, especially guys entering the biologic space, you need to work with the smaller development companies where the funding has stopped.
So, efforts are there and continued discussions are happening. So that will be, I would say, it's a slow process, but we have to stay there because, on the CDMO side, that's the area we want to GLANDGLAND

grow in the near future. So currently, it's more on technical side and skill development of people strengthening that's what we are focusing on. And I think that's once you have that, everything else will follow.
Moderator: Next question is from the line of Bino from Elara Capital.
Bino: A couple of questions. One, could you comment a bit on the opportunity in this Eribulin product as I see you are the only approved generic in the market? Do you expect competition near term?
Srinivas Sadu: It's around $170 million, $180 million product, and we are the first one to launch. And we just launched last month, so we have to see how the market behaves, because a couple of people have filed it. We don't know the status of approvals yet and we are not aware what stage they are in. But generally, when you are the first in line you tend to get the contract. So, we're just hoping good results from the market. But just to give you a number, it's too early, I would say.
Bino: Okay. So, a normal assumption would be over the next 6 to 18 months you may see one or two more entrants in the market?
Srinivas Sadu: I can't really comment on somebody's filing, but you can see in the next 6 months or 12 months, I'm not sure.
Bino: Understood. Second, if I remember last year, there was a plant shutdown in Cenexi during summer holidays. Is that a routine thing? Or will that happen this year as well? And which months would that be?
Srinivas Sadu: I think I did mention in the last call that we are trying to invest in a new line. So the plan is t hat we're pushing the supplier to get that line before that shutdown happens so that we can utilize that time for the installation of the line. So that once these lines get added, then we can have additional capacity where today we're struggling. Today, the i ssue is not orders. We have EUR20

million to EUR25 million orders of backlog and the consent is the capacity. So I would say that's
the steps we are takin g so that we can install this new l ine in no time.
Bino: Okay. So, shutdown is happening? Which months would that be?
Srinivas Sadu: That's August.
Bino: That's August. Okay. And last, just one question on tax rate. This year, the overall consolidated
tax rate has come to 35%. It's a big jump over the last few years. So, the consolidated tax rate,
we are looking forward to in the next 2 or 3 years?
Ravi Mitra: So currently, the 35% is because there is no negative tax or deferred tax asset created at Cenexi
level because of the lo

sses. However, the normal tax rate at Cenexi is 27% in France. So, the
time it starts to be at PBT positive level, this tax rate which really come down.
Moderator: Next question is from the line of Charul Agrawal from Bank of America. GLANDGLAND

Charul Agrawal: Sir, my first question is on US revenue medium -term growth. So, when we think about the ramp -
up of US base from here, how do we look at it in terms of drivers? How much of it would come
from new product launches versus adding partners in the existing product?
Srinivas Sadu: Our large base, we still see 3% to 4% coming from pure new launches and some from the
relaunches. So normally, it's around 10% to 11% is the growth we get from the launches,
combination of relaunches and purely new products.
Charul Agrawal: Okay. So, the other proportion is, is it basically expanding market share from the current partners
itself? Or do we see scope of adding new partners in the products that we have?
Srinivas Sadu: It's a combination of both. So basically, you want to increase your market share when you add
up both sides. So it's a combination of both, but mostly getting into some contracted situations
just like I said, some we have entered a large product into the c ontract, which gets annualized.
The growth will come from those markets also. So , whenever these GPO contracts are opening
up, we are focusing on how to get those contracts.
Charul Agrawal: Okay. Sir, my next question is on Cenexi. So, this quarter, we have seen higher costs for the
business. So, going ahead, how do we see the cost from this level? Do we expect to incur
additional costs over this? Or can we see this as the base?
Ravi Mitra: So, this cost related to typically maintenance will come down. And we expect there would be a
lower cost base in actual terms also, as we complete our expansion, and the volume growth and
fixed cost gets more utilized. So, on a percentage basis and as well as absolute term, we would
expect the cost to be lower than today. Of course, there will be certain inflation to counter that.
Charul Agrawal: Sir, this would start reflecting from the next quarter as well? Or do you expect this to happen a
few more quarters down the line?
Ravi Mitra: It will take a few more quarters because as Mr. Sadu just explaining that there is going to be a
new line, the high -speed line, which is being installed in September quarter. And post that, we
would expect the volume to grow.
Charul Agrawal: Okay. So, the absolute cost as well will happen after the September quarter? Or is it the revenue
ramp -up that you are saying will happen after the September quarter?
Ravi Mitra: No. So, September quarter, the installation will start and then it will take a quarter or so to start
the commercial and ramp up to happen.
Alain Kirchmeyer: So, we are expecting an impact to Q1 or Q2 next year, depending on how the ramp -up goes.
Moderator: Next question is from the line of Shyam Srinivasan from Goldman Sachs.
Shyam Srinivasan: First one is on Cenexi. For the 11 months, I think in euro terms, we have done a revenue of Euro
166 million, I ’m just annualizing it for the 12 month s, it’s around 180 million and maybe I ’m
wrong. But this used to be a 200 million run rate. So is the 20 million, is that the lost opportunity
that we have seen because of some of the challenges. And for the quarter, I think it came at GLANDGLAND

EUR40 million. So just if you could help us quantify what is the missing part that should have
rightly come through this quarter and may actually flow through potential in the future?
Srinivas Sadu: So, like you mentioned, about 20 million is the backlog orders we have in other than the supply
because of the operational issues we are facing. So that itself should cover the difference what
you mentioned. So,

it’s a slow ramp -up of EUR 40 million could be the base and we ’ll see a
slow ramp -up of the revenue. And any revenue add, if you ’re seeing the gross margin of 77%,
it just slows down to the bottom line. So, the initial focus now is how to make it more efficient

line so that we also wi ll increase that we can make more supplies th en the top line increases
automatically flows down and then work on the new lines in parallel.
So, we have unlike Gland where we have we put up a new line, we have space and then we
remove the line with transfer products. We don 't have that flexibility there. We have to work
on. because the capacity is 100% utilized today, several lines where the demand is high. So, we
have to partially take some actions so that it did not impact the running business. At the same
time, install lines and newer machinery so that it helps to grow the business. So, it's a little
different volume compared to what we do here.
Shyam Srinivasan: Sorry, I 'm unable to understand. So, I get the 20 million order backlog, but should we look at
quarter 1, quarter 2, quarter 3, when we look next fiscal for Cenexi , is it the 40 million run rate
is what we think we can do or there 's a ramp at some point of time?
Srinivas Sadu: It will ramp up slowly. It could be some it could be from Euro 40 million , it might go to 43 and
45, something like that.
Shyam Srinivasan: Yes. And at what time, when we reach the 50 million run rate quarterly, I'm just sorry, I'm
looking at historical numbers, that's when we reached whatever the pre -acquisition run rate of
over EUR200 million is when we'll potentially get the EBITDA margin t o be positive. Would
that be fair?
Srinivas Sadu: Around 3 quarters to get to that 50 million quarter number.
Shyam Srinivasan: Okay. And at that pace, at 50 million, we should be having positive EBITDA. I'm not asking
you to quantify any specific margin number. But do you think that is where?
Srinivas Sadu: Yes, that's correct.
Shyam Srinivasan: Okay. Second question is just on the whole shortages scenario in the US. Some of the data
external I QVIA data seems to suggest it's that a multi -decadal high. So, what are some of the
benefits that we may have accrued? Do we benefit from it? In the past, Mr. Sadu you've told us
it's very cyclical. So, it may come some years, goes away some years.
But do you think, given the focus on trying to reduce shortages, could this be a sustainable
advantage longer than usual? And when we look at the margins of 37% for the quarter. Is there
an element of shortages that is helping us reach there? GLANDGLAND

Srinivas Sadu: I wonder maybe shortages at least for this quarter which has helped , that this shortage has been
happening for many years and with more regulatory issues in the recent past that have increased.
It's very difficult to say when it will go away and on the oncology side, we did get benefit out of
it. Earlier, we were not compe titive enough to compete in that space.
But because of the shortages, we did get benefit of certain products for sure. But timing -wise, I
can't really say how long this will stay. But historically, consistently you saw the shortage s in
the US. market. And that's a combination of how many people want to actually sell this product
because the margins are low and being only injectable we stay there.
Shyam Srinivasan: Thank you and all the best. Thank you.
Moderator: Thank you very much. As there are no further questions, I'll now hand it back to Ankit sir, for
closing comments.
Ankit Gupta: Thank you, everyone, for joining today. We appreciate your participation. If there are some
questions that are not still answered, you can reach out to us. Thank you, once again, looking
forward to host you again next quarter.
Moderator: Thank you very much. On behalf of Gland Pharma, that concludes this conference. Th

ank you
for joining us, and you may now disconnect your lines. Thank you.

Call: Aug 2024

August 12 , 202 4

BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
25th floor, Dalal Street
Mumbai - 400 001
Scrip Code: 543245 National Stock Exchange of India Limited
Listing Department
Exchange Plaza, 5th floor
Plot no. C -1, Block G, Bandra Kurla Complex Bandra
(East), Mumbai - 400 051
Symbol: GLAND (ISIN: INE068V01023)

Dear Sir/Madam,

Sub: Earnings call Transcript - Q1FY25

Please find enclosed the transcript of the Earnings call for Q1FY25 of the Company held on Tuesday, August 06, 2024, at 18.30 Hrs. IST. This will also be available on the Company’s website and the web link to access the same is https://glandpharma.com/investors/financials

This is for your information and records.

Yours truly,
For Gland Pharma Limited

Sampath Kumar Pallerlamudi
Company Secretary and Compliance Officer

Encl: As above GLAND GLAND PHARMA LIMITED
Regd. Office:
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“Gland Pharma Limited Q1 FY25 Earnings Conference Call”

August 0 6, 202 4

MANAGEMENT : MR. SRINIVAS SADU – EXECUTIVE CHAIRMAN & CEO,

GLAND PHARMA LIMITED
MR. ALAIN KIRCHMEYER – CEO, CENEXI
MR. RAVI MITRA – CFO, GLAND PHARMA LIMITED
MR. ANKIT GUPTA – HEAD (INVESTMENTS , M&A,
CORPORATE STRATEGY), GLAND PHARMA LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Q1 FY25 Conference C all of Gland Pharma Limited.
As a reminder, all participant lines will be in listen -only mode, and you will have an opportunity to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone.
Please note that this conference is being recorded.
I now ha nd the conference over to Ankit from Gland. Thank you , and over to you , Ankit .
Ankit Gupta : Thank you, Sagar. Good evening, everyone, and we welcome you to Gland Pharma Ear nings Conference Call for Q1 FY25.
My name is Ankit , and I am Head of Investments, M&A and Corporate S trategy at Gland.
Joining me today on the call are Mr Srinivas Sadu – our Executive Chairman and CEO; Mr Alain – the CEO of Cenexi, our European CDMO business; and Mr Ravi Mitra – our CFO.
Today, we will discuss our business performance and address any questions that you may have.
We will begin with the business highlights from Mr. Sadu, followed by an overview of Cenexi's performance from Alain. Lastly, the group financial review was conducted by Ravi.
Before we proceed, I would like to remind everyone that some of the statements made today will be forward -looking and will be based on our current estimates. These statements should be considered in light of the risks that are associated with our business. The call is being recorde d, and a playback and transcript will be available in due course on our website.
With that, I will hand over the call to Mr. Sadu for his opening remarks . Thank you, and over to you, Mr. Sadu.
Srinivas Sadu : Thank you, Ankit. Good evening, everyone, and w elcome to Gland Pharma's Q1 FY 25 Earnings Conference Call.
I am happy to report that we have had a good start to the fiscal year, meeting our expectations and aligning with what we had indicated in our base business and Cenexi.
On a consolidated basis, we achieved Rs. 14,017 million in quarterl

y revenue, reflecting a 16%
year-on-year growth. This performance aligns with our outlook and is fueled by healthy results in core markets, along with incremental revenue from Cenexi.

Our base business, excluding Cenexi , achieved Rs. 10,134 million in revenue, a 14% increase compared to the same period last year. While gross margins remained relatively stable, base business EBITDA margins were a t 29% compared to 30% in Q1 FY 24. Our consolidated EBITDA margins for the quarter were 19%, impacted mainly by Cenexi, which , despite showing improvement this quarter, is still on the path to profitability.
Shifting our focus to Geographical Performance , Our core markets achieved a 25% reven ue growth in Q1 FY 25 and now constitute 76% of our total revenues. The U.S. market continued its strong performance with a 27% increase in revenues, primarily due to a healthy volume share of existing products and new launches like Eribulin, P lerixafor, Nelarabine, and Edaravone.
Despit e year -on-year stability, the U S market remains crowded , requiring manufacturers to maintain continued focus on cost competitiveness.
The rest of the world markets contribut ed 20% of our revenue in Q1 FY 25, a 3% decrease compared to Q1 FY 24. This performance reflects the inherent fluctuations in the business as some tender -led procurements from partners have been delayed to subsequent months. However, the rest of the world markets are expected to grow at a healthy rate on an annual basis.
The Indian market made up 4% of our revenue in Q1 FY 25, experiencing a 19% decrease compared to Q1 FY 24. This performance was by design, and we are currently evaluating various strategic options to determine the best path forward for this business.
Moving to R&D , Our total expenditure in Q1 FY 25 was Rs. 489 million, representing 5% of our base business. We filed 8 ANDAs during the quarter and received approval for 7 ANDAs. As of June 30th, 2024, Gland and its partners have filed 356 ANDAs in the United States, with 295

approved and 61 pending approvals. Currently, the company holds 1,708 product registrations worldwide. During the quarter, the U.S. FDA made two surprise inspections of our manufacturing sites in Hyderabad. The inspections concluded with 2 and 3 Form 483 observations at Dundigal and Pashamylaram, respectively. As previous ly communicated, these observations are procedural and do not affect our compliance status.

While the generic business is progressing as planned, our biologics CDMO business is also experiencing positive momentum. Our biologics facility in Genome Valley is attracting advanced -stage interest from multiple players for contract manufacturing of mono clonal antibodies and novel plasma -based proteins. In addition, we are in discussions with the leading biologi cs company for a potential strategic collaboration. This collaboration could involve large -scale contract manufacturing of 4 biosimilars with a po ssible in -licensing opportunity for Gland Pharma in specific markets of interest. Although this discussion is in the early stages, it represents promising avenues for Gland Pharma to maximise its value in both CDMO and complex portfolio expansion. We will continue to update you on our progress. GLAND

Now , turning our attention to Cenexi , The business recorded Rs. 3,883 million, which is €43 million in revenue this quarter, with a gross contribution of 78% and a negative EBITDA of Rs. 286 million, which is €3 million. We are pleased with the progress made and the positive impact of our cost control and efficiency efforts. While we remain optimistic about the opportunity, I must inform all of you that Cenexi is still a few quarters away from a complete turnaro und. Alain is here and with us today to provid e a detailed overview of Cenexi's performan

ce.

Before passing the call to Alain, I want to reiterate that Gland has had a positive beginning of the year and is on track to achieve its targeted performance amidst expanding business opportunities. We are optimistic about even stronger results in the coming quarters.

Thank you, and over to you, Alain.

Alain Kirchmeyer : Thank you, Sadu. Good evening, everyone.

Cenexi’s performance demonstrated an upward trend this quarter . Cenexi's performance demonstrated an upward trend this quarter, with a reported 7% increase in quarterly revenue. While revenues increased, we also successfully reduced losses through improved operating cost leverage and continued efforts in managing costs and efficiencies.

Our Fontenay manufacturing site, near Paris, a significant contributor to overall revenues, has shown continuous improvement in operational performance. We are now realising the benefits of actions initiated earlier this year, including operational efficie ncy enhancements, additional weekend shifts, organisational changes, optimised production planning, and maintenance reorganisation. As a result, this quarter, the site shipped higher volumes while simultaneously reducing backlog. The Fontenay site derives the majority of its revenue from ampoule fill and finish operations, and we've recently added a new ampoule line. This line will be commissioned during the summer shutdown period of August, with commercial production slated to begin in early 2025. We antic ipate this new line will significantly increase capacity, improve customer service, and generate approximately €10 million in revenue in 2025.

Our site in Hérouville, near Normandy, is poised for future growth, with significant new business expected from ongoing technology transfer projects. I'm pleased to report that these programs are progressing well, and our new aseptic gel line will begin co mmercial production for a key customer before the end of the year.

Our operations in Belgium and Osny, France, remained on track, and we are fully committed to delivering on our business plans for the year as expected. GLAND

While we are making good progress and our course correction plan is gaining momentum, I must also share a few important updates that may impact our performance in the next quarter. First, the July to September quarter will be impacted by August , typically lower activity levels due to the European holiday season and planned summer maintenance shutdowns at our plants. Notably, our Fontenay plant will have an extended shutdown of 3 weeks to accommodate the installation and connection of the new ampoule line. Second, based on the latest forecast, we reaffirmed the outlook communicated during the last investors call, a positive EBITDA for Q4 of this Fiscal Year and a positive EBITDA for the next fiscal year driven by increased revenue exceeding the €200 million threshold.

Thank you. I will now turn the call over to Ravi to discuss financ ial performance. Ravi, please

proceed.
Ravi Mitra : Thank you, Alain. Good evening, everyone, and thank you for joining us for our 1st Quarter Earnings Call.
I hope you have had the opportunity to review our Financial Results and Investor Materials disclosed to the Stock Exchanges .
Let me share the performance highlights for the 1st Quarter :
Our consolidated revenue from operations reached INR 14,017 million in Q1 FY25 . However, Cenexi's revenue in Q1 FY25 is not comparable with Q1 FY24 due to the acquisition of Cenexi consummated at the end of April 2024. The revenue grew by 16% compared to the same quarter last year, this growth was primarily attribute to base business (excluding Cenexi) which grew at 14% led by increase in volumes of existing and new launches in US market.
Other income for Q1 FY25 reached INR 514 million, primarily comprising interest on fixed deposits. This is an increase compared to Q1 F

Y24, where other income was INR 375 million,
largely due to an increase in interest on fixed deposits.
Our gross margin for Q1 FY25 was 60%, compared to 63% in Q1 FY24, impacted by the product mix at the base business for us. However, Cenexi's gross margin improved to its historical level of 78%.
In Q1 FY25, we achieved an EBITDA of INR 2,654 million, an 11% decrease compared to the INR 2,982 million in Q1 FY24. This decrease was largely due to the consolidation of Cenexi's negative EBITDA during this quarter. Our EBITDA margin for Q1 FY25 stood at 19%, down from 25% in Q1 FY24. Our base business (excluding Cenexi) EBITDA margin remained stable

at 29% in Q1 FY25 ; with the active measures taken at Cenexi, we expect our consolidated margins to improve as Cenexi's turnaround progresses.
Our net profit for the first quarter was INR 1,438 million, a 26% decrease compared to INR 1,941 million in the same period last year. This decrease was primarily due to the impact of Cenexi. However, the PAT of our base business grew by 20%. The consolida ted PAT margin for the quarter was 10%, and the effective tax rate for the base business was 25%.
Total R&D expenses for Q1 FY25 amounted to INR 489 million, an increase from INR 457 million in the same period of the previous fiscal year. This represents 5 % of our revenue from operations, excluding Cenexi.
As of June 30, 2024, our total cash and equivalents on a group level stood at INR 30,488 million , and including the outstanding loans on Cenexi's books, our net cash position was lower at INR 27,430 million.
We generated INR 4,277 million in cash flow from operations during the three months ending June 30, 2024, compared to INR 629 million as of June 30, 2023, due to improvement in the cash conversion cycle. The average cash conversion cycle improved, reaching 148 days for Q1 FY25, compared to 233 days in the previous period of the fiscal year due to the reduction of inventory.
We invested INR 637 million in capital expenditure during the current fiscal year, largely allocated towards upgrading and maintenance capex of Cenexi business.
With that, I will now turn the call over to the Moderator to open the floor for questions and answers . Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. Our first question is from the line of Saion Mukherjee from Nomura. Please go ahead.
Saion Mukherjee : I just have one question about U.S. business. There seems to be some slowdown or a drop in the U.S. revenues, except Cenexi quarter -on-quarter. So, can you just explain the dynamics there? And how should we think about it in the subsequent quarters?
Srinivas Sadu : I think the major difference is, I would say, on the milestone, if you saw last q uarter, we had licensed some complex products, which gave a larger revenue. So, I would say the decline of U.S. about 14% from the previous quarter, 8% is attributed to that. And if you look at the quantity , it's 2% lower. And also, I would say, it's a product mix. We launched heparin back to one of the GPOs, which is a low value, I would say, high volume. And because of the large

quantities, we have to supply a lot more quantities, which substituted the other products. So, that kind of, I would say, small impact, but it will normalise over a period of time. So, we would still continue to, I think , over the next few quarters, it's normalised number. So, it's more of a quarter

impact.
Saion Mukherjee : Okay. Sir, my second question is about your comment on the domestic business, your plans around that, and also acquisitions. If you can throw some light on it , what are you thinking on both these fronts ?
Ankit Gupta : Saion, this is Ankit. So, on the domestic business, as you would understand, most of our facilitie

s
are designed to supply for the global markets and predominantly U.S. When we supply in India, we use the same facility , and somehow, it compromises our overall economics of the business. We don't intend to scale that up unless we have found the solution to have a facility which is more dedicated to the India business. So, I think that addresses that point. On the acquisitions, I think there are two areas wherein we are largely focused. One is to look at opportunities on the complex injectable side, which has more to do with high R&D -focused investments. The second part, which we are very keenly evaluating, is building capabilities on the manufacturing side. Today, most of our capacities and capabilities are on the small molecule side. But even there, we feel that we have the ability to go further and see if we can do more difficult -to-make products. So, this is the large near -term focus. Obviously, in the long term, we will have to think through whether we need more organic capacity to cater to our current growth, which is coming from the U.S. and RoW markets. However, in the short term, these are the two focus areas for investments.
Saion Mukherjee : And just one last question, if I can. Of the 61 ANDAs which are pending, is there a split available between Gland's on India and partner in India?
Srinivas Sadu : I can give you an exact number, but most of it will be Gland India's because lately everything is filed by Gland .
Moderator: Thank you. The next question is from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.
Tushar Manudhane : So, just to continue on this milestone income, is that the reason for the quarter -on-quarter drop in the gross margins for the base business?
Srinivas Sadu : What's the question ? Is that the reason? GLAND

Tushar Manudhane : Yes. So, I mean basically trying to understand the dip in the gross margin as well, both quarter -to-quarter as well as year -over-year when we had good relaunches or certain complex product launches as well in the quarter.
Srinivas Sadu : So, if you see, it's basically what I have given as an answer for the first one; we kind of supplied more of heparin because of the new GPO contract we got. The contribution margin on heparin is lower compared to that. So, the margin is, I think, around 25%, 30%. So, the volumes that were supplied for last quarter have almost doubled. So, that kind of diluted the overall margin, but it will normalise over the period because when you start your contract, you supply four months of stock. So, that's not taken away from our capacity, which is a low -margin product. But that will be fine starti ng next quarter.
Tushar Manudhane : Understood, sir. On the biologics side, while the facility was from a specific vaccine point of view and since the facility has been available , it's taking quite a long time to get the new contracts , that is one so, if you could share further there. This collaboration involves large -scale contract manufacturing. So, here we are not sharing too much detail, but what can be the timeline to understand the commercial benefit of this collaboration?
Srinivas Sadu : While we can't name the company, it's probably a quarter. I would say some clarity will come up on how this happened. However, the discussion is around investment in a large -scale production compared to what we have for some of the biologics that are filed and some what in the commercial stage. In parallel, we are also licensing some of the molecules for our other markets, 3 or 4 biologics products. So, it's a combination of a CDMO business to expand ; as you know, a lot more attractions come i n recent months for Indian companies. So, I would say it's a good sign. So, this is , I would say, in that direction. Combination of CDMO business for some of the commercialised and yet-

to-be-launched products and in -licensing of some of the molecules, which have gone into clinical. So, it's a combination of that. So, we can give you more clarity in a quarter or so.
Tushar Manudhane : Understood, sir. I am just explaining to this as an industry phenomena of this Biosecure Act , is that also sort of benefiting us or and sort of being Chinese promoter company, you are not partner to that?
Srinivas Sadu : Yes. For sure, I just mentioned, I think that also is result of this, I would say, because I think we are seeing more inbounds than compared to before. And they're looking India as a second base for a lot of companies to have to derisk themselves. So, I would say that it would benefit CDMOs

in this space.
Moderator: Thank you. The next question is from the line of Neha Manpuria from Bank of America. Please go ahead.
Neha Manpuria : Sir, we saw Fosun sold a pretty large stake in the quarter. Have you had any discussions about how they are thinking about the ownership in Gland? Do we think it goes down further? And over the longer term, we have talked about evaluating the front end in the U.S. How should we think about that?
Srinivas Sadu : Yes. From Fosun's perspective, we don't really discuss the shareholding. We only talk more about the synergies and how to expand businesses in different geographies with their network. But there's no communication around the equity and how they sell. We only know the post factor, I would say. What's the other question, Neha?
Neha Manpuria : On the long -term strategy for the U.S. because , I think last year, we were considering or evaluating a hybrid model of possibly going front end on our own. So, is that still on the table?
Srinivas Sadu : Yes, it is. It's on the table. We are evaluating, but we can't comment. I think it's too early. But it's not like our core focus will be CDMO, and we are also getting into more complex CDMO with a focus on the company , with more and more companies approaching us on the b io side. For sure, that will be a key focus in terms of investment. At the same time, general business is key to our success . So, that will continue, but we have to see what different options are so that the base business will grow at least at a certain rate while we build the other part of the business.
Neha Manpuria : Understood. And did I just get the previous comment right that the biosimilar discussions that are going on would require new investments in large batch manufactur ing?
Srinivas Sadu : While we can take on the CDMO and the smaller scale batches , this also requires investment to increase the capacities that we have. And since it is backed up by CDMO contracts and also the commercial volumes, that evaluation is happening. So, it's backed up by that ; then we will work on the investment plan for that as well.
Neha Manpuria : Understood. And one housekeeping question. If you could just quantify the milestone in the profit share number for the quarter, please?
Ravi Mitra : Profit share for this quarter is 10%. This is at Cenexi, and milestone is 9% .
Moderator: Thank you. The next question is from the line of Karthik, who's an individual investor. Please go ahead.
Karthik: Actually, is there any one -off from Cenexi in this quarter?
Srinivas Sadu : No, no, there's no one -off. So, it's a continuous CDMO business. So, there's no one -off.
Karthik: Where do we expect the next leg of growth to come from for Gland? Are we continuing the plasma project and biosimilars, which we are discussing in the previous quarters?
Srinivas Sadu : Yes, that's continued. And also, for the complex products, we have filed six products until now. So, a few are good products on that. And one suspension product we have filed last quarter out of the seven that we have filed. So,

that's another growth lever, I would say. And , of course, the bio CDMO side where we are seeing good traction, including the plasma project.
Moderator: Thank you. The next question is from the line of Bino Pathiparampil from Elara Capital. Please go ahead.
Bino Pathiparampil : Just a question on the U.S. market. In the last couple of quarters, your commentary was very positive in terms of customers coming back and inquiries going up, a lot of demand for products, etc. Is that pretty much as great as it is today? Or have you seen a bit of pulling off that tightened demand over the last couple of months?
Srinivas Sadu : No, I would say the policy is still there. I mean, it's no different than what we have seen. If you compared to the last year, the volume wise it's gone up by almost 30%. But if you see the previous quarter, the quantity , you can't really compare, it's almost the same, I think, gone down by 2% U.S., but it's more to do with how many batches can make on those lines. And it's more a capacity situation on a couple of brands, which impacted us a bit. But otherwise, the demand is there. And on an annual basis, it will still be a target to what we have envisaged at the beginning of the year.
Bino Pathiparampil : Understood. So, last quarter, there was a high element of milestones. So, excluding that, this quarter, can you look at this quarter as a sort of maintainable base on which you will see some improvement as the quarters come by?
Srinivas Sadu : Yes, I would say so because like I said, the milestone income was almost, I think, 16% last

quarter because of some complex products getting licensed out. And this is not like depends on which quarter you license these kind of products and not every quarte r, you're filing the complex products. But on an annual basis, I think we still moderated, and this business should grow.
Bino Pathiparampil : Sir my question is in Cenexi, you talked about three weeks, 4 weeks shutdown in Q 2. So, is it fair to assume that the Q2 revenue would be two-third of Q1 revenue level?
Srinivas Sadu : Yes, correct. So, that's correct. But at the same time, we are also using that time to install a new line, So which will help us actually to produce more volumes in the future. So, it's not that we are completely wasting that time, I would say. But at least utilizing that time to install a new high-speed line, which will increase the volumes in the future. GLAND

Alain Kirchmeyer : And besides that, every year, we have a shutdown of roughly two weeks in all our plants because of the server break and heavy maintenance. So, the actual impact is only 1 week more because of the installation of the new line.
Moderator: Thank you. The next question is from the line of Rahul Agrawal from Himalaya Investment. Please go ahead.
Rahul Agrawal : Can you quantify the extent of the milestone and profit share component for last quarter versus this quarter?
Ravi Mitra : Yes. So, by last quarter do you mean Q4 or Q1 of previous year ?
Rahul Agrawal: Yes. Q4 of FY '24, yes.
Ravi Mitra : Q4, profit share was same, 10% and milestone was 15%.
Rahul Agrawal : And this quarter, the profit share is 10%, the milestone is 9%. So, the gap of 6% on milestone.
Ravi Mitra : That's correct.
Rahul Agrawal : And milestone. I am assuming all this is 100% gross margins, so it flows straight down. So, it affects both the gross margin and EBITDA margin ?
Ravi Mitra : Yes, it may not be 100% because there could be some costs related to the batches filed and all, but largely yes.
Rahul Agrawal : Got it. And putting it together, sir, from a full year perspective, what sort of growth do you see in your base business ex of Cenexi for the full year?
Srinivas Sadu : The mid -teens, that's what we guided.
Rahul Agrawal : And from a margin profile perspective?
Srinivas Sadu : So, EBITDA around 32%, 33%.

Moderator: Thank you. Ladies and gentlemen as there are no further questions, I would now like to hand the conference over to Ankit for closing comments.
Ankit Gupta : Yes. Thank you, everyone, for connecting today. We understand most of the questions are addressed, but if there are any follow -on questions, please do feel free to reach out to us. We GLAND

will be available and happy to address. Looking forward to host you the next quarter soon. Thank you.
Moderator: Thank you. On behalf of Gland Pharma Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

GLAND

Call: Nov 2024

November 11 , 202 4

BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
25th floor, Dalal Street
Mumbai - 400 001
Scrip Code: 543245 National Stock Exchange of India Limited
Listing Department
Exchange Plaza, 5th floor
Plot no. C -1, Block G, Bandra Kurla Complex Bandra
(East), Mumbai - 400 051
Symbol: GLAND (ISIN: INE068V01023)

Dear Sir/Madam,

Sub: Earnings call Transcript - Q2FY25

Please find enclosed the transcript of the Earnings call for Q 2FY25 of the Company held on Monday , November 04, 2024, at 18.30 Hrs. IST. This will also be available on the Company's website and the web link to access the same is https://glandpharma.com/investors/financials

This is for your information and records.

Yours truly,
For Gland Pharma Limited

Sampath Kumar Pallerlamudi
Company Secretary & Compliance Officer

Encl: As above

"Gland Pharma Limited
Q2 FY25 Earnings Conference Call "
November 04, 202 4

MANAGEMENT : MR. SRINIVAS SADU – EXECUTIVE CHAIRMAN AND
CHIEF EXECUTIVE OFFICER – GLAND PHARMA
LIMITED
MR. RAVI MITRA – CHIEF FINANCIAL OFFICER –
GLAND PHARMA LIMITED
MR. ALAIN KIRCHMEYER – CHIEF EXECUTIVE
OFFICER -- CENEXI
MR. ANKIT GUPTA – HEAD OF INVESTMENTS AND
STRATEGY – GLAND PHARMA LIMITED

Moderator: Ladies and gentlemen, good day , and welcome to Gland Pharma Limited's Q2 FY25 Earnings Conference Call. As a reminder, all participant lines will be in listen -only mode, and you will have an opportunity to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star and then zero on your touchtone phone.
Please note that this conference is being recorded. I now hand the conference over to Mr. Ankit Gupta. Thank you , and over to you, sir.

Ankit Gupta: Thank you, Sagar. Good evening, everyone. We welcome you to Glan d Pharma earnings conference call for Q2 of FY25. My name is Ankit , and I am Head of Investments, M&A, and Corporate Strategy at Gland. In the India office today, we have Mr. Srinivas Sadu, our Executive Chairperson and CEO, and Mr. Ravi Mitra, our CFO. We also have Mr. Alain, the CEO of Cenexi, who is connected virtually from France. We'll begin the call with business highlights from Mr. Sadu, followed by an overview of Cenexi fro m Mr. Alain , and lastly, the group financial overview by Mr. Ravi.

Before we proceed, I'd like to remind everyone that some of the statements made today will be forward -looking and are based on management's current estimates. These statements should be considered in light of the risk associated with our business. The call is being recorded, and the playback and script will be available on our website shortly.

With that, I hand over the call to Mr. Sadu for his opening remarks. Over to you, Mr. Sadu .

Srinivas Sadu: Thank you, Ankit. On behalf of Glan d Pharma, I extend a warm welcome to our Q2 FY25 earnings conference call. As this will be the final call before the end of CY2024, we wish you and your families good health and prosperity throughout the upcoming season.

Today, we'll review our financial results and operational developments for both the Standalone entity and the Group, which includes Cenexi , our European CDMO business. At a Group level, we reported revenue of INR 14,058 million in Q2 FY25, compared to INR13, 734 million in Q2 FY24, representing moderate growth of 2%. This performance is in line with our expectations, given the slower offtake in the Rest of the World markets for our base business and the impact of the extended annual shutdown at our Cenexi facilities due to the planned installation of a new ampoule line.

Let's take a closer look at our base business performance for the quarter, excluding Cenex i. We achieved INR10,659 million in revenue, a 5% increase compared to the same period last year. This demonstrates the continued resilience of our operations in a competitive environment.

Our base business EBITDA margins were steady at 34%, similar to Q2 FY24. On a consolidated basis, our EBITDA margins for the quarter were 21%, impacted mainly by Cenex i, as previously mentioned. We continue to see healthy performance in our core markets of the United States, Europe, Canada, Australia, and New Zealand. These key regions contributed 75% of our revenue in Q2 FY25, up from 74% in the same period last year.

In the U.S., our largest market, sales increased by 3% year -over-year. This growth was fuelled by both an uptick in existing products and a successful introduction of new products. During the quarter, we launched six molecules across these key markets, including four in the U.S. alone. Notably, products like Cetrolixecitate , Ephedrine Sulfate , Tranexamic Acid, and Diazepam are gaining traction with our partners, and we are very optimistic about the future growth potential.

Now , turning our attention to the Rest of the World markets, we see that these regions contributed 19% of our revenue in Q2 FY25, which is similar to Q2 FY24. While we experienced a slight delay

in order pickup from Saudi Arabia, we anticipate this will pick up in the second half of the fiscal year.

We remain confident in the long -term growth potential of this important market and are actively working to strengthen our presence there. The Indian market recorded INR874 million in revenue , and this segment contributed 6% of our total revenue. In Q2 FY25, our total R&D expenditure was INR493 million, representing 4.6% of our base business revenue.

During the quarter, we filed seven ANDAs and , importantly, received approval for eight ANDAs. This brings our total ANDA filings in the United States to 363, with 304 approvals and 59 pending. Globally, we now hold 1,726 product registrations, demonstrating our commitment to expanding our product portfolio and reaching patients worldwide.

Turning to ou r complex product portfolio, to date, we have nine filings completed in a targeted portfolio of 19 products. Six of these complex products have already been approved and launched, with three more expected to be approved soon. Our complex products target an IQVIA market opportunity of $7.3 billion, reflecting the significant potential of this segment to drive future growth.

In the Chinese market, we are adapting our development strategy to address the evolving market dynamics. Four of the nine products in the plan for the China market are currently under development and five have received approvals.

On the Biologics CDMO business from India, while we await further developments on the previously announced potential collaborations, during the quarter, Gland entered into a binding term sheet with Dr. Reddy's Laboratories to establish a strategic Biologics CDMO collaboration. This partnership will leverage our State -of-the-Art biologics manufacturing facility at Genome Valley in Hyderabad. We are very optimistic about the potential of these partnerships to create

value for both organizations , and we expect to sign a definitive agreement soon.
Lastly, on Cenexi, the business recorded INR3,399 million, which is Euro 37 million in revenue this quarter, with a gross contribution of 69%. As anticipated, the annual shutdown impacted our performance , and we reported an EBITDA of negative INR685 million, which is negative Euro 7.5 million for the quarter. However, our strategic progress at Cenexi is proceeding as planned.
We also have Alain on the call with us today to provide a more in -depth update on recent developments and critical initiatives at Cen exi.

In closing, Gland has had a good first half of FY25 and is optimistic about delivering strong financial results for the entire year. We are executing our strategic priorities, expanding into new markets, and building a solid foundation for the future.
As you may have already read, we are excited to welcome Mr. Shyamakant Giri as our new CEO in January. Shyamakant is a highly accomplished leader with over 25 years of experience in driving growth and success across diverse organizations. This leadership transition is a key step in our long -term strategy, ensuring continued stron g leadership and execution.
With that, I would like to hand it over to Alain for a closer look at Cenexie's performance. Thank you. Alain, over to you.
Alain Kirchmeyer: Thank you, Sadu, and good evening, everyone. Cenexi's performance this quarter is in line with what we communicated during our last call. The summer shutdown impacted the performance, during which time we invested in new capacity and performed annual maintenance.
From a si te standpoint, first, in Fontenay , we successfully installed the new high -capacity ampoule line, which is scheduled to start commercial production in January 2025. Due to our strong oversight, the project progressed well and remains on track with our original plans, both in terms of investment and implementation schedule. This new li

ne will significantly increase
our ampoule manufacturing capacity, improve customer service, and generate additional revenue starting in 2025.
Secondly, in Hérouville , validation batches for a new inactivated vaccine and an ophthalmic gel are progressing well, and commercial production is expected to begin before the end of the year.
The site is still operating at low volumes. However, we continue to see new business traction.
In Braine -l'Alleud, Belgium, we experienced a temporary setback caused by a lyophilizer breakdown at the site. We are currently operating at full capacity with our remaining lyophilizers. The issue will be fully resolved during the quarter, and a new backup unit will be installed in the first half of 2025 to prevent future disruptions.
While we are making good progress and our course correction plan is gaining momentum, I want to highlight that these temporary headwinds at the Braine -l'Alleud site will impact our quarterly performance. That being said, we continue to strive for achievin g our short -term goals, a positive EBITDA for Q4 of fiscal year 2025.
We also maintain our medium -term goal of a positive EBITDA for the next fiscal year, driven by an increase in revenue above the E uro 200 million threshold. Thank you. I will now turn the call over to Ravi to discuss financial performance. Ravi, please proceed.
Ravi Mitra: Thank you, Ala in. Good evening, everyone. We appreciate you taking the time to join us today.
Let's review our financial performance for the quarter and first half of the fiscal year 2025. In Q2 FY25, our consolidated revenue from operation was INR14,058 million, a 2% in crease year - over-year, driven by modest growth in our base business in the US.

At Cenexi , the revenue for this quarter was lower by 5% year -on-year due to the extended shutdown for installation of the new ampoule line at Fontenay. Base business revenue increased by 5% year -on-year. For the first half of FY25, revenue reached INR28,075 million , marking a 9% year -over-year increase. Our other income for the second quarter reached INR596 million. This includes INR542 million from interest on fixed deposits and INR45 million in foreign exchange gains. For the first half of the fiscal year, other income totaled INR1,111 million, INR1,023 million from interest income, and INR45 million from foreign exchange gains. The gross margin for Q2 FY25 was 59%, compared to 62% in Q2 FY24, primarily impacted by lower gross margin at Cenexi.
The gross margin of our base business remained stable at 56%. For H1 FY25, it was 59% versus 62% in H1 FY24. Our Q2 FY25 consolidated EBITDA was INR2,961 million, with a 21% margin. This compares to INR3,205 million and a 23% margin in the same period last year. The

increase is primarily attributed to losses at Cenexi.
Importantly, our base business delivered a strong 34% EBITDA margin, which is similar to the prior year. Operating expenses at our base business remained in line with previous quarters. The EBITDA for the first half of FY25 increased by 5% year -over-year, reaching INR3,645 million. This translates to a 21% EBITDA margin for the group.
Our base business has achieved a 34% margin. Our net profit for Q2 FY25 stood at INR1,635 million, a 16% decrease compared to the same period last year. For the first half of the fiscal year, our net profit reached INR3,073 million, with an 11% profit margin. In the second quarter, our total R&D expenses were INR493 million, representing 4.6% of revenue from operations, excluding Cenexi.
This is up from INR351 million in the same period last year, reflecting our ongoing commitment to adding new products. For the first half of the year, R&D expenses totaled INR982 million, or 4.7% of revenue. Our effective tax rate remained consistent at 26% for both the second quarter and the first half of the fiscal ye

ar.
We continue to invest in our future growth. This quarter, we incurred INR1,037 million in capital expenditures, primarily for the modular expansion of our Pashamylaram plant and Cenexi. This includes the fact that at Cenexi, we invested an additional EUR7.19 million, primarily towards new capacity and de -bottlenecking.
Our strong operational performance generated INR6,436 million in cash flow from operations during the first half of the year. We ended the quarter with INR28,201 million in cash and cash equivalents. After accounting for Cenexi's debt, our net cash positio n was INR25,413 million. We have also made significant progress in optimizing our working capital, which now stands at INR20,453 million.
Our cash conversion cycle has improved to 149 days, down from 196 days in the same period last year. With that, we will now open the floor for questions.

Moderator: Thank you very much. We will now begin the question and answer session. Our first question comes from Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.
Tushar Manudhane: Thanks for the opportunity. Yes. So, first, to start with the bookkeeping question in terms of this milestone income and the profit share this quarter, could you share?
Srinivas Sadu: The profit share for this quarter is 8% of revenue , excluding Cenexi .
Tushar Manudhane: Okay. And the milestone income?
Srinivas Sadu: It is 7%.
Tushar Manudhane: So, on the core market sales, in terms of the sales , has been stable for two quarters now, while there have been a few launches as well. So, when do we see the pickup in this segment? Meaningful pick-up in this segment?
Srinivas Sadu: On a year -on-year basis, the US is still growing. Now, if you see a couple of things that happened, ROW has de -grown. The tender offtake did not happen last quarter, which we were expecting in Saudi Arabia. That will happen this time. That's one aspect. And one big what we got in -- front that also will go this quarter. So, that will be a jump on the US business and the ROW business.
But basically, it's a steady growth that is happening. We are losing some products. Whatever we launched in the last few quarters, of course -- if you saw last quarter, we launched eight products. This quarter, we launched six. When we launch products, that quarter will always have a higher offtake. And then it kind of reduces to normalized numbers.
So, that's what will happen. But I think some products will go and have lesser uptake, and some will go. Overall, I think, year-on-year, it's about 9% growth.
Tushar Manudhane: So, let's say that compared to, say, INR32 -INR60 crores of core market sales in FY24 and the first half, we achieved 16. So, likewise, considering these so many launches, what kind of growth can be expected in the second half for the markets?
Ravi Mitra: Are you asking what kind of growth we expect in the second half for their new products now?
Tushar Manudhane: This is for the core markets' overall sales.
Ravi Mitra: So, first half year, we grew by 9%. Considering the factors we just discussed about ROW and US, and also timing, we should be on a full -year basis, which should be around what we earlier told you about, the low double -digit kind of growth we are expecting this year.
Tushar Manudhane: Got you. And with respect to this biologics agreement, so this is first of all for which set of markets in the first place?
Srinivas Sadu: We can't really comment on that. These are basically some of the biologic products that Dr. Reddy is going to develop. So, that's a collaboration we have done. And for now, that's what we could predict.

Tushar Manudhane: Okay. And a tentative timeline to see the meaningful benefit or the commercial benefit from this agreement?
Srinivas Sadu:

I think the initial financial benefits we'll get from the first quarter of next year. And then, depending on the timing of the products and the development, then we can pick up.
Tushar Manudhane: All right. So, I have more questions. I'll join back to the queue . Thank you.
Moderator: Thank you. The next question comes from Neha Manpuria from Bank of America. Please go ahead.
Neha Manpuria: Yes. Thanks for taking my question. Just extending the question from the previous participant. If I look at the U.S. revenue and strip out the profit share and milestone, it's remained at 70 -odd million dollars for three quarters now, despite the fact tha t we have launched the number of products that we have. I didn't quite catch your comment on why you think the U.S. should pick up and how that low double -digit growth for the entire standalone business would come through, given, if I look at the ROW business, it's also been declining in the first half. So, I'm just trying to tie in your low double -digit guidance with the fact that the U.S. has remained flat for three quarters.
Srinivas Sadu: So, the milestone income and the launches are actually not that related. A portion of that may come from the launches. But most new contracts are designed for that quarter. Milestones are also related to that , and some of the CDMO contracts are signed . We also get milestones from that. So, it's not a direct relation.
Neha Manpuria: Sorry. My question is if I strip out the milestone and the profit share, the U.S. revenue for the last three quarters has been about $70 million. I'm not asking about the milestone and the profit share.
And I think you did mention in the previous comment that your U.S. business should step up from next quarter. Why do you think, given that we've already seen so many launches and we haven't really seen an improvement in the U.S., what gives you the confid ence in improvement in the U.S. business, ex milestone , and profit share? And given that we've been flat in the U.S., how do we plan to achieve that low double -digit revenue that you're talking about?
Srinivas Sadu: Yes. So, one is, of course, the new launches which will happen every quarter. That's one. Second, as I mentioned, Enoxaparin , the new contract that was signed, has not been dispatched yet. That will happen this quarter. The Civic a contract, which our partner signed up. And the Saudi business is not gone. So, that will start again from this quarter. So, these are substantial amounts. If you look closely, the ROW business has de -grown, primarily because much of its stock comes from Enoxaparin . So, that will keep up. Yes.
Neha Manpuria: Understood. Okay. And my second question is on Cenexi. It seemed, while the summer shutdown was well -articulated , and we understand that, I did see a very sharp decline in gross margins in this quarter. Usually, we do like a 77% gross margin. That seems to have come off fairly sharply. If you could explain that and what we should expect from a gross margin

perspective ? I mean, is there any one -off in this number from a gross margin that you've reported this quarter?
Ravi Mitra: Yes. So, the gross margin reduction this quarter is largely because of the mix of products, whereas on the Belgium side, there has been a lower uptake than last year. And other sites were more or less in line with Q1. But the mix of the sites will depend on, will give the gross margin overall basis. So, the mix is one of the reasons for the reduction to 69%.
Neha Manpuria: And this should normalize based on the opening comment that we have resolved the issues .
Ravi Mitra: Yes. It should go back to the earlier gross margin level.
Neha Manpuria: Okay. And so, on Cenexi, is it fair to assume that as we go back to the EUR50 million per quarter run rate in the third quarter, we should be able to achieve

breakeven in the December quarter?
Would that be a fair assumption?
Ravi Mitra: So, third quarter, we'll not be able to comment, but we are targeting after the new line to be up and running from January. That should definitely be achieved .
Neha Manpuria: Okay. Understood. And my last question on the C DMO that was signed with Dr. Reddy : Are there any more talks with any other partner on this, or do you think the tie -up with Reddy would be enough for us to fully utilize the capacity that we have ?
Srinivas Sadu: No. So, this is a contract, so we can still get other C DMO businesses. Likewise, they can also

look for other businesses. So, it's not that it's fully dedicated to just Dr. Reddy's capacity.
Neha Manpuria: Understood. And so, what would be the peak revenue potential from this CMO opportunity with Reddy? If you were to just put a number, I'm not asking for a timeline, but what could be the peak revenue in your view?
Srinivas Sadu: It's too early to comment, Neha. Yes.
Neha Manpuria: Okay. Thank you so much, sir.
Moderator: Thank you. The next question comes from Bino Pathiparampil from Elara Capital. Please go ahead.
Bino Pathiparampil: Hi. Good evening. Starting with Dr. Reddy's contract, is it for the entire API formulation, etc., or will it be just a formulation?
Management: It's mostly a drug substance. API? Yes.
Bino Pathiparampil: Okay. And would it be for the semi -regulated markets or regulated markets?
Ankit Gupta: So, hi. Hi, Bino. This is Ankit. So, they didn't specifically mention as to what market it would cover. We are developing products for the global markets, and our site is also designed to service all kinds of markets. So, at some point in time, it will be a combination of both semi -reg markets and reg markets, but let the fine print come, and we'll be able to discuss more specifics then.

Bino Pathiparampil: Okay. Got it. Second, I didn't quite understand what's the issue with Saudi business. Could you please explain what exactly happened?
Srinivas Sadu: So, we did win a tender in Saudi. Some of the products' off -take has happened. Enoxaparin , the off take has not happened. The quantities from the previous supplies, what we made with the previous tender, that was still there. The stocks were there. So, that will, off -take will start happening some end of this quarter.
Bino Pathiparampil: Okay. It's just that it didn't sell in the earlier quarter. There was no specific incident per se.
Srinivas Sadu: It's just the timing, yes.
Bino Pathiparampil: Okay. And one last question. You have tentative approval for Latanoprostene eye drops in the US. Is that a product likely to be available in the next 12 months to 24 months, or is it far out?
Srinivas Sadu: It's under – para-IV settlement, so we can't comment too much on it.
Bino Pathiparampil: Okay. Thank you.
Moderator: Thank you. The next question comes from Jinesh Shah from RSPN Ventures. Please go ahead.
Jinesh Shah: Yes. Thanks for the opportunity. So, my first question was with respect to the Cenexi business. As you mentioned , we'll probably be able to do the breakeven for the EBITDA by quarter 4. So, I would just like to know about the outlook for the EBITDA margins with respect to the Cenexi business and how we are looking for EBITDA margins next year onwards . What is our vision in that?
Ravi Mitra: So, see , we expect after the new line and some of the additional capex to be done, next year we'll end up at EBITDA neutral or low single digit. Year after that, when all the capacity is on stream , and we get all the pipeline projects commercially on, then we'll end up at the old 10% EBITDA level.
Jinesh Shah: Okay. Then my other question would be with respect to the maintenance shutdown thing, is it like the annual thing that we will expect in next year in FY26 , too, that will impact o

ne of the quarters with respect to revenue and the business or something like that? It's like the annual thing or it's like the periodic phase that we come into the maintenance shutdown?
Srinivas Sadu: It's annual maintenance. Every year , this will have just a few days here and there —more or less, it will take three to four weeks, but I think in the first couple of years, we'll try to use that time to install the actual capacity.
Jinesh Shah: So, we are expecting in quarter 2 of FY26 as well?
Srinivas Sadu: Sorry.
Jinesh Shah: So, we are expecting another maintenance shutdown in FY26 quarter 2 , if I can assume correctly.
Srinivas Sadu: No, it will be in August of every year.

Jinesh Shah: Okay. Fair enough. And my last question would be with respect to the tax rate that I would just like to know the reason that though Cenexi is in like a loss making company at the moment and standard tax rate is around 25%. And how we are like charged more tax which is approximately 34% in overall consolidated business?
Ravi Mitra: Yes, because of Cenexi’s negative PBT, no tax is being created for deferred tax assets . That is why you are in consolidated, which you are saying is a higher tax rate. Once Cenexi comes back

to profitability, then we'll go back to our corporate rate.
Jinesh Shah: Okay. Fair enough. Thanks a lot. That's it from my side.
Moderator: Thank you. The next question comes from Saion Mukherjee from Nomura. Please go ahead.
Saion Mukherjee: You recently announced the appointment of the CEO Shyamakant Giri. So , can you take us through the thought process of separating your role and that of CEO, and what were the thoughts of hiring someone like Shyamakant Giri to run as a CEO here? And should we read something more strategic here? What are you expecting going forward for the new CEO to sort of focus on?
Srinivas Sadu: Yes, I think it's more to strengthen the senior leadership to grow the business , and I'll be taking the role of more strategic and long -term – mid to long -term initiatives and also a bit more time at probably Cenexi because it needs a bit more focus. And the new CEO will focus on the rest of the business. And also he brings in more experience in ROW and other markets. So that also adds to our strategy of growing business in different markets. While we continue to have that solid business in t he US market. That's the basis.
Saion Mukherjee: Yes. Mr. Giri's experience of running frontend especially in ROW emerging market, is that something you are aggressively looking at going forward because you had earlier mentioned about putting up contents?
Srinivas Sadu: Yes, we are evaluating that option. I mean, there are pros and cons for that. So that's actively in evaluation, yes.
Saion Mukherjee: Okay. And secondly, on the bio contracts. I think you mentioned about Dr. Reddy's. So how have the discussions evolved? If you can give us a sense now what kind of traction we should expect, let's say from a 2 year, 3 year perspective? What are the next m ilestones that we should watch out for?
Srinivas Sadu: I would say this is very important what we just announced, because it also gives us the experience and learning what is required in this business. And normally a lot of companies look at what you've been doing as because it's a new area we're entering. Whi le we're doing this we're also having some tangible discussions with some of the other players. This will only probably expedite those kinds of discussions what we're having.
So while we can't put a number to it, but it's definitely one both from - while it may not add up huge numbers in the near term, but it's a - I would say it's a foundation which we're laying for

the future with smaller revenues in the beginning, but it all depends on how much of your business we can create moving forward.
Saion Mukherjee: Okay sure. Thank you.
Moderator: Thank you. The next question comes from Vivek Agarwal from Citigroup. Please go ahead.
Vivek Agarwal: Hi, thanks for the opportunity. My question is related to US business. So in first half, is it possible for you to quantify the contribution of new products in the US revenue? Basically, how many you might have launched around 10 products, so what is the c urrent contribution in their finance revenue?
Srinivas Sadu: The next contribution for the first half I think it’s around about INR60 crores?
Vivek Agarwal: So new product contribution is INR60 crores. And the second question is how the volumes have grown as far as the rest of the products in the US or the baseline products in the US?
Srinivas Sadu: From quantity perspective it is about 5% growth in the US compared to the Q1, compared to the Q1.
Vivek Agarwal: Compared to Q1 and Y -o-Y what kind of the volume growth was there?
Srinivas Sadu: Y-o-Y it's about similar 5%.
Vivek Agarwal: Okay sir. Thank you. That’s from my side.
Moderator: Thank you. The next question comes from Anubhav Agarwal from UBS. Please go ahead.
Anubhav Agarwal: One I am just trying to understand your R&D. So annually your R&D is about INR200 crores. And I understand from past calls that when you report R&D, part of the R&D is spent by the partners also. So can you just help if you are spending INR200 crores a ye ar, what would be the gross R&D spend of partner plus you put together roughly?
Srinivas Sadu: Anubhav, just give a second. Vivek, just corrected. I think year -on-year the growth based on the volume is about 13%.5% is quarter on quarter. But year on year, it's 13%, quantity increases.
Anubhav Agarwal: So my question was on R&D. So, Gland R&D annually is about INR200 crores. And my understanding was and you can correct it. For any ANDA that you submit on an average, part of the R&D is reported by you, part of the R&D is spent by your partner. So, on a gross ba sis, the R&D is higher. So, I'm just trying to understand, when annually your R&D is about INR200 crores, your partner and you put together, on an average what would be the gross number?
Srinivas Sadu: No, so our partner won't put anything into our R&D. It's 100% our R&D.
Anubhav Agarwal: So, I'm just trying to understand. So, you're filing about 30 products annually, and you're

spending about USD25 million on R&D?
Srinivas Sadu: That's correct.

Anubhav Agarwal: I mean, you're effectively spending a million dollars per product, per ANDA, give and take, right? And that's a huge payback period. So, given your cashbook, etc, why are you not selling two times the product or three times the product? Opportunity is not small. So just trying to understand, first, versus all other companies that we trust, USD1 million per ANDA is the lowest I think that we've seen in Gland. And then I cannot understand why are you not filing 2x or 3x of the product that yo u are filing today, with that efficiency?
Srinivas Sadu: So, one is, of course, what is the pipeline left? We already filed 36 3 products. There's not much pipeline left. That's one. Second, a lot also is going into complex products. That takes a larger number of people compared to this. And we have to balance between fixed cost and also the investments that you make. So, while a l ot of products also, we have to look at what capabilities our R&D have. So, whether they can actually make some of these products.
So, we have to increase the number of people to double if you have to file more. And this is not like you can hire today and then remove after three years. We have to manage; we have to balance between the filings and how we want to go with this business and then the return on those products al

so.
Anubhav Agarwal: But sir, can I ask you one more question on this? But effectively, if you're spending only USD1 million per product, I think you'll be easily able to recover that. There is no question about you having to fire people after two, three years, even if there i s a miss on a few products. I'm not able to understand that if you're spending USD1 million per product and USD2 million as a capex per product, in the injectable field with that margin that you have, you're not even able to recoup the inv estment, so where does the doubt come in from?
Ankit Gupta: See, basically, if you see today, we are a purely injectable company. And as far as the generic product is concerned, we are , by and large, covering most of the opportunities that we can do from our R&D in India. We can't do certain sets of therapeutic categories because of contamination or whatever issues. But outside of that, whatever the addressable market is for us, we are doing it from the R&D capabilities in -house.
The way we want to fund the future growth is also to look at outsourcing models and maybe co - development models wherein we can partner with somebody who's more specialized in doing those developments and apportion more budgets and capital investments to that side rather than building it only on the organic R&D side. One, it will speed up the overall process of getting approvals. And second, it will also improve the overall value chain of the products that are going to come onstream for us in the future.
Anubhav Agarwal: Sure, guys. I'll take this a little offline as well. Just one more clarity on Genome Valley. What is the capacity over there?
Ankit Gupta : So, it's about 8,000 litres of DS capacity. And we have only used 30% of the site. So, capacity can actually go up very significantly. It has quite a lot of unused land. But today, the installed capacity is about 8,000 liters . And it is a mammalian capacity, single -use.
Anubhav Agarwal: And for these 8,000 litres, what will be equivalent gross block here? I mean, what kind of investment would have gone in to create this capacity?

Ankit Gupta : We have invested close to INR300 crores on the site.
Anubhav Agarwal: Okay, sure. Thank you, guys.
Moderator: Thank you. The next question comes from Aditya Pal from MSA Capital Partners. Please go ahead.
Aditya Pal: Hello. Thank you so much for the opportunity. So, a couple of questions on Cenexi. So, we're just seeing in Q2, the overheads in Cenexi P&L has come down. Anything that the management has undertaken, any strategy, downsizing, anything that you can highlig ht on that?
Ankit Gupta : So, Aditya, the overhead reduction is purely a function of the site running for two months instead of three. And what happens is while we have a fixed cost structure which will not be impacted by a month of shutdown, but there are certain other additional costs which come into play when the site is up and running, say the contract labor and multiple allied costs. That would not form part of the P&L because the site was not running for, let's say, three to four weeks.
Aditya Pal: So, this will again go up once we start operating in the normal period.
Ankit Gupta : Yes, probably for that, we should look at the Q1 numbers. Q1 kind of expense space is what we

would have in future as well, but obviously the revenues would go up because our month -on-month run rate is now picking up significantly. In fact, September and July were very decent in terms of the monthly run rates we had from the site.
Aditya Pal: Understood. And just to double -click on the previous participant's question, there was a question about Cenexi break -even period and once the EBITDA starts to mature, that is in year 2, FY26, FY27, and you had said that this particular company will be gene rating anywhere between low double digits EBIT

DA margin. So just wanted to understand the management's thought process when we acquired this business. Even though this is a gross margin accredited business, it is being a bit dragged on the EBIT DA margin. So, it's a bit of a philosophical question if you can just highlight that what is it that we are looking to get from Cenexi.
Srinivas Sadu: One is the European brand, the generics business and we didn't have any presence in Europe. That's one. Second, it's a solid CDMO business in spite of the problems and issues we face and the business is very intact with long -term contracts. And also, some of the technologies what this business has, we don't have. So, we can use those technologies to file some of our products as well. And also, they also manufacture control substances for US and Japan market. That opens up some of the portfolio for Gland also. So, there's several areas what we looked at when we acquired this business. But we always knew that it will be EBITDA negative for us in terms of dilutive to Gland. But we also looked at how we can make it more efficient in a duration of time. But it took longer than what we anticipated because of the issues that we have there. But in the long run, I think the business is solid and we also were looking at a lot of long -term opportunities coming because of this European asset.
Because most of the time, the big pharma in Europe, they want to, we want to take the products from the European manufacturing side. This will open up those opportunities. So I would say

this was a long -term plan what we looked at. And also entering European market with our own products is more competitive and very difficult to take from India. So it was like a combination of strategy of CDMO and our own portfolio, how to increase in certa in areas where we can't enter. Like the control substance, we can't take it from India to US. But it's an opportunity that we can take from there.
Aditya Pal: Also, another question that I had, we currently, we have a gross block of somewhere around INR4,500 crores. How fast, how quickly can you see that we come back to a normal asset turnover of 2x, 2.5x that we used to do two years back? And if you can give me a split between Cenexi business and Gland business, ex -Cenexi, at peak revenues that I'm assuming will be 2.5 x gross block?
Ravi Mitra: Yes, so on the Gland side, the new capex which we have put up in Pashamylaram site, we go upstream from next year, which is Bag line and the Microsphere dry powder line, and a few Hormones/Suspensions line also will come from next year. So that will bring us back to our old Gland asset turn rate, which is 2, 2.5. On the Cenexi, this year, we would be like EUR165 million.
But next year, we expect to reach EUR200 million, which is almost like 0.8x. And once we start commercializing the new capacity, which we are putting like one is PFS line, one Ampoule line, and a few other lines also, which we are currently planning, then we should have much higher between 1x to 2x asset turn at Cenexi as well. But that will take in a midterm basis and not next year.
Aditya Pal: Understood. This last couple of questions, sir. So in Cenexi, so what I could understand is that the Normandy side is the one that is causing the overhead to shoot up and asset turns to be low. Is that a fair understanding?
Ravi Mitra: Yes, that's correct.
Aditya Pal: Understood. And sir, a bookkeeping question. So, goodwill has gone up in September in H2 in the balance sheet. What has led to that? Because we haven't done any acquisition in this H1, correct?
Ravi Mitra: Sir, your voice is breaking. Can you repeat that question?
Aditya Pal: So, my question is Goodwill has gone up from March to September in the balance sheet?
Ravi Mitra: So, it's just an exchange difference.
Aditya Pal: Okay, understood. Understood. That's it from

my side. Wishing you all the very best.
Moderator: Thank you. The next question comes from Amlan Das from Nomura. Please go ahead.
Amlan Das: Hi, sir. My question is regarding the ROW markets. How has been the performance in the ROW markets like LATAM? And what is your outlook regarding these markets?

Srinivas Sadu: I agree with that. So the APAC business has gone up and there are also several approvals in South Asia. They started exporting. Mexico business has started in there. If you actually remove Saudi and see the rest of the business has gone. But once this com es back, then I think overall the ROW business will back on track a little.
Amlan Das: Sorry, sir. I dropped in between. I couldn't hear. Could you just repeat once? I'm sorry. Are you dropped off?
Srinivas Sadu: Are you dropped off?
Ankit Gupta: Yes, your voice dropped in between. I couldn't hear. Could you just repeat once?
Srinivas Sadu: No. What I said is APAC business has gone and we also launched a new product in South Africa and also Mexico. The business started last quarter. So, this will start picking up. If you actually remove Saudi and see the rest of the business, it has grown up. It has gone up. So once we start shipping out some of the key products to Saudi, then I think overall business will be back on growth track.
Amlan Das: Okay, sir. So how is the performance in markets like Brazil and Argentina where you were quite present before, I think?
Srinivas Sadu: I think that is steady business we're having Brazil.
Amlan Das: Okay, sir. Okay. Thanks.
Moderator: The next question comes from Shyam Srinivasan from Goldman Sachs. Please go ahead.
Shyam Srinivasan: Good evening. Thank you for taking my question. Just the first one on the standalone or core costs, right? If I look at gross margins, I think are down like 50 -60 basis points. So what is explaining just the core gross margins coming off? Is it mixed?
Ravi Mitra: So as compared to Q2 of last year, it has come down by 1%. And that is largely a factor of mix, which you rightly said, and also the profit share and element on that.
Shyam Srinivasan: Got it. So, this is something like any of those products which are higher in contribution today versus last year….
Ravi Mitra: But as compared to Q1, our gross margin has gone up actually from 53.
Srinivas Sadu: Correct, correct.
Shyam Srinivasan: Yes, so what is driving that Q -o-Q improvement?
Ravi Mitra: So that's the mix actually.
Shyam Srinivasan: Okay, so versus last year, the mix is inferior, but versus quarter one, it's better.
Ravi Mitra: Yes.

Shyam Srinivasan: Got it. And if I look at core margins have remained flat Y -o-Y, so and R&D has gone up 40%. So other expenses excluding R&D is actually down quite a bit. Even quarter, Q -o-Q is down 20%. So is that sustainable or is there any one -off there in terms of the lower cost, lower other expenses?
Ravi Mitra: So power and fuel has gone down at India.
Shyam Srinivasan : No, no. In the way you report your power and fuel employee, you have other expenses above EBITDA. So other expenses I'm excluding R&D, which is up 40%. So that leaves the other, other expenses is actually down 25% or something, Y -o-Y.
Ravi Mitra : So Y -o-Y, other expenses are actually same, but quarter it has come down, right? Yes. In other expenses, Shyam Srinivasan sir, I'm just removing R&D cost. That's an okay assumption, right? That why you book R&D no?
Ravi Mitra: No, it's largely this quarter is the rate we can consider because previous year there would have been some consulting expense for acquisition and other strategic advisory you're taking.
Shyam Srinivasan: Got it. And my last question, just on guidance. Sorry, I missed it. So we earlier had a meeting

growth guidance for the US, right? So you are now seeing it low double digit, is it? Sorry, I missed this.
Ankit Gupta: : That's right, Shyam. We are seeing low double digit as the top line growth expected.
Shyam Srinivasan: Yes, Ankit . And what's driving it? It seems like volume growth seems to be strong. So I'm assuming is it like because of pricing pressure or what explains that or slower, like new product launches?
Ankit Gupta : Yes. So it's going to be a combination of new launches, which are stated to be done in H2 of this year. And then at the ROW level, we did talk about the Saudi Arabia business, which is going to get back to normal. There were certain sales to Q3 and Q4, which would pick up, a combination of new launches, a steadiness in base business and the pickup in ROW would drive this growth.
Shyam Srinivasan: Understood. Thank you and all the best.

Moderator: Thank you. The next follow up question comes from Neha Manpuria from Bank of America. Please go ahead.
Neha Manpuria: Yes, just a follow up question on the CMO biosimilar business. What is the cost that we are booking for quarter in terms of the burn from this capacity? And once the contributions from Dr. Reddy starts coming through, is it fair to assume that we'll be able t o achieve breakeven on the cost starting at FY26?
Ravi Mitra: So the bio logics you're asking on?
Neha Manpuria: Yes.

Ravi Mitra: So the current cost is about INR3 to INR4 crores per quarter. And on the revenue side, as we mentioned earlier, it's too early to comment on that.
Neha Manpuria: INR3 to INR4 crores per quarter. That's all the cost is for the CMO business.
Ravi Mitra: That's the current running cost we are incurring.
Neha Manpuria: Okay. So depends, this is as and when the Reddy's supply comes coming through, then this cost will go up.
Srinivas Sadu: Yes, this might go up a bit, but the business should cover all those costs.
Neha Manpuria: Yes. Fair enough. Okay. And my second question is, do we have any GLP products in our pipeline or have our partner reached out to us for any GLP products given we have a requisite capacity for that, even if it's total finish?
Srinivas Sadu: Yes, we do. We have already signed a few GLP -1 contract on the CDMO side. Yes.
Neha Manpuria: This is for the regulated market too?
Srinivas Sadu: Yes.
Neha Manpuria: And supplies would start well?
Srinivas Sadu: Well, there are all patents around it, right?
Neha Manpuria: Sorry sir.
Srinivas Sadu: So we can't really tell the dates because it all client products. So it's, yes, but we have signed with, I think, three different customers on GLP.
Neha Manpuria: Got it. Thank you so much, sir.
Moderator: Thank you. The next question comes from Sunil D. Khatri, who's an Individual Investor. Please go ahead.
Sunil D. Khatri: Yes. Good evening, sir.
Srinivas Sadu: Good evening.
Sunil D. Khatri: My question is that, when is likely to be like a break -even for the Cenexi business?
Srinivas Sadu: Sorry, we lost you.
Sunil D. Khatri: When is likely, like now, for Cenexi business, we are not doing any profit. We are incurring losses. So when is likely to be like a break -even for the Cenexi business and whatever the capital expenditure you are incurring for this development. So when is to be completed and the production like your plan to give the 100 % utilization?

Ravi Mitra: So at Cenexi , a beta -level break -even will happen in Q4. And the capex cycle would complete in next one to two years' time.
Sunil D. Khatri: Two years' time?
Srinivas Sadu: One to two years. More than one, less than.
Sunil D. Khatri: Your India operations are good. Actually, they are making, the Cenexi is making a drag on the balance sheet.
Ravi Mitra: Yes. So as Mr. Sadu mentioned that thi

s business is very solid there, and we need to invest and improve our capability and then the performance will surely follow.
Sunil D. Khatri: So you mean to say that it will take another one and a half years to two years to grow the plant on stream or 100% utilization for Cenexi ?
Srinivas Sadu: No, no. Currently, some of the plants are already well -utilized. There are two plants which are not a 100% utilized. So there are several technology transfers which are happening. So by the time those get commercialized, it will take a year or so. So what we're saying is while we want to invest for the new capabilities there, of course just now somebody is mentioning about GLP capabilities also. There's also demand for that in European markets. We're also looking at investing in those new cap abilities for the future growth of Cenexi business . But for the current capacity the couple of plants are already fully utilized and a couple of plants, there are projects which are getting transferred. So by the time those get commercialized, it will take for a year.

And that's why we're saying, by next year, first quarter, we'll be able to ..
Sunil D. Khatri: Okay, sir. Thank you.
Moderator: Thank you. Ladies and gentlemen, we will take that as our last question for today. I now hand the conference over to Mr. Ankit Gupta for closing comments.
Ankit Gupta: Thank you, everyone, for joining us today. We appreciate your participation in the questions during the call. If you have any follow -on questions to this, please feel free to reach out to us.
Looking forward to interact with you in the next quarter now. Th ank you.
Moderator: Thank you. On behalf of Gland Pharma Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2025

February 10 , 202 5

BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
25th floor, Dalal Street
Mumbai - 400 001
Scrip Code: 543245 National Stock Exchange of India Limited
Listing Department
Exchange Plaza, 5th floor
Plot no. C -1, Block G, Bandra Kurla Complex Bandra
(East), Mumbai - 400 051
Symbol: GLAND (ISIN: INE068V01023)

Dear Sir/Madam,

Sub: Earnings call Transcript - Q3FY25

Please find enclosed the transcript of the Earnings call for Q 3FY25 of the Company held on Monday , February 03 , 2025, at 18.30 Hrs. IST. This will also be available on the Company's website and the web link to access the same is https://glandpharma.com/investors/financials

This is for your information and records.

Yours truly,
For Gland Pharma Limited

Sampath Kumar Pallerlamudi
Company Secretary & Compliance Officer

Encl: As above GLAND GLAND PHARMA LIMITED
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Sampath Kumar Pallerlamudi
Company Secretary & Compliance Officer
Encl: As above
Regd. Office:
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"Gland Pharma Limited
Q3 FY '25 Earnings Conference Call "
February 03, 202 5

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GLAND PHARMA LIMITED
MR. SHYAMAKANT GIRI – CHIEF EXECUTIVE OFFICER
-- GLAND PHARMA LIMITED
MR. RAVI MITRA – CHIEF FINANCIAL OFFICER
INDIA 'S OFFICE -- GLAND PHARMA LIMITED
MR. ALAIN KIRCHMEYER – CHIEF EXECUTIVE
OFFICER -- CENEXI

MODERATOR : MS. RUNJHUN JAIN

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Moderator: Ladies and gentlemen, good day, and welcome to Gland Pharma Q3 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zer o on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to M s. Runjhun Jain. Thank you, and over to you, ma'am.

Runjhun Jain: Thank you, R ayo. Good evening, everyone. We welcome you to the Gland Pharma's Earnings Conference Call for Q3 FY '25.

Today, we have Mr. Srinivas Sa

du, Executive Chairperson; Mr. Shyamakant Giri , Chief Executive Officer; Mr. Ravi Mitra, Chief Financial Officer from India's Office; and Mr. Alain, CEO of Cenexi, who's connected virtually from France. We'll begin the call with business highlights from Mr. Sadu followed by Mr. Giri, who will share hi s vision about the company. This will be followed up by an overview of Cenexi by Mr. Alain. And lastly, the group financial overview by Mr. Ravi.

Before we proceed, I would like to remind everyone that some of the statements made today will be forward -looking and are based on management's current estimates. These statements should be considered in light of the risks associated with our businesses. T he call is being recorded and script will be available on the website shortly.

With that, I'll hand over the call to Mr. Sadu for his opening remarks. Over to you, sir.

Srinivas Sadu: Thank you, Runjhun. Good evening, everyone, and welcome to our Q3 and 9 -month FY '25 earnings call. I would like to start by wishing you all a very happy and fulfilling new year, filled with new opportunities and achievements.
Let's dive into our financial and operational performance. At the consolidated level, our Q3 FY '25 revenue was INR13,84 1 million, with consolidated EBITDA of INR3,600 million, translating to a margin of 26%. 100 bps increase year -on-year.
Our base business excluding Cenexi generated INR10,123 million in revenue for the quarter, an 8% decrease year -over-year. This was due to volume degrowth in some of our key products, partly compensated by new launches. We expect to recover these volumes in the coming quarters and remain optimistic about the ov erall trajectory of our business.
The EBITDA margin for our base business was a robust 39%, compared to 34% in the same period last year. The margin improved in the quarter due to changes in the product mix and the measures carried out leveraging costs in various fronts.
Coming to US sales. We launched 13 new molecules during the quarter, including Chlorpromazine , Dexamethasone, Phenylephrine, Phytonadione, and Diphenhydramine. These launches strengthened our product portfolio and positioned us well for continued growth in the U.S. market. GLANDGland Pharma Limited
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Revenue from the Rest of the World markets increased to 21% of our total revenues in Q3 FY '25.
The Indian market generated INR562 million in revenue, contributing 4% to our total revenues.
Let's discuss the progress of our complex product portfolio. To date, we have completed 9 filings in our targeted portfolio of 19 products. 6 of these complex products have already been launched,

with 3 more expected to secure approval in due course. These products target an IQVIA market
opportunity of USD 7.1 billion, reflecting the significant potential of this segment to drive future
growth. In addition, we are very excited to inform you that 15 complex formulations, which are
under co -development with MA IA Pharmaceuticals, a specialty injectable development
company, have shown promising progress. These include seven , 505(b)(2) and eight ANDAs at
different stages of development. We expect commercialization to begin from FY '27.
In 9M FY '25, we filed 3 RTU infusion bag products with 10 more in the pipeline. These products
are part of our RTU portfolio with 14 bag products registered. These RTU bags have IQVIA of
about USD 530 million value in the U.S., and these filings show our commitment towards
prioritizing newer technologies in infusion bags.
In Q3 FY '25, our total R&D expenditure was INR437 million, representing 4.3% of our base
business revenue.
During the quarter, we filed 4 ANDAs and received approval for 8, including Latanoprost
Ophthalmic solution and Phytonadione injectable emulsion. This brings our cumulative ANDA
filings in the U.S. to 366, with 312 approvals and 54 pending. Globally, we now hold an
impressive 1,736 product registrations, demonstrating our ongoing commitment to expanding
access to hig h-quality medicines.
On the regulatory front, we are pleased to announce that we have received EIR from the U.S.
FDA for our Dundigal and Pashamylaram facilities in Hyderabad, signifying successful closure
of the large U.S. FDA inspections. We remain dedicated to upholding the highest quality
standards across all our operations.
Turning to biologics. We have entered a collaboration agreement with Dr. Reddy's Laboratories.
This partnership leverages our state -of-the-art biologics manufacturing facility at Genome
Valley in Hyderabad and opens exciting new opportunities in a rapidly growing biologic CDMO
segment. This is expected to generate incremental revenue starting next financial year.
We are happy to also inform you that we have signed a CDMO collaboration nonbinding term
sheet with Shanghai Henlius Biotech as well. These aims to establish a secon

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site at Gland for some of the key biosimilar products of Henlius. These collaborations
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compared to 75% in Q3 FY '24. We have Alain on the call for a more detailed update on recent developments and key initiatives at Cenexi.
Finally, I'm delighted to introduce our new CEO, Mr. Shyamakant Giri . We are confident that his extensive experience will be invaluable as he leads the company towards continued success.
You will hear more about his vision and plans for the company in his address shortly.
I want to reaffirm our commitment to driving long -term growth through strategic partnerships, innovation and investment in new products and technologies.
Thank you once again. I would now request Mr. Giri to take over.
Shyamakant Giri: Thank you, Mr. Sadu. Good evening, everyone. I'm delighted to join you all for today's earnings call, and I'm honoured to address you for the first time as a Chief Executive Officer of Gland. It is both a privilege and a responsibility to step into this role especially as the company actively pursues strategic initiatives to expand its global presence and strengthen its m arket position.
As I begin my journey at Gland, my immediate priority is to understand the company's current operations and improve profitability while identifying new opportunities to enhance our growth, strengthen our capabilities and expand globally in areas where we c an excel.
I have started collaborating with the team to evaluate our direction and strategy from the very first perspective and build a future fit Gland. I have identified key priorities both on the demand and the supply side as we develop our overall strategy.
On the demand side, we have 4 identified priorities:
One, RoW market growth. We will improve our footprint and launch new products, focusing on high-value, high -growth countries instead of having a cluster or a continent approach.
Two, India domestic growth. We will leverage our portfolio strength in selected therapies and explore inorganic expansion within India.
Third, U.S. market expansion, new customer acquisition and value expansion from the current partners will be the crucial for our growth in the U.S.
And finally, portfolio assessment. We will continue to see strategic partnership and pursue potential M&A opportunities to incorporate more high value injectables and newer modalities into our commercial portfolio.
On the supply side, the 4 identified priorities are :
One, maintaining quality and cost leadership. We will strengthen our operational efficiencies to lead in both quality and cost.
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Third, intensifying R&D focus. We will enhance our new product pipeline and accelerate our current projects.
And last but not the least, improving management bandwidth. We will hire top talent and more empowered leadership teams.
All our strategies will be built on the foundation of our established core values while fostering a culture of innovation, collaboration and expertise. I am grateful to the Board and its Chairman, Mr. Sadu, who are entrusting me with this responsibility, a nd I'm excited to work closely with our leadership team.
This is truly an exciting time for Gland, and I look forward to collaborating with all of you to chart the next phase of company's growth journey. I welcome your perspectives and ideas as we embark on this collective endeavour . Thank you again.
And now I'd like to hand it over to Alain, to provide an update on Cenexi's performance. Over to you, Alain.
Alain Kirchmeyer: Thank you, Mr. Giri, and good evening, everyone.
Cenexi's performance for this quarter was impacted due to certain factors. At our Fontenay facility, Q3 FY 2025 production was impacted by an unannounced inspection by the ANSM, the French Health Authorities. Cenexi is committed to working closely with the ANSM to address the observations raised. .
On a positive note, I am pleased to report that our new high -capacity ampoule line began production last week, right on schedule. This addition will increase our ampoule manufacturing capacity by 40 to 50 million units, allowing us to better serve our cust omers moving forward.
In Hérouville in France, commercial production of a new inactivated vaccine and an ophthalmic gel commenced in December as anticipated and will ramp up gradually in 2025. Additionally, we have begun installing a new prefilled syringe line, which is expecte d to be operational later in the year. This will significantly boost our capacity to meet the growing demand for this dosage form.
In Braine -l'Alleud in Belgium, orders from a new customer, unfortunately, had to be deferred from Q3 to Q4 FY 2025. As mentioned in our last call, earlier setbacks from the Lyophilizer breakdown continued to affect our production levels in Q3, and we expect this to get restored in H1 of FY 2026.
Given these developments, we anticipate a weaker performance for the January to March quarter, but I want to emphasize that all major projects remain on track and aligned with our strategic goals. We remain firmly focused on achieving our medium -term goal of delivering positive EBITDA in full year 2026. This will be driven by our efforts to push revenue beyond the EUR 200 million threshold. GLANDGland Pharma Limited
February 03, 2025
Third, intensifying R&D focus. We will enh

ance our new product pipeline and accelerate our
current projects.
And last but not the least, improving management bandwidth. We will hire top talent and more empowered leadership teams.
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With that, I want to thank you for your time, and I will now turn the call over to Ravi to discuss financial performance. Ravi, over to you.

Ravi Mitra : Thank you, Alain. Good evening, everyone. We are grateful for your time and presence today.

Let's take a look at our financial performance for the quarter and nine months ended 31st December 2024. I'm very pleased to inform you that our EBITDA and PAT margin improved during the quarter.

The EBITDA margin increased to 26% as compared to 23% in Q3 FY '24 and stood at INR3,600 million for Q3 FY '25. For the base business, ex -Cenexi, the EBITDA margin did significant improvement for Q3 FY '25 at 39% versus 34% in the same period of last year. Improvement of gross margin and better cost management has led to the improvement.

We, however, reported a negative INR312 million of EBITDA at Cenexi primarily due to the unannounced inspection by ANSM at Fontenay site in this quarter. The EBITDA for the 9 months ended December 2024 stood at INR9,214 million, compared to INR9,744 million for the same period of last year. We have reported the EBITDA margin for 9 M FY '25 at 22% at the consolidated level and 34% for the base business.

The gross margin for Q3 FY '25 also showed an improvement of 67% from 61% in Q3 FY '24

due to change in product mix. In our base business, the gross margin was at 63% as compared to 56% in the previous year. We are happy to see better margin profile of the new products launched during the year and this quarter.

Our net profit for the third quarter increased by 7% at INR2,047 million, compared to Q3 FY '24 and increased by 25% sequentially from the second quarter. During this quarter, we achieved a PAT margin of 15%, an improvement from 12% year -on-year. During the 9 months of the current financial year, our PAT was INR5,120 million at 12% margin.

Revenue from operations stood at INR13,841 million in Q3 FY '25. The gap with the corresponding quarter in the previous financial year was primarily due to lower shipped volume of certain products for U.S. market, which we expect to complete in the next quarter. At Cenexi production was impa cted by unannounced inspection by the ANSM, the French Health Authorities.

Revenue of our base business, ex -Cenexi, while it showed growth of 3% in 9 M FY '25 driven by our increased performance in the U.S. market, it decreased by 8% in this quarter compared to same period of last year to INR10,123 million.

Revenue from operations for the 9 MFY '25 stood at INR41,916 million, a year -on-year increase of 2%. Other income for Q3 FY '25 was INR585 million. This includes INR525 million from interest on fixed deposits and INR20 million in foreign exchange gains. For 9 M FY '25, other income totalled to INR1,696 million, INR1,548 million from interest income and INR65 million from foreign exchange gains.

The higher finance cost during the quarter is related to the interest on a GST different matter.

The total R&D expense for the third quarter were INR437 million compared to INR530 million

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Ravi Mitra:

for the same period of the previous financial year and stood at 4.3% of the revenue from operations on an ex -Cenexi basis. The total R&D expense for the 9 months was INR1,419 million, which was 5% of our revenue, demonstrating our continued focus in R&D. On a stand - alone basis, our effective tax rate was 25% in the third quarter and 26% for the nine months of the current financial year.

As of December 31, 2024, on a group level, we had a total of INR27,189 million in cash and cash equivalents. After accounting for Cenexi's debt, our net cash position was INR24,122 million. Cash flow from operations during the 9 M was INR5,889 million and working capital stood at INR23,060 million as of December 31, 2024.

The average cash conversion cycle improved at 162 days for the nine months ended December 2024 compared to 182 days in the same period last financial year. The total capex spend during the quarter was INR1,379 million spent at Gland’s Indian sites and at Cenexi.

At India, we are spending growth capex at expanding a new bag line and increasing the packing capacity. We are also in process of adding a new cartridge line at Suite 9 which will be in addition

to one existing cartridge line at Pashamylaram site. At Cenexi, as Mr. Alain mentioned, we are
adding some additional high speed and new lines to improve the overall capability.
With this, I request the moderator to open the lines for questions. Thank you.
Moderator: The first question is from Neha Manpuria: from Bank of America. Ms. Neha, we can't hear you.
Ms. Manpuria, I request you to may call us back maybe from a different number. We'll move to
the next question. The next question is from Bino Pathiparampil from Elara Capital.
Bino Pathiparampil: My first question is on the U.S. business. We have seen a Q -o-Q decline in the run rate and Y -o-Y as well. So, you mentioned that there were some volume declines in the quarter. Could you comment on was it a quarterly phenomenon, some stock adjustment, etcetera? And what is that going forward on the quarterly run rate?
Ravi Mitra : So Bino, we had certain products which w ere not shipped out some of the main products like Enoxa and we plan that to ship back in the next coming quarter. On demand side, we don't have any issues here in terms of the forecast what we have received from our customers. It is just a shipping timing thing which instead of Q3, we will be probably planning for next quarter.
Bino Pathiparampil: So next quarter, we should see a significant Q -o-Q improvement in numbers. Can we assume so?
Ravi Mitra : Yes. So next quarter, this will be compensated by the some of the products which I mentioned, which would happen next quarter.
Bino Pathiparampil: Understood. And this quarter, the margin ex -Cenexi has come in strong. So, despite the top line being low, what has led to that?
Ravi Mitra : So gross margin, do you mean or EBITDA margin?
Bino Pathiparampil: Both, I think. GLAN

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Ravi Mitra : Yes. So gross margin, I think, improved by a couple of percent, and that is largely a factor of the product mix at different sites. And some of the products, as you know, are high margin like vial and lyophilized products compared to ampoules. And on the E BITDA side, also the cost side, we have kind of controlled and that has showed down the benefit to the EBITDA as well.
Bino Pathiparampil: Okay. if I can ask one more question on Cenexi. So, the earlier guidance was a positive EBITDA in 4Q of this year. So, in the opening remarks, I heard that you have changed it to a positive EBITDA in FY '26. But in FY '26, if you could let us understand how the trajectory would be. So initial couple of quarters, the losses will continue and then it will pick up? Is that h ow we should think about it?
Srinivas Sadu: We are estimating now Q3 FY '26 could be EBITDA positive quarter. One

is we mentioned about the inspection that happened last quarter. So, we lost a few weeks because of that. So that's kind of impacting the next quarter numbers a bit and last quarter numbers a bit. So that's the main reason. So, estimating I think it will move back to a few quarters.
Moderator: Next question is from Neha Manpuria from Bank of America.
Neha Manpuria: following up on Cenexi, I understand that there was an inspection, but is there more to the inspection which is leading us to delay the breakeven to third quarter? I mean, have the authorities highlighted something to us, which needs us to shut down produc tion for longer. Just wanted to get a sense of as to why 10 days of audit is delaying the breakeven by 3 quarters?
Srinivas Sadu: So, one is, of course, the lost time, it took almost, I think, 3 weeks inspection, there are 2 inspections that happened. So, we lost production during that time. And there are corrective measures which we need to take. So, some observations which we need to work on. So that will take some loss of production time. That's why we're estimating now it could be the third quarter.
Neha Manpuria: Understood. And my second question is on the RoW business on the Saudi contract. Have you made any progress on that? We were expecting some shipments by the end of the quarter or in the fourth quarter. So, is that still on track? Or any status update on that?
Srinivas Sadu: Yes. I think that's one of the reasons we actually missed the revenue estimate this quarter. So, it got pushed out a bit and it didn't get dispatched. And also, it kind of impacted positively in the margin profile because it's a low -margin business. But on the revenue side, I think it got pushed out by a quarter.
Neha Manpuria: And should that come through in the fourth quarter? Or is there more delay expected on the Saudi tender?
Srinivas Sadu: We actually got the tender. It's just allotment to the hospitals that was delayed. So, it could be this quarter or the first quarter of next year.
Neha Manpuria: Got it. And my last question is on the Biologics bit. I think you mentioned, one, the Dr. Reddy supply would start from fiscal '26. And there was also a second CDMO agreement that you mentioned. I didn't quite catch that with whom that was and when should we expect that to start contributing? GLANDGland Pharma Limited
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Srinivas Sadu: So, this is an agreement with Shanghai Henlius. It's a Chinese company, which has launched biosimilars in different parts of the world, including the U.S. So, we have signed a term sheet as a second site for their pipeline of products. So that would take probably 2 years from now. Yes, once the agreement is firmed up, then it would take a tech transfer and will take time for that.
Neha Manpuria: Okay. So, this is probably FY '28 onwards.
Srinivas Sadu: Yes, sure. '27 -'28, I would say. Yes.
Moderator: Next question is from Vivek Agrawal from Citigroup.
Vivek Agrawal: Just one question from my side. It is good to see that India and RoW, particularly the non -U.S. markets are seeing the kind of attention now that's being required. So, if you can just elaborate basically how we are going to do that? What has been lagging so far? What new basically we are going to do in these markets?
Shyamakant Giri: So, India, Vivek, we want to leverage our portfolio strength. We are already having a cost leadership position because of the CDMO activities. And India as a market is also growing. So, we are integrating to launch some therapies in India. And of course, we are getting various therapies as we see.
We're also evaluating any inorganic route to expand our presence. So, this is something that we're doing on the India side.
On the RoW side, we are now changing our approach. Earlier, we used to see RoW from an continent lens like LATAM or Africa, right. We have moved that lens to now focus on top 5, 6 top countries like Saudi, Mexico, South Africa and so on, okay, where we will really want to be aggressive in terms of partnership and filings and all of that. So, we have now divided the RoW into 3 groups, one which is high value -- high pharmaceutical value, and second is, of course, medium and so on and so forth. So, this appro ach, I think, will help us resource these markets well and put a new acceleration plan in place.
Moderator: Next question is from Aman Goyal from Axis Securities.
Aman Goyal: Sir, my question is related to the Cenexi. So, in the last quarterly con call, you said , in Q4, the Cenexi will be breakeven at EBITDA level. Can you

throw some light on any estimated time that we will see the breakeven for Cenexi business?
Ravi Mitra : Like we just mentioned that we expect now to EBITDA breakeven at Q3 FY '26 next year. So, this is largely a factor of how we can push the top line to a 50 million per quarter run rate and then keep the cost under control. So that can be achieved by new high -speed lines.
So, one of the additional lines is already up and running in Fontenay as Alain mentioned in his speech.
In addition to that, there are also a couple of activities, which is going on at HSC and Belgium site, which will improve the output significantly without having more cost at manpower and other overheads. So, this will be happening at Q3 level because Q2 is anyway a summer
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shutdown, and we want to also utilize like last year to build up all those new additional capabilities we are putting in.
So Q3, we estimate that w

ould be a time where we expect the top line to touch 50 million or more and then have EBITDA breakeven.
Aman Goyal: On last call, we talked about the GLP -1 contract on the CDMO side. So, we have 3 different customers on GLP. Could you throw some light on that, like the size or revenue to be started in the commercialization?
Srinivas Sadu: So basically, it's two customers and three products contracts. And revenues, the patent landscape , it depends on which markets and all that. So, we can't really give the numbers to you, but slowly we'll start seeing some numbers in FY '26.
Moderator: Next question is from Harsh Bhatia from Bandhan Mutual Fund.
Harsh Bhatia: On biologics/biosimilar contracts for Reddy's, you had mentioned this as nonexclusive contract and you have a certain capacity, mammalian drug substance capacity. That was biologics CDMO , biologics/biosimilars contract. Is the nature of the contract with the Chinese company also very similar in terms of the contract commitment of the volumes or the size of the contract? Or is it materially different?
Srinivas Sadu: I think materially this could be different . The contract still needs to be signed up. It's a term - sheet we signed. But it's a whole pipeline of biosimilar products, what are already commercialized and also what is still there in the pipeline, which will go off patent in the next few years. And it could be a second site. So, we're already looking at expansion of the drug substance side to increase the capacity to 15 KL to meet the demand. So, it will be substantially different compared to what we have done earlier.
Harsh Bhatia: So, you already have an 8 KL capacity, and this could in the foreseeable future go to 15 KL capacity?
Srinivas Sadu: No, an additional 15 KL capacity.
Harsh Bhatia: In terms of the Cenexi contracts and the customers, your aim was to sort of move their RoW capacity from the Cenexi site in Europe to the India site over a period of time. Where are we on that as of now?
Ravi Mitra : So, we are having currently some business by customers, and it's too early to comment at this point of time. But we are seeing interest from their customers, and the work is going on.
Harsh Bhatia: Few of them must have already visited your India facilities, right?
Ravi Mitra : Yes, some have.
Harsh Bhatia: In terms of heparin. Can you explain , at a macro level, China does control a lot of capacity in

terms of the raw materials as such. So, anything incrementally that you could think could be a second order derivative for the tariffs from that angle?

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Moderator: Next question is from Harsh Bhatia from Bandhan Mutual Fund.

Harsh Bhatia: On biologics/biosimilar contracts for Reddy's, you had mentioned this as nonexclusive contract and you have a certain capacity, mammalian drug substance capacity. That was biologies CDMO, biologics/biosimilars contract. Is the nature of the contract with the Chinese company also very similar in terms of the contract commitment of the volumes or the size of the contract? Or is it materially different?

Srinivas Sadu: I think materially this could be different. The contract still needs to

be signed up. It's a term-
sheet we signed. But it's a whole pipeline of biosimilar products, what are already commercialized and also what is still there in the pipeline, which will go off patent in the next few years. And it could be a second site. So, we're already looking at expansion of the drug substance side to increase the capacity to 15 KL to meet the demand. So, it will be substantially different compared to what we have done earlier.

Harsh Bhatia: So, you already have an 8 KL capacity, and this could in the foreseeable future go to 15 KL capacity?

Srinivas Sadu: No, an additional 15 KL capacity.

Harsh Bhatia: In terms of the Cenexi contracts and the customers, your aim was to sort of move their RoW capacity from the Cenexi site in Europe to the India site over a period of time. Where are we on that as of now?

Ravi Mitra: So, we are having currently some business by customers, and it's too early to comment at this point of time. But we are seeing interest from their customers, and the work is going on.

Harsh Bhatia: Few of them must have already visited your India facilities, right?

Ravi Mitra: Yes, some have.

Harsh Bhatia: In terms of heparin. Can you explain, at a macro level, China does control a lot of capacity in terms of the raw materials as such. So, anything incrementally that you could think could be a second order derivative for the tariffs from that angle?

Srinivas Sadu : I think it's more to do with the direct imports into U.S., not to the materials what we buy from China. So, I don't think there will be an impact on that.

Harsh Bhatia: Sir, but do Chinese players, again, just very broadly this China or Chinese players directly supply these raw materials into the U.S. market as of now?

Srinivas Sadu : No. So, from a positive side, the companies who are actually competing with us directly in China. Now they might be impacted if this 10% thing gets implemented and on the pharmaceutic al products, still it's not very clear. Then the people who are competing with us in heparin and some of these products from China will be more competitive against them in terms of several products. So that would be an advantage for us in terms of finished p roducts, and probably APIs also.

But I would say, local manufacturing in China -- in U.S. anyway, is not that competitive. But I would say the Chinese players who are directly exporting finished product from China if this 10% tariff comes on to those products, then we'll be more competitive than that for sure.

Harsh Bhatia: And just very lastly, if there are, let's say, Index 200 in terms of the RN component for enoxaparin, heparin. How much of that would be China -based capital consumption and how much will be going outside of China, very roughly put, if you would have the nu mbers?

Srinivas Sadu : You mean within the U.S?

Harsh Bhatia: No. China production getting consumed within China and as compared to going out of China getting exported.

Srinivas Sadu : I'm not sure of that quantity, but I think globally, they control about 45%, 50% of Heparin API production, a bit more also, I think, 60%. Yes. But how much is consumed within China and

outside, frankly we can't...
Moderator: Next question is from Shyam Srinivasan from Goldman Sachs.
Shyam Srinivasan: Just the first one on the U.S. business. We had 13 launches during the quarter. And despite that we have had like Q -o-Q, even in the base business, excluding Cenexi in the U.S., we have seen decline. So, could you just explain, is it price erosion that there seems to be higher?
Srinivas Sadu : No, I think the major drop is Enoxa which we expected to supply to Saudi, didn't happen, that's a major loss. And the launches that happened compared to that volume is lower, I would say.
From margin profiles, the products that we launched in the last 2, 3 quarters is better margin products, and tha

t's why you're seeing an improvement in margin profile across products.
Shyam Srinivasan: I'm just looking at just the U.S. market. And I'm assuming Saudi Arabia will come in RoW, right? Sorry, I'm getting confused. The U.S. market Q -o-Q decline.
Srinivas Sadu : Even U.S. we didn't supply Enoxa . I think there's a decline of -- I would give you a steer percentage. But 12% down in terms of quantity variance for Enoxa and Ketorolac, the other product -- 2 products. And that's the reason -- the primary reason why we lost that decrease in the volumes.
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Shyam Srinivasan: Understood. We should expect Q4 that there will be a recovery there or we'll start shipping Enoxa and the other product again in Q4, right?
Srinivas Sadu : At least U.S. Enoxa, you can expect.
Shyam Srinivasan: Yes. Yes. I'm only focusing on the U.S. mark

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Srinivas Sadu : Yes, correct. From price variance perspective from quarter -on-quarter, it's about, I think, 1% to

2% lower.
Shyam Srinivasan: Understood. And in terms of pricing or any of the other on the base business, excluding Enoxa and other, has there been an erosion?
Srinivas Sadu : No, no, there's not much price erosion.
Shyam Srinivasan: Understood. My second question is on the 39% core margins. So, if you could help us what was the profit share and the milestones in that number?
Ravi Mitra : So, for this quarter, profit share is 11.7% and milestone is 10.2%.
Shyam Srinivasan: So, about 20%, I'm just adding those 2 numbers is coming from at least 2, right, Ravi?
Srinivas Sadu : Yes, the profit -- yes, correct. And profit share should consider as part of the product only right. It's margin of the product.
Shyam Srinivasan: No, I'm not questioning the numbers. It's just that -- I'm just trying to look at these numbers is -- 11% for us, typically, right?
Srinivas Sadu : Yes, typically about 20% together.
Ravi Mitra : So, some quarters, it may be high, some quarter lows. So, if you say a 9 -month basis, it's again 10.1% and 8.8%.
Srinivas Sadu : Also, but together, it's over 19%.
Shyam Srinivasan: 19%. Okay. So -- and we should assume that you get at least this kind of milestones and similar kind of profit share.
Srinivas Sadu : So basically, it's a simple math. The low -margin products, if you have shipped like kind of a product, it's down INR100 crores, it's like 5% to 7% margin. So that then the margin will get diluted about 36%.
Moderator: Next question is from Ritesh Rathod from Nippon India Mutual Fund.
Ritesh Rathod: How many Chinese players are active in the U.S. injectable market? Or put it other way around, how many of the front -end companies source their raw -- source their finished injectable products from Chinese manufacturing plant. If you can give some colour -- this is in context with the tariff thing which we spoke earlier. GLANDGland Pharma Limited
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Srinivas Sadu: : Directly it is probably 1 or 2 injectables who are selling directly front end, but people sourcing injectable finished product from China would maybe 4 to 5.

Ritesh Rathod: And when we see our top 10 or top 25 products, such kind of Chinese sourcing or Chinese
competitors? Would there be -- would there be a decent -- would they have a decent volume
market share, like -- and with this tariff, things can swing in coming quarter s? Is that a probable
scenario?
Shyamakant Giri: Yes, at least some products, especially heparin, Enoxa where the front -end player is backward
integrated 100% into heparin. And the margin is low. Those kind s of products it will fill the
balance, yes.
Ritesh Rathod: And in the past, we spoke about, particularly in new launches, we saw excessive competition
from Chinese players spoiling the market. Do you think in your pipeline products, such kind of
competition will now be much lower than what earlier you have seen for the new launches?
Shyamakant Giri: It all depends on the products because some products with the margin profile is high, then
probably it's lesser impact, but wherever the margin is lower than there could be an impact. I
mean there they will stay away from launching, I would say.
Moderator: Next question is from Roshan Chutkey: from ICICI Prudential Mutual Fund.
Roshan Chutkey: I just wanted to understand, going forward, if Enoxa volumes were to higher, right, one, because
of like Chinese competition abating a bit because of tariffs; and two, particularly in this quarter,
I guess, you have some slippage coming from the previous quarter. So, should one think that
volume growth would be very high, or margins will take a knock? How should one think about
this?
Ravi Mitra : If Enoxa volume goes up, then overall margin as a percentage will come down. But in absolute
terms of course it will grow.
Shyamakant Giri : Yes, Roshan, there is more data point that I would like to bring in here. So, this year, if you see
our new launches in the U.S., we have launched 27 molecules and 39 SKUs of which 30 SKUs
are first -time launches in the U.S. and the gross margin there is upwards of 65% or so. So, if you
see, what we're doing also is strengthening our new launches, which are primarily complex
generics, RTUs and all of that and being very aggressive to push that agenda, push that sales in
the U.S. so that we still hold on to our gross margin in spite of Enoxa going on.
And we have seen this year, for example, in quarter 3, 5% of our revenue total was primarily
coming from new launches that we did in the U.S. at a higher gross margin. So, while Enoxa
goes up, but we also have a plan here to improve or maintain and improve our gross margin by
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Roshan Chutkey: Understood. With respect to Cenexi business, last we spoke, you mentioned RFPs are coming
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Srinivas Sadu : Alain, can you take that question of RFPs. We have a pipeline of RFPs, which you're addressing.
So, the question is around that.
Alain Kirchmeyer: Yes. So, we have a constant flow of opportunities that we are looking at. What is especially
encouraging in the last quarter is that we finalized the validation batches for 2 products that will
move in Q1 into commercial production.
Moderator: Next question is from Jinesh Shah from RSPN Ventures.
Jinesh Shah: my first question was, when we talked about that we have margin improvements in this quarter
due to the product mix and core business. So, I think you did mention, I just want to reconfirm
that. Is it because of the new product launches that we do, we have a better margin in that and
because of that overall EBITDA margins of the core business has been shifted up in this quarter.
Is that the correct understanding?
Ravi Mitra : Yes. That is definitely correct. And also, the product mix we spoke about. So, both of that is
responsible for this higher margin.
Jinesh Shah: Okay. So, like if I have to make a predict ion for the future, then we do expect that whatever we
had in past, like 33%, 34% of EBITDA margins, we do expect a better margin in the coming
future, right?
Ravi Mitra : Yes, yes.
Jinesh Shah: Okay. So, my second question is, can you -- as we had unannounced inspection in one of the
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site. So, can we talk about the observations of that inspection?
Srinivas Sadu : Yes. So, we do -- got some observations in that inspection and we want to finalize CAPA and
submit to them. So, we'll let you know once the CAPA submission happens and what outcome
of that is.
Jinesh Shah: Okay. Fair enough. And my last question would be like -- is there any like one -off in the finance
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Ravi Mitra : Yes, it is one -off. See about INR18 crores is on account of GST refund matter.
Moderator: Next question is from Tushar Manudhane from Motilal Oswal Financial Services.
Tushar Manudhane: Sir, just on this, at least as far as Enoxa, heparin products are concerned, if you could share what
is our market share for U.S. market in specific?
Srinivas Sadu : I think Enoxa is about 6%. I think we sell about 16 million to 18 million syringes and that's about
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Tushar Manudhane: 6% and 25%, right?
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Srinivas Sadu: Yes.

Tushar Manudhane: And how much would be the market share of the Chinese competitors?
Srinivas Sadu : They'll have higher probably , I think heparin would be 40%, I would say. Enoxa, I can't say now.
Tushar Manudhane: Sorry, sir, how much? Enoxa, how much?
Srinivas Sadu : I can't tell, but still, I think 30%, 35% shoul

d be there. But I can come back to Tushar. I can take it offline.
Tushar Manudhane: Sure, sir. Just lastly on this, is there any way to -- I mean, practically, ultimately the source of raw material is still pig slaughterhouse, which are abundant in China. So eventually when you have to depend on Chinese raw material supply, right, that ti me be changed as per as supply of ultimate formulation is concerned. Is that right?
Srinivas Sadu : Yes, sir, the basic growth is still in China. Otherwise, if you go to U.S., it's more expensive. But within China, we have several crudes for heparin sources so that we could be more competitive in terms of pricing. We get some volume discussion and all that. So, it's a continuous work what we do in terms of processing of the crude to heparin and heparin to Enoxa, if you consider both molecules. But still, we have to depend on China for the API.
Moderator: The next question is from Harsh Bhatia from Bandhan Mutual Fund.
Harsh Bhatia: So just in terms of, again, Cenexi part. You've spoken a bit about these capacity expansions as well as certain capabilities across ampoules and PFS in activating vaccine as such. Any of this -
- anything other than this relates to in any point towards the price manufacturing capacities of -
- directly or indirectly to that extent? I hope it would be too early to comment on that.
Srinivas Sadu : Can you repeat that? It was not very clear, the question. We use Cenexi capacity for Gland's, that's what you're saying?
Harsh Bhatia: No, Cenexi's capacity for customers who are looking for GLP -1 manufacturing capabilities to that extent
Srinivas Sadu : Yes. So, it's part of the plan. I mean part of the capex plan we're evaluating because there's a big opportunity out there for that -- CDMO for that also. So, it's under evaluation to install capacity for that while the -- even the syringe line what we are installing now this year that also has a capability to fill cartridges. So, it has a capability, but -- the plan is future capex , we are evaluating whether you want to invest into additional capex on the bulk cartridges, which is more econo mical compared to sterile cartridges, which can be done on the current syringe line. Yes, but the opportunity is there, yes.
Harsh Bhatia: Could you just sort of help us understand what would be the cartridge capacity, let's say, at one of the Cenexi level, if possible, the bulk cartridge capacity?
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Harsh Bhatia: 40 million to 50 million cartridges. Okay. And what would the order book look like? I think in the first quarter of this financial year, it was somewhere around EUR 20 million, if I'm not wrong, what would the order book look like right now for Cenexi?
Ravi Mitra : Sorry, I couldn't understand what is regarding fourth quarter you mentioned...
Harsh Bhatia: Yes. For the third quarter, what would the order book look like -- the order book for third quarter Cenexi order book.
Srinivas Sadu : Alain, what's the order book for the fourth quarter
Alain Kirchmeyer: I cannot answer this question off my mind, but it must be above EUR 60 million because we have a backlog that has been carried on from 2024.
Srinivas Sadu : So, the order book is at EUR 60 million.
Alain Kirchmeyer: Keeping in mind, we have usually a 3 -month confirmed order horizon with our customers.
Moderator: The next question is from Vivek Agrawal from Citigroup.
Vivek Agrawal: This is related to capex as well as investments. So, over the next 3 years, how the company is going to spend on biosimilars plus GLP -1 put together?
Srinivas Sadu : In the capex ?
Ravi Mitra : So, we are on biosimilar, we are currently evaluating for the 15 KL capacity. The estimate should be around $80 million to $100 million. But currently, it's a process of calculating a project evaluation.
Srinivas Sadu : GLP -1, we have already invested into it. The line will be installed this year, next 2 quarters. So, there's no additional investment into GLP -1 in terms of finished products. But we are looking at now that the current manufacture site also kind of maxed out in terms of capacity. We are looking at a greenfield project for the next phase of growth.
Vivek Agrawal: Just a basic question. I'm just trying to understand. In terms of fill/finish as well as cartridges are concerned on GLP -1, right? So, let's say, if you want to put the capacity of 100 million cartridges, right, so how long it can take? And what kind of investments that may require. Just a rough answer would be...
Srinivas Sadu : Around I think INR200 crores.
Vivek Agrawal: And how long it can be basically, how long you can complet

e the project which is you start...
Srinivas Sadu: 18 months.
Vivek Agrawal: 18 months.
Moderator: The next question is from Dheeresh Pathak from WhiteOak. GLANDGland Pharma Limited
February 03, 2025
Harsh Bhatia: 40 million to 50 million cartridges. Okay. And what would the order book look like? I think in the first quarter of this financial year, it was somewhere around EUR 20 million, if I'm not wrong, what would the order book look like right now for Cenexi?
Ravi Mitra: Sorry, I couldn't understand what is regarding fourth quarter you mentioned...
Harsh Bhatia: Yes. For the third quarter, what would the order book look like — the order book for third quarter

Cenexi order book.
Srinivas Sadu: Alain, what's the order book for the fourth quarter
Alain Kirchmeyer: I cannot answer this question off my mind, but it must be above EUR 60 million because we have a backlog that has been carried on from 2024.
Srinivas Sadu: So, the order book is at EUR 60 million.
Alain Kirchmeyer: Keeping in mind, we have usually a 3-month confirmed order horizon with our customers.
Moderator: The next question is from Vivek Agrawal from Citigroup.
Vivek Agrawal: This is related to capex as well as investments. So, over the next 3 years, how the company is going to spend on biosimilars plus GLP-1 put together?
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Vivek Agrawal: 18 months.
Moderator: The next question is from Dheeresh Pathak from WhiteOak.

Dheeresh Pathak: I'm sorry if you already answered this, but do you have capacity and capability for pen assembly in your current manufacturing setup? Pen or auto injectors?
Srinivas Sadu : Yes, we do. We do. They've already filed products from the site. We do have that.
Dheeresh Pathak: What is the current capacity sir, on the pen side -- pen assembly side.
Srinivas Sadu : About 40 million?
Dheeresh Pathak: Do you also make auto injector?
Srinivas Sadu : Yes.
Dheeresh Pathak: What is that capacity sir?
Srinivas Sadu : It's a similar common line. So, auto injector see basically, you would do syringes and then you assemble into auto injector.
Dheeresh Pathak: Okay. And are you expanding on this capacity or this is the capacity as of now? Is there a plan to expand this capacity?
Srinivas Sadu : Yes. So, one more line, we're adding this year. So, it will add another 100 million.
Dheeresh Pathak: Another 100 million. How much are you spending on that?
Ravi Mitra : Yes. So, we already spent it actually, most of it. This will come in the Suite 9) the additional one.
Dheeresh Pathak: When does it get commissioned?
Ravi Mitra : '28?
Dheeresh Pathak: Like with month wise you can tell you like calendar '28 -- first half, second half?
Srinivas Sadu : Smaller volumes will come from FY '26, where the

patents are expiring from RoW market and also Canadian market. But the majority will come from end of FY '27.
Dheeresh Pathak: End of FY '27? Sorry, how much have you spent on these 100 million line s?
Srinivas Sadu : See we can 't specifically this because it 's part of the main site. So, it's part of the – it's one of the suites of what we have. But if I have to specific for the line, we can give a number. Offline, we can take it. It 's –'not a dedicated site – we need a dedicated site for this.
Moderator: Due to time constraints, we 'll take that as the last question. I would now like to hand the conference over to M s. Runjhun Jain for closing comments.
Runjhun Jain: Thank you, everyone, for joining us today. We appreciate your participation and the questions during the call. If you have any follow -up questions to this, please feel free to reach out to us. Looking forward to interacting with you in the next call. Thank you. GLANDGland Pharma Limited
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Moderator: Thank you very much. On behalf of Gland Pharma Limited, that concludes this conference.
Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.
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February 03, 2025
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Call: May 2025

May 27, 202 5

BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
25th floor, Dalal Street
Mumbai - 400 001
Scrip Code: 543245 National Stock Exchange of India Limited
Listing Department
Exchange Plaza, 5th floor
Plot no. C -1, Block G, Bandra Kurla Complex Bandra
(East), Mumbai - 400 051
Symbol: GLAND (ISIN: INE068V01023)

Dear Sir/Madam,

Sub: Earnings call Transcript – Q4FY25

Please find enclosed the transcript of the Earnings call for Q 4FY25 of the Company held on Tuesday , May 20, 2025, at 18.30 Hrs. IST. This will also be available on the Company’s website and the web link to access the same is https://glandpharma.com/investors/financials

This is for your information and records.

Yours truly,
For Gland Pharma Limited

Sampath Kumar Pallerlamudi
Company Secretary & Compliance Officer

Encl: As above GLAND PHARMA LIMITED
May 27, 2025
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Sampath Kumar Pallerlamudi
Company Secretary & Compliance Officer
Encl: As above
Regd. Office: Corporate Office:
Survey No. 143-148, 150 & 151, Near Gandimaisamma ‘X’ Roads Plot No. 11 & 84, TSIIC Phase: IV
D.P. Pally, Dundigal, Dundigal-Gandimaisamma Mandal Pashamylaram (V), Patancheru (M), Sangareddy District
Medchal-Malkajgiri District, Hyderabad 500043, Telangana, India Hyderabad 502307, Telangana, India
Tel: +91-40-30510999 Fax: +91-40-30510800 Tel: +91-8455-699999
CIN: L24239TG1978PLC002276 | email: gland@glandpharma.com; investors@glandpharma.com | www.glandpharma.com

“Gland Pharma Limited Q4 FY'25 Earnings Conference Call ”

May 20, 2025

MANAGEMENT : MR. SRINIVAS SADU - EXECUTIVE CHAIRMAN ,
GLAND PHARMA LIMITED
MR. SHYAMAKANT GIRI - CHIEF EXECUTIVE
OFFICER , GLAND PHARMA LIMITED
MR. RAVI MITRA - CHIEF FINANCIAL OFFICER
(INDIA OFFICE), GLAND PHARMA LIMITED
MR. ALAIN KIRCHMEYER - CHIEF EXECUTIVE
OFFICER , CENEXI
GLAND
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Moderator : Ladies and gentlemen, good day and welcome to the Q4 FY '25 Earnings Conference Call of Glan d Pharma Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing ‘*’ then ‘0’ on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Ms. Runj hun Jain. Thank you. And over to you, ma'am.
Runjhun Jain: Thank you, Sagar. Good evening, everyone. Welcome to the Gland Pharma's Earnings Conference Call for Q4 FY'2 5.
Today, we have Mr. Srinivas Sadu – Executive Chairman ; Mr. Shyam akant Giri – Chief Executive Officer ; Mr. Ravi Mitra – Chief Financial Off

icer from India office,
and Mr. Ala in, CEO of Cenexi , who is connected virtually from France.
We will begin the call with business highlights from Mr. Sadu, followed by operational highlights from Mr. Giri. This will be taken up by updates about Cenexi from Mr. Alain. And lastly, the group financial overview by Mr. Ra vi.
Before we proceed, I would like to remind everyone that some of the statements made today will be forward looking and are based on management's current estimates. These statements should be considered in light of the risk associated with our business. The call is being recorded and the playback in script will be available on our website shortly.
With that, I hand over the call to Mr. Sadu for his opening remarks. Over to you.
Srinivas Sadu: Thank you , Runjhun . Good evening , everyone. Thank you for joining us today. On behalf of Gland Pharma, I welcome you to our 4th Quarter and full Fiscal Year 2025 Earnings Call .

Let me begin by providing a strategic overview of the business reflecting on the past year and outlining our vision for the Company 's future. Following this, Sh yamakant will discuss our operation al performance , Alain will provide updates on Cenexi and Ravi will conclude with a financial review. G NDi

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Reflecting on the year gone by :

FY'25 was a pivotal year. While we face near -term growth challenges at both Gland and Cenexi , I want to assure you that we used this time wisely to strengthen our foundation and sharpen our long -term focus. The global landscape has presented renewed complexities this year, especially with the announcement of reciprocal tariffs by the US administr ation. This has created a layer of uncertainty particularly for Indian pharmaceutical companies, which have a significant presence in the US markets.

Despite these headwinds, we have maintained our flexibility across demand and supply fronts. Gland's value creation journey remains anchored in the strategic execution of our operational model, and we foresee a promising growth trajectory ahead.

Let me now take you through the key pillars driving our growth strategy :

Starting with the base business expansion :

- We are expanding geographically with a strong push into emerging markets across Africa, the Middle East, Latin America, Asia Pacific, and the rest of the world region. There is substantial market opportunity in our approved USA India portfolio and market formation opportunity by an upcoming pipeline of injectables, post -patent expiry. In addition to recent successful new product launches, we are leveraging our long -standing relationships with key partners to deepen our global reach.
- Next , we have made significant progress in expanding our manufacturing capabilities with new lines, including complex injectables and new delivery systems like pens and cartridges.
- A key milestone was our successful entry into the GLP -1 segment with the launch of liraglutide , given that we see GLPs as a crucial area for Gland's future. With two GLP -1 contracts secured and a strong market demand

anticipated, we are scaling our cartridge capacity from the current 40 million units to an additional 100 million by CY 2026.

• We have broadened our capabilities to include suspensions, hormone products, microsphere bulk, microsphere powder filling, while strategically focusing on ready -to-use products like dual and triple chamber bags.

• Importantly, we are also experiencing significant momentum in attracting major pharmaceutical companies interested in partnering with us for high

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Importantly, we are also experiencing significant momentum in attracting major pharmaceutical companies interested in partnering with us for high

value formats like dry powders and have already successfully initiated several new CMO projects.

Moving to our R&D and portfolio expansion efforts :

Our strategy spans three focus areas ; in-house R&D, complex products, and a co - development model. Our in -house R&D covers a wide range of therapeutic areas supported by 371 filed and approved ANDAs and 1 ,748 global registrations.

Our future pipeline now targets major therapies like ophthalmology, CNS, cardiology with near -term generic opportunities covering a $1.25 billion market, which is about 40 new ANDAs, a 1- to 3-year pipeline targeting $2.12 billion, and a longer -term pipeline in a $2.34 billion market. In total, our in -house pipeline includes 71 new ANDAs with $5.71 billion TAM .

In FY25, we launched 31 new products in the US, and we expect this momentum to continue. Additionally, we have filed 3 RTU infusion bag products with 10 more in development as part of our 14 registered RTU bag products targeting a ~$530 million US market.

We are also focusing on additional complex injectables and have 19 products in this bucket with 6 already launched and 3 more anticipated for approval, addressing an IQVIA market opportunity of approximately $6.5 billion.

To accelerate our pipeline and portfolio expansion, we are pursuing co-development wherein we are partnering with the specialty injectable development company for 15 products, out of which 6 are 505(b)(2) and 9 ANDA submissions, which are focusing on key therapeutic areas like immunology, chemo adjuvants, mineral supplements, pain management, endocrinology, and radiocontrast agents.

Biologics:

Gland is also building a robust CDMO setup for biologics, leveraging our existing biologics manufacturing capabilities. The biosimilars market is a significant driver in this effort. A key step in our strategic expansion into biologics is our collaboration with Dr. Reddy's Laboratories, which marks a significant step in this direction with revenue contribution expected in FY '26.

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Biologies:

Gland is also building a robust CDMO setup

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Furthermore, we have progressed on a non -binding agreement for CDMO collaboration with Shanghai Henlius Biotech, positioning us as a secondary manufacturing site for some of their key biosimilar products . To support this and future growth in biologics, we are expanding our bioreactor capacity by 15,000 liters. These collaborations reaffirm our strategic focus and investment in the growing biologic CDMO area.

Turning to Cenex i:

While we encountered challenges with below -expectation performance , we have made progress in defining its turnaround strategy. We recognize that the acquisition thesis has taken longer than expected to fructify, but our strategy to achieve robust growth and profitability remains centered on high value products.

This necessitates a deliberate shift from our previous business model of low value, high volume business, which constituted 70 % of our current operations towards higher value products such as pre-filled syringes, lyophilized and ophthalmic gels. This evolution is expected to expand our net realizable value per unit and improve overall profitability. Cenexi's dedicated business development efforts are yielding results with the successful addition of new customers for pre -filled syringes, vaccines, and lyophilized vials, aligning with this high -value focus. To facilitate these transformations, we are strategically investing in capacity enhancements and building business scales through increased au tomation.

Finally, in parallel with our organic initiatives, we are actively exploring inorganic

opportunities by mergers and acquisition to accelerate for complex product development, gain access to new technologies, expand our product range and enter new markets.
In Summary , while FY'25 brought challenges, it also reaffirmed our strategic clarity. We believe the steps taken by us across our key pillars will have a positive impact on Gland Pharma's success and long-term sustainability.
Thank you for your continued confidence in Gland. With this, I will now pass the call to our CEO, Mr. Shyamakan t Giri to share his thoughts for Gland's road ahead. Thank you. Gland Pharma Limited
May 20, 2025
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Shyamakant Giri: Thank you, Mr. Sadu. Good evening, everyone.
Following my initial months at Gland, I have focused on understanding the business in depth and aligning our capabilities with the strategic levers that will drive our market position and generate value. Broadly, my priority has been to identify key areas of profitability enhancement and new avenues of growth .
Before I outline the initiatives underway to strengthen our competitive position, let's discuss our quarter and full year performance :
In Q4 FY'25, our consolidated revenue stood at INR 14,249 million with a consolidated EBITDA of INR 3,475 million reflecting a 24 % margin, a 100 bps increase year -over-year. Excluding Cenex i, our base business reported revenues of INR 10,332 million in Q4 FY'25, a 12 % year-over-year decline primarily due to the higher milestone realization in Quarter 4 last year as compared to this year in the US and few major tender misses in ROW markets. This impact was partially mitigated by new product launches, and we anticipate sequential improvement as our pipeline commercializes. Encouragingly, the base business EBITDA margin expanded to 38 % from 36 % in the prior year, driven by favorable product mix and benefits of cost optimization.
For the full Year FY ‘25, our consolidated revenue reaches INR 56,165 million with an EBITDA of INR 12,689 million resulting in 23 % margin.
Excluding Cenexi , base business revenues were INR 41,248 million with an EBITDA of INR 14,451 million, translating to a 35 % margin. Our volumes for the full year FY

'25 grew overall by 4 % including new launches, aided by 9 % volume growth in the US, again including new launches. Our new product launch in the US are yielding results thereby Q4FY25 grew by 10% sequentially over Q3 F Y25. On a full year basis, our new launches now contribute 6 % to the total revenue .
In the US market, we launched 4 new molecules during Quarter 4, including Latanoprost, Midazolam RTU Bags, Dexamethasone and New Strengths of Vancomycin . Other regulated markets, primarily Europe, Canada, Australia, New Zealand, grew by 4 % and now constitute 23 % of total revenues. The ROW market contributed 17 % in Q4 FY'25, amounting to INR 2,404 million, a 14 % decrease due to tender misses and softer order intake in key regions. GLAND

Thank you, Mr. Sadu. Good evening, everyone. Shyamakant Giri:
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'25 grew overall by 4% including new launches, aided by 9% volume growth in the US, again including new launches. Our new product launch in the US are yielding results thereby Q4FY25 grew by 10% sequentially over Q3 FY25. On a full year basis, our new launches now contribute 6% to the total revenue.
In the US market, we launched 4 new molecules during Quarter 4, including Latanoprost, Midazolam RTU Bags, Dexamethasone and New Strengths of Vancomycin. Other regulated markets, primarily Europe, Canada, Australia, New Zealand, grew by 4% and now constitute 23% of total revenues. The ROW market contributed 17% in Q4 FY'25, amounting to INR 2,404 million, a 14% decrease due to tender misses and softer order intake in key regions.

The Indian market generated INR 525 million representing 4 % of our Q4 FY'25 revenue. Our Q4 FY'25 R&D expenditure was INR 503 million, or 4.9 % of the base business revenue. For the full year, our R&D investment totaled INR 1,922 million, that is 4.7 % of base business revenue.
On the compliance front, we received EIRs from the USFDA for our Dundigal and Pashamylaram facilities, confirming successful closure of recent inspection and reinforcing our commitment to stringent quality standards. It has been a challenging year for Cenex i while foundational groundwork for a turnaround is in place , results have fallen short of expectation. Our Q4 FY'25 revenue was a €43 million affected by lower production at the Fontenay facility. Encouragingly our gross margin improved to 79 % from 77 % in the prior quarter. Alain will provide a detailed update, but we want to assure you of our intense focus on Cenexi and the implementation of necessary changes to improve its financial performance and achieve a strategic objective.
Finally, a brief update on the key priorities outlined last quarter :
We have been fortifying our capabilities and global expansion potential. We are currently refining our strategic direction and growth blueprint to position Gland for sustained success.
On the demand side, our priorities include

• enhancing our footprint and launching new products in high value, high growth ROW markets,
• leveraging our strength in specific therapeutic areas and exploring inorganic opportunities to achieve significant growth in the India market ,
• In the US, the primary focus remains on acquiring new customers and increasing our share of business with existing partners, supported by an accelerated portfolio strategy focused on co -development, in -licensing, and partnerships in high -value i njectables and newer modalities.

On the supply side, our priorities are

• centered towards maintaining quality and cost leadership ,
• continuously improving our operational efficiency to preserve our competitiveness and industry -leading quality and compliance records ,

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■ centered towards maintaining quality and cost leadership,
■ continuously improving our operational efficiency to preserve our competitiveness and industry-leading quality and compliance records,

• strengthening our leadership team with critical hires and building capabilities across functions.

With innovation, collaboration, and excellence of our guiding principle, I am encouraged by our progress and also optimistic about Gland's trajectory. Your continued engagement and insights are invaluable as we move forward together to build value.

With this, I would like to hand over to Alain for a more detailed update on Cenexi's performance. So over to you, Alain.

Alain Kirchmeyer : Thank you, Mr. Giri and good evening to everyone. As Mr. Sadu and Mr. Giri outlined, Cenexi's performance showed marginal improvement over the previous quarter, and we will continue to make calibrated progress towards achieving sustainable scale with a dual aim of securing profitability and resolving the execution chal lenges seen in recent quarters.

To provide a more granular perspective, let me walk you through key updates at the site level. Production at our Fontenay facility in Q4 was impacted by ongoing remediation activities following the ANSM inspection in Q3 Financial Year 2025, as well as the breakdown of 2 equipment s that affected our performance in the first 2

months of the quarter. These disruptions led to reduced shipments and consequently lower sales figures. On a more positive note, I am pleased to report that our new high-capacity ampoule line has started production as planned at the end of January and now enables us to better serve the needs of our customers.
While operations at Herouville remain below breakeven due to suboptimal utilization , we have several ongoing tech transfer projects in development that are expected to contribute to this site's growth. We are encouraged by the ramp up in the commercial production of a new ophthalmic gel and validation batches for the inactivated vaccine proje ct are progressing as per schedule. Furthermore, we have initiated the installation of a new pre -filled syringe line which is projected to be operational , be

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calendar year 2026. This will substantially increase our capacity in the high demand PFS segment and is expected to drive significant revenue per unit and overall value.
I am pleased to share that the Braine -l'Alleud facility has met its target for this quarter.
Our two new lyophilizer s have arrived on site and are being installed. Qualification for GLAND

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this new Lyo capacity will be finalized at the end of the calendar year 2025. Additional vial and Lyo capacities are also planned to be added in our Belgi um site in the next two years. The long -term prospects for this business remain robust with high value projects in our tech transfer pipeline.
Finally, our Osny site continues to deliver a strong performance . Thanks to a premium strategic positioning on hormones and anti -allergenic products ' market segments and strong operational execution.
In light of the challenges faced, last year's overall performance remained below expectations, and we believe Financial Year 2026 will mark the beginning of a meaningful turnaround. We remain firmly focused on achieving our medium -term objective of delivering positive EBITDA by Q3 FY26.
Thank you for your time. I will now turn the call over to Ravi to discuss our financial performance. Ravi, over to you.

Ravi Mitra: Thank you, Alain , and welcome everyone joining us today. We thank you for attending this call as we review our financial performance for the 4th Quarter and the full fiscal year ‘2025.
The FY25 re

venues remain flat at INR 56,165 million. However, a key positive was the marginal improvement in gross profit margins.
Consolidated revenue for Q4 FY'25 declined as compared to previous year, while it improved from the trailing quarter of this year. This is driven by the reasons as mentioned by Giri in his commentary.
In Q4 FY'25, our consolidated EBITDA margin improved to 24 % from 23 % in the corresponding period of F Y'24 led by base business and improvement in Cenexi's profitability. Our base business, excluding Cenexi, exhibited an increase in EBITDA margin for Q4 FY'25 reaching 38 % compared to 37 % in the same period last year. This improvement was primarily driven by enhanced gross margin and more effic ient cost management practices.
At Cenexi, the losses were reduced due to an improvement in performance in this quarter. Our EBITDA for the full year ending March '25 amounted to INR 12,689 GLAND

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At Cenexi, the losses were reduced due to an improvement in performance in this quarter. Our EBITDA for the full year ending March '25 amounted to INR 12,689

Gland Pharma Limited
May 20, 2025

million compared to INR 13,331 million in the previous fiscal year. The reported EBITDA margin for FY '25 stood at 23 % on a consolidated basis and 35 % for our base business operations. While the base business margin improved due to better contribution and controlling costs, Cenexi's lower performance in some quarters in this full year impacted the consolidated EBITDA margin by one percentage point. Gross margin for Q4 FY'25 also reflected positive momentum, increasing to 66 % from 61 % in Q4 F Y'24, primarily d ue to higher contribution achieved in new launches and better raw material cost in few of our key products. Within our base business, the gross margin in Q4 FY'25 was at 61 % compared to 56 % in the previous year. On a full year basis as well, the gross margin s have improved by 100 bps as compared to the previous year.
Our net profit for the 4th Quarter increased by

3 % to INR 1,865 million compared to
Q4 FY'24 and declined by 10 % in the full year as compared to previous year. During the quarter, we achieved a PAT margin of 13%, consistent with the previous year. For the full fiscal year, our PAT was INR 6,985 million, resulting in a margin of 12%.
Other income, which is mainly interest earned from bank deposits and foreign exchange gains, amounted to INR 440 million in Q4 FY'25 is lower than as compared to INR 585 million of Q3 FY'25 primarily due to reversal of foreign exchange gain during the quarter. For F Y'25, the other income was INR 2,136 million, which has increased as compared to INR 1,702 million in previous year due to increase in interest income. Higher finance cost s incurred during the year is related to interest charges on a GST refund matter.
Total R&D expenses for the 4th Quarter were INR 503 million compared to INR 437 million for the same period of the previous fiscal year, representing 4.9 % of revenue from operations on an ex-Cenexi basis.
For the full fiscal year, total R&D expenditure was INR 1,922 million, which constituted 4.7 % of our revenue and increased from last year's 4.3%, underscoring our ongoing commitment to R&D.
On a standalone basis, our effective tax rate was 26 % in the 4th Quarter and same 26 % for the full fiscal year. As of March 31st, 2025 , at the group level, our total cash and cash equivalents stood at INR 25,562 million. After accounting for the Cenexi's debt, our net cash position was INR 22,870 million. Cash flow from operations during F Y'25
million compared to INR 13,331 million in the previous fiscal year. The reported EBITDA margin for FY'25 stood at 23% on a consolidated basis and 35% for our base business operations. While the base business margin improved due to better contribution and controlling costs, Cenexi's lower performance in some quarters in this full year impacted the consolidated EBITDA margin by one percentage point. Gross margin for Q4 FY'25 also reflected positive momentum, increasing to 66% from 61% in Q4 FY'24, primarily due to higher contribution achieved in new launches and better raw material cost in few of our key products. Within our base business, the gross margin in Q4 FY'25 was at 61% compared to 56% in the previous year. On a full year basis as well, the gross margins have improved by 100bps as compared to the previous year.
Our net profit for the 4thQuarter increased by 3% to INR 1,865 million compared to Q4 FY'24 and declined by 10% in the full year as compared to previous year. During the quarter, we achieved a PAT margin of 13%, consistent with the previous year. For the full fiscal year, our PAT was INR 6,985 million, resulting in a margin of 12%.
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was INR 9,147 million . Working capital as of March 31st, 2025 , was INR 21,683 million. Our average cash conversion cycle improved to 172 days for the 12 months ending March '25 compared to 173 days in the corresponding period of the previous fiscal year.
Total CAPEX during the quarter amounted to INR 886 million and full year FY'25 amounted to INR 3,938 million allocated to Glan d’s Indian sites and Cenexi. In India, our growth CAPEX is focused on expanding a new bag line and increasing packing

capacity. We are also in the process of adding a new cartridge line at Suite 9, which
will complement the existing cartridge line at our Pashamylaram site. As Ala in
mentioned, at Cenexi, we are investing in additional high speed and new lines and Lyos
to enhance overall capabilities.
With that, I would now like to request the moderator to open the lines for questions.
Thank you.
Moderator: Thank you. We will now begin the question -and-answer session. Our first question
comes from the line of Neha Manpuria from Bank of America. Please go ahead.
Neha Manpuria: My first question, just a clarification, what would be the profit share milestone number
for the quarter , you seemed to have missed that ?
Srinivas Sadu : Hello. You want the absolute number?
Neha Manpuria: Yes. The profit share and the milestone number, please.
Srinivas Sadu : So, it's about INR 145 crores. It's about 14 % profit share. Milestone is 6%.
Neha Manpuria: Okay, got it. If I look at the US business adjusted for these two, then it seems like we
have been in that $70 to $75 million range per quarter in the US business, despite the
fact that we have launched 31 new products in the year. How should we think about
growth from the US business as we launch more products and gain more volume in
terms of growth? What should this run rate be next year and the year after? And just
an add -on question to the US market, given the noise around tariffs , what are we
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you.

Srinivas Sadu : Yes, from the US revenue perspective, from the new launches about 4 % growth, which
came from US. But there also, normally over the years it's been around 8 % to 10 %
growth which used to come from new launches. What happened also was the product,
there were several key products where the material costs have gone down and the end
market price also was reduced, the transfer price. So , the revenue came down, but the
margin was intact. That's one of the reasons why actually the revenue didn't move that
much compared to previous years. On the tariff side, it's too early to comment, but
what we hear is for generics , it will not impact that much. And for us also, what we see
is probably most of it will be passed on if there are any tariffs which are levied on

Indian imports .

Neha Manpuria: And from the US business, I was thinking about from the 70 million to 75 million that we are growing as of milestone and profit share, what should this number be over the next few years? Will the new launches now be able to reset this base higher, or what should drive this base higher?

Srinivas Sadu : Yes, it should contribute more looking at the historical numbers and also the type of products which are going to get approval in the next year or two, more from the complex side. And also, we are looking at as a business, we are looking at mid -teens as growth for the coming year.

Neha Manpuria: This is for the US business or for consolidated business?

Srinivas Sadu : For consolidated business.

Neha Manpuria: Okay, got it. And on the ROW business, it seems like the Saudi contract tender has been delayed for some time. So , what should drive the growth of the ROW business for us given that the Saudi contract is not coming? Are there any more drivers for us or is this the new base that Gland should be operating at?

Shyamakant Giri: So yes, you are right, but you know, what has also happened is the Saudi NUPCO, of course as you know there's a tech transfer going on right now where we are engaged a local partner to manufacture Enoxaparin , the volumes will come back, but what we are doing also is in play defining a non-Enoxa and non -heparin strategy. Okay, so we have clearly earmarked some high growth countries where we have a very portfolio approach, a targeted registration approach which will help us going forward. We have approximately upwards of around 500 registrations still pending, which will come over GLAND

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years. And so , there are 3 growth levers here. One is how do we push the current registration? How do we use our cost efficiency that we have to win tenders in some of the key tender markets ? And how do we again have a very focused, in-country kind of strategy . So, we define and play in the country with a very strong portfolio. This quarter also what has happened was because of the US volume, we dedicated some

capacities to ROW, but we are back on track. So that was during this quarter. But our
long-term vision on ROW is the strongest. We internally have reasons to believe that
this business can double over the next 3 to 5 years.
Moderator: Our next question comes from line of Bino Pathiparambil from Elara Capital .
Bino Pathiparambil: Hi, good evening. Just a follow up. Did I hear right that you said next year you are looking at mid-teen growth at the overall level?
Srinivas Sadu : That's correct.
Bino Pathiparambil: Okay, that includes Cenexi ? The consolidated revenue?
Srinivas Sadu : That's correct , yes.
Bino Pathiparambil: Okay, got it. And apart from the improvement in Cenexi margins, are you looking at improvement margins in the rest of the business as well?
Srinivas Sadu : So, the rest of the business actually it's been pretty good. I mean, stabilized around 37%-38% if you have seen the last 2 quarters. So , we continue to maintain around that
margin level .
Bino Pathiparambil: Got it. And from your presentation, I can see that you have 27 Para 4 filings in the US. Out of which, how many would be of any first file exclusivity?
Srinivas Sadu : We can come back to you on that to give you precise data.
Bino Pathiparambil: Sure, sir. One more, I'm looking at any big exclusivity launch expected in the next couple of years, '26 or '27, as of financial year.
Srinivas Sadu : Yes, we'll come back to you on that.
Moderator: Our next question comes from the line of Ashish from Ever Flow Partners. GLAND

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Moderator: Our next question comes from the line of Ashish from EverFlow Partners.

Ashish: Good evening to the management. So , my first question was, what sort of growth could
the GLP drug be for us in the coming year and over the next 2-3 years? Would they
meaningfully accelerate our growth trajectory?
Shyamakant Giri: So GLP right now, our position is around 40 million cartridges. Next year , we will be one of the top tier cartridge capacity companies with 140 million. Now GLP as you
know , in many markets , is going off -patent . So, this is really a fill-and-finish
opportunity that we are looking at. And our initial success is giving us all the strength
to go further and block all the capacities in the coming time . How will the market
behave on the demand side, on the patient pricing side is something that partners would
answer. But there is only encouragement, there's only good news around GLP. The
volumes are, the kind of volumes the partners are discussing are very, very high. So ,

we feel that this market will explode by volumes at least in coming years .
Ashish: Could you please quantify the growth over the next 2-3 years for our business given the product pipeline and base business?
Srinivas Sadu : So next year , we said about mid-teens , subsequent 2 years to be low-20s.
Moderator: Our next question comes from Aditya Pal from MSA Capital Partners.
Aditya Pal: Just wanted to quickly understand the thought process on Cenexi. So , what I can understand is Cenexi is largely a generic CDMO business. But I do not understand why the employee benefit expenses are 60%, 65 % of revenue and have we over -invested in people where now that we scale up from here, the margin will flow to directly the bottom -line? So that is question one from my side.
Srinivas Sadu : Yes, the average cost of manpower in Europe is around 40. So comparatively, a bit more manpower is higher at the Cenexi . I think that's an issue where we need to address. But it's also related to how much revenue we are getting and how efficiently we can manufacture there. So , with the investment we are making on the CAPEX, so we are installing more efficient lines, that will give us a large throughput. At least two sites have demand, which is more than what we are able to supply today with the new lines which are adding up that should cover the revenue loss that we are having today. From the strategy perspective, you see the b

randed gen erics is one, the solid business.
If you look at the customer base and the volume base what we have, we know it's been very consistent over many years. That's the nature of the business. Second, also GLAND

Ashish: Good evening to the management. So, my first question was, what sort of growth could the GLP drug be for us in the coming year and over the next 2-3 years? Would they meaningfully accelerate our growth trajectory?
Shyamakant Giri: So GLP right now, our position is around 40 million cartridges. Next year, we will be one of the top tier cartridge capacity companies with 140 million. Now GLP as you know, in many markets, is going off-patent. So, this is really a fill-and-finish opportunity that we are looking at. And our initial success is giving us all the strength to go further and block all the capacities in the coming time. How will the market behave on the demand side, on the patient pricing side is something that partners would answer. But there is only encouragement, there's only good news around GLP. The volumes are, the kind of volumes the partners are discussing are very, very high. So,
we feel that this market will explode by volumes at least in coming years.
Ashish: Could you please quantify the growth over the next 2-3 years for our business given the product pipeline and base business?
Srinivas Sadu: So next year, we said about mid-teens, subsequent 2 years to be low-20s.
Moderator: Our next question comes from Aditya Pal from MSA Capital Partners.
Aditya Pal: Just wanted to quickly understand the thought process on Cenexi. So, what I can understand is Cenexi is largely a generic CDMO business. But I do not understand why the employee benefit expenses are 60%, 65% of revenue and have we over-invested in people where now that we scale up from here, the margin will flow to directly the bottom-line? So that is question one from my side.
Srinivas Sadu: Yes, the average cost of manpower in Europe is around 40. So comparatively, a bit more manpower is higher at the Cenexi. I think that's an issue where we need to address. But it's also related to how much revenue we are getting and how efficiently we can manufacture there. So, with the investment we are making on the CAPEX, so we are installing more efficient lines, that will give us a large throughput. At least two sites have demand, which is more than what we are able to supply today with the new lines which are adding up that should cover the revenue loss that we are having today. From the strategy perspective, you see the branded generics is one, the solid business. If you look at the customer base and the volume base what we have, we know it's been very consistent over many years. That's the nature of the business. Second, also

technology is what Gland do not have; they do have. They do make syringes of oncology products, they also have hormon al products, they do vaccines, and some biologic products as well. So , from a technological perspective, they have additional things , that's the logic we have accepted . And of course, de -risking ourselves from our business in the US , most of our business was in the US , and to enter Europe, we need to have this kind of business . So, there are several reasons why we acquired it. But yes, from efficiency perspective, that's where we are focusing currently because like you

rightly said, the manpower cost as a percentage to revenue is quite high compared to
the other companies in Europe.
Aditya Pal: Sir, a couple of questions, both are interlinked with each other. In your presentation,
you said that we are planning to spend close to 60 odd million euros over the next three
years in Cenex i. So one is that when will we achieve a double -digit EBITDA margin
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if we are investing 60 million euros over the next three years, and the base business
can do a 25 %-26% ROCE comfortably, and if you are not able to achieve that, it does
not make sense to judiciously use the cash flows in investing for a land -based business.
So that is the thought process that I want to understand from the management.
Ravi Mitra : Yes, so basically this CAPEX is an investment for the long term, and we are increasing
the capability and capacity. We have sufficient visibility of the pipeline and the
business interest. There's a strong funnel we have with the customers. So , we will be
spending this money in the next 2 to 3 years in building , as Alain mentioned and we
spoke about it is , one is of course adding a new pre-filled syringe line in Hérouville
Site which will entail a much better realization per unit sales than what currently we
do. And then in the Belgium site , we are adding one additional vial line and Lyos that
will significantly improve the capacity of high value business and there is already tied
up in the business and contracts for that . So, we are looking at breakeven in this
December quarter. And then next year we should improve the EBI TDA margin
significantly. There's a high operating leverage there. And we should be getting,
reaching the almost, the earlier double -digit EBITDA in the next year after that.
Aditya Pal: So just one last question from my side. To the early participant, you mentioned that we
are aiming to grow at mid -teen growth for the entire business. So how should one look
at it from an overhead perspective? So , do we see the overheads, that is what the Cenexi
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Ravi Mitra : There's ample room for operating leverage . As we mention , the overhead in typically injectable capacity is about 80 % or more fixed and the workforce which they have currently is sufficient to take care of the additional line we are adding. We are not going to hire new people for that. And it's inside the same facility. So , the electricity and other overheads will remain the same. So as and when the revenue ramps up, we would see the margin expanding.

Moderator: The next question comes from the line of Tushar Manudhane from Motilal Oswal Financial Services..

Tushar Manudhane: Out of the three anticipated approvals from the in -house complex pipeline, could you just share the market size and let's say the competition that can come up at the time of launch by Gland, without naming the product maybe?

Shyamakant Giri : So, from a pipeline perspective, we have total 71 ANDAs in the pipeline with a TAM of around $5.71 billion, of which our genericized portfolio has around 40 ANDAs cover s a TAM of around $1.24 billion . In the next 1 to 3 years, our pipeline , we have 5 ANDAs with a TAM of around $2.12 billion. And beyond 3 years, our investment that we are making with co-development partners, the 505(b)(2), ANDA, we are targeting a TAM of around $2.34 billion market. So, if you see from an R&D standpoint , this year there are also 33 launches in the US. Our new launch es give more gross margin than the average gross margin. For example, we have 72 % as the gross margin only from the new launches as compared to the company average of 58%. And therefore , we are very focused on what to launch going forward. And yes, we are a manufacturer. So, from a demand standpoint, we do get forecasts and all from the partner company . So, we are looking forward to a similar kind of revenue contribution from new launches in the coming year.

Tushar Manudhane: Sure, sir. How much would be the contribution from Enoxa and Heparin for 4th Quarter and FY25 across the geograph ies.

Srinivas Sadu : About 14%.

Tushar Manudhane: 14% for the quarter as well as FY'25?

Srinivas Sadu : 14% of the total revenue. GLAND

Ravi Mitra: There's ample room for operating leverage. As we mention, the overhead in typically injectable capacity is about 80% or more fixed and the workforce which they have currently is sufficient to take care of the additional line we are adding. We are not going to hire new people for that. And it's inside the same facility. So, the electricity and other overheads will remain the same. So as and when the revenue ramps up, we would see the margin expanding.

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Srinivas Sadu: 14% of the total revenue.

Tushar Manudhane: For the quarter as well as FY'25?
Srinivas Sadu : FY'25 is about 14%. And the quarter is about 16%.
Tushar Manudhane: Secondly, this milestone as well as profit share , if you see last couple of quarters, this quantum has increased on an absolute basis as well. While it was difficult to predict per se, but how to think about this maybe for next few months? Are there any good products which can still sustain such a kind of income for us?
Srinivas Sadu : The milestone actually in the last quarter is lower than before because it will not be consistent in the quarter -on-quarter. It depends on w hat milestone we hit in that particular quarter. Some are signing milestones and some are when is it filing or if it's a tech transfer then is it close to validation batches. So , the timing will be different but on an overall annual basis if you see it is more consistent. So , I would say milestone you have to look at on a yearly basis. Profit shares depend on how many launches we have made and how they have increased. If you see the launches what we have done in Q3 were more than I think 13 products we launched in Q3. So that will contribute to higher profit and that's the reason why we got a higher profit share in Q4.
Tushar Manudhane: So, are GLPs also contributing for this milestone income or profit share?
Srinivas Sadu : No. It has nothing to do with GLP.
Tushar Manudhane: And just lastly on this biologic front, while one contract is expected to start revenue in FY'26, but broadly, if you could share how much overall we can expect in FY '26, is it like, $25 million -$30 million to start with in biologic business or will it be still a gradual scale up in this segment ?
Srinivas Sadu : Yes, for F Y2'6 it will be about Rs 100 crores, I would say. Then it will gradually increase.
Moderator: The next question comes from the line of Shyam Srinivasan from Goldman Sachs.
Shyam Srinivasan: Sir, when I look at the overall US revenue annually around Rs. 3,000 crore, INR 350 million and I am just trying to tie it up with the growth guidance . At least US needs to go at least 15 % given the size. So, we are looking at an additional $50 million in revenue. So just want to understand how is Fiscal '26 is different from 25? I thought we had that similar ambition to grow. So, the launch track record has been very strong. GLAND

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So is that what is going to be driving this 15 %-16%-17% growth in the US, which we have not seen so far, but maybe comes in '26. So , what gives us that comfort on guidance?

Srinivas Sadu : So, FY'26, overall, we are seeing 15 % growth. It's a combination of some growth coming from Cenexi because the numbers will improve that. You have already seen that in the last two quarters . So, some growth will come from there. Some growth will come from the new launches. And some with the tech transfer projects what we started, some dry powder contracts what we have done contribute about 60 crores -70 crores. About 60 crores -70 crores from that. Then biologics will contribute around 100 crores So there are different levers which ar e contributing to this combination of also if you see our volume growth in US is substantial while the prices have come down because of the overall material cost . So the top 10 has kind of from the transfer price wise it's stabilized Now the volumes have gone up even if you look at our top 10 product that has actually grown around 24 % in terms of volumes So there's a lot of uptick in terms of top products, especially even if you consider Heparin and Enoxa not just these two, but there's several products where we got some newer contracts. So added to that, what's happening is what we have invested into the line time and also some of the R&D investments have gone into lifecycle management of products. That has helped to reduce our costs and that made us more competitive and that's the reason why our volumes have increased. And also, while the prices have come down, still we are able to maintain that EBITDA margin. So that kind of consumes some of our line time , which has actually, what you call, mitigated some of our business growth in ROW. So that will also now come back because we have 3 new lines added this year. So that will be coming on track.

Shyam Srinivasan: Yes. That helps me to understand. So, despite all this volume growth, thinking pricing or whatever transfer pricing correlated pressure has been high. How would you quantify that for say fiscal 25 and what gives us the confidence that pricing will not even worsen in '26?

Srinivas Sadu : When I say the financial, the end pricing has not changed, what we said is the transfer price has gone down because they have reduced our material costs and changed our suppliers to be more competitive in the market , we get more contracts, that's why the volumes have increased. At the same time, we are a ble to maintain margin s.

Moderator: The next question comes from the line of Dheeresh Pathak from WhiteOak . GLAND

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Moderator: The next question comes from the line of Dheeresh Pathak from WhiteOak.

Dheeresh Pathak : Sir, how much have you spent on that 100 million pen line ?

Ravi Mitra : So, this cartridge line is due to be installed this year. The overall cost would be about INR 120 crores, everything together, only for this cartridge.

Dheeresh Pathak: Okay. Does Cenexi also have cartridge lines?

Srinivas Sadu : No, only syringe lines, no cartridge. But the syringe line can also handle cartridges but restricted to sterile cartridges. They can't do bulk cartridges. The syringe line can be used to fill sterile cartridges .

Dheeresh Pathak: Okay. Sir, just on Cenexi , we paid 250 to 300 million Euros, and we are spending another 60 to enhance the capacity, then another 30 -40 is loss funding. We ended up spending 3 50 million Euros, even if we do 200 million revenue, double digit EBITDA, barely making and then if you add on that tax and maintenance CAPEX this looks like a very, even if you get to that milestone of double digit, how much you have spent and the bandwidth and all that it has taken seems like a very poor capital allocation. Is this a business even worth pursuing based on whatever obviously benefits of hindsight and whatever your understanding is currently? Is it a business worth pursuing?

Ravi Mitra : So, the Cenex i, the investment thesis is taking longer than what we estimated for sure. But now that we have that on track, so with this additional capacity which we are adding to this CAPEX, this will take our revenue to not 200, but 300 million in 3 years ' time. And then we are looking at EBITDA of high teens as a percentage. And there is also strategic lever which we have not yet been able to get the benefit out of it simply because we are currently focusing on getting the things housed in order. For example, we are looking at cross -selling to each other's customers. We have not looked at that aggressively yet.

Srinivas Sadu : Yes, if you look at the customer base of Cenexi , they have big CDMO players whom actually we don't have access to. Also, these players also sell in the rest of the world markets, and they are looking at increasing that market, getting products out of India. So, a lot of other benefits we looked at when we actually invested in this asset. But currently the focus is on making it a bit more efficient to get that on track and then work on the synergies because there are too many things you can't do at the same time. So, from long term perspective, that was the basis and still there, know, there several opportunities where we can use this, you like I said, the control substances, you can't GLAND

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Dheeresh Pathak: My point, my limited point, sir, is that even at 300 in high te ens, it will not be like the best of, return on capital investment. It just looks like doing this kind of CDMO work in Europe is, I mean, assuming that when we get to high teens , we will be among, in terms of operating efficiencies in terms of top quartile in the European assets . With this kind of asset price, at least doing this kind of business in Europe does not look attractive unless you say that we can scale up even much higher than this. That's my limited point; I'll leave it at that. But thank you so much for clearing.
Moderator: Our next question comes from the line of Harsh Bhatia from Bandhan Mutual Funds.
Harsh Bhatia: So, two quick questions. One is in sort of a relation to a comment you made earlier. So, in terms of capacity expansion, again, related to the Cenexi part, so multiple line items and expansions, including ampoules and lyophilization , is there a situation right now where we are not able to take incremental business because of high level of capacity utilization or some other reason, which is why we are going so aggressively for this capacity expansion plan? I mean, I am just trying to sort of piece together ?
Srinivas Sadu : Yes, at least 2 sites, I think we are not able to cater to the demand because I would say, lines or inefficient lines, I would call. So one is, of course, replacing the current lines in one of sites. The other is adding new capacities because of the demand for Lyo products. One is for the current products, what you have commercialized, and also the pipeline, what you have. And moving forward, Lyo, as you know contributes more in terms of margin. So, we need to invest into those. That's the reason why we are making these investments.
Harsh Bhatia: Sure. What would the order book look like for Cenexi as such?
Srinivas Sadu : We have to come back to you. Give us some time.
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Harsh Bhatia: Sure. What would the order book look like for Cenexi as such?

Srinivas Sadu: We have to come back to you. Give us some time.

Harsh Bhatia: Sure. Lastly, on the cartridge capacity, one could presume that lot of that capacity, as seen today, at least at the 40 million level, and possibly the incremental 100 million, a lot of that would already be booked to that extent. So, in terms of the pricing part, if you could throw some more color as well as is there some element of take or pay because obviously your sales would depend on regulatory approvals depending on market -to-market. Obviously, you will not be able to, you will not be selling based on where the client is selling, but irrespective, maybe some points on the pricing part as well as the take or pay on the regulatory aspect ?

Shyamakant Giri : So, this is more a fill and finish CMO kind of job work. We are speaking to four kinds of customers . Indian players who want to launch the GLP in global market. Indian players who want to launch the GLP in India market. Global player who wants to launch the GLP in India market and global players in global market. On fill and finish stand point, I'll give you a range, the range is between $1 to $2. T hat's the range of fill and finish , and as we are preserving some capacities to give it to the best partner so that the whole business is sustained. We did the deal with the Indian Company for the global market. So, this is what the sense is.

Harsh Bhatia: Lastly , by best partner, you mean a customer who is able to give you good visibility in terms of volumes and capacity bulk up. That would be the right thing ?

Shyamkant Giri : Exactly . A customer who has a strong presence in that country of launch and a customer who is very serious about making this a good product in that country .

Harsh Bhatia: But you could say for the next 1-2 year period, let's say very broadly put, maybe at the India level or at a global level, there could be certain supply constraints in terms of fill-finish , the cartridge capacity, as well as the pen assembly . Maybe these two components could have some

level of supply constraint at India level or the global level ?

Shyamakant Giri : It depends on how this market plays out, but time will tell for example, you know, one of the proprietary companies has launched Sema in a vial, they are GLP in India, okay. It really depends on how this market plays out. But the volumes are encouraging . And we are getting prepared, we are prepared. At 140 million as I said earlier, we will be one of the top -tier cartridge capacity companies in the country.

Shyamakant Giri: And there was a question about order book for Cenexi, it is around Euro 100 million. GLAND

Harsh Bhatia: Sure. Lastly, on the cartridge capacity, one could presume that lot of that capacity, as seen today, at least at the 40 million level, and possibly the incremental 100 million, a lot of that would already be booked to that extent. So, in terms of the pricing part, if you could throw some more color as well as is there some element of take or pay because obviously your sales would depend on regulatory approvals depending on market-to-market. Obviously, you will not be able to, you will not be selling based on where the client is selling, but irrespective, maybe some points on the pricing part as well as the take or pay on the regulatory aspect?

Shyamakant Giri: So, this is more a fill and finish CMO kind of job work. We are speaking to four kinds of customers. Indian players who want to launch the GLP in global market. Indian players who want to launch the GLP in India market. Global player who wants to launch the GLP in India market and global players in global market. On fill and finish standpoint, I'll give you a range, the range is between $1 to $2. That's the range of fill

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Shyamakant Giri: And there was a question about order book for Cenexi, it is around Euro 100 million.

Moderator: The next question comes from the line of Alankar Garude from Kotak Institutional Equities.

Alankar Garude: Hi, thank you for the opportunity. Sir, firstly, with the two contracts on GLP -1, how much of the 40 million capacity is booked out?

Srinivas Sadu : That will be most of it will be consumed. So that's the reason why we have invested in the second line. Because I think it will be in a phased manner, in the next few years. So, the second line will be up and running by the end of this year . So, this 40 million will not be enough for the new partnerships what we are going to enter .

Alankar Garude: Got it , Sir, and you spoke about th

is $1 -$2 for the CMO fill and finish on the pricing front , is there any annual reprising clause?

Srinivas Sadu : Yes, it's always there. All the contracts will be there depending on the cost structures and all that. Ye s, it's always there. And also, there will be, especially the CMOs , there are two types, right? One is, of course, the tech transfer that happens on product, and the other, pure CMO. So pure CMOs always have these clauses based on the volumes. The pickups of the volumes will be rising, and lower volumes will be higher pricing. So, this is a tier pricing.

Alankar Garude: Understood. The second question you mentioned is about passing on most of the tariffs to your clients. Have you had any conversations with your clients on this front and what has been the initial feedback?

Srinivas Sadu : While there is no real concern from our partners because if you really see the tariff is on the transfer price not on the end price . So, the impact will be less and there are couple of conversations, but it is very clear that it will be passed on.

Alankar Garude: Got it and one final clarification . Did you mention double digit EBITDA margin in the next year in FY '27 or FY '28?

Ravi Mitra : FY'27.

Moderator: We will be taking one last question from the line of Mr. Vivek Agarwal from Citigroup.

Vivek Agarwal: Thanks for the opportunity. So, my question is about US business. So, this year in FY'25, overall growth was almost flat. So, is it possible for you to give some color how G NDi

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Vivek Agarwal: Thanks for the opportunity. So, my question is about US business. So, this year in FY'25, overall growth was almost flat. So, is it possible for you to give some color how

the existing products have made as far as the volume growth is concerned, as well as the new launchers, and how the pricing have behaved?

Shyamakant Giri : Yes,

so Vivek, as I told you, if we in the US, FY'25, the volume growth has been plus 9%, the price has been minus 5%. On the new product front, for the full year, the new launches in the US contributed 6% of the overall revenue. The new product's gross margin is 72 % for the full year. So yes, these are data that is around the US.

Vivek Agarwal: Understood. And for the next year, you are giving a kind of mid-teen kind of growth at the consolidated level. But how to look at growth in the US , because I think you need to file in the US in order to achieve that kind of growth that is what my understanding is. Or, for example, it is the other markets you are thinking of filing? Thank you.

Shyamakant Giri : So, if you see, Vivek, in the US market, our top 10 molecule revenue grew by 26%. You know, so we are really preserving our top business in many ways. And b ecause growth is a function of new launches, new approvals that will come on average , we launched 33 products this year and we intend to continue that momentum in the coming year. So, it will be a combination of new customer acquisition, and it will be a combination of new customer acquisition plus value expansion with new A NDAs and all of that with existing customers.

Srinivas Sadu : So, US, the estimate is next year, 18%, 12 % of the products and 6 % from the CMO projects to the US. So, it's about 18 % expected.

Vivek Agarwal: And lastly, actually, if you can answer , going into front end in the US, so is it still there on the platter or the plan has been dropped?

Srinivas Sadu : Still evaluating, I mean, like you said, everybody is paused . So we are looking at how this tariff thing works out and how it's going to impact and all that. But it's not out of the data yet. We are still looking at it.

Moderator: Ladies and gentlemen, we will take that as the last question. I will now hand the conference over to Ms. Runj hun Jain for closing comments .

Runjhun Jain: Thank you everyone for joining us today. We truly appreciate your insightful questions and engagement throughout this session. Should any further questions arise, please GLAND

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don't hesitate to reach us. We look forward to connecting with you again next quarter. Thank you.

Moderator: Thank you. On behalf of Gland Pharma Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

This transcript is provided without express or implied warranties of any kind and should be read in conjunction with the accompanying materials published by the company. The information contained in the transcript is a textual representation of the company's event and while efforts are made to provide accurate transcription, there may be material errors, omissions, or inaccuracies in the reporting of the substance of the event. The transcript has been edited wherever required fo r clarity, correctness of data, or transcription error. The company takes no responsibility for such errors, although an effort has been made to ensure a high level of accuracy . GLAND

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Call: Aug 2025

August 11 , 202 5

BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
25th floor, Dalal Street
Mumbai - 400 001
Scrip Code: 543245 National Stock Exchange of India Limited
Listing Department
Exchange Plaza, 5th floor
Plot no. C -1, Block G, Bandra Kurla Complex Bandra
(East), Mumbai - 400 051
Symbol: GLAND (ISIN: INE068V01023)

Dear Sir/Madam,

Sub: Earnings call Transcript – Q1FY26

Please find enclosed the transcript of the Earnings call for Q 1FY26 of the Company held on Tuesday , August 05, 2025, at 18.30 Hrs. IST. This will also be available on the Company’s website and the web link to access the same is https://glandpharma.com/investors/financials

This is for your information and records.

Yours truly,
For Gland Pharma Limited

Sampath Kumar Pallerlamudi
Company Secretary & Compliance Officer

Encl: As above GLAND GLAND PHARMA LIMITED
August 11, 2025
BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
25thfloor, Dalal Street
Mumbai - 400 001
Scrip Code: 543245National Stock Exchange of India Limited
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(East), Mumbai - 400 051
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Yours truly,
For Gland Pharma Limited
Sampath Kumar Pallerlamudi
Company Secretary & Compliance Officer
Encl: As above
Regd. Office:
Survey No. 143-148, 150 & 151, Near Gandimaisamma ‘X’ Roads
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"Gland Pharma Limited
Q1 FY '26 Earnings Conference Call "
August 05 , 202 5

MANAGEMENT : MR. SRINIVAS SADU – EXECUTIVE CHAIRMAN –
GLAND PHARMA LIMITED
MR. SHYAMAKANT GIRI – CHIEF EXECUTIVE OFFICER
-- GLAND PHARMA LIMITED
MR. RAVI MITRA – CHIEF FINANCIAL OFFICER
(INDIA 'S OFFICE) -- GLAND PHARMA LIMITED
MR. ALAIN KIRCHMEYER – CHIEF EXECUTIVE
OFFICER – CENEXI

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I now hand the conference over to Ms. Runjhun Jain. Thank you, and over to you, ma'am.

Runjhun Jain: Thank you, Sagar. Good evening, everyone. Today, we have Mr. Srinivas Sadu, Executive Chairman; Mr. Shyamakant Giri, Chief Executive Officer , Mr. Ravi Mitra, Chief Financial Officer from India Office and Mr. Alain, CEO of Cenexi, who's connected virtually.

Before we proceed, I would like to remind everyone that certain statements made today are forward -looking and based on management's current estimates. These should be considered in the context of risks inherent to our business. Please note that this call i s being recorded, and a playback transcript will be available on our website shortly. With that, I hand over the call to Mr. Sadu for his opening remarks. Over to you, sir.

Srinivas Sadu: Thank you, Runjhun. Good evening, everyone, and thank you for joining us today. On behalf of Gland Pharma, I welcome you to our earnings call for the first quarter of FY '26. I will begin by highlighting our strategic priorities and the progress we are mak ing. Shyamakant, Alain and Ravi will then provide operational insights that led to the performance we are reporting today.

The year has begun on a positive note, driven by improved profitability margins in Gland's base business. It is particularly encouraging that after a challenging period, Cenexi has turned the corner and returned to profitability with a breakeven EBITDA.

The injectables and broader pharmaceutical space continues to evolve, presenting both challenges and strong opportunities. Despite ongoing uncertainties around tariffs, our established capabilities and disciplined approach , position us well to navigate and respond effectively. This quarter's performance reinforces our confidence that the strategic building blocks we have put in place are starting to yield results and positive financial outcome s.

Let me now update you on the progress we are making on each of our key strategic priorities.

We are advancing the expansion of our core business beyond the U.S. by deepening our presence in emerging markets, Although contributions from these markets will take time to build, we believe the distinct value of our portfolio will serve as a key growth catalyst over the medium term.

Moving forward, our focus remains on capacity enhancement and strengthening our industry - leading capabilities. Gland has historically led the way in adopting innovative technologies and formats for injectables, consistently offering competitive large -scale solutions.

Our current capacity enhancements now include capabilities for suspensions, hormonal products, microsphere bulk, and microsphere powder filling. We're also making strategic push GLANDGland Pharma Limited

August 05, 2025

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into RTU formats such as dual and triple chamber bags. We continue to make significant progress in our CDMO program s particularly in key areas like oncology, RTU bags, ophthalmics, PFS and GLP -1s.

These advanced capabilities give us a unique position in the industry, and we are committed to leading with innovative initiatives. Our GLP -1 strategy gained momentum last quarter with the launch of Liraglutide . The product has now also been launched in the U.K. and Australian markets.

We are excited about other programs that will benefit from our expanded pen and cartridge capacity, which we are aggressively increasing from 40 million units to over 140 million units with the Factory Acceptance Test scheduled to be completed by September '25.

Turning to our R&D and portfolio expansion initiatives. Our strategy is anchored on three core pillars: in -house research, complex products , and co -development collaborations.

• In-house R&D continues to be a strong driver with One ANDA filed and nine approved alongside 1,7 61 global registrations in the quarter. During Q1 FY '26, we launched nine new products in the U.S. and are confident of sustaining this momentum. We also filed one RTU infusion bag this quarter, which brings our total to 20 such products filed in the U.S., of which 14 are already approved. An additional 10 RTU bag products are currently under development. This RTU bag portfolio addresses a market opportunity of approximately $760 million in the U.S.

• In the area of complex injectables, we have already launched six products with three more in line for approval. We expect complex injectables to remain a central pillar of our long -term growth with more products being added to the pipeline.
• Within our co -development model, our portfolio now comprises 15 products, including seven 505(b)(2) submissions and eight ANDAs. These products are strategically aligned to high potential therapeutic areas such as immunology, chemo adjuvants, mineral suppl ements, pain management, endocrinology and radio contrast agents.

On Cenexi, we have addressed the challenges head on and have kept you closely informed on the steady progress of our turnaround plan. I'm pleased to report that as of Q1 FY '26, Cenexi has turned EBITDA breakeven, and we are confident of continued improvem ent.

While it has taken slightly longer than anticipated to fully achieve our acquisition objectives, Cenexi is now firmly on the path to sustainable growth and profitabili

ty. This momentum is being driven by a strategic shift away from low -value, high -volume s egments towards highervalue offerings such as prefilled syringes, lyophilised vials and ophthalmic gels.

In conclusion, we believe this has been a strong start, and we look forward to building on this momentum to deliver an even stronger performance in FY '26. We are confident that the actions underway across our strategic pillars will create a meaningful pos itive impact, supporting Gland's long -term success and sustainability. Thank you for your continued confidence in Gland. GLANDGland Pharma Limited

August 05, 2025

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While it has taken slightly longer than anticipated to fully achieve our acquisition objectives, Cenexi is now firmly on the path to sustainable growth and profitability. This momentum is being driven by a strategic shift away from low-value, high-volume segments towards highervalue offerings such as prefilled syringes, lyophilised vials and ophthalmic gels.

In conclusion, we believe this has been a strong start, and we look forward to building on this momentum to deliver an even stronger performance in FY '26. We are confident that the actions underway across our strategic pillars will create a meaningful positive impact, supporting Gland's long-term success and sustainability. Thank you for your continued confidence in Gland.

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into RTU formats such as dual and triple chamber bags. We continue to make significant progress in our CDMO programs particularly in key areas like oncology, RTU bags, ophthalmics, PFS and GLP-ls.

These advanced capabilities give us a u

nique position in the industry, and we are committed to
leading with innovative initiatives. Our GLP-1 strategy gained momentum last quarter with the launch of Liraglutide. The product has now also been launched in the U.K. and Australian markets.

We are excited about other programs that will benefit from our expanded pen and cartridge capacity, which we are aggressively increasing from 40 million units to over 140 million units with the Factory Acceptance Test scheduled to be completed by September '25.

Turning to our R&D and portfolio expansion initiatives. Our strategy is anchored on three core pillars: in-house research, complex products, and co-development collaborations.

■ In-house R&D continues to be a strong driver with One ANDA filed and nine approved alongside 1,761 global registrations in the quarter. During QI FY '26, we launched nine new products in the U.S. and are confident of sustaining this momentum. We also filed one RTU infusion bag this quarter, which brings our total to 20 such products filed in the U.S., of which 14 are already approved. An additional 10 RTU bag products are currently under development. This RTU bag portfolio addresses a market opportunity of approximately $760 million in the U.S.

■ In the area of complex injectables, we have already launched six products with three more in line for approval. We expect complex injectables to remain a central pillar of our long-term growth with more products being added to the pipeline.

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With this, I will now hand the call to our CEO, Mr. Shyamakant to share his thoughts. Thank you.

Shyamakant Giri: Thank you, Mr. Sadu. Good evening, everyone. Thank you for joining today. We have had a strong start to the year. Gland's base business met expectations, and we are pleased that Cenexi achieved breakeven EBITDA after several quarters.

First, I will highlight our consolidated performance. Our consolidated revenue stood at INR 15,056 million, showing a growth of 7% over last year's Q1. Our consolidated EBITDA touched INR 3,678 million, marking a strong 39% increase year -over-year. A substantial portion of this growth was driven by EBITDA expansion in our base business, complemented by breakeven EBITDA from Cenexi, a significant turnaround. Consequently, our consolidated EB ITDA margin grew from 19% to 24% this quarter.

Next, I will outline the performance of our base business at Gland , excluding Cenexi .
Breaking down our performance by market :

• We had a strong quarter in the U.S. with successful launch of nine new molecules du

ring Q1 FY '26. This includes important products like Epinephrine , Acetaminophen Bags and three new strengths of Vancomycin . The U.S. reported INR 7,443 million in revenues, contributing to 49% of our business.

• Our other regulated markets, including Europe, Canada, Australia and New Zealand showed good growth, increasing 34% year -on-year led by portfolio maximization initiatives across our partners. These markets now make up significant 27% of our total revenue.

• The Rest of the World market contributed to INR 2,978 million in Q1 FY '26, representing 20% of our revenue. We saw a modest 5% increase in these market s, largely due to a softer order intake in some key regions.

• Lastly, the Indian market generated INR 594 million, accounting for 4% of our Q1 FY

'26 revenue.
Moving on to the R&D , our total expenditure for Q1 FY '26 was INR460 million, which is 4.4% of our base business revenue. During the quarter, we filed one product and received nine new approvals.
R&D remains a cornerstone of our strategy, and we are confident that our new product portfolio will drive growth and profitability in both near and long term. On the operations front, all our units are compliant with various regulatory guidelines, maintaining a strong commitment to high quality. We are also focus ed on monitoring our cost base to ensure our business remains highly competitive and ahead of curve.
Cenexi has been the highlight of the quarter. Our strategic initiatives over recent quarters are now delivering tangible financial results. After several quarters of negative EBITDA, Cenexi reached breakeven this quarter. In Q1 FY '26, Cenexi ’s revenue was EUR 48 million , and gross margin improved to 80% from 78% last year, EBITDA was EUR 0.9 million. GLANDGland Pharma Limited
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We are confident Cenexi's performance will continue to improve. Alain will provide a detailed update shortly. We remain committed to enhancing Cenexi's financial performance and achieving our strategic objectives for this acquisition.

Before concluding, I will provide a brief update on our key demand and supply priorities outlined when I became CEO two quarters ago. We remain committed to building capabilities and expanding our global reach to drive long -term value.

On the demand side, our focus remains on enhancing our footprint and launching new products in high -value, high -growth Rest of the World markets. We are also leveraging our strength s in specific therapeutic areas and actively exploring inorganic opportunities to achieve significant growth in India.

In the U.S., our primary goal is to add new customers and grow our share of business with existing partners, all of this backed by an accelerated portfolio strategy that emphasizes co -development, in -licensing and strategic partnership in newer modalities.

On the supply side, our priorities are focused on maintaining quality and cost leadership. We are continuously focused on competitiveness and upholding our industry -leading quality and compliance record. We are continuing to strengthen our leadership team with new hires and building capabilities across all functions.

With this, I would like to hand over the call to Alain for more detailed update s on Cenexi's performance. Over to you, Alain.

Alain Kirchmeyer: Thank you, Mr. Giri, and good evening, everyone. As emphasized by Mr. Sadu and M r. Giri in their remarks, we are pleased to report that Cenexi reported a breakeven EBITDA this quarter.

This achievement reflects our continuous efforts to streamline operations and optimize costs.

While we are still working toward our desired financial performance , this marks a strong beginning and emphasizes both our strategic intent and the progress we are making.

To provide a more granular perspective, let me walk you through key updates at the site level.

Production at our Fontenay facility has been on track with the plan. We were able to improve our order shipments and reduce downtime. The transfer of products to our new ampoule line is progressing well, thus increasing our production output.

Our results this quarter also reflected the benefits of price increases negotiated last year with our customers. As we had reported, we have also concluded the required actions pertaining to the Q3 FY '25 ANSM inspection. A new inspection took place in Jul y to monitor the progress of our CAPA plan . We remain focused on streamlining operations on the site and adding further volumes.

The operations at Herouville -Saint -Clair have remained on track with our recovery plan, and we continue to see steady progress with the ongoing tech transfer projects under development. The installation of a new prefilled syringe line, which is projected to be operational at the beginning of cal endar year 2026 remains on track and will substantially increase our capacity in the high - demand PFS segment. GLANDGland Pharma Limited

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The business from Braine -l'Alleud and Osny remained robust and delivered a solid performance this quarter. As updated previously, our two new lyophilizers are being installed at Braine - l'Alleud, and their qualifications will be concluded by the end of the calendar year 2025.
In parallel, engineering studies for the installation of a new vial line under isolator with automatic loading and unloading of the lyophilizers are progressing well. The long -term prospects for this business remain robust with high -value projects in our tech transfer program. Besides, our pipeline of new leads in Braine -l'Alleud is growing fast with new projects under study in hormones, blood derivates, biologics and, of course, cytotoxics.
Q1 FY '26 has marked the beginning of a meaningful turnaround. We remain firmly focused on our previous commitment, that is to deliver a positive EBITDA in Q3 FY ‘26 after a to-be-expected low Q2 FY ‘26 due to our summer shutdown.
Thank you for your time. I will now turn the call over to Ravi to discuss our financial performance. Ravi, over to you.
Ravi Mitra: Thank you, Alain. Good evening and thank you for being with us on the call today as we review our financial performance for the first quarter of the fiscal year 2026. We are pleased with the steady growth in consolidated profitability year -on-year, driven by improvement in our gross margin , which has reflected a strong positive momentum, improving to 65% from 60% in Q1 FY '25.
This enhancement was largely on account of higher contribution from favorable raw material costs for several key products at base business. Excluding Cenexi, our base business gross margin stood at 59% in Q1 FY '26, up from 53% in the same quarter of previ ous year. The consolidated EBITDA margin also improved significantly, reaching 24% from 19% in the corresponding period of FY '25. This uplift was driven primarily by a strong gross margin and various cost controls initiatives across our base business.
At Cenexi, EBITDA breakeven was achieved, supported by higher volumes alongside stable operating expenses. Excluding Cenexi, our base business delivered an EBITDA margin of 35% for Q1 FY '26 compared to 29% in the same period last year. It is worth mention ing that the company launched ESOP 2025 scheme in May 2025 to motivate key employees and also to align with the interest of investors. On ESOP grant of 8,43,685 options, a non -cash expense amounting to INR 59.48 million was included in this quarter's emplo yee benefit cost. Adjusted for this expense, our base business adjusted EBITDA stood at INR 3,651 million.
Our net profit for the quarter reported a strong 50% year -on-year growth

to INR 2,155 million
compared to Q1 FY '25. During the quarter, we achieved a PAT margin of 14%, compared to 10% in Q1 FY '25. Other income, primarily consisting of interest earned from bank deposits and foreign exchange gains amounted to INR 575 million in Q1 FY '26. This is higher than the INR 440 million reported in Q4 FY '25.
Our R&D expense for the quarter were INR 460 million, declined from INR 489 million in the

same period last fiscal year, largely due to timing of the expenses, while all our R&D programs
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remain on track. This quarter's R&D expense represents 4.4% of our revenue on an ex -Cenexi ba

sis. On a standalone level, our effective tax rate was 25.7% for the quarter.
As of June 30, 2025, our total cash and equivalents at the group level stood at INR 30,139 million, including non -callable deposit of INR 3,960 million. Debt at Cenexi level stood at INR 3,145 million. Cash flow from operations during Q1 FY '26 was INR 2,620 million. Our average cash conversion cycle was 161 days for the first quarter compared to 172 days at the end of FY '25, largely on account of better receivable and payable management. Total capex during the quarter amounted to INR 786 million, mainly deployed in Cenexi BLA for the new projects and other replacement and maintenance spe nding.
With that, I would now like to request the moderator to open the lines for questions.
Moderator: Our first question comes from the line of Saion Mukherjee from Nomura Securities.
Saion Mukherjee: Sir, can you provide the profit share and milestone number for this quarter, please?
Srinivas Sadu: Yes. The milestone revenue is about 9%. And the profit share is 12%.
Saion Mukherjee: Okay. And the second question on the pen and cartridge capacity of 40 million, which is available and 140 million that you're planning to go. If you can share the timeline and how much of this capacity given the GLP -1 demand do you expect to sort of come through this year in FY '27 and '28. If you can give some color as to how you see this capacity getting filled up.
Srinivas Sadu: So the 40 million capacity is already in place, and we have already filed, and that line is already approved. And as you have heard in the commentary, we have launched liraglutide in a few

markets from that line. The 100 million capacity FAT is in September and installation in
November.
By March /April, it will be ready for fill and finish commercialization . There will be a few
contracts that we are discussing with partners for that line. And anyway, Wegovy will come in
FY '30. So most of the initial [products, we] will be filing from that line. So that should be good
enough for our launches post FY '28.
Saion Mukherjee: What is the amount of quantities you would be supplying, let's say, in this fiscal and '27 and '28.
I know like some of this may be from a long -term perspective, but given the visibility on
contracts that you have in place now.
Srinivas Sadu: Let's start with around 20 million in the first year and then the next few years depending on
which markets you get approval.
Saion Mukherjee: So 20 million you're saying this fiscal, fiscal '26 or '27.
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Srinivas Sadu: Yes. The milestone revenue is about 9%. And the profit share is f2%.
Saion Mukherjee: Okay. And the second question on the pen and cartridge capacity of 40 million, which is
available and 140 million that you're planning to go. If you can share the timeline and how much

of this capacity given the GLP-1 demand do you expect to sort of come through this year in FY '27 and '28. If you can give some color as to how you see this capacity getting filled up.
Srinivas Sadu: So the 40 million capacity is already in place, and we have already filed, and that line is already approved. And as you have heard in the commentary, we have launched liraglutide in a few markets from that line. The 100 million capacity FAT is in September and installation in November.
By March/ April, it will be ready for fill and finish commercialization. There will be a few contracts that we are discussing with partners for that line. And anyway, Wegovy will come in FY '30. So most of the initial [products, we] will be filing from that line. So that should be good enough for our launches post FY '28.
Saion Mukherjee: What is the amount of quantities you would be supplying, let's say, in this fiscal and '27 and '28. I know like some of this may be from a long-term perspective, but given the visibility on contracts that you have in place now.

Srinivas Sadu: Let's start with around 20 million in the first year and then the next few years depending on which markets you get approval.
Saion Mukherjee: So 20 million you're saying this fiscal, fiscal '26 or '27.
Srinivas Sadu: '27.
Moderator: Our next question from the line of Neha Manpuria from Bank of America.

Neha Manpuria: My first question is on Cenexi. Could you take us through a little bit on the breakeven that we have achieved? Is this because of certain plant where we see losses being lower? And why we think this will be sustainable? And based on this, what should be th e margin that you think Cenexi can now achieve for next year? Is a low -teen margin possible or would it still be in the high single -digit?
Alain Kirchmeyer: So in Q2, all sites have contributed to a strong performance. Of course, Braine -l'Alleud and Osny that that have had a long -term positive EBITDA continued on the trend, but we start to see a recovery both in Fontenay and in Herouville, who have been the lower performing sites in the past 12 months. And that's driven mainly by an increase of volume, as well as a much -reduced downtime and also the result of all the actions that we have initiated in order to be more productive and more effici ent.
Neha Manpuria: Alain, if I may ask, out of the three facilities, which one of them probably is the largest drag on profitability and what's the scope to improve margins there?
Alain Kirchmeyer: So if we look at Q2, as I mentioned, both Fontenay and in Herouville have sharply increased their results. Osny and Braine -l'Alleud continue on a very positive trend, but most of the upside is coming from Fontenay and in Herouville that had been underperfo rming in the past 12 months.
Srinivas Sadu: So, Neha, just to add, Fontenay site, I think, we were struggling to deliver the demand and the line which we have added in March that kind of helped us to catch up with some of the back orders and also increase the capacity. So that was added in Fontenay and brought into green .
And from the HSC site , two products got launched, Encepur and Fucithalmic gel vaccine products .
So those projects got commercialized and there was a volume increase. That kind of helped HSC also to increase the revenue. Also, there were actions taken by Alain in terms of increasing the transfer prices for several products, and that also helped in increasing the profitability.
Neha Manpuria: So next year can now comfortably do a low -teen EBITDA margin? Would that be a fair assumption given the progress we've seen in this quarter or probably still too early to call that?
Srinivas Sadu: Yes. But for the year, I think, moving forward from October, I think, it will be EBITDA positive , and we'll ramp it up slowly to get to the low teens or high single digits EBITDA.
Neha Manpuria: And my second question is on the US business. If I look at the performance in this quarter, obviously, there's lumpiness. One, as we think about that mid -teen growth that we talked about, when do you start seeing improvement in the US business to get to that mid -teen growth? And what would drive -- you talked about the dry powder CMS. When does that start flowing through? When does those complex approvals actually start reflecting in the revenue numbers for US ?
Srinivas Sadu: As per our budget , I would say we achieved our budget in the first quarter. We are on track to get to the mid -teen growth for the year. The CMS project, the lyo product just got launched last quarter. And you see the numbers in Europe, while it has gone up, it's basically that product which got launched.
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The other one, the CMS dry powder, the Danish approval has come through line -wise. Now they'll be submitting the dossiers next quarter. So beginning of next year, those products will get launched in Europe and other markets. So that will be a big-ticket item in terms of the CDMO business.
The other big thing in the US will be Dalbavancin launch. That will be the September quarter. That's on track again in terms of the approval and launch. So these are the two big events that will help this growth coming back. Otherwise, everything else are in line with our internal budgets.
Moderator: Our next question comes from the line of Tushar Manudhane from Motilal Oswal Financial Services.
Tushar Manudhane: Sir, just on liraglutide how much overall business across the geographies you would have made this quarter?
Srinivas Sadu: We can't say specific, but we launched in UK and Australia. UK and Australia got launched this quarter. And previous quarter, it was two markets South Africa and Saudi Arabia. So till now, it's four markets this product got launched
Tushar Manudhane: And how many more, like, subsequently in the remaining quarters of '26?
Srinivas Sadu: It's a global deal. So I can't say because it's a partners' product, so it's a global agreement.
Tushar Manudhane: And sir, will this have cannibalizing impact once like in the next year when the other peptides get as a business opportuni

ty for Gland?
Srinivas Sadu: No. It has its own market, right? I mean, Liraglutide and Semaglutide has its own market.
Tushar Manudhane: No. From the manufacturing capacity point of view.
Srinivas Sadu: No. We have enough capacity. We have currently 40 million and that should suffice for the next few years, because the major product Wegovy will only come early 30s.
Tushar Manudhane: So that is as far as US market is concerned , but for the semi -regulated markets?
Srinivas Sadu: No. We will have the other lines ready by the first quarter of next year. So that should take care of the demand. Till that time, we have enough capacity.
Tushar Manudhane: Got it. And sir, I missed the name of the two potential products for US market, which will drive sales, if you could repeat?
Srinivas Sadu: So one is Dalbavancin and the other, we already told the CMS contract, that's not just US, it's also European. The second one is a CDMO contract.
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Tushar Manudhane: Got it. So you were indicating like full year EBITDA margin of Gland per se as like 24% to be considered.

Srinivas Sadu: I think combined Gland and Cenexi would be around 24% -25% level. This is the current

quarter's EBITDA consolidated.
Moderator: Our next question comes from the line of Bino Pathiparampil from Elara Capital.
Bino Pathiparampil: Good evening. Could you please elaborate a bit on the Semaglutide manufacturing opportunity for you in the near -term specifically for next financial year. How big can that be based on your capacity, your contracts and your outlook compared to the overall size of the company?
Shyamakant Giri: So as I said, we are today, 40 million cartridges up and running. We are adding 100 million again. So next year, FY '27, we'll be one of the top -tier cartridge capacity with 140 million cartridges. We are talking to four types of customers - Indian customers for global market, Global customers for India market, Indian customer for Indian market . And finally, we are talking to also some more players for global markets. So as we are doing this exercise, we are here to sell our capacity. The capacities are being lapped up. It will take some time for us to tell you exact capacity being sold by en

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Bino Pathiparampil: So did I hear it correctly that the entire 140, that is the new 100 as well, will be ready by the end of this financial year by March?
Srinivas Sadu: That's correct. 40 is already ready and another 100 by March to be commercialized -- ready for commercialization in March, April, I think.
Bino Pathiparampil: And I believe what you do is just the cartridge, getting the cartridge and the API and then filling the cartridge with the API, that is the only activity that you do. Am I correct?
Shyamakant Giri: It is a fill and finish CDMO line. So , we are not developing our own Sema. It is a fill and finish activity that we will do.
Bino Pathiparampil: The kind of contracts that you are getting, where does the API come from? Does the customer directly get the API and ask for a fill and finish or do you go to source the API as well?
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Srinivas Sadu: The contribution could be higher because of the volume you can produce in a batch per cartridges. But it all depends on how the market behaves and once you come closer to launches in various markets. So , we can't really comment. But we can only comment on the contribution margins will be better than others because throughput you can give on a daily basis.

Bino Pathiparampil: And the throughput is higher because of the nature of the cartridge or why is it? Is it because of a technical reason?
Srinivas Sadu: We have speed of the machine, as well as the fill volume of it. So , it can produce more units compared to a vial.
Moderator: Our next question comes from the line of Nitin Agarwal from DAM Capital.
Nitin Agarwal: Just following up on some previous questions. So , on these capacities that we have, these are capacities for multi -dose cartridges and pen assembly, or these are largely vial filling capacities.
Shyamakant Giri: These are cartridges. These are not vial line s. This is a bulk cartridge line, and these lines are integrated with the pen assembly line.
Nitin Agarwal: Okay. And so from a regulatory perspective, the next 100 million cartridge capacity that you'll pick up, that you'll put up, what kind of regulatory approvals are you looking at? For kind of these 40 million, what regulators who approve this capacity and f or you to get incrementally approvals for the next 100 million, what kind of timeframe that take after the commissioning?
Srinivas Sadu: So, this line is part of the same suite where you have other lines approved including this sterile cartridge. So , the approval will be faster, especially US and Europe because the suite is approved for these markets already. So, it'd be easier. You have seen Lira getting launched in other market.

This is similar block and it's easier compared to a new line /new suite.
Moderator: Our next question comes from the line of Abdulkader Puranwala from ICICI Securities.
Abdulkader Puranwala: Sir, for the first question is with respect to your US market growth for the base business, any commentary you would like to provide as to how the growth would revive in this particular portfolio in quarters ahead.
Shyamakant Giri: Hi, Abdulkader. Can you again repeat your question, please?
Abdulkader Puranwala: Yes. Sir, my question is with regards to your US revenues which has declined at around 2% within that Gland's portfolio, the growth has been minus 5%. So , wanted to understand how would this shape up in the near -term? And when we see this business , when we talk about the mid-teen kind of a growth rate, how would this business growth would pan out?
Srinivas Sadu: Yes. So . I think it's more to do with the timing, especially Enoxa. The enoxaparin supplies in this quarter were around INR70 crores, which is normally around INR 130 crores, 140 crores. GLANDGland Pharma Limited
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Nitin Agarwal: Just following up on some previous questions. So, on these capacities that we have, these are capacities for multi-dose cartridges and pen assembly, or these are largely vial filling capacities.
Shyamakant Giri: These are cartridges. These are not vial lines. This is a bulk cartridge line, and these lines are integrated with the pen assembly line.
Nitin Agarwal: Okay. And so from a r

egulatory perspective, the next 100 million cartridge capacity that you'll pick up, that you'll put up, what kind of regulatory approvals are you looking at? For kind of these 40 million, what regulators who approve this capacity and for you to get incrementally approvals for the next 100 million, what kind of timeframe that take after the commissioning?
Srinivas Sadu: So, this line is part of the same suite where you have other lines approved including this sterile cartridge. So, the approval will be faster, especially US and Europe because the suite is approved for these markets already. So, it'd be easier. You have seen Lira getting launched in other market.
This is similar block and it's easier compared to a new line/new suite.
Moderator: Our next question comes from the line of Abdulkader Puranwala from ICICI Securities.
Abdulkader Puranwala: Sir, for the first question is with respect to your US market growth for the base business, any commentary you would like to provide as to how the growth would revive in this particular portfolio in quarters ahead.
Shyamakant Giri: Hi, Abdulkader. Can you again repeat your question, please?
Abdulkader Puranwala: Yes. Sir, my question is with regards to your US revenues which has declined at around 2% within that Gland's portfolio, the growth has been minus 5%. So, wanted to understand how would this shape up in the near-term? And when we see this business, when we talk about the mid-teen kind of a growth rate, how would this business growth would pan out?
Srinivas Sadu: Yes. So. I think it's more to do with the timing, especially Enoxa. The enoxaparin supplies in this quarter were around INR70 crores, which is normally around INR 130 crores, 140 crores.

Bino Pathiparampil: And last one question. Given the so-called capacity shortage in the market for Semaglutide, etcetera, is this fill and finish activity going to be of a significantly higher margin profile than the other fill and finish lines that you ran?
Srinivas Sadu: The contribution could be higher because of the volume you can produce in a batch per cartridges. But it all depends on how the market behaves and once you come closer to launches in various markets. So, we can't really comment. But we can only comment on the contribution margins will be better than others because throughput you can give on a daily basis.
Bino Pathiparampil: And the throughput is higher because of the nature of the cartridge or why is it? Is it because of a technical reason?
Srinivas Sadu: We have speed of the machine, as well as the fill volume of it. So, it can produce more units compared to a vial.
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It's more about the timing because some of the SKUs, the large dosage SKUs are not supplied every quarter.
So, if you actually exclude the Enoxa supplies, the volume, the revenue growth for US almost like 11% market growth. So other than that it's more to do with the timing issue because annual basis enoxa still i ntact in terms of volume and revenue. So that's the main reason why we show that de-growth. Otherwise , it’s in -line.
Abdulkader Puranwala: Understood, Sir, any update on the biologics/biosimilar tie up you had with Dr. Reddy's and one other customer. When should we look for commercial revenues coming from that venture?
Srinivas Sadu: That started from July 1st. It's now been the collaboration started. The team is in place now from their side. So , you see some revenue coming from this quarter onward from the Dr. Reddy's collaboration. On the other project, still we are working on RFPs, and the commercial discussions are happening on the two projects that we're discussing with them. But that will take some time, because there's more tech transfer activities that will happen next year or so. But from the DRL project, we'll see some contribution coming from this quarter.
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Srinivas Sadu: So, this is more to do with pilot scale batches at the lab. So , it's not specific to product now -- market now. It's more pilot scale batches going for clinicals and all that.
Moderator: Our next question comes from the line of Dheeresh Pathak from WhiteOak.
Dheeresh Pathak: So you have 140 million cartridge fill/finish capacity available for FY '27. And you mentioned that you're working with various categories of clients. So how much utilization do you expect for the full year FY '27?
Srinivas Sadu: FY '27, the utilization for the new line won't happen because most of the market will open up later, right? R oW opens up , few markets next year, so the utilization may not be much, but we're also talking to not just the GLP -1s, but also some of the other molecules to see if we can fill up capacity the next few years. But majority of the capacities will start filling up from '29 and '30.
Moderator: Next question comes from the line of Rahul Jeewani from IIFL Securities Ltd.
Rahul Jeewani: You indicated that for the GLP -1 products for FY '27, you will be commercializing around 20 million pens and cartridges. So , what kind of a fill/finish pricing are you working with -- so while I understand that the pricing would be dependent on how the end market dynamics play out, but some ballpark number would be helpful here.
Srinivas Sadu: Can't really comment on the pricing and also, we're not dependent on end pricing because being a CDMO we have a fixed conversion cost paid for each pen. So that kind of fix is not related to the en

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Srinivas Sadu: So it's a combination of some in certain markets, like, you have Lira which is getting launched in certain markets. And likewise, Sema will also be launched in few markets.
Rahul Jeewani: And sir, on this base business growth, while we have commented over past three, four quarters that the base business growth should pick up to a mid -teen kind of a number. This quarter as well the base business grew only 3%. So , while I appreciate the fact that there was volatility related to Enoxaparin, but Enoxaparin and Heparin are our two largest products which will have this quarterly, let's say, kind of a volatility. Sir, when do you think that the base business growth actually starts accelerating or i mproving to this mid -teen kind of a number?
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Rahul Jeewani: Okay. So this mid -teen is including Cenexi at an overall company level.
Srinivas Sadu: Overall, yes.
Moderator: Our next follow -up question comes from the line of Saion Mukherjee from Nomura Securities.
Saion Mukherjee: I just wanted to check on -- I think you received approval for generic Vyzulta latanoprostene s

ometime back with exclusivity. I mean is that a product we expect in the near -term or is it a few years out?
Srinivas Sadu: It's a few years out , depending on the settlement and the patent, it's a few years out.
Saion Mukherjee: So not in the next two years. Will that be a fair assumption to make here?
Srinivas Sadu: It's FY '29.
Saion Mukherjee: Sir, you mentioned about building out in the RoW market and it would take some time to build that out. So how should we think about your approach in the various RoW markets and what kind of ramp up, what kind of scale you are looking at?
Shyamakant Giri: So, Saion, if you see RoW, we, in many ways, have arrested the de -growth and this quarter is a quarter of growth on a Q -on-Q basis 24%, on a Y -on-Y basis 5%. What we are doing in RoW is having a portfolio approach. What we have done first is classified cou ntries of RoW as Class 1, Class 2, Class 3. This is the kind of portfolio optimization, customization focus that we need . Second, what we have also done is, we are now tracking all the registrations, activating some old registrations which were actually in the past became inactive and having a high kind of cadence review with the partners on ground. These are all tactical things, but strategically we are finalizing a portfolio which will place us among one of the top -tier injectable company in that country. So , a lot of things happening tactically and strategically, but we have reasons to believe that RoW business can double up over few years from now. GLAND
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China again is a very intimidating market. We want to really push our approval registration more
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selection of molecule becomes very, very critical of where we want to play in China.
Moderator: Our next question comes from the line of Harsh Bhatia from Bandhan Mutual Fund.
Harsh Bhatia: Sir, would you able to call out the order book for Cenexi? I think last quarter it was close to EUR
100 million, if I'm not wrong. But for this quarter, what would be the order book for Cenexi?
Shyamakant Giri: So the order book is approximately around EUR 85 million to EUR 90 million still, although
this quarter we produce a little more to clear some backlog, but we do have a backlog still in
Cenexi.
Harsh Bhatia: And considering the EUR 48 million run rate, assuming hypothetically, this is the run rate to
work with, on an annualized basis on the expanded capacity base, what would be the broad
capacity utilization for the Cenexi business as such across all the banks?
Shyamakant Giri: So, let me slice and dice for you this one. we do have capacity available in HSC , BLA ; Osny
and Fontenay is where we are peak of the utilization and therefore there price increases, getting
higher value format, getting new businesses for new value or more value is the strategy.
Ravi Mitra : Just to add, Harsh, is that in Cenexi, the Fontenay Line G has recently been started commercially
operating. So this will go up from this quarter's run rate Fontenay has done. Herouville, like Mr.
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Harsh Bhatia: I understand that Fontenay would be more of a product mix rather than a pure capacity lever,
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BLA, as you know, that there are a few new lines recently set up, few more are coming, but there's one new vial being expanded. So all this will in the next year more or less be operational and then we have revenue scale up significantly from this level.

Harsh Bhatia: I understand that Fontenay would be more of a product mix rather than a pure capacity lever, but that's more to do with Herouville and BLA. But would it be fair to say at current capacity you can very easily go to, let's say, a quarterly render of EUR 100 million just based on the current capacity on the expanded capacity base?

Ravi Mitra : No. So expanded capacity definitely would be before the BLA ’s new line growth capex, i t should be around between 50 million to 55 mi llion. [This is] before BLA vial line . So, when that gets commercialized next year, it would further go up.

Harsh Bhatia: Just one clarification. I think you had already spoken about this a few quarters back. But just to refresh our memory, just a very basic question on the GLP cartridge capacity fill, finish ing cartridge capacity, the 40 million going to 140 million units at the cartridge level and you're saying that integrated to the pen assembly lines as well.

So at, let's say, 140 million cartridge capacity for the f ill-finish part , how many pens can you produce o r the other way to ask this would also be that how many multi dose pens/auto injectors, single use auto injectors, would we be able to provide? Assuming that there could be some part that's fungible . Is that a fair understanding o r is there something that we are missing?

Shyamakant Giri: So the pen line that we are incubating has around 160 to 200 pens per minute, that's the kind of speed which is a high -speed pen. And if I understand your question correctly, you're asking how many pens we can produce, is it?

Harsh Bhatia: On the basis of this 140 million cartridge capacity, how much of that can lead to incremental pens output? Because I'm assuming that, that is the output that you'll be able to provide to the customer at the end. Would it be multi dose pens or single auto injector pens?

Srinivas Sadu: Whether it's multi dose or single dose, it's the same. Capacity wise, it's the same, 140 million.

The cartridges are similar. Only the assembly machines or the pens, devices are different.
Harsh Bhatia: Okay. So then it wouldn't matter broadly your 140 million cartridge capacity would be fungible across whether it is a multi -dose or a single use ?
Srinivas Sadu: Correct.
.Moderator: Our next question comes from the line of Ankush Mahajan from Sanctum Wealth .
Ankush Mahajan : So this current capacity of 40 million, what is the current capacity utilization in the last quarter? And this U.S. run rate revenue is in the range of INR700 crores, so how do you see U.S. business considering this tariff structure and destocking by the distributors or how do you see in the near future?
Srinivas Sadu: So, on the cartridge, currently it'

s a very limited capacity utilization because Lira is the only one from the commercialization perspective. But we are also taking batches for exhibit batches and development batches for the other CDMO contracts we have. So , till the Ozempic or Wegovy is launched commercially the capacity utilization will be lower. So currently, most of the capacity is used for the development batches, not for the commercial. And what's the second question?
Shyamakant Giri: On the U.S. side, there are three factors which will impact the U.S. business going forward. One, of course, was the Enoxaparin timing that we have discussed, launches of CMS and financing. So with all those factors and whatever we are doing, we are doing, we still will be guided to growth in the U.S. So we still stick to the guidance of growth in the U.S. market. GLANDGland Pharma Limited
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Dhawal Khut : For the European market, wanted to know which was the bigger growth driver between the new product launches especially the liraglutide and new tech transfer project. And secondly, when we launch product, is there any channel benefit that we get whose revenu e may not be available in next one , two quarters, but as we gain the market share it again scales up to that level?
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Dhawal Khut : Okay. So the Y -o-Y growth that we see within the European market what will you attribute it to?
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Dhawal Khut : Okay. That will occur this year itself, right?
Srinivas Sadu: Yes.
Dhawal Khut: Okay. Thank you.
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Runjhun Jain: Thank you for joining us today. Greatly value your questions and active engagement during this session. If you have any additional queries, please feel free to reach out to us. We look forward to connecting with you again next quarter. Thank you.
Moderator: Thank you. On behalf of Gland Pharma Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.
 GLANDGland Pharma Limited
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Call: Nov 2025

November 07, 202 5

BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
25th floor, Dalal Street
Mumbai - 400 001
Scrip Code: 543245 National Stock Exchange of India Limited
Listing Department
Exchange Plaza, 5th floor
Plot no. C -1, Block G, Bandra Kurla Complex Bandra
(East), Mumbai - 400 051
Symbol: GLAND (ISIN: INE068V01023)

Dear Sir/Madam,

Sub: Earnings call Transcript – Q2FY26

Please find enclosed the transcript of the Earnings call for Q 2FY26 of the Company held on Monday , November 03, 2025, at 18.30 Hrs. IST. This will also be available on the Company's website and the web link to access the same is https://glandpharma.com/investors/financials

This is for your information and records.

Yours truly,
For Gland Pharma Limited

Sampath Kumar Pallerlamudi
Company Secretary & Compliance Officer

Encl: As above GLAND PHARMA LIMITED
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Sampath Kumar Pallerlamudi
Company Secretary & Compliance Officer
Encl: As above
Regd. Office: Corporate Office:
Survey No. 143-148, 150 & 151, Near Gandimaisamma 'X' Roads Plot No. 11 & 84, TSIIC Phase: IV
D.P. Pally, Dundigal, Dundigal-Gandimaisamma Mandal Pashamylaram (V), Patancheru (M), Sangareddy District
Medchal-Malkajgiri District, Hyderabad 500043, Telangana, India Hyderabad 502307, Telangana, India
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"Gland Pharma Limited
Q2 FY 26 Earnings Conference Call "
November 03 , 202 5

MANAGEMENT : MR. SRINIVAS SADU – EXECUTIVE CHAIRMAN –
GLAND PHARMA LIMITED
MR. SHYAMAKANT GIRI – CHIEF EXECUTIVE OFFICER
-- GLAND PHARMA LIMITED
MR. RAVI MITRA – CHIEF FINANCIAL OFFICER –
(INDIA 'S OFFICE) -- GLAND PHARMA LIMITED
MR. ALAIN KIRCHMEYER – CHIEF EXECUTIVE
OFFICER – CENEXI
MR. SHRINIWAS DANGE – INVESTOR RELATION –
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Moderator: Ladies and gentlemen, good day and welcome to the Gland Pharma Limited Q2 FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zer o on your touchtone phone.

I now hand the conference over to Mr. Shriniwas from the Investor Relations team. Thank you, and over to you, sir.

Shriniwas Dange : Thank you, Rayo . Good evening, everyone. We welcome you to Gland Pharma Earnings Conference Call for Q2

FY'26. I'm Shriniwas Dange from the Investor Relations team at Gland Pharma. Today, we have Mr. Srinivas Sadu, Executive Chairman; Mr. Shyamakant Giri, Chief Executive Officer; Mr. Ravi Mitra, Chief Financial Officer from India Office and Mr. Alain Kirchmeyer , CEO of Cenexi, who is connected virtually from France.

We will begin the call with the business highlights from Mr. Sadu, followed by operational highlights from Mr. Giri. This will be taken up by updates about Cenexi from Mr. Alain, and lastly, the group financial overview by Mr. Ravi.

Before we proceed, I would like to remind everyone that some of the statements made today will be forward -looking and are based on management's current estimates. These statements should be considered in light of the risks associated with our business. This call is being recorded. The playback and script will be available on our website shortly.

With that, I hand over the call to Mr. Sadu for his opening remarks. Over to you, sir.

Srinivas Sadu: Thank you, Shriniwas. Good evening, everyone, and thank you for joining us. Welcome to Gland Pharma's Q2 FY '26 and H1 FY '26 Earnings Call. I'll start with a strategic overview, followed

by updates from Mr. Shyamakant Giri on operations, Alain on Cenexi and Ravi on financial performance.
Q2 FY '26 was another strong quarter for Gland Pharma, and we expect an even stronger second half, supported by new launches of few key products, volume growth, CDMO contract wins and continued improvement at Cenexi.
Year -to-date, our consolidated performance reflects broad -based growth driven by strong execution and improvement in profitability.
The recent confirmation that the U.S. will not impose tariffs on generic pharmaceuticals is a positive development, aligning with our expectations. This reinforces our strategic focus on strengthening our U.S. and global supply chain presence, and we are w ell positioned to capture emerging opportunities, including GLP -1, biosimilar biologics landscape through our scalable manufacturing network and strong compliance record.
Our strategy is focused on four key aspects: growth, capability, efficiency and ROCE, all aligned towards building Gland Pharma into a high -end innovation -driven CDMO and specialty injectables company. GLANDGland Pharma Limited

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Our strategy is focused on four key aspects: growth, capability, efficiency and ROCE, all aligned towards building Gland Pharma into a high-end innovation-driven CDMO and specialty injectables company.

On the growth side, we are expanding it into a differentiated and complex portfolio. With the comprehensive list of our generic portfolio, we are steadily adding products centered on complex and differentiated technology, which will help Gland move to a va lue-led growth model. Our focus areas include complex portfolio in long -acting injectables, hormones, suspensions and peptides, ready -to-use formats for hospital use, growing ophthalmic products, including suspensions and other niche high -value injectables that address global therapeutic needs.

R&D continues to be a core differentiator. We invested 5.8% of revenue in R&D this quarter, focusing on complex injectables and next -generation delivery systems. We filed six ANDAs and received five approvals this quarter with seven new products launched in the U.S. We have filed 20 RTU bag products in the U.S. with 14 already approved and 10 more in development, targeting an opportunity of roughly $659 million. 15 products are currently under active development in high potential categories, including seven 505(b)(2) and eight ANDAs, reinforcing our focus on diff erentiated injectable platforms.

Second aspect is adding high -end CDMO capabilities from scaling capacity and competencies. The second aspect of our value -led growth strategy is to build Gland Pharma as a high -end CDMO partner of choice for global investor and specialty pharma companies.

On the capabilities front, we are investing in both capacity and technology across our network. Our biologic CDMO facility currently operates at 8 KL capacity. We plan to expand biologic CDMO capacity to 23 KL over the next phase to support the biosimilar and biologic fill/finish opportunities as well. We're increasing cartridge fill/finish capacity from 40 million to 140 million units, supporting both GLP -1 and insulin programs. Our infrastructure is designed for interchangeable fill/finish across vials, c artridges and prefilled syringes, ensuring flexibility and scalability. In parallel, we are expanding capacity in dry powder filling , ophthalmics and blow - fill-seal technologies. CDMO programs in oncology and prefilled syringes are progressing well with new partnerships being added. These steps firmly position Gland among a niche global CDMO companies capable of delivering end -to-end sterile CDMO solutions from d evelopment to commercial scale.

On the efficiency front, to strengthen margins and operations. is the third key aspect. The third strategic focus is efficiency and profitability, as I mention

ed before. We're executing a company -

wide drive to improve margins through stringent cost control, alternat e API suppliers and process optimization. Portfolio rationalization, pruning low margin on noncore products, capacity allocation towards high -margin and niche formulations and continuous automation and digitization to improve yields and reduce wa ste. These measures are designed to ensure margin resilience even in a competitive pricing environment while maintaining our high standards of quality and compliance.

Capital efficiencies and value creation as ROCE is very important to us. Finally, improving return on capital is central to our long -term value creation framework.

We are allocating capex only to high ROCE, high -growth initiatives such as CDMO expansion, GLP -1 capacity and complex injectable capabilities while maintaining tight control on working capital and focusing on cash generation. GLANDGland Pharma Limited

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On the growth side, we are expanding it into a differentiated and complex portfolio. With the comprehensive list of our generic portfolio, we are steadily adding products centered on complex and differentiated technology, which will help Gland move to a value-led growth model. Our focus areas include complex portfolio in long-acting injectables, hormones, suspensions and peptides, ready-to-use formats for hospital use, growing ophthalmic products, including suspensions and other niche high-value injectables that address global therapeutic needs.

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We are allocating capex only to high ROCE, high-growth initiatives such as CDMO expansion, GLP-1 capacity and complex injectable capabilities while maintaining tight control on working capital and focusing on cash generation.

The goal is to grow not just in scale, but in quality of earnings and capital productivity, ensuring that each investment creates incremental and sustainable shareholder value.

At Cenexi, we are optimizing product mix towards higher -value offerings and deepening integration with Gland's teams to capture operational synergies and efficiency gains.

Our long -term strategic focus is clear to build Gland Pharma into a global innovation -led injectable and CDMO company that consistently delivers growth, margin expansion and superior capital efficiency.

Thank you for your continued trust and support.

I now invite our CEO, Mr. Shyamakant Giri, to share his perspective on operational and business aspects.

Shyamakant Giri: Thank you, Mr. Sadu. Good evening, everyone. Thank you for joining us today. Building on what Mr. Sadu highlighted, our performance this quarter met expectations. Gland's core business firmly maintaining its growth trajectory. Year -on-year, revenue increased by 6%, adjusted EBITDA by 13%, PAT by 12%. In Q2 FY '26, we drove strong revenue growth in our regulated market, 10% in the U.S., 16% in the Europe, propelled by a strong 21% growth in Cenexi in rupee terms. With our current momentum, we are confident in robust growth in the second half of FY '26.

Having summarized our overall progress, let me now take you through the consolidated performance.

In Q2 FY '26, our consolidated revenue was INR14,869 million, up 6% from last year. Consolidated EBITDA reached INR3,139 million, also growing 6%, driven by margin expansion in our core business, but partly offset by planned operational shutdown losses in Cenexi. Our Q2 FY '26 consolidated EBITDA margin was 21%.

To further contextualize our results, year -to-date performance offers a more reliable view of our growth trajectory. For the first half of FY '26, our consolidated revenue reached INR29,925 million, reflecting a 7% increase over H1 FY '25. EBITDA stood at INR6,817 million with a margin of 23%, up from 20% in the previous year and was primarily driven by strong performance in our base business and reduced losses from Cenexi.

Next, I will highlight the performance of our base business a t Gland , excluding Cenexi.

Breaking down our base business performance by market. In the U.S., we launched seven molecules in Q2 FY '26, including Daptomycin -RTU, Sumatriptan and new Colistimethate strength. U.S. revenue rose 8% year -on-year to INR8,005 million for Q2 and reached INR15,176 million for H1 FY '26.

Our other regulated markets, including Europe, Canada, Australia and New Zealand generated a revenue of INR462 million and INR1,574 million for H1 FY '26, growing 18% year -on-year in H1. GLANDGland Pharma Limited

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The rest of the world market contributed INR1,635 million in Q2 FY '26 and INR3,168 million in H1 FY '26 and remained almost flat year -on-year.

For H1 FY '26, while our own product sales revenue in ROW grew by 19%, the tech transfer and the CMO product revenue went down by 53%.

The Indian market generated INR665 million in Q2 FY '26 and INR1,258 million in H1 FY '26, accounting for 6% of the total base business revenue.

Let me move to Cenexi. Performance in H1 FY '26 showed improvement over previous year despite the planned shutdown in Q2. For the first half, Cenexi reported a revenue of EUR 88 million, marking a 10% year -over-year growth in euro terms. Alain will further share details shortly . With many strategic initiatives, namely headcount optimization, finance and IT back - office creation in India, price increase initiatives with key customers. One Europe BD integration, capacity enhancement at BLA and Fontenay Line -G product validation underway, we remain confident in delivering a solid performance from Cenexi and achieving EBITDA improvement here on.

At the overall company level, we continue to strengthen our presence in high -growth rest of the world markets by expanding our reach and introducing differentiated high -value products. Building on this and leveraging our expertise in key therapeutic areas, we're actively evaluating inorganic growth opportunities in market aligned with our strategic priorities. In the U.S., our focus remains on acquiring new customers while deepening rela tionships with existing partners. We remain committed to excellence in quality and regulatory compliance while maintaining our cost leadership. We believe that investing in top talent, enhancing our leadership capabilities and building organization strength will

position us well for the ne xt phase of growth.

With this, I would like to hand over the call to Alain for more detailed update on Cenexi's performance. Over to you, Alain.

Alain Kirchmeyer: Thank you, Mr. Giri, and good evening, everyone. Cenexi recorded EUR 40 million in revenue this quarter an 8% increase over the same period last year, driven mainly by strong performance at our Braine -l'Alleud and Hérouville sites. Year -to-date revenue sta nds at EUR 88 million, reflecting a 10% growth year -over-year. Although we incurred losses in H1 FY 2026 due to a planned shutdown, EBITDA losses decreased to EUR 5 million from EUR 11 million. This improvement demonstrates that our turna round strategy is taking effect.

I will now provide key site level update.

In Fontenay, we used the shutdown period to upgrade infrastructure and equipment. I'm pleased to report that our GMP certification has been renewed through the end of 2026, and most of the

ANSM's observations have been addressed. Our progress was reviewed during the routine inspection in July.

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The activity of our Hérouville site remained on track with our recovery plan. This quarter, activity increased significantly driven by the ramp -up of two key products an inactivated vaccines and a sterile ophthalmic gel.

Both sites of Braine -l'Alleud and Osny maintained a strong momentum. At Braine -l'Alleud qualification of two new freeze dryers is underway and expected to be completed by the end of 2025, which will significantly expand our lyophilization capacity.

Our outlook remains positive. We secured 4 new project wins this quarter, reflecting increased confidence in our capabilities and our strategic shift towards higher value offerings. We remain on track to improve EBITDA in Q3 FY 2026 and to establish a sustainable growth trajectory for Cenexi.

Thank you for your attention. I now invite Ravi to take you through our financial performance in more detail. Ravi, over to you.

Ravi Mitra: Thank you, Alain. Good evening, everyone, and thank you for being with us on the call today as we review our financial performance for the second quarter and first half of the fiscal year 2026.

During the quarter, our consolidated revenue stood at INR14,869 million and increased by 6% year-on-year. Base business revenues stood at INR10,767 million, supported by growth in the U.S. markets, albeit constrained by other regulated markets. Cenexi revenues improved by 21% year-on-year to INR4,102 million. Overall, gross margins stood at 63%, up from 59% in previous year. Excluding Cenexi, base business gross margins were at 61% against 56% in previous year, supported by favorable business and product mix.

H1 FY '26 's performance remained robust. During this period, our consolidated revenue stood

at INR29,925 million and increased by 7% year -on-year. Base business revenues stood at INR21,176 million. Cenexi revenues improved by 20% year -on-year to INR8,750 million. Overall, gross margin stood at 64%, up from 59% in previous year. This was supported by favorable business and product mix. Excluding Cenexi, base business gross margins were at 60% against 54% in previous year.
During Q2 FY '26 and H1 FY '26, expenses were higher mainly on account of higher R&D, employee cost , certain one-offs and continued high cost at Cenexi. Our total R&D expense for the quarter were INR614 million or 5.8% of sales and increase d from INR493 million in the same period last fiscal year due to higher number of filings. Our R&D programs remain on track. R&D expenditure for the first half stood at INR1,075 million or 5.1% and increase d from INR982 million during previous year. Excluding ESOPs, emplo yee cost for the quarter stood at INR3,710 million, which increased by 12% year -on-year. Further, at Cenexi, various initiatives to reduce overheads are progressing well.
During Q2 FY '26, adjusted for ESOP -related noncash expense of INR140 million and one -off GST -related provision to the tune of INR76 million, EBITDA stood at INR3,355 million, reflecting a margin of 23%. For base business, excluding Cenexi, adjusted EBITDA stood at INR3,971 million, reflecting a margin of 37%. We expect to improve EBITDA at Cenexi with improvement in sales from Q3 FY '26.
The activity of our Herouville site remained on track with our recovery plan. This quarter, activity increased significantly driven by the ramp-up of two key products an inactivated vaccines and a sterile ophthalmic gel.
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Ravi Mitra:

In H1 FY '26, adjusted for ESOP -related expense and one -off provision, the EBITDA stood at

INR7,092 million, reflecting a margin of 24%. For base business, excluding Cenexi, adjusted EBITDA stood at INR7,622 million, reflecting a margin of 36%. Cenexi EBITDA losses were down to INR530 million from INR971 million in previous year.
Other income, primarily consisting of foreign exchange gains and interest earned from bank deposits amounted to INR842 million in Q2 FY '26 and INR1,417 million in H1 FY '26.
Consequently, our net profit for the quarter stood at INR1,837 million. During the quarter, we achieved a PAT margin of 12%, in line with Q2 FY '25. This is after considering the above - mentioned additional cost factors. Net profit for H1 FY '26 stood at INR3,992 million or 13% against 11% in previous year.
On a stand alone basis, our effective tax rate was 26% for the quarter.
As of September 30, 2025, our total cash and equivalents at the group level stood at INR30,999 million, including non -callable deposits of INR3,960 million. External debt at Cenexi level stood at INR2,544 million. Cash flows from operations during Q2 FY '26 was INR3,312 million, while for H1 FY '26, it was INR5,933 million.
Our average cash conversion cycle was 163 days for the

first half compared to 172 days at the
end of FY '25, largely on account of better receivable and payable management.
Total capex during the first half of the financial year amounted to INR1,969 million, mainly deployed in Cenexi for the new projects, capacity building and maintenance capex. The expected capex for full year FY '26 for Gland base business is approximately INR2,500 million and for next year, it is expected to be approximately INR3,000 million. We are investing in capacity enhancement at our Pashamylaram site in cartridge fill -finish, including pen assembling and packaging line, insulin production, powder fil ling line and ophthalmic suspension line.
With that, I would now like to request the moderator to open the line for questions. Thank you.
Moderator: The first question is from Sucrit Patil from Eyesight Fintrade.
Sucrit Patil: I had a forward -looking question on Gland Pharma's long -term planning. As global pharma outsourcing grows and competition intensifies, what is Gland Pharma doing to build a strong edge, not just by expanding capacity, but by creating something deeper that makes the company hard to replace?
Srinivas Sadu: Yes. So if you have heard about my original comments on what we're trying to do, not just capacities on what we have today, but also building capabilities around the complex side. If you look at the growth which came from last quarter also are from the lau nches, what we've done on the Specialty segment, CDMO launche s that we have done, whether it's auto injectors or pen-device systems.
Added to that, the complex injectable manufacturing set of what we have done, that also we are expanding into different technologies. So from manufacturing capability perspective and GLANDGland Pharma Limited
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Added to that, the complex injectable manufacturing set of what we have done, that also we are expanding into different technologies. So from manufacturing capability perspective and

technology perspective, we are expanding the areas where there is an entry barrier to others to come in.

Added to that, we are also entering spaces of biologics and biosimilar CDMO as well. So not just from the compliance perspective, but from manufacturing and development perspective, these are difficult areas compared to the generic portfolio, what we've be en doing for the many decades.

Sucrit Patil: I had a final question in regard to margin and cost planning. As input costs and regulatory dynamics keeps on shifting. How are you planning to protect the margins? And what cost levers do you think will remain strong over the next few quarters?

Srinivas Sadu: If you have seen last three to four quarters, we are actually improving our margins quarter -on-quarter basis because of the initiatives we have taken both from automation of lines, also from input materials and also from the operational efficiencies' perspective, working on the batch sizes and also looking at the bottlenecks where we can automate smaller things.

So several initiatives have been taken, and if you really see from the adjusted EBITDA perspective, the base business today is around 37% EBITDA, which is more than what we have been anticipating. We're targeting around 35%, now it's 37%. And also the portf olio rationalization we have done. So one of the key aspects is how to get good ROCE.

So the initiatives we are taking is on the portfolio side, which are the areas we want to enter in and focus on instead of just going after the small margin products. So the focus is on margin and EBITDA and PAT rather than just the top line . Because on a long -term basis, we think with low-margin products, especially in injectables, high -quality production, it's difficult to sustain on a long run. That's why you could see a shift on how we are looking at things moving forward on specialty products and the i nvestments we're making towards that.

Moderator: The next question is from Yash Singhee from Renaissance Investment Managers.

Yash Singhee: Sir, just wanted to ask a couple of questions on the U.S. business. So I just wanted to understand, when does the revenue pickup from cangrelor and dalbavancin is expected to kick in? And how is the ramp -up expected going on in the U.S. business going to h appen post tax? And how the margins are going to look post the ramp -up. So that was the first question.

Srinivas Sadu: Dalbavancin is next quarter, the goal date is this quarter . Sorry, this quarter is dalba , so the goal date is actually this month. So you'll see revenue coming from that product in this and next quarters. And initially, there will be a larger quantity pickup because of the pipeline filling and then it will normalize. Cangrelor , we have time because of the patent situation, b ut dalba is this quarter.

From U.S. growth perspective, like we said, actually, it's been a strong quarter for U.S. If you actually break down the U.S. sales, we have grown from the product perspectiv

e almost 17%,

almost 7% coming from the new launches and 10% from the products which are there before. GLANDGland Pharma Limited

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So the initiatives we are taking is on the portfolio side, which are the areas we want to enter in and focus on instead ofjust going after the small margin products. So the focus is on margin and EBITDA and PAT rather than just the top line. Because on a long-term basis, we think with low-margin products, especially in injectables, high-quality production, it's difficult to sustain on a long run. That's why you could see a shift on how we are looking at things moving forward on specialty products and the investments we're making towards that.
Moderator: The next question is from Yash Singhee from Renaissance Investment Managers.
Yash Singhee: Sir, just wanted to ask a couple of questions on the U.S. business. So I just wanted to understand, when does the revenue pickup from cangrelor and dalbavancin is expected to kick in? And how is the ramp-up expected going on in the U.S. business going to happen post tax? And how the margins are going to look post the ramp-up. So that was the first question.
Srinivas Sadu: Dalbavancin is next quarter, the goal date is this quarter. Sorry, this quarter is dalba, so the goal date is actually this month. So you'll see revenue coming from that product in this and next quarters. And initially, there will be a larger quantity pickup because of the pipeline filling and then it will normalize. Cangrelor, we have time because of the patent situation, but dalba is this quarter.
From U.S. growth perspective, like we said, actually, it's been a strong quarter for U.S. If you actually break down the U.S. sales, we have grown from the product perspective almost 17%, almost 7% coming from the new launches and 10% from the products which are there before.

And in the previous quarter, we did mention about new contracts that we signed with GPOs that started to effect last quarter. That's what has generate another 10% growth. Where we have lost is on the milestone revenue. Milestone revenue actually we did only about INR44 - 45 crores, which is normally, we do around INR75 - 80 crores. That's a normal run rate.
Combination of different factors. One is, of course, the situation in the U.S. and so people slowed down on licensing products to wait and see, that's one. Second, of course, the timing, generally, some quarters, it may be low, some quarters, it may be hig her depending on t

he milestone we
achieved in that particular quarter. So it's more of a timing issue, which might bump up in the next couple of quarters. So I think overall, we are on track, at least in the U.S., we are doing better than we thought of.
Yash Singhee: Understood. Milestone revenues are related to enoxa and heparin. Is that correct?
Srinivas Sadu: No, no. milestone revenue is on the new products, what we license out to companies. And whenever we reach a milestone in terms of development or filing and approval, we'll get different milestones. So once you achieve that, you'll get that milestone revenu e.
Yash Singhee: Understood. So just on the enoxa and heparin sales, if I look at the FY '23 levels, is that wrong to look at that an elevated level because of COVID or something? And is the range currently, in which we will grow, based on the last year's base, is that rig ht understanding?
Srinivas Sadu: That's correct. FY '23 was a COVID year. So that's an aberration, but the growth is from the previous year. And Enoxa to Civica supply started this quarter. So it's one of the growth levers which we have mentioned last quarter.
Yash Singhee: So there is no inventory buildup issue now if that reverts, right?
Srinivas Sadu: No. There's no inventory build -up. There's normalcy.
Moderator: The next question is from Tushar Manudhane from Motilal Oswal Financial Services.
Tushar Manudhane: Sir, in addition to milestone revenue, if you could also share how much has been the profit share for the quarter or the revenue share?
Srinivas Sadu: Quarter share is about 13%.
Tushar Manudhane: Okay. And sir, secondly, what explains this because the proportion of let's say, milestone and revenue share for the quarter has been broadly lesser compared to, let's say, earlier quarter or even year -on-year basis. And despite that, the gross margin of b ase business has been improving.
If you could first sort of highlight that .
Srinivas Sadu: Profit share generally is around 9% to 10%. So it's because of the high -margin products what we launched last quarter, and the previous quarters, so it is a bit high 13%. So you can consider the margin of the products have improved compared to before. We s ee the contribution margin of the products are also higher compared to before, while the milestone revenue has gone down.

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Tushar Manudhane: And on the Cenexi side, the gross margin has been trending lower. So if you could elaborate on that aspect as well.
Srinivas Sadu: I think it's more to do with product mix. And then the products what you make during the shutdown, what's possible. But overall, I think if you look at the entire year, the product mix won't change much. I think it's more to do with what you produce during that quarter.
Shyamakant Giri: On a YTD basis, we maintained the gross margin at 74%.
Tushar Manudhane: Full year '26 can be considered to be 74%, 75% to be gross margin on a sustainable basis?
Shyamakant Giri: Yes.
Srinivas Sadu: Yes.
Tushar Manudhane: And secondly, just on this considering the number of products being approved under RTU, if you could just share how much sales may be annualized quarterly, we make from these products?
Srinivas Sadu: We take that offline, Tushar. You can reach out to us.
Moderator: The next question is from Neha Manpuria from Bank of America.
Neha Manpuria: The first question is while you mentioned that the second half would be even stronger, we had given a guidance of mid -teens for the consolidated revenue growth previously. Does that still hold? I mean, how much stronger can second half be? Because if I loo k at your first half run rate, that will imply second half being over 20% sort of growth. Do we have that kind of visibility on second half?
Srinivas Sadu: Yes. If you see, we have seen a growth compared to the first quarter. And then Dalba is a bigger product which we're going to be launch this quarter. 1%, 2% this way that way, but we should come closer to that.
Neha Manpuria: So just to be clear on a full year basis, we still maintain the mid -teen growth guidance?
Ravi Mitra: Yes. Neha, on a consolidated basis, we should be there. Maybe a few percentage here and there but should be there. As Mr. Sadu mentioned, that bigger products are planned to be launched in H2.

Neha Manpuria: And how much of this would be driven by Cenexi revenue. Cenexi representing 20% growth. I think we had mentioned EUR 50 million as the revenue run rate that we want to achieve exit. So are we on track to achieve that for Cenexi?
Ravi Mitra: Yes, EUR 50 million is our target from Q3.
Neha Manpuria: Okay. And just an extension on Cenexi. Again, while the profit will improve, will the EUR 50 million allow us to achieve breakeven in Cenexi? Would that be a fair assumpti

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Srinivas Sadu: Yes. That should be EBITDA positive, yes.
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Srinivas Sadu: Yes. That should be EBITDA positive, yes.

Neha Manpuria: Okay. So technically, that would mean exit third quarter, fourth quarter, we are EBITDA positive in Cenexi?
Srinivas Sadu: Yes. Maybe a couple of million lower than that also could bring us EBITDA positive. But for sure, if we hit EUR 50 million, then it will be EBITDA positive.
Neha Manpuria: Understood. And I think in the opening comments, there was mention of new wins in Cenexi for a couple of products. If you can give some color in terms of when we should start seeing that flowing through? And also the license we talked about a $250 million build for Cenexi in the next 2 years? I mean, do we have the building blocks to get there? If you c ould give us some color on that?
Ravi Mitra: Neha, we'll check that and let you know by when this commercialization will happen.
Shyamakant Giri: But Neha, just to add on. There are strategic initiatives that we have taken in Cenexi like head count optimization, price increases, we are creating a back office in India to support the finance and IT, the capacity enhancement and all of that. So there a re many things going on. And the whole EBITDA [loss] decreased from EUR 11 million to EUR 5 million, signals that our transformation project is on the right track, and it will continue to remain on that

track.
Neha Manpuria: Understood. I have 2 more questions, if I may. First, on the other regulated markets, that seems to have come up very sharply. I read that in the presentation that you had mentioned phasing.

By phasing, you mean that some of the supplies have been captured in the first quarter, and I should look at the first half as a run rate or some of the supplies is likely to come in the third quarter?

Shyamakant Giri: So this is more one molecule timing issue in Europe that you see. Neha, this will get corrected in the quarters to come. So we had Daptomycin moving from one quarter to other.

Neha Manpuria: Okay. Sir, this still comes from the second half?

Shyamakant Giri: Yes.

Neha Manpuria: Okay. And last question on ROW. I think, Giri had mentioned that that's a big growth driver that you're looking at. We are investing in creating the portfolio. When can we start seeing momentum in the ROW business because it's clearly not evident in the last few quarters? So when does ROW start picking up for Gland?

Shyamakant Giri: So ROW, if you were to little split the ROW business into 2, one is the product sales, the product that we sell to our partners across ROW. That part is growing by around 19%, Neha. That part is a significant portion around, 90% or 93% of what we do in ROW is that part. But we also have our CMO product. We also do some CMO business for companies where the goods end up getting distributed the ROW. The tech transfer project. That part is going down by 53%. And therefore, the net result is a little flattish g rowth. But yes, as you said, our strategies in ROW started to work where we have seen growth across regions, Lat am, Southeast Asia, Africa, Middle East of the world. And we are happy that our product sales are growing 19% on the first half by 19%. And that to me is the industry beating growth.

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Neha Manpuria: And this CMO is likely to remain subdued for the next few quarters since I'm assuming that tech

transfer is not happening. .
Shyamakant Giri: So we do things for Lilly, DRL and all of that. That will also increase, but it will take a couple of quarters to come to the top.
Moderator: Next question is from Bino Pathiparampil from Elara Capital.
Bino Pathiparampil: Just a couple of questions. Maybe a little bit follow -up to earlier questions. I was looking at this overall regulated market business, this is stuck at around $95 million plus/minus rang e for last 8 to 10 quarters.
Of course, you mentioned that in second half, you have some large products, so you will see some growth. But apart from that, do you have confidence that this business can grow at double digits continuously over the next 5 years? Do we have that visibility?
Srinivas Sadu: I think you have to look at the combination of what we do in the U.S., just not our own products what we sell, but also the complex CDMOs what we're doing. So I did mention in my previous call that from the growth what we achieved of 17% in the U.S. last q uarter, 7% actually came from the CDMO portion of the business, which we are doing for companies that are already there in that market where they did a tech transfer to our site.
So in addition to the products, what is giving us growth with the new launches, what we're doing from our R&D portfolio, there's also substantial growth coming from the initiatives we're taking from the CDMO aspect. That's why you're seeing this growth com ing from the U.S. But if you really see pure generic U.S. market, it may be growing at 4%, 5%, but we're growing higher than that.
Bino Pathiparampil: No, I'm looking at the whole regulated market business as a whole. If some when U.S. grows something else is coming off and something else grows, the U.S. comes off, and the 17% you are talking also has a huge tailwind o f currency depreciation. In U.S dollar terms, the growth is not that big. So as a whole, the regulated market business piece , do we have visibility of double - digit growth over the next few years?
Srinivas Sadu: Yes, we do have because of some of the contracts we signed on the CDMO side for Europe market. if you're considering that also regulated, then we do have growth. We did mention about colistimethate, which is an on -market product, which we had a dedicated line, that's getting started next quarter. So that's a huge business.
So if you combine all these in the regulated markets, there is a growth, and most of it is actually coming from the CDMO side of it.
Bino Pathiparampil: Understood. Second, on this Cenexi earlier, we had a very firm guidance of breakeven in Q3. Do we still have that strong visibility?

Or is it that we have a target of EUR 50 million and if we achieve that, we will break even?
Srinivas Sadu: No, no, we do stick to that breakeven guidance for this quarter [Q3FY26] . GLANDGland Pharma Limited November 03, 2025
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Moderator: The next question is from Abdulkader Puranwala from ICICI Securities.
Abdu lkader Puranwala: So my first question is with regards to your R&D expense going up this quarter to roughly, say, 6% of the top line. So if you could highlight where that expense is exactly getting invested into?
Srinivas Sadu: If you see filings, there are 6 filings which happened during the quarter and also the complex portfolio, what we're handling. So that's a bit more expensive compared to generic product what we produce. It's a combination of these two.
Abdulkader Puranwala: Okay. So I mean, should we account this as a kind of a onetime and then it moves back to that rough

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Srinivas Sadu: Yes, roughly, we always say around 5% on an annual basis, it should be around that.
Abdulkader Puranwala: Okay. And sir, my second question is with regards to the progress on GLP -1 capacity and biologics. So sir, any comments on how the traction is building in terms of getting new customers for your additional capacity? And on the biologics side, in past, I think we announced something for Dr. Reddy's. So where are we on that as well?
Shyamakant Giri: So on the GLP side, as I mentioned, we have launched the first partner GLP -1, liraglutide. And we have 40 million capacity up and running, building another 100 million. So by mid of next year, we'll be having 140 million capacity on cartridges, which makes us one of the top tier capacities here. On GLP -1, on the cartridge line, we are also importing opportunities beyond GLP -1. Two more contracts are getting signed on the GLP -1. We will, of course, tell you guys when it's signed. On the biologics, the DRL revenue has started to -- we have started reporting the DRL revenue this quarter onwards. And as we go further that arrangement is solid. And we know the whole biologics plant st arted to give us revenue. We also have intent to increase the capacity in the biologics plant from 8 KL to 23 KL and that collaboration's discussions going on with companies in India and outside of India.
Abdulkader Puranwala: Okay. So with the revenues for DRL, which segment are we exactly recording right now? .
Ravi Mitra: So we have not any separately segment we are recording. It's in the normal revenue it is coming. We have only one segment as of now.
Abdulkader Puranwala: I'm talking with regards to your markets like U.S., Europe, other core markets or ROW where exactly that gets captured?
Ravi Mitra: Currently, it is India only.
Moderator: Next question is from Aman Goyal from Axis Securities Limited.
Aman Goyal: My question is related to U.S. business. Can you just elaborate the difference between price erosion and the volume uptick in the U.S. -based business and contribution from the new products?
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Srinivas Sadu: Price is almost flat if you compared to the previous quarter. It's no variance. Quantity, 10% and new launch is 7%.

Aman Goyal: Okay. And sir, what is the update on RTU, how much market share we are targeting for consolidated RTU?.

Srinivas Sadu: Generally, in the RTU products -- I mean, any product, you start with 15% or so till the contract opens. But if it's already available in the market, it's easier. But otherwise, you have to create that market. So several products which are already there , initially it's around 15%, 20%, and then it will increase once the GPO contracts opens.

And you see our top 20 products, almost I would say 80% of the products we have a market share of 25% and above. So we should assume that we will get there sooner or later. Some, we also have like 40% market share.

Moderator: The next question is from Rahul Jeewani from IIFL.

Rahul Jeewani: Sir, I had a question with respect to the base business ex Cenexi. Now if we see our base business ex Cenexi has been flat for past 5, 6 quarters. Now listening a year back, we had guided to a mid-teen' kind of growth on the base business as well. But given the muted trends which we are seeing on the base business, apart from the ramp -up, which we expect in second half because of a couple of new launches like dalbavancin, can you provide some outlook in terms of how the base business growth would be going into '27, ' 28. So that's my first question?

Shyamakant Giri: Although we are flat overall, but on the U.S. side, we grew by 8%. So let me give you some more data on our U.S. business. Our top 20 molecules on YTD basis have grown by 9%. Our top 10 molecule on YTD basis has grown by 14%. Our customers are intact. Our top 10 customers in the U.S. grown by around 19% , so yes, U.S is where we ar e growing .

We have talk ed about the decline RoW. Though, in RoW own products sales we are growing 19% YTD. But on the CMO side in ROW, we have degrown 53% which again will get corrected from an overall standpoint. So having said that, our base business and given all the R&D launches or the new product launches, we are confident that we will grow.

Shriniwas Dange : And just to add to this, if you see, we have been investing into the capex, including the pen assembly line, fill and finish of cartridges, insulin products and powder filling and ophthalmic suspension. So all these portfolios of complex products would help us to have a growth in rest of the world market and the regulated market as well. So put together, we are confident of achieving a mid -teens growth [at consolidated level] in coming couple of years.

Rahul Jeewani: Sure, sir. So this mi

d -teen growth guidance, which we have for '26, obviously, there is a currency benefit of Cenexi sitting in there. So Cenexi in first half of this year has grown 30% in INR terms.

But if I look at the constant currency growth for Cenexi, that's around 10%. So this year again, has been muted if you ex out the currency benefits. So yes, some better visibility, clarity in terms of what would help us to achieve this mid -teen kind of a growth going forward would be helpful ? GLANDGland Pharma Limited

November 03, 2025

Aman Goyal: Okay. And sir, what is the update on RTU, how much market share we are targeting for

consolidated RTU?.
Srinivas Sadu: Generally, in the RTU products — I mean, any product, you start with 15% or so till the contract opens. But if it's already available in the market, it's easier. But otherwise, you have to create that market. So several products which are already there, initially it's around 15%, 20%, and then it will increase once the GPO contracts opens.
And you see our top 20 products, almost I would say 80% of the products we have a market share of 25% and above. So we should assume that we will get there sooner or later. Some, we also have like 40% market share.
Moderator: The next question is from Rahul Jeewani from IIFL.
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Srinivas Sadu: So a couple of large projects are, like we mentioned, the Dalbavancin project. The other is the CMS project, what we just got approved. That's a large project where it's on -market product tech transfer from Xellia , that's almost INR150 crores project. So that's a larger one.
Rahul Jeewani: Sure, sir. And on the GL

P -1 portfolio, while you have commercialized liraglutide with a partner, when do you expect your sema launches to begin across markets? And at least our earlier expectation was that the incremental 100 million while capacity or cart ridges capacity, which you are putting up would largely bring from a regulated market perspective.
So just in terms of sema launches across EM and ROW markets, and what kind of visibility you have right now for utilization of the initial 40 million capacity? .
Shyamakant Giri: So we have one contract already, two in line, three total. We are also looking at more contracts in GLP. So our 40 million capacity, which is currently is now kind of filled up. Now the 100 million capacity that we're building second half of next year, is where we'll start selling that capacity .
We're already in talks with many companies, Indian companies for the global market, global companies for global market. So yes, we have positioned ourselves as a top -tier GLP capacity company and a lot of RFPs and a lot of discussions happening today.
Srinivas Sadu: Rahul, what we have signed off is three earlier, right, and two more under discussion. Out of the 3 filed products, as you know, sema opens up next year in some markets. So it will start supplying to those markets if they get approval, ultimately, it's the CDMO business.
Once they get approval in those markets, we start supplying. As everybody knows, these are the -- other than Canada and India, there are a couple of other non -regulated markets where the supplies will start too, once approvals come.
But until that time, majority of the contracts are signed on the exhibit batches and all that, of course, lira is also going from the same line. But the majority of the market comes only till '30, right? I mean the sema. But all the semi -regulated in Canad a will start next year once our partners

get approved in this market.
Rahul Jeewani: Sure, sir, just a follow -up on that. So let's say, this 40 million capacity, the initial capacity. So you are confident of utilizing this entire capacity let's say, by FY '28 because by FY '28, we would be in 2 years of Sema launches across these markets.
Srinivas Sadu: Correct. It's a combination of lira, sema, a few other projects that we're working on that, but it will utilize -- at least it will take 2 years to ramp -up from early next year.
Rahul Jeewani: Sure, sir. Thank you. That’s it from my side.
Moderator: Thank you very much. That was the last question in queue. I would now like to hand the conference back to the management team for closing comments. GLANDGland Pharma Limited
November 03, 2025
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Moderator: Thank you very much. That was the last question in queue. I would now like to hand the conference back to the management team for closing comments.

Shriniwas Dange: Thank you all for joining us today. We appreciate your participation in the question -and-answer session during the call. If you have any follow -up questions, please feel free to reach out to us.
We look forward to connecting with you again next quarter. Th ank you.
Moderator: Thank you very much. On behalf of Gland Pharma Limited, that concludes the conference.
Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

Thank you all for joining us today. We appreciate your participation in the question-and-answer session during the call. If you have any follow-up questions, please feel free to reach out to us.

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Call: Feb 2026

February 03 , 202 6

BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
25th floor, Dalal Street
Mumbai - 400 001
Scrip Code: 543245 National Stock Exchange of India Limited
Listing Department
Exchange Plaza, 5th floor
Plot no. C -1, Block G, Bandra Kurla Complex Bandra
(East), Mumbai - 400 051
Symbol: GLAND (ISIN: INE068V01023)

Dear Sir/Madam,

Sub: Earnings call Transcript – Q3FY26

Please find enclosed the transcript of the Earnings call for Q 3FY26 of the Company held on Wednesday , January 28 , 2026, at 18.30 Hrs. IST. This will also be available on the Company's website and the web link to access the same is https://glandpharma.com/investors/financials

This is for your information and records.

Yours truly,
For Gland Pharma Limited

Sampath Kumar Pallerlamudi
Company Secretary & Compliance Officer

Encl: As above GLAND PHARMA LIMITED
February 03, 2026
BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
25thfloor, Dalal Street
Mumbai - 400 001
Scrip Code: 543245National Stock Exchange of India Limited
Listing Department
Exchange Plaza, 5th floor
Plot no. C-l, Block G, Bandra Kurla Complex Bandra
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This is for your information and records.
Yours truly,
For Gland Pharma Limited
Sampath Kumar Pallerlamudi
Company Secretary & Compliance Officer
Encl: As above
Regd. Office: Corporate Office:
Survey No. 143-148, 150 & 151, Near Gandimaisamma 'X' Roads Plot No. 11 & 84, TSIIC Phase: IV
D.P. Pally, Dundigal, Dundigal-Gandimaisamma Mandal Pashamylaram (V), Patancheru (M), Sangareddy District
Medchal-Malkajgiri District, Hyderabad 500043, Telangana, India Hyderabad 502307, Telangana, India
Tel: +91-40-30510999 Fax: +91-40-30510800 Tel: +91-8455-699999
CIN: L24239TG1978PLC002276 | email: gland@glandpharma.com; investors@glandpharma.com | www.glandpharma.com

“Gland Pharma Limited
Q3 FY26 Earnings Conference Call ”
January 28, 202 6

MANAGEMENT : MR. SRINIVAS SADU – EXECUTIVE CHAIRMAN –
GLAND PHARMA LIMITED
MR. SHYAMAKANT GIRI – CHIEF EXECUTIVE OFFICER
– GLAND PHARMA LIMITED
MR. RAVI MITRA – CHIEF FINANCIAL OFFICER –
INDIA OFFICE – GLAND PHARMA LIMITED
MR. ALAIN KIRCHMEYER – CHIEF EXECUTIVE
OFFICER – CENEXI
MR. SHRINIWAS DANGE – INVESTOR RELATIONS –
GLAND PHARMA LIMITED

GLAND
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Moderator: Ladies and gentlemen , good day and welcome to the Gland Pharma Limited Q3 FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone.

I now hand the conference over to Mr. Shriniwas from the Investor Relations team. Thank you, and over to you, sir.

Shriniwas Dange : Thank you, R ayo. Good evening, everyone. We welcome you to Gland Pharma Earning s Conference Call for Q3 of FY 26. I'm Shriniwas Dange from the Investor Relations team at Gland Pharma. Today, we have Mr. Srinivas Sadu, Executive Chairman; Mr. Shyamakant Giri, Chief Executive Officer; Mr. Ravi Mitra , Chief Fin ancial Officer from India Office and Mr. Alain , CEO of Cenexi, who is connected virtually from France.

We will begin the call with the business highlights from Mr . Sadu, followed by operational highlights from Mr. Giri. This will be taken up by updates about Cenexi from Mr. Alain and lastly the group financial overview by Mr. Ravi. Before we proceed, I would like to remind everyone that some of the statements made today will be forward -looking and are based on management's current expectations.

These statements should be considered in light of the risk associated with our business. This call is being recorded. The playback and script will be available on our website shortly. I hand over the call to Mr. Sadu for his opening remarks. Over to you, sir.

Srinivas Sadu: Thank you, Shriniwas . Good evening, everyone and wishing you all a very happy and prosperous New Year. Welcome to Gland Pharma's earnings cal l for Q3 and 9 months ended FY 26. I will begin with a brief strategic overview, following which, our CEO, Mr. Shyamakant Giri, will provide operational updates. Alain will then share an update on Cenexi and Ravi will walk you through our financial performance.

Now let me give you our performance overview. I'm pleased to report that Q3 FY '26 was a strong quarter, marked by solid revenue growth and improved profitability, reinforcing our confidence in full year FY '26 performance. During the quarter, revenues grew by 22% year -on-year to INR16,954 million, with broad -based growth across businesses, including Cenexi. Adjusted EBITDA increased by 25% year -on-year to INR4,490 million, supported by higher base business revenues, continued traction in CDMO programs, cost efficiency initiatives and a visible EBITDA turnaround at Cenexi. For the 9 months ended FY '26, revenue grew by 12%, while adjusted EBITDA increased by 26%. This reflects strong execution, better operating leverage and disciplined capital allocation.

We remain confident in sustaining this momentum supported by upcoming product launches, ramp -up of recently secured CDMO contracts and incremental contributions from new capacities. Looking at the growth drivers and pipeline expansion , we are significantly expanding cartridge fill and finish capacity from 40 million to 140 million units.

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Beyond cartridges and GLP -1s, our pipeline of complex products including harmones suspensions, peptides , RTU bags, co -development programs, biosimilars and specialty injectable platforms, provides long -term growth visibility. We also secured multiple new CDMO partnerships across oncology, peptides and prefilled syringes.

What are our strategic focus areas? Our strategy is anchored on growth, capability, efficiency and RoCE with a clear object of building Gland Pharma into a high -end innovation -led CDMO and specialty injectables company. This translates in to focus on capex and B rownfield expenses to build differentiated capabilities, R&D investments to strengthen the product pipeline, cost efficiency initiatives to protect margins, new contract wins to drive sustained revenue growth and Cenexi turnaround to enhance profitability.

On the Brownfield expansion front. Over the next 5 years, we plan to invest approximately INR2,000 crores in capex, primarily towards BFS and ophthalmic lines as well as capex towards CDMO contracts. Brownfield expansions will include new lines, lyophilizers and additional warehouse capacity.

India's pharmacy industry is undergoing one of the most exciting transformations in global health care. Rising R&D investments are fuel ling complex molecules, novel therapies and deeper manufacturing capabilities. This is not just growth – it's strategic evolution. India pharma is going from being the pharmacy of the world to becom ing a global innovation hub. Our investments are aimed at not only to support growth of base business, strong pipeline of CDMO contracts, but also pipeline of complex , differentia ted and higher value products , and will help us grow not just from volume led, but also from value -led products as well. Selective and disciplined capital deployment will ensure strong ROCE, healthy cash generation and effective working capital management.

Cost efficiency and margins sustainability is key to the success, while driving growth, maintaining healthy margins remains a key priority.

Our cost savings ini

tiatives include yield improvement, alternate vendor development, alternative energy sourcing, enhanced line efficiencies, operational excellence programs and automation. These measures typically deliver savings of 1 to 2 percentage poi nts, helping offset any pricing pressure or product mix impact.

Sustained base margin s are supported by process optimization in alternate API sourcing, portfolio rationalizatio n, focusing on higher -margin products, reallocation of capacity to our complex and niche formulations, increased automation and digitalization to improve productivity and reduce waste.

R&D is also becoming a core differentiator, both in speed and delivering differentiated products. Our R&D investments continue to increase, reflecting our commitment to differentiated pipeline. During this quarter, we invested 5.4% of revenues in R&D, primarily focused on complex injectables, advanced delivery systems and platform -based development. We f iled nine ANDAs, received four approvals, and launched ten [nine] new products in the U.S. Our RTU GLAND]Gland Pharma Limited
January 28, 2026

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ANDAs, received four approvals, and launched ten [nine] new products in the U.S. Our RTU

bags portfolio continues to scale with 20 products filed, 16 approved and 13 under development,
addressing an estimated market opportunity of $685 million.
Our core development pipeline now includes 15 products under active development across high
potential categories, including seven 505(b)2 filings and eight ANDAs, reinforcing our focus on
differentiated injectable platforms.
There are new contract wins during the quarter. Long -term growth is being driven through new
superior and technically differentiated CDMO contracts with large pharma companies, in -
licensing opportunities for complex products and expansion beyond traditional B2B models.
We have entered into a few long -term CDMO contracts for already commercialized products.
While these require dedicated lines, it can add revenues over the medium term with durable
revenue visibility.
In the GLP -1 and cartridge segment, new partnerships are getting added further strengthening
our medium -to-long-term growth outlook. I'm pleased to inform you that our partner has
received approval for liraglutide in the U.S., and we are ready for the U.S. launch in this quarter.
On Cenexi turnaround update, Cenexi delivered revenues of EUR 50 million and EBITDA of
EUR 1 million during the quarter, in line with our guidance. Performance improved through
focused capacity debottlenecking, contract re -pricing to account for inflation, workforce
optimization, higher utilization and deeper operational integration with Gland .
We continue to see steady progress in stabilizing the business and building a foundation for
profitable growth with additional synergies expected over the coming quarters. We expect
Cenexi to remain on a growth trajectory through the mid -to-long term. The overarching objective
of these initiatives is to enhance not just scale, but also the quality of earnings and capital
productivity, ensuring sustainable value creation for shareholders.
Our strategic direction remains clear to build Gland Pharma a global innovation -led injectable
and CDMO company that consistently delivers revenue growth, margin expansion and superior
capital efficiency.
Thank you for your continued trust and support. I will now invite our CEO, Mr. Shyamakant
Giri to share his perspective on operational and business performance. Over to you, Giri.
Shyamakant Giri: Thank you, Mr. Sadu. Good evening, everyone and my best wishes for the new year. Thank you
for joining us today. This was a strong quarter with 22% revenue growth and solid profitability.
Adjusted EBITDA margins were 26% and adjusted PAT margins 16%. Growth was broad -based
with strong results in both Gland's core business and Cenexi, where we met our near -term
quarterly sales target of EUR 50 million.
In Q3 FY '26, we posted robust growth in regulated markets. Revenue rose 19% in the U.S. and
54% in Europe, driven partly by 39% top line growth at Cenexi. Given this momentum, we are
confident we can maintain full year FY '26 growth. Let me now walk you through our
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Limited
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Thank you for your continued trust and support. I will now invite our CEO, Mr. Shyamakant Giri to share his perspective on operational and business performance. Over to you, Giri.

Shyamakant Giri:

Thank you, Mr. Sadu. Good evening, everyone and my best wishes for the new year. Thank you for joining us today. This was a strong quarter with 22% revenue growth and solid profitability. Adjusted EBITDA margins were 26% and adjusted PAT margins 16%. Growth was broad-based with strong results in both Gland's core business and Cenexi, where we met our near-term quarterly sales target of EUR 50 million.

In Q3 FY '26, we posted robust growth in regulated markets. Revenue rose 19% in the U.S. and 54% in Europe, driven partly by 39% top line growth at Cenexi. Given this momentum, we are confident we can maintain full year FY '26 growth. Let me now walk you through our consolidated performance. In Q3 FY '26, consolidated revenue was INR1 6,954 million, up 22%

year-on-year. Consolidated adjusted EBITDA grew 25% to INR4,490 million, supported by Cenexi reaching breakeven. Consolidated EBITDA margin was 26%. Our year -to-date numbers show strong progress . For the first 9 months of FY '26, consolidated revenue reached INR46,879 million, up 12% over 9 months FY '25. Adjusted EBITDA was INR11,582 million, with margins up to 25% from 22% last year, driven by better base business performance and Cenexi turnaround.

I will now highlight the performance of our base business a t Gland , excluding Cenexi , before detailing performance by each key market segment. The U.S. market, we launched 9 molecules in Q3 FY '26, inc luding Argatroban, Acetazolamide and Doxycycline. US revenue grew 16% year-on-year INR8,290 million in Q3 and reached INR23,446 million for 9 months FY '26.

In other regulated markets like Europe, Canada, Australia and New Zealand, we generated INR881 million in quarter 3 FY '26, reflecting a 16% year -on-year increase. For the 9 months ended FY '26, revenues from this market reached INR2,454 million, marking a 17% year -on-year rise.

In the RoW marke

t, we grew by 12%, contributing to INR1,876 million in Q3 FY '26 . In RoW, own-product revenue grew 7%, while tech transfer CMO revenues increased 44%. For 9 -month FY '26, RoW revenues were INR5,044 million, up 5%.

India generated revenues of INR744 million, in Q3 FY '26, up 32% year -on-year. For 9 -month FY '26, India business revenues were INR2,002 million, which is 6% of the total base revenues.

Cenexi delivered a strong performance. Quarterly revenues were EUR 50 million, up 21% in constant currency. For 9 months FY '26, Cenexi revenue rose to EUR 138 million from EUR 121 million last year, a 14% constant currency increase.

This performance reflects disciplined execution over the past year, including higher capacity utilization, contract renegotiations, workflow rationalization, new product ramp -ups and stronger integration with Gland in business development, tech transfer and shared functions. With several strategic initiatives underway, including expanding the ampoule line at Fontenay , and adding a vial and a combo lines at the BLA, we are confident in Cenexi's medium and long - term growth despite inherent quarter -to-quarter fluctuations.

Overall, this quarter, we strengthened our market footprint driven by broader reach and more traction from our differentiated high value product portfolio. Our commitment to quality and regulatory compliance is unwavering, and so is the strong cost discipl ine operational efficiency. We remain focused on building capabilities through organic and inorganic investments, talent development and leadership. We believe these efforts position us for sustained growth and long -

term value. In summary, our strong results this quarter reaffirm our strategic direction and ability
to deliver sustained value. We are well positioned to seize future opportunities and drive long -
term success.
I will now invite Alain to provide more details on Cenexi's p erformance. Over to you, Alain. GLAND]Gland Pharma Limited
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I will now invite Alain to provide more details on Cenexi's performance. Over to you, Alain.

Alain Kirchmeyer: Thank you, Mr. Giri. Good evening, and happy New Year to everyone. This has been a strong quarter at Cenexi, and we are pleased to have delivered on our guidance. Cenexi recorded EUR 50 million in revenue this quarter, a 21% increase over the same period l ast year and the highest quarterly revenue during CY 2025.

All sites showed a major revenue improvement compared to the previous year, with a pickup in revenues from Hérouville and Fontenay. We are happy to inform you that we delivered an EBITDA of EUR1.4 million in Q3 FY'26 in line with our guidance. This underscores that our turnaround strategy is gaining momentum. During the first 9 months of FY '26, revenue stands at EUR138 million, reflecting a 14% growth year -over-year and an EBITDA improvement by EUR10 million.

I will now provide key site level updates. First, at Fontenay, we are investing in a new high -capacity ampoule line, adding 30 million in capacity by 2027. This will strengthen the position of the site on the market as the largest ample manufacturing site in Europe. The site will continue to improve realization by passing on price increases to customers in line with inflation and regulatory requirements. The activity of our Hérouville site continues to grow strongly, supported by the continuous ramp -up in p roduction of two products launched in 2025, an inactivated vaccine and a sterile ophthalmic gel.

Both sites in Braine -l'Alleud and Osny maintained strong momentum and profitability. At
Braine, we are planning to install a new vial line under an isolator. Also, we will install a new
combo line for prefilled syringes and cartridges in 2026. This line wi ll significantly increase our
manufacturing capacity and allow us to attract new high -value projects.
We remain confident in our outlook for calendar year 2026. The strategic initiatives and
investments made so far are expected to begin delivering meaningful results from 2026 onwards,
setting the stage for sustained momentum.
Thank you for your attention. I now invite Ravi to take you through our financial performance
in more detail. Ravi, over to you.
Ravi Mitra: Thank you, Alain. Good evening, and a very happy new year to everyone. Thank you for joining
us today as we review our financial performance for the third quarter and 9 months FY '26. I am
pleased to share that Q3 was a strong quarter for us, marked by healthy revenue momentum
across key markets and continued improvement in profitability. Our consolidated revenue for
the quarter stood at INR16,954 million, reflecting a year -on-year growth of 22%.
The base business performed well with revenues of INR11,790 million, reflecting a year -on-
year growth of 16%, s upported by broad

-based [growth across the key geographies]. Cenexi also
delivered a solid performance with revenues increasing 39% year -on-year to INR5,164 million.
Overall gross margins for the quarter was 66% broadly in line with the previous year and higher
compared to 63% of previous quarter. Excluding Cenexi, base business gross margins stood at
61% versus 63% last year, primarily due to prod uct mix and [were] similar to Q2 of FY '26.
Our performance for 9 months FY '26 has been equally robust. Consolidated revenue for the 9 -
month period reached INR46,879 million, a year -on-year increase of 12%. Base business GLAND]Gland Pharma Limited
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month period reached INR46,879 million, a year-on-year increas

e of 12%. Base businessAlain Kirchmeyer:
Ravi Mitra:

revenues came in at INR32,965 million, and Cenexi revenues rose 26% year -on-year to INR13,913 million.
Overall, gross margins improved to 65%, up from 62% last year, driven by a favorable business and product mix. Excluding Cenexi, base business gross margins were 60% compared to 57% in the previous year.
Expenses during both Q3 FY '26 and 9 months FY '26 were higher primarily on account of increased R&D investments, employee cost and certain onetime items. R&D expenses for the quarter stood at INR650 million, representing 5.4% of sales up from INR437 million last year, demonstrating increase in R&D efforts and filings. Our R&D programs, including complex pipeline continue to progress well. For the 9 -month period, R&D expenses were INR1,725 million, or 5.2% compared to INR1,419 million last year.
During Q3 FY '26, adjusting for ESOP -related noncash expense of INR141 million, EBITDA stood at INR4,490 million with margin of 26%. The EBITDA margins were in line with Q3 FY '25, despite increased R&D spend. For the Base business, excluding Cenexi, adjusted EBITDA was INR4,342 million, with a margin of 37%. We are particularly pleased that Cenexi delivered positive EBITDA of INR148 million during the quarter.
For 9 months FY '26, adjusted EBITDA after excluding ESOP -related expense and one -off items, stood at INR11,582 million, with a margin of 25%. For the Base business, excluding Cenexi, adjusted EBITDA was INR11,965 million with margin of 36%. Cenexi's EBITDA loss narrowed significantly to INR383 million compared to INR1,283 million last year, a meaningful improvement.
Other income, comprising mainly foreign exchange gains and interest from bank deposits amounted to INR632 million in Q3 FY '26 and INR2,049 million for 9 months FY '26.
After adjusting for an exceptional wage code related impact of INR243 million and its consequent tax effects, net profit for the quarter stood at INR2,797 million, translating to adjusted PAT margin of 16% against 15% in Q3 FY '25. Adjusted net profit for 9 months FY '26 came in at INR6,789 million, with margin of 14% compared to 12% last year.
On a stand -alone basis, our effective tax rate for the quarter was 25%.
As of December 31, 2025, total cash and equivalents at the group level were INR30,525 million, including non -callable deposit of INR3,960 million. External debt at the Cenexi level stood at INR3,363 million. Cash flow from operations was INR337 million for the Q3 FY '26 and INR6,269 million for 9 months FY '26.
Our cash conversion cycle averaged 166 days for the first 9 months, an improvement from 172 days at the end of FY '25, largely driven by better inventory and receivable management. Total capex during the first 9 months of FY '26 amounted to INR3,566 million, primarily directed towards new projects of Cenexi, capacity and capability upgrades at our India facilit ies and regular maintenance capex. For this full year FY '26 capex for the base business is expected to be around INR2,500 millio n and EUR 25 million at Cenexi. GLAND]Gland Pharma Limited
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With tha t, I would now request operator to open the line for questions. Thank you.
Moderator: Thank you very much. We will now begin the question and answer session. The first question is from Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.
Tushar Manudhane: Thanks for the opportunity. Sir firstly, on this CMO contract, if you could also share what is the size of th is contract and the timeline for completing this c ontract and starting timeline for this contract . The one with respect to oncology .
Srinivas Sadu: Tushar y ou're referring to the new CDMO contract ? For that the timeline is FY28 probably third or fourth quarter [or] end of '28. The expected revenues are around $25 million to $30 million per year.
Tushar Manudhane: USD25 million to USD30 million per year, starting end '28, correct?
Srinivas Sadu: Yes, correct .
Tushar Manudhane: This would require certain capex from our side, and which is why this contract timing is end of '28?
Srinivas Sadu: Yes. So it's a dedicated -- it's a complex product. So we have to create some dedicated compounding area for this product. So that's why this time, and then the tech -transfer, and then the variation filing. It's a commercial product in Europe and many coun tries. So the variation filing has to happen in Europe and several countries. So that's why the commercial ization will happen in third or fourth quarter of '28.
Tushar Manudhane: And how much capex would you be

requiring for this project?
Srinivas Sadu: About INR80 crores.
Tushar Manudhane: Got it, sir. Sir, just secondly, if you could also share U.S., Europe constant currency growth for the qu arter on a year -on-year basis ?
Srinivas Sadu: About 5%.
Tushar Manudhane: In U.S. and in Europe?
Srinivas Sadu: Overall, it's around 5%. You can take over all.
Tushar Manudhane: For base business?
Srinivas Sadu: Yes.
Tushar Manudhane: Got it. And just lastly, if I may, if you could share milestone and profit share for the quarter?
Srinivas Sadu: Profit share is around 9% and a milestone around 7%.
Tushar Manudhane: Thank you, sir. I have more questions. I will join back the queue. Thank you.
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Moderator: Thank you. Th e next question is from Tarang Agrawal from Old Bridge. Please go ahead.
Tarang Agrawal: Hi, I have two questions. One, if you could give us a sense on how the Cenexi trajectory should play out going forward from here on? And second, in your initial address, you did call out about investing INR2,000 crores. If you could give more color in terms of what is the time line within which you're looking at investing at, the approval time lines and kind of asset t urns that you would look out of investments given that it's going to be a mix of both volume as well as value?
Ravi Mitra: So I'll take the capex question first. So, we would be building a Brownfield expansion for capacity, which should be adding to existing vial, Lyo and other delivery formats. And that is considering the increased demand and other expectations we have. In addition to that, we are also putting a BFS line. We are putting up new ophthalmic line, a suspension line. And th

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would be spent over a period of next 5 years. So next year, our capex should be around more than INR400 crores. And the asset turn should be more than around 3x. Considering the high - value business, we are expecting in this new facility.
Tarang Agrawal: Just a follow -up on this. I mean, what is driving this kind of confidence? I mean from the point of view of customers, you did call out demand, you did call out India being an innovation hub. So if you could just elaborate in terms of the structure of the industry, because there's a sizable portion now from the point of view of where your gross block is today and the kind of investment that you're committing?
Srinivas Sadu: So on the ophthalmic side, the current capacity, we have almost -- we're not able to cater to actually the demand. And we have several products under approval stage and we need additional capacities. Ophthalmic line, which also has capability of suspensions. Today, we don't have ophthalmic line with suspension capability. So that's a need. There are several key products in that space. That's one line we're investing into.
The BFS, there are some specialty products on blow -fill seal technology, which you want to get to you. And we've also seen several markets, the 3 piece is also moving to BFS technology. And currently, we only have a 3 -piece line and we're not able to sell cater to the RoW business because of lack of the BFS technology also.
So as an injectable company, we need that technology and also the way the market is moving, we need to be ahead of it, so that's why we want to invest into BFS. But there are also several - - they have done some good projects we're doing, which falls under BFS, which are on the specialty category. So that's the other one.
In terms of additional capacity, we are running out, I would say, next 1 -1.5 years running out of Lyo capacities. If you see the growth coming from our -- if you look at last few quarters growth, the volume growth is larger . Even last quarter, if you see volume growth is almost 19% in the US while the price has dropped.
So we are aggressively looking to reduce our cost internally, become more efficient. So we are utilizing th at game to get more contracts in the U.S. And that's why we did mention in our last couple of quarters that we worked on efficiencies, we got on our cost down, and that's where

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we're able to win a lot of contracts and GPO contracts in the U.S. and the supply started from this quarter.
So the volumes are higher. So we need those capacities as well. So it has is -- and so the fourth aspect is the CDMO contracts, which we're entering. Some contracts are that by commercial quantities where the players are entering to different segments and we're trying to move the commercial products to our si tes. So we need to invest into that as well.
So there's a lot more focus on the CDMO contracts last 12 to 18 months. So that business, we're trying to grow substantially, but not at kind of products, more complex specialty kind of products and also focusing on commercialized products where you have clear visibility on revenues in the next 2 to 3 years with worst -case take -or-pay agreements, I would say.
Shyamakant Giri: And Tarang, on your Cenexi's question, the performance in this quarter reflects a disciplined execution over past so many quarters, including capacity utilization , workforce rationalization or optimization , ramp -ups and all of that. So there will be quarter -to-quarter fluctuation. But overall, on annualized basis, we expect EBITDA to remain positive. And we are confident in Cenexi's medium - to long -term growth. .
Tarang Agrawal: Just a follow -up on Cenexi. So would it be fair to presume that EUR50 million is a good base kind of work with now?
Ravi Mitra: So, on an annualized basis, yes, you can take it [EUR] 2 00 [million] , but there could be some quarter t o quarter fluctuations.
Moderator: Thank you. The next question is from Neha Manpuria from Bank of America.
Neha Manpuria: My first question is again on the capex number, the INR2,000 crores that we had mentioned,

how much of this would be for Cenexi versus the Base business? .
Ravi Mitra : This is for Base business, Neha.
Neha Manpuria: Okay. So that means we're really doubling the gross block or really doubling the gross block once this capex is completed.
Ravi Mitra : Yes, that's correct

. Yes.
Neha Manpuria: Okay. And what would be the average utilization of the existing capacity that we have? And at what point do you think capacity becomes a constraint for growth ? And how soon would we need to get this capacity up and running to maintain the mid -teens growth that you've guided to?
Srinivas Sadu: So it depends on the lines, but most of the lines are running at 80%, 90% capacity. Some lines are almost top of that. On the prefilled syringe, we have enough capacities. And we're not investing into that. And of course, the cartridge, these are new techn ology we got into those we have enough capacities.
But if you look at l yophilizers or liquid vials , I think those are almost -- they're running at --
most of the lines are at 90% capacity, a few lines at 40%, 50%. So at least for the next 2 years,
we're able to win a lot of contracts and GPO contracts in the U.S. and the supply started from this quarter.
So the volumes are higher. So we need those capacities as well. So it has is — and so the fourth aspect is the CDMO contracts, which we're entering. Some contracts are that by commercial quantities where the players are entering to different segments and we're trying to move the commercial products to our sites. So we need to invest into that as well.
So there's a lot more focus on the CDMO contracts last 12 to 18 months. So that business, we're trying to grow substantially, but not at kind of products, more complex specialty kind of products and also focusing on commercialized products where you have clear visibility on revenues in the next 2 to 3 years with worst-case take-or-pay agreements, I would say.
Shyamakant Giri: And Tarang, on your Cenexi's question, the performance in this quarter reflects a disciplined execution over past so many quarters, including capacity utilization, workforce rationalization or optimization, ramp-ups and all of that. So there will be quarter-to-quarter fluctuation. But overall, on annualized basis, we expect EBITDA to remain positive. And we are confident in Cenexi's medium- to long-term growth. .
Tarang Agrawal: Just a follow-up on Cenexi. So would it be fair to presume that EUR50 million is a good base kind of work with now?
Ravi Mitra: So, on an annualized basis, yes, you can take it [EUR] 200 [million], but there could be some quarter to quarter fluctuations.
Moderator: Thank you. The next question is from Neha Manpuria from Bank of America.
Neha Manpuria: My first question is again on the capex number, the INR2,000 crores that we had mentioned, how much of this would be for Cenexi versus the Base business? .
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most of the lines are at 90% capacity, a few lines at 40%, 50%. So at least for the next 2 years,

we need to invest into additional capacity. So this INR2,000 crores will be spread across the next few years.
Neha Manpuria: Understood. And my second question is on the overall g

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mid-teens guidance. I think we're tracking at about 12%, and there was more of a large product launch by our partner in the U.S. It seems to have been delayed. Based on the 12% growth in the 9 months, do we still have confidence in that 15%? And what's the update on the Dalba launch by the partner?

Srinivas Sadu: Good thing is Dalba is approv ed in 6 countries in Europe. So we launched in December in 6 of the European countries. So more countries gets launched out [side] of U.S. U.S., we have a goal date in February. So hopefully, we're just waiting for an approval. So they need an additional data, which was submitted this month in January. So we should be able to get some.

Neha Manpuria: And let's assume Dalba does not come t hrough instead, would we still be able to maintain the mid-teens growth that we've been guiding to?

Srinivas Sadu: So the additional batches -- additional demand, which came from Europe. So that will at least offset some of the gain even some of the losses if you don't get an approval. But hopefully, they're also trying to get a player so that we can ship out some batc hes. So if that happens, we will see some numbers coming from the U.S. as well.

Neha Manpuria: Okay. And how should we think about the growth from here for FY '27 for the base business? Cenexi, like you mentioned the EUR 200 million base, which we should grow on for the base business, what's the growth? Because even for Europe, if we see the CMO contract is ramping up much lower than what I would have -- we would have expected. So is it possible for us to maint ain this mid -teens growth going o r should we see this growth momentum possibly improve given the investments we are making?

Srinivas Sadu: I think overall, as a company, we should be growing at 12% -13%, at least that's the minimum confidence we have. And if the CMS get faster approval in Europe, where the variation filing is happening. And if you get that earlier than anticipated. So we thought at least in second half of this year, we should get some quantities, if that happens it will be little bit more. But I think I think 12% to 13% is , I think , the best fact.

Neha Manpuria: CMS approval is expected this year i n fiscal '26, is the remaining two ones?

Srinivas Sadu: That's a meaningful business. The variation sizing has happened -- is happening in different countries in Europe. Approval is expected in 6 months. Yes. If that happens, then it could be a little higher.

Neha Manpuria: Okay. Got it. All right. Thank you so much.

Moderator: Thank you. N ext question is from Ashish from Leo Capital. Please go ahead.

Ashish: Yes. By when do we expect the 140 million pen cartridge capacity for GLP -1 to be operational? And what sort of orders from customers or commitments do we have on it? Gland Pharma Limited
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Ashish: Yes. By when do we expect the 140 million pen cartridge capacity for GLP-1 to be operational?

And what sort of orders from customers or commitments do we have on it?

Shyamakant Giri: So first and foremost, let me take the 140 million is a fungible capacity, which has both cartridges and vial, number one. Number two, we have launched our first GLP in Canada last quarter Liraglutide and we are -- there's a US approval coming through, a lready approved in U.S. We have launched in January already in the U.S. We have contracted two to three more GLP players, and there is a pipeline of around six to seven players more to be contracted.
And we are also looking beyond the GLPs, for this cartridge line like insulin and insulin analog ue. So we are in talks with one of very important big insulin players for the capacity that we have. So overall, looking at the things we can look at in FY '27 around 15 million to 20 million utilization. It would take some time for us to completely utilize 140 million . But this is what the visibility as of now.
Srinivas Sadu: So as of now capacity is 40 million just to be clear, and then 100 million is getting added this year. But the idea is not -- you're going to fill up the line with GLP -1 in near term. The idea is to have this capacity ready because of the contracts we have . In the meantime, we also -- and that's the reason why we have a fungible line where we can fill vials and cartridges in one line and syringes and cartridges in the other line. So you can utilize for other products also. But I think the 40 million probably will fill -up faster because of the insulin discussions what we're having with the partners.
Ashish: Got it. Would you say capacity for fill and finish on the pen cartridge side are in shortage right now and there is significant capacity build out ahead of the patent expiry?
Srinivas Sadu: It depends how the market pans-out, right? I mean if it really pans-out, like what you're saying, there's not enough capacity, but we also need to see how the molecules will pan out. So our next -- at least next 3 -4 years f

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So the numbers, what we are projecting is very minimum revenue numbers we are allocating to GLP -1. If it really happens like the market is saying , then it will be additional number what we could get to , in addition to the guidance, what we're giving.
Moderator: The next question is from Bino Pathiparampil from Elara Capital.
Bino Pathiparampil: You partly answered my questions. But I just wanted to know, are you -- have you already tied up some semaglutide contracts for FY '27 within your capacity? Or is it all Liraglutide as of now?
Srinivas Sadu: No, we have signed up with several semaglutide generics als o. Even that we have signed up.
Bino Pathiparampil: So including semaglutide, you're saying only about 30 million of your 40 million capacity in the like in FY27.
Srinivas Sadu: If we add up the -- what customers are estimating and projected , it will be huge numbers. So we don't want to be too optimistic on that. We have to be a little conservative on how the market is behaving because we also need to look at one of the key areas is we don't want to sell at a price Gland Pharma Limited
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where it's not workable. So from a capacity perspective, we have built in, but as a de -risking strategy, we took a fungible line so that we can also use it for other products.
So -- but what we are saying is, in addition to GLP, we are also -- because we're already making insulin for Eli Lilly for several years. So we also have that experience. So we're talking to insulin manufacturers who have commercialized this product in large numbers. So that could be a big item for this line, at least for the 40 mil lion line. And the meanwhile, we look at how the market behaves and if you have to sign more contracts , other contracts , what we have signed, are good enough to fill those lines .
Bino Pathiparampil: Got it. And when do you expect the additional 100 million capacity to be online?
Srinivas Sadu: That will be next 5 months, the line is actually getting delivered next week. So by the time validations and everything will happen, 4 months. So by second quarter, the l ine will be ready to take exhibit batches.
Bino Pathiparampil: Okay. Understood. And one last question. After several quarters of U.S. revenue around high $90 million per quarter. This quarter, you have shown some improvement in US or developed markets around $ 110 million. Do you think that it can dip below that further? Or this will be a new base on the growth on a quarterly basis?
Srinivas Sadu: I did mention in today's call and also previous calls that some of the contracts of our top 10 products what we launched GPO contracts, a few years ago, we got it 3 quarters ago. The supplies would be starting from the third or fourth quarter of FY '26. And that's why you're seeing the uptick. I mean if you see the volumes compared to previous quarters, it's higher.
I mean the volumes are almost 19% higher if you look at year -on-year and I think 16% on quarter -on-quarter. So these volumes are coming from the new contracts what we have signed up, and this will get annualized next year. So it's basically what we lost, we got it back this year, I would say.
Bino Pathiparampil: Great. Thank you. I will join back the queue.
Moderator: Thank you. The next question is from Sajal Kapoor from Antifragile Thinking. Please go ahead.
Sajal Kapoor: Yes. Thank you for taking my questions. M r. Sadu, beyond the reported turnaround at Cenexi and congratulations by the way you have been sounding very positive over the previous few earnings call that this business will turn around. Now that the turnaround has happened ?
The question or the optics will now obviously shift to the EBITDA margin in the ROCE because it's relative to our base business, where we were before the acquisition, we were a lot higher on the EBITDA as well as the ROCE as those metrics have been diluted by Cenexi. So what is the steady state, maybe a midterm 3 -year kind of a road map to try and bridge the gap both on the ROCE as well as the EBITDA betwe en our base business and Cenexi?
Srinivas Sadu: One of the initiatives. And of course, we are still working on efficiencies at Cenexi to improve the EBITDA. On the BD front, we have integrated plan and Europe BD. Sometimes it cannot
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reflect directly into Cenexi's business, but it also as a consol company, you should start looking at it. I mean, if you look at this quarter itself, our milestone income in the U.S. actually has come down drastically.
But overall, it's only 2% decrease because most of the actually milestones also came from our contracts in Europe. So you should also see that how the Cenexi and Gland together helping the company which you talked about initially, but the focus was mostly on how to turn around. But also you should see in parallel, what are the synergies we can get out of this business, which will not directly seen from Cenexi's business, but as a consol business what you can get out of this. So you will see the European bus iness growing.
And we also have to see 35% business is great, but also we have to see how dependent on -- are we on U.S. we have seen 2 y

ears back when we had a setback, we are so dependent on U.S., we decided, okay, we need to de-risk ourselves. So you should also look at now today, we are dependent on U.S. of 50% of business, 25% is in Europe.
Now the quality of the business we do, we have to improve for sure. One is, of course, getting the efficiencies back. Second, how do we improve the portfolios of Cenexi. And that's the reason why you see investments going into higher -end products, not just ampoule business, which is there. And in pharma, it takes time. So it's the transition we are doing.
And also, it has capabilities which Gland can exploit, whether it is herbal products, which we can't make or the controlled substances, which we can't make. Now again, you have to look at it from a synergy perspective. So as Gland, you cannot do those kinds of products , with Cenexi, we can do the product. So in the future, you might see revenues coming out of Gland base business, but it won't have happened if you don't have Cenexi.
So as a company, I think we should start looking at how Cenexi contributed to Gland, how Gland is contributed to Cenexi rather than independently looking at Cenexi . Because that's how when you make an acquisition, we just don't look at single business. You see as a whole, how the business works. And I think that's what we tend to tell that okay fine, we are turning it around. But how Cenexi is also contributing to us. So this is several our development projects.
Now we have started R&D and so products where Gland cannot do it because of the facilities

that we don't have, where Cenexi has. So we start manufacturing from there. So I think from a long-term strategic perspective, it's a mov e we consciously took . Yes, it took time of 2 years to get it turn around and this is our first acquisition. And we are integrating it. So you see more positive results independently for Cenexi and also as a consol company.

Sajal Kapoor: Sure. That's very helpful. And thank you for detailing the response, which kind of helps us better understand the overall synergies and the dynamics because you just absolutely, I agree that you can't look at the individual businesses as an individual part , you have to look at the whole. So I completely appreciate that. My second and last question is, regarding this biologic CDMO.

So we are tripling the capacity, right, if I'm not mistaken, we are tripling the capacities from 8 KL to 23 KL, and what is the expected ROCE and this capacity expansion all backed by contracts

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that we have signed either with Dr. Reddy's or otherwise? I mean, how confident are we in terms of utilizing this enhanced capacity? And what is the hurdle rate in terms of return on capital?

Ravi Mitra: So this is a Greenfield. We wil l be building this capacity in Shamirpet beside our existing 8 KL. So we are in a stage where we don't have -- because in typical CDMO business, you have to build the capacity and then sign the contracts, but we are in active discussion with some players for the products there. So at this point of time, we'll not be able to put a number to that. But our hurdle rate for any investment is, of course, 20% IRR. So that we keep in mind when we make our internal investment projections.

Sajal Kapoor: That's helpful. Thank you so much and all the very best. Thank you.

Moderator: Thank you. The next question is from Saion from Nomura. Please go ahead.

Saion : Yes. Good evening and thanks for taking my question. R avi, in case of the ESOP charges that you take, how should we th ink about this year, next year a nd will it sort of come down going forward?

Ravi Mitra: So the current quarter is INR14 crores. And typically, it would be -- it would go down for this grant as we see next year. And of course, this ESOP started from middle of Q1. So full year, if we annualize, it will be a little higher than this year's cost. But I'll -- and then it's not a full ESOPs scheme . So we may have future grants also given .

In that case, the cost may go up. So we will not be able to exactly quantify what's going to be the ESOP cost next year. But typically, we have -- where the vesting is over a period of 3 years. So it gets distributed over a period of 3 years in any new grants .

Saion : Okay. And also this 15 million to 20 million that you mentioned about utilization for th

e new cartridge line for fiscal '27, how should we think about in '28 if you have any visibility around that?

Shyamakant Giri: So there is -- so we spoke this capacity utilization with insulin. As Mr. Sadu also told, we are talking to a big pharma company on the insulin side. And on the other hand, there is a pipeline of 7 to 8 GLP -1 customers also where the talks are going on. So I think '28 will be far, far better than '27. I don't have a number now. But we are looking very positive and very optimistic about taking this line ahead.

Saion : Great. So just for fiscal '28 as you see G LP scale up, you see the CDMO contract coming through. And also, you talked about synergy benefits coming out of Cenexi. So for the base business, should we expect stronger growth in fiscal '28 versus 12% -13% that you talked about for fiscal '27?

Srinivas Sadu: So we are looking at 15% CAGR 5 years as a company, other than the inorganic what we meant to in the next few years. As organic, we look at 15% CAGR for 5 years.

Saion: Okay. And just one question, if I can ask regarding the synergy from Cenexi , now since it's stabilizing, how should we think about that? I mean if you can give some color on the kind of Gland Pharma Limited
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that we have signed either with Dr. Reddy's or otherwise? I mean, how confident are we in terms of utilizing this enhanced capacity? And what is the hurdle rate in terms of return on capital?

Ravi Mitra: So this is a Greenfield. We will be building this capacity in Shamirpet beside our existing 8 KL. So we are in a stage where we don't have — because in typical CDMO business, you have to build the capacity and then sign the contracts, but we are in active discussion with some players for the products there. So at this point of time, we'll not be able to put a number to that. But our hurdle rate for any investment is, of course, 20% IRR. So that we keep in mind when we make our internal investment projections.

Sajal Kapoor: That's helpful. Thank you so much and all the very best. Thank you.

Moderator: Thank you. The next question is from Saion from Nomura. Please go ahead.

Saion: Yes. Good evening and thanks for taking my question. Ravi, in case of the ESOP charges that you take, how should we think about this year, next year and will it sort of come down going forward?

Ravi Mitra: So the current quarter is INR14 crores. And typically, it would be — it would go down for this grant as we see next year. And of course, this ESOP started from middle of QI. So full year, if we annualize, it will be a little higher than this year's cost. But I'll — and then it's not a full ESOPs scheme. So we may have future grants also given.

In that case, the cost may go up. So we will not be able to exactly quantify what's going to be the ESOP cost next year. But typically, we have — where the vesting is over a period of 3 years. So it gets distributed over a period of 3 years in any new grants.

Saion: Okay. And also this 15 million to 20 million that you mentioned about utilization for the new cartridge line for fiscal '27, how should we think about in '28 if you have any visibility around that?

Shyamakant Giri: So there is — so we spoke this capacity utilization with insulin. As Mr. Sadu also told, we are talking to a big pharma company on the insulin side. And on the other hand, there is a pipeline of 7 to 8 GLP-1 customers also where the talks are going on. So I think '28 will be far, far better than '27. 1 don't have a number now. But we are looking very positive and very optimistic about taking this line ahead.

Saion: Great. So just for fiscal '28 as you see GLP scale up, you see the CDMO contract coming through. And also, you talked about synergy benefits coming out of Cenexi. So for the base business, should we expect stronger growth in fiscal '28 versus 12%- 13% that you talked about for fiscal '27?

Srinivas Sadu: So we are looking at 15% CAGR 5 years as a c

ompany, other than the inorganic what we meant to in the next few years. As organic, we look at 15% CAGR for 5 years.

Saion: Okay. And just one question, if I can ask regarding the synergy from Cenexi, now since it's

stabilizing, how should we think about that? I mean if you can give some color on the kind of

discussions you are having that the base business can get effect -- impacted? And the trajectory around that, I would assume these things take time. So is there a point where you see inflection happening on account of Cenexi, the synergy benefits for the b ase business?

Shyamakant Giri: So as Mr. Sadu said, we have integrated the BD which means we have a lot of customers who wanted to make in Europe, this integrated BD team will at cross sell each other's capacity. This is one part of it. The second part of it is also we will have a full year of Line G, which is a high - speed line that we installed last year. We're also installing another high speed line there.

We have seen a ramp -up in HSE of the inactivated vaccine and also on the opthal gel. With respect to synergy, yes, BD, as I told you, there's a tech transfer synergy of -- there's a knowledge transfer happening between both the tech transfer team. There is a synergy around efficiency, there's synergy around quality teams and all of that. Y es, a lot of synergies, a lot of synergies are at play, okay? It is difficult to quantify at this point in time. But we have taken baby steps and we have seen benefit comi ng out of this synergy.

Srinivas Sadu: So just to add to on the softer aspects, from the BD perspective, several customers, we are doing a joint tendering right now, especially we have -- we discussed our capacities earlier in the call. We have a lot of ampoule capacities. And there are a lot o f tenders, global tenders coming from the big pharma to consolidate the ampoule business.

So we have actually participated in two tenders where some volumes were quoted from Cenexi's and probably 70% from Gland. So this kind of stuff will happen. I mean when I'm saying 15% CAGR, we are not included these because these are happening. But we are pretty confident because if you look at how the entire market scenario is even the companies are trying to integrate 15 -16 CMO services to one company and we have all that under one roof. So we did participate in two large tenders 60 million, 70 million ampoule tenders jointly.

And there are also products, the companies who are taking CDMO services from Cenexi, they're actually talking to us to in -license products from Gland. So that will open up. So we have licensed 4 products last quarter in Europe. That's where you see some milestone income from Europe as well. So that has also panned out well.

So if you start launching those products in Europe, you'll see some revenue coming out of that market also. That's again ongoing process there. It's a new entry for us in terms of filing dossiers in Europe. We have just 4 approvals, which we have licensed out, but that is a growing business. So in that sense, a lot of companies are trying to in -license products. That's one area we're looking at. And also, we are also giving companies the opportunity to grow the business because of the cost structure in Europe. They're not able to compete too w ell in the RoW markets. So they're losing share. So we are offering services to them in India so that they can get a better pricing, so they can increase the volumes share -- so yes, so several areas we're waiting together.

Saion: Understood. Okay. Thank you.

Moderator: Thank you. N ext question i s from Abdulkader Puranwala from ICICI Securities. Please go ahead. GLAND]Gland Pharma Limited
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Understood. Okay. Thank you.
Thank you. Next question is from Abdulkader Puranwala from ICICI Securities. Please go ahead.Shyamakant Giri:
Srinivas Sadu:
Saion:
Moderator:

Abdulkader Puranwala: Congratulations on a good set of numbers. Sir, my first question is pertaining to your Europe business. So for Gland and Cenexi, both of these segments, we have seen very good growth this particular quarter. So I just wanted to understand here that what is the kind of opportunity you're seeing in Cenexi first on this inactiv ated to vaccine and the sterile gel and for Gland as well, would this quarterly run rate be sustainable in the quarters ahead as well?
Shyamakant Giri: So on the se two product, inactiv ated vaccine and sterile gel, there is a ramp -up that we have seen. And these are products from

the innovative pharma side . In activating vaccine is seasonal,
but we have seen more ramp up quarter -by-quarter. This will continue to grow. And similarly, the ophthal sterile gel.
On the other question that you asked on the growth, yes, as I told in the past that all the effort still continues . But all the effort that we started beginning of 2025 is now showing results in some way. We'll push the pedal more and we make sure that on an annualized basis, Cenexi remains on course, and we're confident on Cenexi's medium and long -term growth.
Abdulkader Puranwala: Understood. And sir, on your gross margins for the base business. So despite your share going up significantly as compared to where you were last year, the gross margins are still better. So would it be fair to assume that the new businesses are at par at what you are currently doing in U.S. or in Europe itself?
Srinivas Sadu: To be honest, actually, if you look at the prices wise, it is down, but we are -- we become more efficient, I would say, with initiatives which we took -- so that's how we're able to maintain the margins and be more aggressive in terms of pricing. So if you see there was a price drop of almost 5% -6%, if you compare to the period, we still were able to maintain the margins because our costs have come down. And that's why we are seeing more volumes, same margin, but lower pricing. So it kind of nullified that. And that's only because of internal efficiency.
We came out increasing ba tch sizes. We have invested -- there was a question around capex side, actually invested into large capacity tanks so that will increase batch size. So some investments have went into that to reduce the costs . And that's what you're seeing now. So basically, it's aggressive pricing, reduced cost internally to be more attractive in terms of market scenario, which gave us volumes also.
Abdulkader Puranwala: Okay. And sir, one more on the co -development partnership products. So the 15 products you have, which will begin in '28. So what is the TAM for these 15 products and from '28 perspective, how many products of that we should see getting commercialized?
Shriniwas Dange : We will co me back to you on this question Abdul.
Moderator: Due to time constraints, we'll have to take that as a last question. I would now like to hand the conference over to the management team for closing comments.
Shriniwas Dange : Thank you, everyone for joining us today. We appreciate your participation in the question -and-answer session during the call. If you have any follow -up questions, please feel free to reach out to us. We look forward to connecting with you again next quart er. Thank you. Gland Pharma Limited

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Shriniwas Dange: Thank you, everyone for joining us today. We appreciate your participation in the question-and-answer session during the call. If you have any follow-up questions, please feel free to reach out to us. We look forward to connecting with you again next quarter. Thank you.

Moderator: Thank you very much. On behalf of Gland Pharma Limited, that concludes this conference.
Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

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Call: May 2026

May 20, 202 6

BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
25th floor, Dalal Street
Mumbai - 400 001
Scrip Code: 543245 National Stock Exchange of India Limited
Listing Department
Exchange Plaza, 5th floor
Plot no. C -1, Block G, Bandra Kurla Complex Bandra
(East), Mumbai - 400 051
Symbol: GLAND (ISIN: INE068V01023)

Dear Sir/Madam,

Sub: Earnings call Transcript – Q4FY26

Please find enclosed the transcript of the Earnings call for Q 4FY26 of the Company held on Frida y, May 15, 2026, at 18.30 Hrs. IST. This will also be available on the Company's website and the web link to access the same is https://glandpharma.com/investors/financials

This is for your information and records.

Yours truly,
For Gland Pharma Limited

Sampath Kumar Pallerlamudi
Company Secretary & Compliance Officer

Encl: As above GLAND PHARMA LIMITED
May 20, 2026
BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
25thfloor, Dalal Street
Mumbai - 400 001
Scrip Code: 543245National Stock Exchange of India Limited
Listing Department
Exchange Plaza, 5th floor
Plot no. C-l, Block G, Bandra Kurla Complex Bandra
(East), Mumbai - 400 051
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Yours truly,
For Gland Pharma Limited
Sampath Kumar Pallerlamudi
Company Secretary & Compliance Officer
Encl: As above
Regd. Office: Corporate Office:
Survey No. 143-148, 150 & 151, Near Gandimaisamma 'X' Roads Plot No. 11 & 84, TSIIC Phase: IV
D.P. Pally, Dundigal, Dundigal-Gandimaisamma Mandal Pashamylaram (V), Patancheru (M), Sangareddy District
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"Gland Pharma Limited
Q4 FY '26 Earnings Conference Call "
May 15 , 202 6

MANAGEMENT : MR. SRINIVAS SADU – EXECUTIVE CHAIRMAN –
GLAND PHARMA LIMITED
MR. RAVI MITRA – CHIEF FINANCIAL OFFICER – –
GLAND PHARMA LIMITED
MR. ALAIN KIRCHMEYER – CHIEF EXECUTIVE
OFFICER – CENEXI
MR. SHRINIWAS DANGE – HEAD, INVESTOR
RELATIONS – GLAND PHARMA LIMITED

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GLAND
"Gland Pharma Limited
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|GLAND| \ /
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I now hand the conference over to Mr. Shriniwas Dange, Head, Investor Relations. Thank you, and over to you, sir.
Shriniwas Dange : Thank you, Sagar. Good evening, everyone. We welcome you to Gland Pharma Earnings Conference Call for Q4 of FY '26. I am Shriniwas Dange from the Investor Relations team at Gland Pharma. Today, we have M

r. Srinivas Sadu, Executive Chairman; Mr. Ravi Mitra, Chief Financial Officer from India Office; and Mr. Alain, CEO of Cenexi, who is connected from France.
We will begin the call with the business highlights and operational highlights from Mr. Sadu, followed by updates about Cenexi from Mr. Alain. This will be taken up by the group financials overview by Mr. Ravi.
Before we proceed, I would like to remind everyone that some of the statements made today will be forward -looking and are based on management's current estimates. These statements should be considered in light of the risk associated with our business. This call is being recorded. The playback and script will be available on our website shortly.
With that, I hand over the call to Mr. Sadu for his opening remarks. Over to you, sir.

Srinivas Sadu : Thank you, Shriniwas. Good evening, everyone, and a warm welcome to all of you to Gland Pharma's earnings call for the fourth quarter and full year ended FY '26. I will begin with the strategic and operational overview. Alain will then share an update on C enexi, and Ravi will walk you through our financial performance.

It has been a very strong quarter and a year for us in terms of revenues and profitability. This has been driven by robust growth in the CDMO segment, alongside new product launches, improved Cenexi performance and healthy profitability across various busi ness segments supported by ongoing cost efficiency initiatives. We remain confident in sustaining this momentum, supported by a pipeline of complex product launches and the continued ramp -up of CDMO partnerships.

Let me begin with an overview of our performance. For the fourth quarter FY '26, we reported revenues of INR17,428 million, reflecting a growth of 22% year -on-year. Adjusted EBITDA for the quarter stood at INR5,244 million with margins of 30% and adjusted profit after tax was INR3,667 million with margins of 21%. The quarter saw a strong momentum driven by new product launches, including Dalbavancin, higher volumes from recently secured tender wins, continued ramp -up in key products and improving capacity utilization along with steady contribution from Cenexi.

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For the full year FY '26, our revenue stood at INR64,307 million, registering a growth of 14.5%. Adjusted EBITDA came in at INR16,826 million, with margins of 26%, while adjusted PAT stood at INR10,455 million, with margins of 16%. The CDMO business represented 46% of total revenues supported by healthy growth of 28%, driven by our continued strategic focus on

investments.
The consolidated performance reflects our ability to deliver high -margin CDMO projects, along with expansion of product portfolio, supported by strong operating leverage and cost optimization initiatives.
Let me now walk you through the base business operational performance during this year.
Starting with the United States, which continues to remain our largest market, we have seen strong new product and volume -led growth. Revenues for the quarter were INR9,716 million, growing at 26% year -on-year, while for the full year, revenue stood at INR33,181 million with a growth of 11%. This growth has been primarily driven by new product launches and increased volumes from existing and new GPO contracts.
During the year, we launched 31 products in the U.S., including 5 products in quarter 4.
Improved margins during the year reflect efficacy of operational efficiency improvements and operational leverage backed by volume base and new product base expansion. In Europe and other regulated markets with strong and accelerating momentum, revenues for Q4 stood at INR794 million, while full year revenues were INR3,249 million, reflecting a growth of 11%.
Growth has been supported by early benefits from our integra ted business development model.
The rest of the world markets revenues for the quarter stood at INR1,468 million, growing at 17% year -on-year, while full year revenues were INR6,511 million, reflecting a growth of 7%.
Growth has been supported by tech -transfer and CDMO business, along with steady performance in our own portfolio. In India, revenues for Q4 were INR670 million and INR2,672 million for the full year.
Coming to the Cenexi business, it continues to deliver a steady performance with revenues of EUR45 million during the quarter, reflecting a growth of 4% year -on-year. Cenexi is now EBITDA positive, operationally stable and poised for growth. This performan ce reflects disciplined execution throughout the year, driven by higher capacity utilization, contract renegotiations to account for inflation, workforce rationalization, ramp -up of new products and deeper integration planned across business development, technology transfer and shared functions. Alain will provide

further details on the same.
We remain confident of its continued contribution to both revenue growth and margin expansion over the medium to long term, notwithstanding some inherent quarter -to-quarter variability. At an overall level, during FY '26, we have strengthened our market position, supported by a broader geographic footprint, deeper customer engagement and increasing traction from our differentiated and high -value product portfolio.
Operationally, FY '26 has been characterized by strong volume growth and improved capacity utilization. Capacity utilization across key lines is now translating into improved operating GLAND]Gland Pharma Limited
May 15, 2026
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Operationally, FY '26 has been characterized by strong volume growth and improved capacity utilization. Capacity utilization across key lines is now translating into improved operating

leverage and profitability. We are putting new capacities in our sites to cater to improved demand of our existing products and planned new launches.

In line with our expectations, we have received approvals, particularly Dalbavancin in February and multivitamin in April. Dalbavancin has been launched in U.S. and European markets and is already seeing strong demand and ramp -up. Similarly, our multivitamin portfolio is expected to have a steady revenue contribution. These products are expected to be meaningful contributors to growth in FY '27 and beyond.

Our CDMO business continues to show strong traction and is emerging as a key pillar of our long-term strategy. During the year, we signed multiple new CDMO contracts and expanded our pipeline across oncology, peptides and complex injectables. One of the major CDMO projects announced earlier is progressing well and is expected to be commercialized in H2 of FY '28 wi th an estimated annual revenue potential of USD25 million to USD30 million.

In addition, a few other high -value complex CDMO contracts were signed. These are expected to contribute meaningfully in the medium term. For the full year FY '26, CDMO business contributed 23% of base business revenues, growing at 33%. We clearly see CDMO as a key driver of growth and margin expansion going forward. In the GLP -1 space, we have made significant progress with 8 contracts already signed and the additional 6 to 7 are expected to be signed soon. Our current cartridge capacity now stands at 140 million units.

Our approach remains disciplined and value focused, positioning this as a strong mid - to long - term opportunity with meaningful upside. We continue to focus on capability building by exploring in -licensing opportunities in the areas of differentiated therap y areas or drug delivery systems like liposomals and biologics or biosimilars and capacity additions.

On the cost front, our focus on yield improvement, alternate sourcing, energy optimization and process efficiencies continues to deliver results, contributing to approximately 1% to 2% margin improvement. At the same time, our investments in AI and automat ion across quality, R&D and manufacturing will create structural efficiency advantages for the future.

Our R&D efforts remain focused on building a differentiated pipeline. During FY '26, we spent INR2,230 million on R&D, representing a 5% of base business revenue. In the U.S.A., we filed 24 ANDAs, received 28 approvals and launched 31 products. Our pipeline is increasingly focused on complex injectables and specialty platforms, which will drive long -term value.

We are witnessing increased demand in existing products on the back of contract wins with competitive pricing, which in turn is being achieved with our cost improvement programs with respect to the procurement and economies of scale. To cater to this deman d, we are investing in the capacity expansions, capex outlay of INR2,000 crores over the next five years.

Looking ahead, we remain confident in our growth outlook, supported by recent high -end product launches, product ramp -ups and CDMO execution. At the same time, we expect EBITDA margins to remain strong. GLAND]Gland Pharma Limited

leverage and profitability. We are putting new capacities in our sites to cater to improved demand of our existing products and planned new launches.

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To summarize, in FY '26, we have strengthened our operating foundation and built multiple growth engines. We remain highly confident in our strategy, execution and long -term growth trajectory.
Thank you for your continued trust and support. Over to you, Alain.
Alain Kirchmeyer: Thank you, Mr. Sadu, and good evening, everyone. This has been another good quarter at Cenexi. We are happy to report that we delivered on our guidance for the last quarter of our financial year 2025 -'26. Cenexi recorded EUR45 million in revenue this quart er, a 4% increase over the same period last year with a major revenue improvement in Hérouville and Fontenay compared to the previous year.
After a profitable Q3 FY '26 quarter, we are pleased to inform you that we delivered an EBITDA of EUR1 million in Q4 FY '26, in line with our guidance. This underscores that our turnover strategy continues to gain momentum quarter after quarter. During full year FY '26, revenue stands at EUR182 million, reflecting an 11% growth year -over-year and EBITDA improved by EUR16 million.
I will now provide key site level updates. In Fontenay, the production ramp -up on our new ampoule filling line, which was installed last year, is progressing as expected. We are also actively preparing the replacement this summer of another old ampoule

line with a new high -
capacity line that will a dd additional 30 million ampoule capacity by 2027.
The activity in our Hérouville site continues to grow significantly, supported by the ramp -up in production of two successful products launched in 2025, an inactivated vaccine and a sterile ophthalmic gel. In Osny, one of our existing customers asked us to relaunch the development of a solid product that could become a game changer for the site.
Finally, in Braine -l'Alleud, we continue to see strong momentum in our injectable pipeline, supported by sustained customer interest and a healthy flow of request for quotation , providing good visibility for future growth. We won a large contract with a leading European laboratory to manufacture a hormonal drug filled in prefilled syringes.
We remain confident in our outlook for next financial year, supported by an improvement of our operational performance and an increase of output in Fontenay, a strong ramp -up of production with recently launched products in Hérouville and the continuing favorable outlook in Osny and Braine -l'Alleud. The ongoing investment in capacity increase and the fast -growing business pipeline reinforce our confidence that we will achieve our mid -term objective of a mid -teen

EBITDA.
Thank you for your attention. I now invite Ravi to take you through our financial performance in more detail. Ravi, over to you.
Ravi Mitra : Thank you, Alain. Good evening, everyone, and thank you for joining us today as we review our financial performance for the fourth quarter and full year FY '26. GLAND]Gland Pharma Limited
May 15, 2026
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The activity in our Herouville site continues to grow significantly, supported by the ramp-up in production of two successful products launched in 2025, an inactivated vaccine and a sterile ophthalmic gel. In Osny, one of our existing customers asked us to relaunch the development of a solid product that could become a game changer for the site.
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Thank you, Alain. Good evening, everyone, and thank you for joining us today as we review our financial performance for the fourth quarter and full year FY '26.Alain Kirchmeyer:
Ravi Mitra:

I am pleased to share that we have reported highest ever quarterly revenues and EBITDA during fourth quarter of FY '26. FY '26 has been a strong and rewarding year for us, marked by healthy revenue growth, improved profitability and solid progress across a ll key business segments with significant 28% growth in CDMO business. Currently, CDMO business constitutes 46% of the total revenues. The fourth quarter performance also was stellar with encouraging revenue growth and improved profitability with new produ ct contribution.
Let me begin with the performance of the fourth quarter. For Q4 FY '26, our consolidated revenue stood at INR17,428 million, reflecting a healthy growth of 22% year -on-year. This growth was driven by new product contribution, strong volume expansion and continued traction in our older key products. The base business delivered a robust performance, while Cenexi continues its momentum with positive EBITDA contribution during the quarter.
Overall, gross margins for the quarter stood at 66%, an improvement of 30 bps over the previous year, reflecting the benefits of improved product mix and operational efficiencies. Excluding Cenexi, base business gross margins were at 62%, which improved 90 bps over previous year, reflecting our continued focus on cost optimization and margin improvement plans.
Moving to the full year performance. I am pleased to highlight that FY '26 has delivered strong

results across all key parameters. Consolidated revenue for the full year stood at INR64,307 million, reflecting a growth of 14.5% year -on-year. The base business delivered consistent growth, supported by new product launches, increased volumes and improved market share, while Cenexi contributed meaningfully with a strong recovery and growt h in revenues.
Overall, gross margins for FY '26 stood at 65%, reflecting an improvement over last year of 230 bps, driven by favorable product mix, operational efficiencies and higher contribution from value -added segments. Excluding Cenexi, base business gross margin w ere 61%, which improved by 260 bps over previous year.
Aligned with our strategy of building a strong pipeline of complex and differentiated products, R&D expenses for Q4 stood at INR506 million, representing approximately 4% of base business sales, while for the full year, R&D expenses were INR2,230 million or about 5% of base business revenue. Our continued investment in R&D reflects our commitment to strengthening capabilities in complex injectables, peptides and specialty delivery platforms, and we are seeing good progress across our development pipeline.
Coming to profitability. During Q4 FY '26, adjusted for ESOP -related non -cash expense of INR114 million, adjusted EBITDA stood at INR5,244 million with margins of 30%, a remarkable improvement of 500 bps over previous year. Margin growth was supported by operating leverage with two additional lines getting commercialized and cost efficiencies.
For the full year FY '26, adjusted EBITDA, excluding ESOP -related expense and other one -off items, stood at INR16,826 million with a margin of 26%, an improvement of 360 bps over previous year. This was mainly supported by Cenexi turnaround, operating leverage and cost efficiencies.
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For the base business, excluding Cenexi, adjusted EBITDA margin remained strong at 41% for the quarter and 38% for the full year FY '26, highlighting the inherent strength of our core operations. We are also pleased with the progress at Cenexi, which has s ignificantly improved its EBITDA performance and returned to profitability for the 3 quarters during the year, marking an improvement milestone in its turnaround journey.

Other income comprising primarily foreign exchange gains and interest income stood at INR1,115 million for Q4 and INR3,163 million for FY '26. Ad

justed net profit for Q4 stood at INR3,667 million, translating to adjusted PAT margin of 21% versus 13% in previous year. For the full year, adjusted net profit stood at INR10,455 million with margins of 16% versus 12% in previous year, reflecting a strong improvement over the previous year.

On taxation, the effective tax rate for the quarter stood at 28% and the full year stood at approximately 29%. As of March 31, 2026, total cash and cash equivalent at the group level stood at INR33,591 million. External debt at Cenexi level stood at INR2,434 million. And overall, our balance sheet continues to remain strong and well capitalized.

Cash flow from operations remained healthy at INR4,045 million for Q4 and INR10,314 million for FY '26 compared to INR9,147 million in FY '25, reflecting improved operating performance and better working capital management. Our cash conversion cycle for FY '26 averaged 164 days, showing improvement compared to previous year, driven by better inventory management and recei vables control.

Total capex during FY '26 amounted to INR4,938 million primarily directed towards the capacity and capability expansion in India, ongoing investments at Cenexi and selective projects aligned with our CDMO and complex product strategy. These investments are in line with our long-term strategy and building high -value capabilities and supporting future growth opportunities.

The year has seen strong revenue growth, improvement in margin profile and robust cash generation, along with a significant improvement in Cenexi performance. There is an increasing integration of Cenexi with Glan d Pharma's core operation, particularly in business development, customer engagement and tender participation. We are now seeing meaningful cross -selling benefits with joint capabilities enabling us to win larger multi -geography contracts and attract new global cust omers. Cenexi and Gland will inc reasingly be operating as one unified platform in future.

With that, I would now request the moderator to open the line for questions.

Moderator: Thank you. We will now begin the question and answer session. Your first question comes from the line of Tushar Manudhane from Motilal Oswal Financial Services. Please go ahead.

Tushar Manudhane: Thanks for the opportu nity. Good set of numbers for the quarter. So if you could share the milestones and the revenue share for the quarter? That's my first question.

Srinivas Sadu : The quarter profit share is 9%, milestone is 6%. GLAND]Gland Pharma Limited

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Thanks for the opportunity. Good set of numbers for the quarter. So if you could share the milestones and the revenue share for the quarter? That's my first question.
The quarter profit share is 9%, milestone is 6%.Moderator:
Tushar Manudhane:
Srinivas Sadu:

Tushar Manudhane: So excluding that or like adjusting for the same, the EBITDA margin is still quite healthy for the quarter and impact in terms of the absolute EBITDA as well. So just to understand how sustainable is this as far as base business EBITDA is concerned?
Ravi Mitra : Yes. As we said, we could launch the major CDMO products and also t wo large products, [including] Dalba . Dalba got launched in March. So that will be annualized this year. That is the product with high margin. And also there are several CDMO projects got launched in this quarter.
And this will be annualized this year and these are long -term contracts. So this will be sustainable in terms of long term.
Tushar Manudhane: Got it. And sir, secondly, on this, if you could quantify like the 8 contracts value -wise, how much of this would be like the GLP 8 contracts, which you mentioned they are already signed?
And how much of the capacity of this 140 million units will get util ized for these 8 contracts?
Srinivas Sadu : As we said , we are not actually talking any numbers for GLP. Even the guidance we're giving is excluding GLP because it all depends on these partners getting approvals in different markets and volumes. So we're not giving any numbers out yet. We're just saying how ma ny contracts and the units also is very difficult to assume right now. So the forecasting or the guidance we give is excluding GLP. So anything which happens on GLP will be an upside.
Tushar Manudhane: Got it. And while not getting into details with respect to GLP, but any approval, so to say, you expect in FY '27
Srinivas Sadu : Yes, at least our [few] partners are expecting approvals.
Tushar Manudhane: And sir, just secondly, with respect to Cenexi, is it now safe to assume that at least we'll be EBITDA neutral for '27 and with sort of EUR 45 million revenue?
Srinivas Sadu : So for FY '27, our target is to reach at least mid -single digit, high single -digit EBITDA. By the end of this year, we should get there, yes.
Tushar Manudhane: And this would be driven by the scale up in revenue as well ?.
Srinivas Sadu : Yes. So the focus is more on efficiencies and put

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the focus is more on that . With these new product launches, the high -value products will replace the low -value products. So the revenue increase may not be that great, probably, but mostly on the profitability, the improvement should be -- what you are seeing is more on the efficienc y side.
Tushar Manudhane: Got it. And sir, just lastly, on the hedging policy, if you could sort of refresh followed by Gland and both base business as well as Cenexi.
Ravi Mitra : So we have naturally hedged policy. So most of our raw material which we import is open and as well as the revenue is open. In Cenexi, it's mostly euro revenue and euro cost. So there's no need to hedge there.
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Moderator: Thank you. The next question comes from the line of Neha Manpuria from Bank of America. Please go ahead.
Neha Manpuria: Thanks for taking my question. My first question is on Cenexi. Sir, on your comment that the revenue increase should

not be that much. I mean, given the investments that we have made with the addition of ampoule lines and the contract lines that we're talking. We did see EUR 50 million in the last quarter. So should Cenexi not be above EUR 200 million of revenue in FY '27?
Srinivas Sadu : So we might touch about close to EUR 200 million in FY '27 but the majority of the growth might come next year when we put up this additional line in August of this year, that will add capacity. So that will commercialize next year. That will ramp up a bit. But FY '27, EUR 200 million is the target we are looking at.
Neha Manpuria: Understood. Okay. So the capacity addition that we're doing, the ampoule lines that we are adding will not contribute in this year. That's even though line that we have added last year, one of the lines.
Ravi Mitra : Yes. So last year, line which we added in ampoule line in Fontenay is ramping up now. So that is adding the revenue -- increased revenue at Fontenay site. The new additional line, which will be put up in August of this year, post getting it qualified, the ramp -up will happen next year.
Neha Manpuria: Okay. And for the base business, what is the growth momentum we should assume there? Is the mid-teens -- mid- to-high teens given the CDMO contract wins and the new product launches.
Would that be a fair assumption? How should we think about ex -Cenexi grow th?
Srinivas Sadu : As a consol, we are looking at around 13%, 12% to 13% growth. So it's a mix of both Cenexi and base business. This is excluding the GLP, whatever we get upside on that.
Neha Manpuria: Understood, sir. And on the CDMO business that you mentioned because I think you -- I missed the revenue, but did you say it was 46% of the revenue and grew 23%?
Srinivas Sadu : The base business is 23% . Because Cenexi is 100% CDMO , so as a group, it's 46%. And the base business is about 23%.
Neha Manpuria: Yes. Okay. And the contract -- the high -value contracts that you're talking about, I think one of them that should start -- I mean, all of the contracts put together, what would be the pipeline that we have, which gives you this medium -term visibility. If you could give any color there on the CDMO business?
Srinivas Sadu : So FY '27, it's almost, I would say, [$]40 million, [$]50 million will come from CDMO. See the additional growth coming from the CDMO contracts in FY '27 will be between [$]40 million to

[$]50 million.
Neha Manpuria: This is in the base business.
Srinivas Sadu : Yes, base business, correct.
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Neha Manpuria: Understood, sir. And on the CDMO business that you mentioned because I think you — I missed the revenue, but did you say it was 46% of the revenue and grew 23%?
Srinivas Sadu: The base business is 23%. Because Cenexi is 100% CDMO, so as a group, it's 46%. And the base business is about 23%.
Neha Manpuria: Yes. Okay. And the contract — the high-value contracts that you're talking about, I think one of them that should start — I mean, all of the contracts put together, what would be the pipeline that we have, which gives you this medium-term visibility. If you could give any color there on the CDMO business?
Srinivas Sadu: So FY '27, it's almost, I would say, [$]40 million, [$]50 million will come from CDMO. See the additional growth coming from the CDMO contracts in FY '27 will be between [$]40 million to
[$]50 million.
Neha Manpuria: This is in the base business.
Srinivas Sadu: Yes, base business, correct.

Moderator: Thank you. Your next question comes from the line of Shashank Goel from Infinity Capital. Please go ahead.
Shashank Goel: Yes. Firstly, a very good set of numbers. I got 2 questions. First one is what kind of growth do you expect for the overall business in the coming year and over the next 3 years? You answered this question and then I've got one more question.
Srinivas Sadu : Sorry, can you repeat that?
Shashank Goel: Yes. So my question is what sort of growth do you expect for the overall business in the coming year and over the next three years?
Srinivas Sadu : The next four years, we're looking at a CAGR of 15% a t a consol basis.
Shashank Goel: Okay. And my next question is on Cenexi, like what sort of steady -state margin profile can we achieve? So what sort of steady -state margin profile can we achieve?
Ravi Mitra : So we are looking at mid -teen EBITDA level in the midterm.
Moderator: Thank you. The next question comes from the line of Devang Shah from A&T Financials. Please go ahead.
Devang Shah: Sir, the first question is from the Cenexi side. We did the acquisition a few years back. And still also like just now on the last question, you spoke about that in next year, we can achieve the mid-teen numbers, right? Was it a good purchase? Or it's like -- like I'm not understanding what was the concept behind it?
Like what was the rationale? Because we have purchased it 2, 3 years back, if I'm not wrong.
And next year, mid -teen EBITDA levels, what was the rationale behind that?
Srinivas Sadu : So one is, of course, we are not still exploited synergies as a strategic initiative, we need to enter

CDMO business in Europe. That's one. Second, the clientele of Cenexi is completely
independent of what we have. So we are not completely exp loited at that. So we are working on
that.
We have already signed 5 to 6 products with the same clientele what Cenexi has. So although
those don't reflect in Cenexi's business, but that adds to at a group level. So one is that. Second,
our own products, now we have actually taken MAs in Europe. So Cenexi will act as a releasing
entity there.
So more products of Gland can get into European market as well. From technology front, they
have technologies which we don't have. Again, like the sex hormones, we don't have. So we're
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So there are multiple reasons why we acquired this, not just the business what they have. So as
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Devang Shah: Okay. And sir, the other thing was like currently, the Cenexi is operating at the maximum level
or it's like the capacity utilization is just 50% or 80%. Can you just give me the brief like what
the capacity utilization over there?
Srinivas Sadu : At Cenexi?
Devang Shah: Yes.
Srinivas Sadu : So Cenexi, some sites are operating at full level. Like Fontenay is at almost 100%. That's why
we kept -- we'll add a line and one more line we're adding, replacing that so that we can increase

the capacity. So there is a demand -- higher demand than what we are able to supply today. Osny
agai

n, solid orals , it's almost 100%, I would say, 90% occupancy.
The other 2 sites, we have capacity, where the tech transfer programs have happened and some
products are getting launched. Those are probably at 50% - 60% capacity, 2 sites.
Devang Shah: Yes. Okay. And sir, what's the future plan on the group base on the Gland Pharma group base?
What are your future plans to maintain this EBITDA level of 25% plus? And like we are just
spending 4% to 5% on the R&D. So is there any plan to increase or ramp up that part of the
double digit or something?
Srinivas Sadu : So we have several programs what we're doing. One is, of course, internal R&D, where we spend
4% to 5%. We also do co -develop projects, around 15 projects we are working with development
partners. Those don't reflect in this spend what we do. We're also do ing an in -licensing program
with China in the liposomal side.
So those also do not reflect this. So these are internal R&D spend what we're showing reflecting,
but there are also spend which is done on different aspects. The other is, of course, more focus
on high -tech CDMO. So the investments are going into, say, fo r example, microsphere
manufacturing technology, nanotechnology. Those are high -value CDMOs where the margins
are very high.
So on one side, the volumes are helping us in terms of the products -- high-volume products,
which is helping us in operating leverage. So keeping the cost down per unit cost down. The
other side, we're also entering contracts, which is high -value CDMO con tracts. So in the long
run, I think we think it can be sustainable in terms of margins.
Moderator: Thank you. The next question comes from the line of Rahul Jeewani from IIFL Capital. Please
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Rahul Jeewani: Thanks for taking my question. Sir, this overall consol top line guidance of 12% to 13%, which
you provided for FY '27, I'm assuming that is in INR terms. But on the currency as well, both
on USD -INR and euro -INR, we would see almost a 5%, 6% kind of a benefit in FY '27. So do Gland Pharma Limited
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you think that your guidance of 12% to 13% is a bit conservative because then essentially, what
we are implying is that the constant currency growth would only be again high single digits?
Srinivas Sadu : So we can't assume what the currency rate would be. So we're taking on a constant currency
whenever we are giving the guidance. So this is based on constant currency growth. So if any
fluctuation currency happens, then that will be an upside.
Rahul Jeewani: Okay. So 12%, 13% is on constant currency only?
Srinivas Sadu : Correct. Correct.
Rahul Jeewani: Sure, sir. And let's say, while you said that Cenexi might see a growth acceleration from FY '28
for the base business, what is driving, let's say, growth in FY '27?
Srinivas Sadu : So like I said, the products what we launched in last quarter, and that's why the numbers look
good. That is annualized, and we also won a GPO contract for that. And the MVI multivitamin
we're launching in this quarter. So just these 3 or 4 products are ac tually contributing to about
$40 million. And then we have our own new launches helping us give another INR200 crores.
So together, about INR650 crores is from the base business and about INR150 crores will come
from the Cenexi business excluding the forex and the GLP -1 and we are also seeing a lot of
shortages we are hearing from U.S. now. That could be also be an upside. But we think that with
the current order book and forecast in hand, 12% to 13% is the guidance we want to give.
Rahul Jeewani: Sure, sir. And last question from my side. So obviously, over the past couple of quarters, we
were banking on Dalbavancin and the multivitamin portfolio also gets launched, which is
helping us to drive growth now. So for FY '27, are we looking at, let's sa y, any critical product
opportunities to come in, which you can follow?
Srinivas Sadu : No. So there are already products which are approved, which we have tentative approval and the
patent is expiring later this year. So the product is already approved. So just the launch is there.
And there are other CDMO contracts, which we will start producing it.
These are all approved products. So the guidance what we're saying 12% to 13% is without any
risk, I would say, because almost all the products we have approval except one small product.
Moderator: Thank you. The next question comes from the line of Ashish from Leo Capital. Please go ahead.
Ashish: Thank you for taking my question, sir. So on GLP -1, are we looking to register the product
ourselves in any of these markets? Or we will be manufacturing partners for companies
registering the product?
Srinivas Sadu : Yes. So we are not developing these products. We are only a CDMO for GLP -1. So we will be
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Ashish: Got it. My second question is considering we have eight GLP -1 and the customers approved and 6 in the pipeline, what markets have our partner received approvals in? And what sort of capacity utilization do we expect over the next 1, 2 years?
Srinivas Sadu : So I can't give you more details because if I tell whether the customer got approved or not, then it's very obvious. So we don't want to let that out. Volumes also, it's too early to tell. Like I said, our guidance is ex -GLP, want to see how the market for ms and when these customers get approvals and how many units they can sell. So it's too early to give a guidance on that.
Ashish: Okay. But any specific markets which have got an approval, can you give that out?
Srinivas Sadu : No, no, probably you'll hear once they launch. So we don't want to let out the names.
Moderator: Thank you. Your next question comes from the line of Abdulkader Puranwala from ICICI Securities. Please go ahead.
Abdulkader Puranwala: Thank you for the opportunity. Sir, first

question, just a follow -up on the previous participant on GLP -1. So first of all, any reason why we are not including this in our guidance for '27 and second, if you could just broadly help us understand this 140 million capacity what we have now, s ay, over the next 2 to 3 years, how should we kind of build up a ramp -up into this capacity?
Srinivas Sadu : See, as you know, it's very difficult to give a guidance because one is, of course, we are not selling directly to customers. Second, the timing of launches will vary from customer to customer, market to market. And most of the volumes, as you know, comes from U.S. where the patent is post 2030. So the ramp -up will happen mostly during that time.
So I think next year, I would say a lot of exhibit batches filings and some approvals will come later part of this year, maybe third quarter. So it's very difficult to assume numbers without actually having to know when the approvals will come in which mar ket.
Abdulkader Puranwala: Understood, sir. Sir, and next one, just a clarification on the opening remarks from Ravi sir, when you talked about opportunities of cross -selling coming within the parent group. So how exactly should we look at it from a growth perspective? Is that somet hing what we have already worked upon and FY '27 guidance kind of adequately covers it? Or for the FY '28 and beyond, how should the ramp -up in the products should pan out?
Srinivas Sadu : You mean the Cenexi integration piece, you're saying?
Abdulkader Puranwala: No, I'm talking with the parent with Fosun, cross -selling opportunities there?
Srinivas Sadu : No, that's not with Fosun. It's more to do with Cenexi. But that's not guided in FY '27. Whatever we are doing with Cenexi clientele, whom we are signing products with them, that is not this year. You'll see that from FY '28. There are 3 MAs which are also signed up. You might see some launches happening from third quarter, but mostly from FY '28.
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Ravi Mitra : Tax rate will improve because Cenexi profitability as it improves, there will be -- the blended tax rate will be better. It will come down.
Moderator: Thank you. The next question comes from the line of Smith Gala from RSPN Ventures. Please go ahead.
Smith Gala: Thank you for the opportunity. Congratulations on a good set of numbers. My first question, as you also threw light in your opening remarks, what caused us to give such a wonderful growth in Q4, especially in the base business? And what kind of margins are sustainable as the base business is concerned , we have delivered around 40%, 41% margins. So for the full year, not even with '27, '28, what kind of margin in base business are sustainable?
Srinivas Sadu : So if you see last few quarters, base business EBITDA margin is around 35%, 36%, and we've been guiding like that. So we still guide for the year as a base business around 35%, 33% to 35% and as a consol basis, around 25%, 26% EBITDA. Now the -- like proba bly for a few quarters, we've been saying the initiatives we took to increase the CDMO business. So that -- those contracts which we have signed up and got commercialized last quarter and it will continue to commercialize moving forward.
On the initiative side, again, 2 more lines got operational this quarter. One more line will get operational next quarter. So we're also getting an operational leverage from capacity because there is a demand in terms of products. So we've been seeing whic h products actually to sell. So there is an increased demand.
Again, we did tell that we signed -- we got several GPO contracts end of last year, which started -- which started selling from beginning of this year. So that also added to volume growth and with added lines and volume growth that also helped in operational lev erage. So that's why the margins are high. I would say a combination of new GPO contracts, which we have won because of the better cost structure we have and then some operational leverage and also the CDMO business.
Smith Gala: Okay. That was helpful. The next question is, I know that we don't have much impact to the Middle East. It's around 2% to 3% of our total sales. But any impact do we see on the Middle East part of our business as we may have mentioned Saudi Arabia in some of our growth guidance. And any development on the new CEO appointment?
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Moderator: Thank you. The next question comes from the line of Saion Mukherjee from Nomura. Please go ahead.

Saion Mukherjee: Thanks for taking my question. Mr. Sadu, if you can talk about your investments and any update on the biologics biosimilar space that you had mention

ed a few quarters back?
Srinivas Sadu : Investments generally or on the -- just on the bio. So on the investment side, I'll first touch upon the general side. We do have now facing some constraint on certain products, ophthalmics, we are tight on it. So we have taken Board approval to put up oph thalmic line with the capability of suspensions. Also, we are getting into blow -fill-seal technology.
So that will be next year. So -- but the investment will start now. So then the -- of course, some CDMO contracts needed dedicated equipment and lines. So there's investment going in that. So around INR2,000 crores, we're investing in the next 3 years in addition to about INR300 crores this year.
Ravi Mitra : FY '27, we expect about INR500 crores.
Srinivas Sadu : As a INR500 crores investment in FY '27 and on the bio side, it's still -- we have not invested much. Still it's a slow run. So in the guidance we gave also the numbers, I would say, is low, but not that much. But we are looking at small -scale projects just to und erstand the space and know -how, but not much investment going into that space yet.
Saion Mukherjee: Right. Sir, I think the second question as was on medium -term growth. You're investing INR2,000 crores. I think you mentioned over the next 4, 5 years, you expect like mid -teen growth on a consol basis. And there are various growth drivers that you have talked about.
Is it possible for you to sort of indicate the key drivers or what do you think would be the number 1, number 2 or number 3 drivers that would sort of help deliver 15% kind of midterm top line growth?
Srinivas Sadu : I think our CDMO pipeline is very strong, I would say. The RTU bag portfolio is strong again.

So several products in that, they are under patent and which goes off patent. So that is one big
growth driver. One is the complex injectables, suspension products.
And there are sterile API -based complex injectables. That's another growth driver. And CDMO, we did mention last year on the CMS project, what is signed with the European entity. So that will commercialize from end of this year, third quarter of this year. So that is a big revenue driver for us, along with some pen device projects what we signed up with multinational on the CDMO side, that's a growth driver.
So there are several pipeline projects with -- I would say many are approved products. Some are changed from a vial to device projects, which we have taken up along with RTU bags. I think these are the major growth drivers.
Saion Mukherjee: I mean, is it like over the next few years, your growth rate would be largely steady at like mid -teens? Or you see one particular year where there could be a step -up like FY '28, '29?
Srinivas Sadu : See, FY '29 will be one big step up. A couple of complex products, which are big ones, will be launched probably third, second or third quarter FY '29. That could be one big step up. But I
Saion Mukherjee: Thanks for taking my question. Mr. Sadu, if you can talk about your investments and any update on the biologies biosimilar space that you had mentioned a few quarters back?
Srinivas Sadu: Investments generally or on the — just on the bio. So on the investment side, I'll first touch upon the general side. We do have now facing some constraint on certain products, ophthalmics, we are tight on it. So we have taken Board approval to put up ophthalmic line with the capability of suspensions. Also, we are getting into blow-fill-seal technology.
So that will be next year. So — but the investment will start now. So then the — of course, some CDMO contracts needed dedicated equipment and lines. So there's investment going in that. So around INR2,000 crores, we're investing in the next 3 years in addition to about INR300 crores this year.
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think the steady state this year, if it is -- we are saying 13% at a constant currency. And then FY '28 could be 15% and then later, it could be 19%, 20% or a bit more.
So there will be a step -up in FY '29 where more complex products will hit the market. But otherwise, it's more CDMO and other products which we have. Some we have settlement dates in FY '28. Those also gets launched in FY '28.
Saion Mukherjee: Understood, sir. And just last question, if I can, on the cost side because of the Middle East, are we seeing any pressure in terms of raw material availability of price or power cost in Europe?
Any sort of an impact on account of the Middle East conflict? And also, in your comments, you

also mentioned about cost optimization. I mean, is there scope for additional cost optimization within your existing setup? And if you can quantify that?
Srinivas Sadu : Yes. So this is an ongoing exercise for us in terms of cost optimization. From the cost perspective, Europe, I think at Cenexi, we hedged power cost. And in India, we are more and more we are looking at solar. We have already acquired a solar plant.
So that should help us in reducing some of our power costs. And also, it's a constant optimization in terms of several products where the batches were low, we are increasing those batch sizes because of the contracts we won. So I think it's an ongoing exercise. In terms of Middle East, yes, it's not a question of availabili ty, but I think it's more to do with -- we hear there is a short delay in solvent supplies. But we are not a major API producer.
So there's not much impact on solvent side. But from vials and glass, yes, there is a request from the suppliers to increase it by 5% to 6%. So we are studying

the impact on the long run. It's too early to tell, but probably there could be an impact of 1%, 2% overall.
On the logistics side, as you know, our model, we share the cost with our partner. So it will be minimal cost. But again, we have to see the total impact, but probably 1% to 2% on the revenue could be an impact.
Moderator: Thank you. The next question comes from the line of Shyam Srinivasan from Goldman Sachs. Please go ahead.
Shyam Srinivasan: Just the first one on the cartridge capacity now at 140 million. Sir, I know you're not telling which are the contracts, geographies, but any sense of the -- I don't know whether all 8 are GLP -1, but aggregate, roughly how much of that 140 million could be GLP -1 or has been contracted?
Srinivas Sadu : All are GLP -1 only. It's just a different molecules in GLP -1.
Shyam Srinivasan: No, no, no. Sir, how much has been contracted, not capacity.
Shriniwas Dange : Can you repeat, Shyam? We didn't get your last statement.
Shyam Srinivasan: No, Shriniwas , I'm just asking of the 140 million capacity , how much have been contracted now? Aggregate number. I'm not looking at each contract, but aggregate, how much has been contracted at least in the next 12 months? Gland Pharma Limited
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Shriniwas Dange : So Shyam, it is not possible for us to give you how much of the capacity has been contracted because it is basis the projections that are provided by the partner, and it changes from time to time. So it won't be possible for us to quantify how much of it h as been contracted so far.

Shyam Srinivasan: Understood. But the expectation is that in the next 12 months, as these come to fruition and maybe there's a press release from some of the partners, it will come to light in the public domain. Would that be fair?

Srinivas Sadu : Yes. Once they get approval, then we will make an announcement and come to the public.

Shyam Srinivasan: Understood. Second question is on constant currency growth for the quarter, Q4, rupee growth is 22%, but what is constant currency growth? And maybe if you could also tell us the U.S. revenue growth?

Srinivas Sadu : We can come back to you on that. It's very difficult to tell because we have multiple -- because that's also volatile during that quarter because many invoices are made at a different point of time. And we also have some U.S. sales happening in rupees, esp ecially with the local customers. But we'll come back to you. Shriniwas will come back to you separately.

Shyam Srinivasan: Last question is on Dalbavancin. So was there -- given we launched in Feb, was there a channel push or an inventory push given that -- which could have increased Q4 numbers and maybe normalizes over time? Would that be a development in quarter 4?

Srinivas Sadu : Not really. In fact, after we launched, the customer has won the Vizient contract as well. So the numbers are actually up from the first quarter, for the next 4 quarters. If you annualize that, the annualized numbers will be higher than what we sold in that quarter.

Moderator: Thank you. The next question comes from the line of Ashish from LEO Capital. Please go ahead.

Ashish: So I mean, I had previously asked regarding the GLP -1 ramp -up. And you told that it might be delayed. And I wanted to know what was the rationale behind adding the next 100 million capacity? Was the previous 40 million fully utilized?

Srinivas Sadu : No. So when everybody launches in 2030, so we should be ready with that. So what we have also done is we also signed an insulin contract for this line, which will help us fill the capacity for some time till the full ramp -up happens. So the line what we ha ve is a combo line, which can fill vials and cartridges.

So we will fill insulin cartridges and vials for at least next few years till full ramp -up happens for the GLP -1. But as you know, we can't produce to everybody if we just have 40 million when it commercializes. So it's more to do with commercial launch when it happens in 2030, we should have enough capacity, but the filing will happen from that line. So that's the re ason.

Ashish: So the insulin vials are occupying the total 140 million?

Srinivas Sadu : So the insulin vial and cartridges might occupy 30 million to 40 million in the next couple of years. It will be a ramp up, but at least that will cover till 2030, majority of the costs.

Shriniwas Dange : So Shyam, it is not possible for us to give you how much of the capacity has been contracted because it is basis the projections that are provided by the partner, and it changes from time to time. So it won't be possible for us to quantify how much of it has been contracted so far.

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Moderator: Thank you. Ladies and gentlemen, we will take this as our last question for today. I now hand the conference over to the management for closing comments.
Shriniwas Dange : Thank you, everyone, for joining us today. We appreciate your participation in the question -and-answer session during the call. If you have any follow -up questions, please feel free to reach out to us. We look forward to connecting with you again next quar ter. Thank you.
Moderator: Thank you. On behalf of Gland Pharma Limited, that concludes this conference. Thank you, everyone, for joining us, and you may now disconnect your lines.
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Shriniwas Dange: Thank you, everyone, for joining us today. We appreciate your participation in the question-and-answer session during the call. If you have any follow-up questions, please feel free to reach out to us. We look forward to connecting with you again next quarter. Thank you.
Moderator: Thank you. On behalf of Gland Pharma Limited, that concludes this conference. Thank you, everyone, for joining us, and you may now disconnect your lines.
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